INTERPRETING OREGON LAW

2009 Edition

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PREFACE

Oregon law has come to be dominated by legislation and administrative rules. At last count (in 2007), the 17 volumes of the Oregon Revised Statutes comprised more than 12,500 pages of oversized, double-columned pages of regulations; dealing with nearly every imaginable aspect of public and private life, from abandoned boats and abusive language to zoning and zoos. Every other year (and, more recently, annually) the Oregon Legislative Assembly adds to that total,

enacting between 700 and 1,000 new bills into law each session. Many of those laws authorize administrative agencies to engage in further lawmaking in the form of administrative rules, adding another 18 volumes and over 10,000 pages of fine print to the mix.

What this means is that the practice of law increasingly consists of interpreting and applying those statutes and administrative rules. Confirmation of that is as easy as picking up any recent volume of the Oregon Reports, the published decisions of Oregon's appellate courts. On average, more than two-thirds of the opinions are devoted to the interpretation of statutes and administrative rules.

Obviously, it is becoming important for practicing lawyers to become familiar with the rules that are applied in the interpretation of statutes and regulations. In recognition of that fact, the Oregon State Bar has decided to publish this handbook on those rules of interpretation. The authors and editors of the handbook sincerely hope that it proves a useful tool to the bench and bar.

The preparation of this handbook was unique and deserves special note. Under the supervision of Professors Steve Johansen and Anne Villella, of the Lewis & Clark Law School, each chapter was initially researched and drafted by law students participating in an advanced seminar on legal writing. Professors Johansen and Villella then revised the drafts and submitted them to the OSB Legal Publications staff and me for editing. That collaboration represents an enormous undertaking by Professors Johansen and Villella and their students, as well as Linda Kruschke and the Legal Publications staff.

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This book is the result of insights and efforts of many people. First among those is our coeditor, the Honorable Jack L. Landau of the Oregon Court of Appeals. Judge Landau met with us and our coauthors throughout the writing and editing processes. His insights were invaluable and the book would not have been completed without his devotion to the project. We also are indebted to the support of our colleagues at Lewis & Clark Law School: Daryl Wilson, Beth Enos, Toni Berres-Paul, Bill Chin, Sandy Patrick, and Dean Robert Klonoff. This project began with the superb research efforts of our two student research assistants, Rebecca Johansen and Ryan Phillips. We also received excellent editing advice from Linda Kruschke, Lorraine Jacobs, and the other publications staff at the Oregon State Bar. Finally, our thanks to Larry Villella and Lenore Johansen for their patience and encouragement throughout this entire effort.

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Chapter 1: STATUTORY INTERPRETATION: OVERVIEW OF GENERAL PRINCIPLES

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I. (§1.1) INTRODUCTION

The laws that govern the conduct of individuals and entities in Oregon derive primarily from legislative enactments. Therefore, the lawyer needs a solid understanding of how Oregon courts interpret those laws. This chapter provides an overview of the general principles of statutory construction and the courts' key considerations when presented with an issue of statutory construction. Although subsequent chapters address the evidence the courts consider in the construction of statutes, the rules of construction, and how the courts apply those rules, this chapter provides the foundation for the analysis. Thus, the lawyer should have a solid grasp of the principles and considerations addressed in this chapter before delving into the specific rules of construction.

II. (§1.2) GENERAL PRINCIPLES

This section provides an overview of the framework for statutory interpretation in Oregon. Understanding the principles discussed here is essential to understanding how the courts proceed in their task of statutory interpretation. Section 1.3 discusses the courts' role in interpreting statutes. Section 1.4 discusses the courts' responsibility to discern the legislature's intent. Section 1.5 sets forth the general analytical framework that courts rely on to interpret statutes. Section 1.6 discusses the problem of ambiguity in statutes and the standard the courts use to determine whether a statute is ambiguous.

A. (§1.3) The Courts' Role in Interpretation

The courts, in the construction of statutes, are simply to ascertain and declare what the text and substance of the law is. ORS 174.010. That is, the courts interpret the law, they do not write the law. *State v. Vasquez-Rubio*, 323 Or 275, 282–283, 917 P2d 494 (1996). This flows from the constitutional principle of separation of powers under Article III, §1, of the Oregon Constitution. The judicial

branch may not exercise the lawmaking powers of the legislative branch. Or Const art III, §1. Although the constitution articulates the general principal, the legislature specifically articulated the role of the courts in ORS chapter 174.

Oregon courts often cite ORS 174.010, and it provides the general directive with regard to the role of the judge in interpreting a statute:

> In the construction of a statute, the office of the judge is simply to ascertain and declare what is, in terms or in substance, contained therein, not to insert what has been omitted, or to omit what has been inserted; and where there are several provisions or particulars such construction is, if possible, to be adopted as will give effect to all.

Thus, the courts may not rewrite the law, even when lawmakers make a clear error. *Vasquez-Rubio*, 323 Or at 282–283 (courts will not rewrite a clear statute based solely on conjecture that legislature could not have intended a particular result). Therefore, the courts must avoid interpreting a statute in a manner inconsistent with this principle. See §§5.2–5.4 to review cases discussing and applying ORS 174.010.

B. (§1.4) Discerning Legislative Intent: The Courts' Goal in the Interpretation of a Statute

The courts' goal in the construction of statutes is to discern the intention of the legislature or lawmaking body. ORS 174.020(1)(a). The principle codified in ORS 174.020(1)(a) focuses on the legal inquiry, and hence the manner in which the judge and lawyer frame the analysis. If, in the construction of a statute, the court's inquiry focuses on other than the legislature's intent, the construction is subject to challenge. *See State v. Sandoval*, 342 Or 506, 513, 156 P3d 60 (2007) (court reexamined meaning of previously interpreted statute when prior interpretation was based on preexisting common law, not legislative intent); *State v. White*, 341 Or 624, 147 P3d 313 (2006) (court reexamined meaning of burglary statute as applied in prior case because trial court erroneously applied statute based on assumption about its meaning).

The statutory construction inquiry focuses on the intent of the legislature that enacted the operative words or provision. *Holcomb v. Sunderland (In re Holcomb)*, 321 Or 99, 105, 894 P2d 457 (1995) ("[t]he proper inquiry focuses on what the legislature intended at the time of enactment and discounts later . . . events"). When a court inquires into the legislature's intent, it may consider, as context,

other statutory provisions that the legislature enacted either concurrently or prior to the statutory text at issue. *See Stull v. Hoke*, 326 Or 72, 79–80, 948 P2d 722 (1997). On rare occasions, the courts have examined subsequently enacted statutes as part of the contextual analysis. *See Nibler v. Or. DOT*, 338 Or 19, 22–23, 105 P3d 360 (2005).

In addition, the courts may consider the common law in existence at the time of enactment. *Butler v. United Pacific Ins. Co.*, 265 Or 473, 479 n 3, 509 P2d 1184 (1973). On rare occasions, the courts have also sought guidance from postenactment decisions, but only when other aids to construction did not reveal the legislature's intent among competing, plausible constructions of the statute. *Nakashima v. Bd. of Educ.*, 204 Or App 535, 555, 131 P3d 749, *adhered to on recons.*, 206 Or App 568 (2006) (citing *Marks v. McKenzie High Sch. Fact-Finding Team*, 319 Or 451, 457–463, 878 P2d 417 (1994)). Furthermore, in interpreting the words of a statute the court may seek "guidance from dictionaries that were in use at the time." *State v. Perry*, 336 Or 49, 53, 77 P3d 313 (2003). Thus, any inquiry into the legislative intent considers the laws in existence at the time of enactment and focuses on the understanding that the enacting legislature would have had.

Implicit in the inquiry into legislative intent is the court's obligation to construe the law accurately, regardless of the arguments made by the parties. See *Stull*, 326 Or at 77, where the supreme court expressly stated, "[i]n construing a statute, [the] court is responsible for identifying the correct interpretation, whether or not [that interpretation is] asserted by the parties." Thus, although the parties may advocate specific interpretations, the court may, on inquiring into the legislature's intent, adopt a wholly different interpretation or may adopt the interpretation advocated by one of the parties, but based on different evidence of legislative intent. *See State v. Couch*, 341 Or 610, 618, 147 P3d 322 (2006) (court looked to statutory definition of *wildlife* when construing statute even though parties advocated common usage definitions of that term).

C. (§1.5) The Analytical Framework

Oregon courts interpret statutes by applying a statutory construction methodology—or analytical framework—as the supreme court originally articulated in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993) (hereinafter *PGE*), and modified by *State v.*

Gaines, 346 Or 160, 171–173, 206 P3d 1042 (2009). Because many of the principles of statutory construction articulated in *PGE* remain relevant to the modified methodology articulated in *Gaines*, this section first provides an overview of the methodology articulated in *PGE* before setting forth the modified analysis in *Gaines*. Under both *PGE* and *Gaines*, the court's goal in the construction of statutes is to discern the legislature's intent. ORS 174.020(1)(a). Under both *PGE* and *Gaines*, the court engages in a hierarchical inquiry. As discussed below, in *PGE* the court articulated a three-level inquiry; in *Gaines* the court concluded that amendments to ORS 174.020, a long-standing rule of construction, require a two-step inquiry. In addition, *Gaines* clarified the weight and consideration that ORS 174.020 requires the court to give to legislative history. In all other respects, *Gaines* left intact the interpretive principles of statutory construction that Oregon courts have relied on under *PGE*.

From 1993 until April 2009, the court engaged in the three-level statutory construction analysis articulated in *PGE*. At level one of the *PGE* analysis, the courts analyzed the relevant statutory text as the "best evidence" of legislative intent, along with context. *PGE*, 317 Or at 610–611. See chapter 2 discussing text-and-context analysis. If, after engaging in the analysis of the text and context, the courts concluded that the legislative intent remained ambiguous—that is, capable of more than one plausible meaning—the courts proceeded to level two of the analysis. *PGE*, 317 Or at 611. At level two, the courts "considered legislative history to inform the court's inquiry into legislative intent." *PGE*, 317 Or at 611–612. See chapter 3 for a discussion of the legislative history analysis. At level two, the courts considered legislative history "along with text and context to determine" whether, taken together, the ambiguity was resolved. *PGE*, 317 Or at 612. If the level-two analysis did not resolve the ambiguity, then the courts moved to level three, where they considered nontextual maxims of statutory construction to ultimately resolve the ambiguity. *PGE*, 317 Or at 612. See chapter 4 discussing general maxims.

In 2001, in response to the unyielding methodology articulated in *PGE*, the legislature amended ORS 174.020. Specifically, the legislature amended ORS 174.020 to address the restrictive language in *PGE* that the court may consider legislative history "if, but only if" the court concludes that the statute remains ambiguous after an inquiry into the text and context. The legislature sought to require courts to consider legislative history along with text and context without an

initial finding of ambiguity, but also to leave the courts "discretion to decide what value to place on legislative history." *Gaines*, 346 Or at 169. ORS 174.020 has long codified the rule of construction that the court "shall pursue the intention of the legislature if possible." The 2001 amendment added provisions addressing the courts' consideration of legislative history. As amended, ORS 174.020 provides, in relevant part:

> (1)(a) In the construction of a statute, a court shall pursue the intention of the legislature if possible.
>
> (b) To assist a court in its construction of a statute, a party may offer the legislative history of the statute.
>
> . . . .
>
> (3) A court may limit its consideration of legislative history to the information that the parties provide to the court. A court shall give the weight to the legislative history that the court considers to be appropriate.

Until 2009, the supreme court had not interpreted ORS 174.020 to determine its impact on the *PGE* analysis. Finally, in *Gaines*, the court construed ORS 174.020 and concluded that the amendment eliminated the *PGE* principle that a court may examine legislative history "if, but only if" a review of text and context left the meaning ambiguous. *Gaines*, 346 Or at 169. In effect, *Gaines* brought legislative history into the level-one inquiry along with the text and context of a statute. However, the court, in explaining the modified methodology, noted that it will consider legislative history only after analyzing the text and context of a statute:

> The first step remains an examination of text and context [citation omitted]. But, contrary to . . . *PGE*, [the court] no longer will require an ambiguity in the text of a statute as a necessary predicate to the second step—consideration of pertinent legislative history that a party may proffer. Instead, a party is free to proffer legislative history to the court, and the court will consult it after examining text and context, even if the court does not perceive an ambiguity in the statute's text, where that legislative history appears useful to the court's analysis. However, the extent of the court's consideration of that history, and the evaluative weight that the court gives it, is for the court to determine.

Gaines, 346 Or at 171–172.

The third and final step of the interpretive methodology is unchanged. "If the legislature's intent remains unclear after examining [text, context, and] legislative

history, 'the court may resort to general maxims of statutory construction to aid in resolving the remaining uncertainty.'" *Gaines*, 346 Or at 164–165 (quoting *PGE*, 317 Or at 612.)

In sum, the statutory interpretation methodology under *Gaines* retained the sequence in which the courts consider evidence of the legislature's intent: the court begins with the text in context, then considers legislative history, and finally, if the intent remains unclear, general maxims are consulted. However, the court collapsed the analysis from three levels under *PGE* to two levels, requiring a finding of ambiguity only before the court moves to level two, general maxims of construction. The *PGE* analysis as modified by *Gaines*, under which the courts rely on rules of construction, creates a "boundary line between the powers of the legislature and those of the court." *See Young v. State*, 161 Or App 32, 38, 983 P2d 1044 (1999) (so noting with respect to *PGE* analysis). The courts discern legislative intent by "proceed[ing] from what the legislature has written, to what the legislature has considered, and finally, as a last resort, to what the court determines makes sense." *Young*, 161 Or App at 37. For critical commentary on the search for legislative intent, see Jack L. Landau, *The Intended Meaning of "Legislative Intent" and its Implications for Statutory Construction in Oregon,* 76 Or L Rev 47 (1997).

In addition to articulating the modified interpretive methodology, the court in *Gaines* clarified the role that legislative history plays in the court's interpretive analysis. Under ORS 174.020, the "court may limit its consideration of legislative history to" that proffered by the parties, although the court may also independently research the legislative history. *Gaines*, 346 Or at 166 (concluding ORS 174.020 does not require court to independently research the legislative history). After considering the legislative history, the court will determine what weight, if any, to give it. ORS 174.020. See chapter 3 for a full discussion of legislative history.

> NOTE: Because the court has indicated that it is not required to independently research the legislative history, parties should offer any legislative history that they want the court to consider. Interestingly, the court's statement in *Gaines* that ORS 174.020 does not require the courts to independently research the legislative history appears to conflict with the obligation of the courts to construe the law accurately, regardless of the arguments made or evidence of legislative intent provided by the parties. *See Stull v. Hoke*, 326 Or 72, 77, 948 P2d 722 (1997) ("In construing a statute,

this court is responsible for identifying the correct interpretation, whether or not [that interpretation is] asserted by the parties."); *see also* §1.4.

CAVEAT: The court of appeals has suggested that, for now, a lawyer may submit legislative history at any point, and the court may consider it if it will make a difference in the analysis. *State v. Rodriguez-Barrera*, 213 Or App 56, 62, 159 P3d 1201 (2007). Notably, the legislative history in *Rodriguez-Barrera* did not make a difference because the legislative history submitted was drawn from a materially different earlier version of the statute. *Rodriguez-Barrera*, 213 Or App at 63.

PRACTICE TIP: In most cases when the text and context support the lawyer's preferred construction and legislative history also supports that construction, the lawyer should consider:

- Asserting that the text and context unambiguously support the lawyer's construction; and
- Asserting that the legislative history and nontextual maxims also support that construction.

In those few instances when the text in context supports two plausible constructions, but legislative history strongly supports the lawyer's preferred construction, the lawyer might consider:

- Submitting the relevant legislative history per ORS 174.020 to support the lawyer's preferred construction; and
- Asserting that the text and context presents more than one plausible interpretation.

D. (§1.6) Ambiguity

In the construction of a statute, the courts proceed in an analysis under the statutory construction methodology until resolving any asserted ambiguity in the statute. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611–612, 859 P2d 1143 (1993) (hereinafter *PGE*). A statute is ambiguous if there is more than one "plausible interpretation" of the disputed text. *Tharp v. Psychiatric Sec. Review Bd.*, 338 Or 413, 425–426, 110 P3d 103 (2005) (court declared text ambiguous when counsel presented two plausible interpretations). "[T]he threshold of ambiguity is a low one. It does not require that competing constructions be equally tenable. It requires only that a competing construction not be 'wholly

implausible.'" *Godfrey v. Fred Meyer Stores (In re Godfrey)*, 202 Or App 673, 686, 124 P3d 621 (2005) (quoting *Owens v. Motor Vehicles Div.*, 319 Or 259, 268, 875 P2d 463 (1994)).

When a court resolves the ambiguity at step one (after consideration of text and context) and step two (legislative history) its inquiry ends. If a court cannot resolve the ambiguity after the first two steps, it may proceed to general maxims. *State v. Gaines*, 346 Or 160, 172, 206 P3d 1042 (2009).

At step two, although the court will consider legislative history proffered by the parties (or independently researched), the court will give it no weight if the text of a statute "is truly capable of having only one meaning," even if the legislative history unambiguously shows the legislature made a mistake. *Gaines*, 346 Or at 173. See chapter 3 for a full discussion of the role of legislative history.

III. (§1.7) OTHER CONSIDERATIONS

Although the preceding sections set forth principles essential to the construction of a statute, the lawyer needs to be familiar with additional general principles that may bear on a particular case involving statutory construction. Sections 1.8–1.10 address those principles.

A. (§1.8) Preservation of Error of a Statutory Construction Issue

Under the Oregon Rules of Appellate Procedure (ORAP) "[n]o matter claimed as error will be considered on appeal unless the claimed error was preserved in the lower court." ORAP 5.45(1). Preservation "ultimately depends on whether a party has provided the trial court with an explanation that is specific enough to ensure that the court can identify its alleged error." *State v. Mack*, 219 Or App 119, 124–125, 183 P3d 191 (2008) (citing *State v. Wyatt*, 331 Or 335, 343, 15 P3d 22 (2000)). Thus, the courts consider the issue of preservation on a case-by-case basis. *Mack*, 219 Or App at 125.

For an issue of statutory construction, adequately identifying the broad legal issue to the trial court is sufficient to preserve the issue for purposes of appeal. *Gadda v. Gadda*, 341 Or 1, 7–11, 136 P3d 1099 (2006). The parties need not argue the correct interpretation, they need only put the construction of a particular statute at issue to preserve it. *Gadda*, 341 Or at 10–11. Thus, the parties may change their arguments on appeal. *Gadda*, 341 Or at 10. Moreover, when the parties agree that the basis for the trial court's action is a particular statute and the objection to the

court's determination relates to a topic covered by that statute, the statutory issue is preserved. *Bacote v. Johnson*, 333 Or 28, 30–32, 35 P3d 1019 (2001) (issue preserved even though party failed to mention specific statute); *see also Oregon Account Sys. v. Greer*, 165 Or App 738, 742, 996 P2d 1025 (2000) (statutory construction issue was adequately preserved when respondent raised statutory construction issue on appeal when appellant appeared at trial court hearing, raised objection to the issue, and identified statutory sources for objection).

B. (§1.9) Standard of Review

The appellate courts review statutory construction issues as a matter of law. *State v. Peverieri*, 192 Or App 229, 232, 84 P3d 1125 (2004). The courts also review those issues "applying the interpretive principles described" in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993), and *State v. Gaines*, 346 Or 160, 171–173, 206 P3d 1042 (2009). *Friends of Yamhill County v. Yamhill County*, 229 Or App 188, 192, 211 P3d 297 (2009).

C. (§1.10) Hierarchy for Addressing Legal Issues: First Things First Rule

When the parties raise several types of issues, the courts address those legal issues in a particular order. Specifically, to the extent that the court determines it must address issues raised to resolve a case, the courts usually follow the first-things-first rule. *State v. Rodriguez*, 317 Or 27, 31, 854 P2d 399 (1993). Under that rule, the courts resolve subconstitutional issues—which include statutory construction issues— before constitutional issues, *Rodriguez*, 317 Or at 31, and resolve state law issues before federal constitutional issues. *State v. Kennedy*, 295 Or 260, 262, 666 P2d 1316 (1983).

Chapter 2: STEP-ONE ANALYSIS: TEXT AND CONTEXT

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I. (§2.1) INTRODUCTION

Chapter 1 provided an overview of the analytical framework courts utilize in the course of construing a statute. This chapter discusses the evidence that courts consider and the rules on which they rely in the first step of that analytical framework. This first step seeks to discern the legislature's intent by analyzing the statutory "text and context." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–611, 859 P2d 1143 (1993). The rationale for this step-one analysis is addressed in §2.2. Each of the specific categories of evidence that courts consider relevant at this first step of analysis are analyzed in §§2.3–2.19. The various rules of construction on which courts rely when analyzing the evidence relevant to this step-one analysis are discussed in §§2.20–2.50.

II. (§2.2) TEXT AND CONTEXT CONSIDERED TOGETHER

Courts consider the text and context of a statute at the first step of a construction analysis. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993) (hereinafter *PGE*), as modified by *State v. Gaines*, 346 Or 160, 171–173, 206 P3d 1042 (2009). "[T]he text of the statutory provision itself is the starting point for interpretation and is the best evidence of the legislature's intent." *PGE*, 317 Or at 610. In considering the text and context, courts usually begin with an analysis of the words in dispute, then consider those

words in their immediate context, and then expand the analysis to consider the broader context of other statutes concerning the same subject. *See State v. Stamper*, 197 Or App 413, 417–418, 106 P3d 172 (2005) (distinguishing between immediate context that includes "phrase or sentence" in which term appears, and broader context, which includes other statutes on same subject).

> NOTE: Courts use the phrase *text and context* interchangeably with the phrase *text in context.* In keeping with the language of *PGE* and *Gaines*, this chapter will use the phrase *text and context*.

Although the text is the "best evidence of the legislature's intent," *PGE*, 317 Or at 610, it only takes on a particular meaning when read in both its immediate context and the broader context of related statutes. This analysis is consistent with the statutory rule of construction that requires a construction "if possible, to be adopted as will give effect to all" provisions. ORS 174.010.

The case of *Vsetecka v. Safeway Stores, Inc. (In re Vsetecka)*, 337 Or 502, 98 P3d 1116 (2004), illustrates the importance of analyzing the disputed text in the context of the provision as a whole rather than as a few discrete words in isolation. There, the court concluded that the disputed text read in isolation had one meaning, but had a different meaning when read in the context of the balance of the provision. *Vsetecka*, 337 Or at 508–511.

The issue before the court in *Vsetecka* was whether an injured employee had given sufficient notice of his injury to his employer pursuant to ORS 656.265. The statute required, among other things, that the employee provide written notice to "apprise the employer when and where and how an injury ha[d] occurred." ORS 656.265(2). In addition, that same subsection stated that a "report or statement secured from a worker . . . concerning an accident which may involve a compensable injury shall be considered notice." ORS 656.265(2).

The employer denied the workers' compensation claim because it asserted that the employee's written entries into an injury log identified only when the injury occurred. According to the employer, the notice was deficient because it failed to satisfy the three express requirements of the statute, which include detailing where and how the injury occurred. *Vsetecka*, 337 Or at 506.

The claimant argued that the statutory phrase "when and where and how" had to be read in context, and that "the text, read in context, d[id] not require three discrete inquiries" into where, when, and how. *Vsetecka*, 337 Or at 506–508.

Rather, according to the claimant, the written notice only needed to contain enough information to "put an employer on notice that the injury may be compensable." *Vsetecka*, 337 Or at 508.

The court analyzed the text of the statute, first focusing on the specific phrase requiring the employee to provide written notice sufficient to "apprise the employer when and where and how an injury has occurred." ORS 656.265(2). The court concluded that when "viewed in isolation" the text of the provision supported the employer's position. *Vsetecka*, 337 Or at 508.

However, noting that the "'text should not be read in isolation but must be considered in context,'" the court proceeded to analyze the text in the context of the entire provision. *Vsetecka*, 337 Or at 508–510 (quoting *Stevens v. Czerniak*, 336 Or 392, 401, 84 P3d 140 (2004)). The provision listed three different ways to give notice, each setting out different descriptions of the contents of the notice. *Vsetecka*, 337 Or at 509–510. Ultimately, the court concluded that when read in context, "the legislature did not intend to impose formalistic requirements on notice," and the correct question was whether the claimant provided sufficient information about "when and where and how," rather than whether the employee actually specified when, where, and how. *Vsetecka*, 337 Or at 510–511. Thus, although reading "when and where and how" in isolation may have led to a literal meaning of those terms, reading the statutory provision as a whole demonstrated that the legislature intended a different meaning. In doing so, the court was able to "give effect to all" of the provisions in the statute, as required by ORS 174.010, rather than a few isolated words.

III. (§2.3) EVIDENCE CONSIDERED

The specific categories of evidence that courts consider at step one of the statutory construction analysis are addressed in §§2.4–2.19. Textual evidence, which includes the specific words in the statute as well as prior constructions by the Oregon Supreme Court, is discussed in §§2.4–2.9. Contextual evidence, which includes evidence found in the surrounding statutes—as well as historical evidence—is discussed in §§2.10–2.19. Once the relevant text and context have been identified, courts rely on rules of construction that bear directly on how to read the text and context to assist in interpreting the statute. See §§2.20–2.50 for a discussion of those rules and how the court applies them.

A. (§2.4) Text as Evidence of the Legislature's Intent

The text of a statute is the starting point for statutory construction because it is the "best evidence of the legislature's intent." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993) (hereinafter *PGE*). Although the supreme court has never expressly defined what constitutes text (as opposed to context) the courts and the legislature have provided some guidance. Generally, the evidence considered in a textual analysis includes (1) the express words in the statute, and (2) prior supreme court interpretations of the statute. *PGE*, 317 Or at 610–611. The discussion that follows in §§2.5–2.9 focuses on these two categories of evidence, including considerations in identifying the relevant text from the express words in a statute and the circumstances in which courts consider prior judicial interpretations as text.

> NOTE: Although this chapter classifies prior interpretations as text, courts occasionally classify prior interpretations as context. However, whether prior interpretations are classified as text or context is unimportant. Instead, it is important to understand the principles on which courts rely when considering textual and contextual evidence to discern the legislature's intent.

1. (§2.5) Words in the Statute

The text of a statute includes the actual words written in the statute. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993) (referring to "the text of the statutory provision itself"); *see also Mabon v. Wilson*, 340 Or 385, 390, 133 P3d 899 (2006) (referring to "express words" of statute). However, with respect to post-1953 enactments, titles and headings to the statutes are not law, and thus they are not considered evidence of the legislature's intent under either a textual or contextual analysis. ORS 174.540 (see §5.19 discussing ORS 174.540 and exceptions to this general rule).

The disputed text at issue may consist of a single word. *See, e.g., Managed Healthcare Northwest, Inc. v. Dep't of Consumer & Bus. Servs.,* 338 Or 92, 96, 106 P3d 624 (2005) (considering significance of present tense of word *agrees* in ORS 656.260(4)(g)). It may consist of multiple isolated words. *See, e.g., Haynes v. Tri-County Metro. Transp. Dist. of Or.*, 337 Or 659, 667, 103 P3d 101 (2004) (construing *policy* and *insurance* in phrase "policy of insurance of any kind or nature" found in ORS 742.061(1)). Or, the disputed text may be a clause or phrase.

Mabon, 340 Or at 389–390 (construing both clauses in following phrase found in ORS 30.510: "upon the information of the district attorney, or upon the relation of a private party").

> PRACTICE TIP: Before engaging in textual analysis, the lawyer should examine the text of a statute in the form enacted by the legislature, including the original law and subsequent amendments. Because the Oregon Revised Statutes codify the laws by subject matter, they do not necessarily provide the text in the context or form enacted by the legislature. Examining the law in the original form allows examination of the statute's evolution as viewed by the legislature and also provides an identification of the version and date when the legislature enacted the disputed text. *See, e.g.*, *Steelman-Duff, Inc. v. DOT/Oregon State Highway Div.*, 323 Or 220, 225 n 2, 915 P2d 958 (1996) (looking to Oregon Laws to support conclusion that amendments to ORS 21.105(1) did not apply because case was commenced before effective date of amendments). Identifying the year the legislature enacted the disputed text is also critical because the court may look to dictionary definitions contemporaneous with the enactment as an aid to construction, *see* §2.21, or other provisions enacted at the same time, *see* §2.12.

2. (§2.6) Prior Constructions: Rule of Prior Construction

With certain exceptions, the text of a statute also includes its prior interpretations. *State v. Clevenger*, 297 Or 234, 244, 683 P2d 1360 (1984). Oregon adheres to the rule of prior construction, which provides that prior interpretations of statutory text necessary to decisions by the Oregon Supreme Court become "part of the statute as if written into it at the time of its enactment." *Walther v. SAIF Corp.*, 312 Or 147, 149, 817 P2d 292 (1991) (citing *Clevenger*, 297 Or at 244). Sections 2.7–2.9 discuss the circumstances in which courts look to prior constructions of a statute as mandatory precedent (and therefore part of the text); and the circumstances in which courts consider challenges to prior statutory constructions—including challenges to those prior constructions that are considered mandatory (or authoritative) precedent, and those constructions that are considered persuasive, or nonauthoritative.

a. (§2.7) Authoritative Prior Constructions

Prior interpretations of statutory text necessary to decisions by the Oregon Supreme Court become "part of the statute as if written into it at the time of

enactment." *Walther v. SAIF Corp.*, 312 Or 147, 149, 817 P2d 292 (1991). Because the rule of prior construction is based on the doctrine of stare decisis (*Stephens v. Bohlman*, 314 Or 344, 350 n 6, 838 P2d 600 (1992)), it applies only to authoritative interpretations—that is, supreme court interpretations in which the interpretation was "necessary to [the court's] holding" and based on an inquiry into legislative intent. *Mastriano v. Bd. of Parole & Post-Prison Supervision*, 342 Or 684, 692, 159 P3d 1151 (2007).

The rule of prior construction applies to supreme court interpretations that both pre- and postdate the court's opinion in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*). *Mastriano*, 342 Or at 692. Reasoning that "*PGE* did not change the substantive principles that apply to statutory interpretation" but merely "provided a coherent and predictable order in which to invoke those principles," the court in *Mastriano* explained that, with respect to pre-*PGE* interpretations, "the absence of a *PGE*-style examination of legislative intent does not deprive a prior statutory interpretation of its ordinary effect as a precedent." *Mastriano*, 342 Or at 691–692.

b. (§2.8) Challenges to Authoritative Prior Constructions

The supreme court rarely reviews its prior statutory constructions. When the court interprets a statute, it "implicates the rule of stare decisis," *Stephens v. Bohlman*, 314 Or 344, 350 n 6, 838 P2d 600 (1992), which helps maintain "stability and certainty in the understanding of statutes." *State ex rel. Huddleston v. Sawyer*, 324 Or 597, 608 n 7, 932 P2d 1145 (1997). An authoritative construction of a statute by the supreme court is binding "until the legislature alters the statute[]" or the supreme court "reexamines" its decision. *Cole v. Sunnyside Marketplace, LLC*, 212 Or App 509, 518, 160 P3d 1 (2007). Thus, a party challenging a prior construction—that is, seeking to change precedent—must first persuade the court to review its prior interpretation. *Mastriano v. Bd. of Parole & Post-Prison Supervision*, 342 Or 684, 692–693, 159 P3d 1151 (2007).

The supreme court has indicated that it will only reexamine its prior statutory constructions when "all the stated bases for the decision in [the prior construction] either do not apply, are no longer correct because of later statutory revisions, or provide only marginal support for the conclusion." *Holcomb v. Sunderland (In re Holcomb)*, 321 Or 99, 105, 894 P2d 457 (1995). In addition, challenges to a prior construction based on subsequent changes to the statute

require evidence that the legislature (or the voters, by initiative) changed the statute expressly or implicitly by later amendments to the statutory text or context. *Mastriano,* 342 Or at 693–694; *see Wal-Mart Stores, Inc. v. City of Cent. Point,* 341 Or 393, 399, 144 P3d 914 (2006).

The case of *Holcomb,* 321 Or 99, provides an example of a successful challenge to a supreme court construction based on a subsequent legislative change to a related statute that removed all bases for the court's prior construction. At issue in that case was whether, under ORS 137.320(4), a claimant must be credited with time served in jail after arrest and before judgment. *Holcomb,* 321 Or at 102. The court had previously construed the statute in *State v. McClure,* 295 Or 732, 670 P2d 1009 (1983), as not authorizing credit for time served when a criminal judgment was for probation rather than a sentence. *Holcomb,* 321 Or at 102. The court's construction in *McClure* was based at least in part on another provision, ORS 137.010, which stated that probation was an alternative to a sentence. *Holcomb,* 321 Or at 104–105.

However, after the court's interpretation in *McClure,* the legislature amended ORS 137.010 to provide that "the court may also impose and execute a *sentence of probation*." *Holcomb,* 321 Or at 104–105 (quoting ORS 137.010 (emphasis added)). The court concluded that this essential contextual change justified review of the court's prior construction. *Holcomb,* 321 Or at 105; *see also State v. Johnsen,* 327 Or 415, 420, 962 P2d 689 (1998) (citing *Holcomb,* 321 Or at 105); *see also* Jack L. Landau, *Some Observations About Statutory Construction in Oregon,* 32 Willamette L Rev 1, 20–23 (1996) (commenting critically on the reasoning in *Holcomb*).

c. (§2.9) Nonauthoritative Prior Constructions

As discussed in §2.8, the rule of prior construction only applies with respect to interpretations by the supreme court that are "necessary to [the court's] holding" and based on an inquiry into legislative intent. *Mastriano v. Bd. of Parole & Post-Prison Supervision,* 342 Or 684, 692, 159 P3d 1151 (2007). A prior statutory construction not "necessary" to the supreme court's decision is necessarily dictum, and thus a party may assert that it is nonauthoritative and therefore not binding. *See In re Nuss,* 335 Or 368, 372, 67 P3d 386 (2003) (construing statute anew after concluding that prior construction was dictum).

A prior construction based on an inquiry other than into the legislature's intent may also be challenged as nonauthoritative. *Mastriano*, 342 Or at 692 n 7 (discussing *State v. Sandoval*, 342 Or 506, 156 P3d 60 (2007)). For example, the court has reexamined its prior construction of a statute when it had based the prior construction on an inquiry into the preexisting common law rather than the legislature's intent. *Sandoval*, 342 Or at 513. Similarly, the court has reexamined its prior construction when the court had based its application of a statute on an assumption about the meaning of a statute rather than an inquiry into the legislature's intent. *See State v. White*, 341 Or 624, 635, 147 P3d 313 (2006) (reexamining burglary statute as interpreted in *State v. Barnum*, 333 Or 297, 39 P3d 178 (2002), because rather than searching for legislature's intent, court in *Barnum* had interpreted the statute based on an assumption about the meaning of the statute).

In addition to supreme court dicta and interpretations not based on legislative intent, prior statutory interpretations by the court of appeals are also considered nonauthoritative. *Younger v. Portland*, 305 Or 346, 350 n 5, 752 P2d 262 (1988) (stating that prior constructions by court of appeals are "not binding on [the supreme court] or the Court of Appeals, unless the Court of Appeals chooses to be bound by them"). Nonetheless, the court of appeals "generally adhere[s] to the doctrine of *stare decisis* in considering an issue of statutory construction that [it has] previously resolved, 'unless error is plainly shown to exist.'" *State v. Roberts*, 216 Or App 238, 243, 172 P3d 651 (2007) (quoting *Newell v. Weston*, 156 Or App 371, 380, 965 P2d 1039 (1998)).

PRACTICE TIP: To determine whether the rule of prior construction applies:

(1) The lawyer should research whether the supreme court, tax court, or court of appeals previously construed the statutory text at issue.

(2) If the supreme court construed the text and it was necessary for the decision and based on an inquiry into legislative intent then the construction is authoritative and the rule of prior construction applies unless the legislature subsequently amended the text, or the supreme court subsequently reviewed and overruled the prior construction.

(3) If the tax court or court of appeals previously construed the statute, the construction is nonauthoritative and the rule of prior construction

does not apply, but the prior construction binds those courts and lower courts unless those courts choose not to follow their prior construction.

B. (§2.10) Contextual Evidence

In addition to analyzing the text of a statute, the first step of analysis requires an investigation of statutory context. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611, 859 P2d 1143 (1993) (hereinafter *PGE*); *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). This section identifies and discusses the contextual evidence that "inform[s] the court's inquiry into legislative intent." *PGE*, 317 Or at 611. Sections 2.11–2.13 discuss evidence in the existing statutes, such as other provisions of the same statute and related statutes. Sections 2.14–2.19 discuss evidence sometimes referred to as historical context, which includes prior versions of the statute and related statutes, the common law in existence at the time of enactment, prior interpretations of statutes in other jurisdictions that Oregon has adopted, and interpretations of uniform laws and model acts.

1. (§2.11) Existing Statutes as Context

When inquiring into the meaning of a statute, courts consider "the context of the statutory provision at issue, which includes other provisions of the same statute and other related statutes." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611, 859 P2d 1143 (1993) (hereinafter *PGE*); *see also State v. Stamper*, 197 Or App 413, 417–418, 106 P3d 172 (2005). Other contextual evidence includes, among other things, statutory provisions enacted at the same time as or before the provision being construed. *Stull v. Hoke*, 326 Or 72, 79–80, 948 P2d 722 (1997); *but see Nibler v. Or. DOT*, 338 Or 19, 22–23, 105 P3d 360 (2005) (relying on 1979 amendment to ORCP 2 to aid in construction of ORS 14.060, which legislature enacted in 1939).

In drawing inferences about the legislature's intended meaning of a statute from other statutes, courts give greater weight to statutes that have a stronger relationship to the statute being construed. *See, e.g., Gadda v. Gadda*, 341 Or 1, 10, 136 P3d 1099 (2006) (when issue was whether notice was sufficient to invoke appellate jurisdiction, court considered relevant those statutes governing notices of appeal—which were jurisdictional—not rules of appellate procedure, even though those rules applied to notices of appeal). Sections 2.12–2.13 discuss generally these types of contextual evidence and provide examples of the court's analysis of such evidence.

a. (§2.12) Other Provisions of Same Statute

Context includes other provisions of the same statute, as long as the legislature enacted those provisions at the same time as or before the statute being construed. *Stull v. Hoke*, 326 Or 72, 79–80, 948 P2d 722 (1997). Other relevant provisions may include, among other things, statutory definitions (*State v. Couch*, 341 Or 610, 617–618, 147 P3d 322 (2006)), legislative findings (*Hale v. Klemp*, 220 Or App 27, 33, 184 P3d 1185 (2008)), or any other section, subsection, or clause enacted as part of the same statute or within the same act or chapter. *See, e.g.*, *Vsetecka v. Safeway Stores, Inc. (In re Vsetecka)*, 337 Or 502, 508, 98 P3d 1116 (2004) (considering other subsections within ORS 656.265).

b. (§2.13) Related Statutes and Statutes In Pari Materia

Contextual evidence also includes related statutes. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993); *see* chapter 1. Related statutes include those enacted at the same time as or before the statute being construed, *Stull v. Hoke*, 326 Or 72, 79–80, 948 P2d 722 (1997), and include those statutes on the same subject, or statutes that directly or indirectly refer to each other. *See, e.g.*, *State v. Betts*, 235 Or 127, 136–138, 384 P2d 198 (1963) (considering provision in evidence code, ORS 44.010, which created some exceptions to the admission of physician testimony in civil trials, in conjunction with ORS 136.510, which provided that law of evidence in civil and criminal actions were the same, except as otherwise specially provided in statutes relating to crimes and criminal procedure).

Related statutes provide relevant context to inform the court's inquiry into legislative intent because courts presume related statutes are "imbued by the same spirit and actuated by the same policy," and thus should be construed together. *Daly v. Horsefly Irr. Dist.*, 143 Or 441, 445, 21 P2d 787 (1933) (internal quotation omitted) (discussing construction of statutes in pari materia). In addition, because "[a]ll statutes are presumed to be enacted by the legislature with full knowledge of the existing condition of the law and with reference to it," courts construe them as "part of a general and uniform system of jurisprudence." *Coates v. Marion County*, 96 Or 334, 339, 189 P 903 (1920) (internal quotation omitted). Looking to related statutes allows the courts to harmonize statutes and give effect to all provisions. *Daly*, 143 Or at 445; *State v. Buck*, 200 Or 87, 262 P2d 495 (1953), *overruled in*

part, 299 Or 12 (1985) (concluding legislature intended that later-enacted Medical Practice Act grafted exception into previously enacted criminal abortion act).

NOTE: Occasionally, courts look to related statutes to resolve a dispute about which statute applies to the case. If the statutes cannot be harmonized—that is, they conflict—the courts will either (1) conclude that the later-enacted statute impliedly repealed or amended the earlier statute, *see* §2.38 (discussing implied repeal or amendment of statutes), or (2) determine which statute is more specific and apply that statute. *See* ORS 174.020(2) ("[w]hen a general and particular provision are inconsistent, the latter is paramount to the former so that a particular intent controls a general intent that is inconsistent with the particular intent"); *see also* §2.37 (discussing ORS 174.020(2)).

In considering related statutes, courts sometimes refer specifically to statutes as being in pari materia. *See, e.g.*, *Ahern v. Settergren*, 180 Or 287, 291, 176 P2d 645 (1947). Although courts have referred to the phrase as a maxim (*Ahern*, 180 Or at 291), and a canon (*Griffin by & Through Stanley v. Tri-County Metro. Transp. Dist.*, 318 Or 500, 524, 870 P2d 808 (1994) (Unis, J., dissenting)), courts generally use in pari materia to describe those "statutes which relate to the same person or thing, or to the same class of persons or things, and which are not in substance inconsistent with each other." *Ahern*, 180 Or at 291 (internal quotation omitted). Put another way, courts generally use the phrase *in pari materia* to simply refer to a specific class of related statutes that relate to the same subject matter, and thus provide relevant context for discerning the legislature's intent.

NOTE: On occasion, the legislature has specifically articulated that certain statutes are in pari materia, *see, e.g.*, ORS 583.410(2) (providing that certain provisions in ORS chapter 583 are in pari materia with certain other provisions of that same chapter); however, that is rare.

CAVEAT: In early cases, courts indicated that statutes in pari materia are those "made at different times." *Coates*, 96 Or at 339. More recently, however, courts have identified statutes as in pari materia when reading provisions "on the same subject" even when the legislature enacted those provisions at the same time. *See, e.g.*, *State v. Werdell*, 340 Or 590, 596, 136 P3d 17 (2006) (agreeing with defendant that word *discovery* in subsection

(1)(e) of ORS 162.325 should not be read in isolation, but read in pari materia with other subsections of ORS 162.325).

Although courts rely on related statutes as evidence of legislative intent, courts may or may not explain or identify the relationship between the statutes, *see, e.g., State v. Stallcup*, 341 Or 93, 102–103, 138 P3d 9 (2006) (explaining that provisions in ORS chapter 674 provide context for meaning of *appraisal* in ORS 35.346 because chapter 674 regulates practice of real-estate appraisal activity); or, conversely, explain why the statutes are not related. *See Morrison v. School Dist.*, 53 Or App 148, 158, 631 P2d 784 (1981) (concluding statutes had different subject matter because one related to inspection of public records and the other related to collective bargaining for public employees). Alternatively, courts may choose from among related statutes and rely on those most closely related. *See Gadda v. Gadda*, 341 Or 1, 10, 136 P3d 1099 (2006) (relying on other notice provisions, which were jurisdictional, rather than rules of appellate procedure, which were related statutes but not jurisdictional).

When determining whether two statutes are related, the court may consider relevant to that inquiry whether the statutes:

(1) Were enacted at the same or a different time, *see, e.g., Tharp v. Psychiatric Sec. Review Bd.*, 338 Or 413, 422, 110 P3d 103 (2005) (analyzing two statutes as related because, among other things, both statutes were enacted as part of 1971 revisions to criminal code);

(2) Have the same underlying policies, *see General Electric Credit Corp. v. Oregon State Tax Com.*, 231 Or 570, 591, 373 P2d 974 (1962) (determining that usery laws and tax laws were not related because policies underlying usery and tax laws differ); or

(3) Have the same subject matter. *See Chevron U.S.A., Inc. v. Motor Vehicles Div.*, 49 Or App 1099, 1103–1104, 621 P2d 668 (1980) (determining provisions in two distinct statutes were both related to payments and reports made to state agency); *see also Bauer v. Poppen*, 13 Or App 474, 478, 510 P2d 1346 (1973) (analyzing statutes enacted at same time and related to photocopying for preservation of public records).

When the issue is whether statutes conflict, courts specifically look to the operation of the statutes and how they relate to each other. *See State v. Langdon*,

330 Or 72, 80–81, 999 P2d 1127 (2000); see also §2.38 discussing implied repeal of statutes relating to the same subject matter.

Courts rely on related statutes in a variety of circumstances, including:

- To determine whether the legislature intended the same word or phrase used in related statutes to have the same meaning. *See, e.g., Tharp*, 338 Or at 423.
- To determine who or what the legislature intended to be the subject of a statute written in passive voice. *See Gadda*, 341 Or at 8–10 (interpreting ORCP 9 B, which provided that "service upon the attorney or upon a party *shall be made* by delivering a copy to such attorney or party" (emphasis added)).
- To determine whether the legislature actually intended to create an asserted right, duty, obligation, or prohibition when a statute does not expressly do so. *See Coates*, 96 Or at 339 (reading two statutes enacted 30 years apart as creating a right not expressly provided in the later-enacted statute).
- To determine the scope of a term or provision in relation to the scope of the terms or subsections of related provisions. *See Werdell*, 340 Or at 596–597 (limiting scope of subsection within a statute because focus of other provisions was similarly limited).
- To determine whether the legislature intended two statutes to operate together or whether the later-enacted statute impliedly amended or repealed the earlier statute. *See Langdon*, 330 Or at 80–81; *see also* §2.38 (discussing implied amendment and repeal).

2. (§2.14) Historical Context

Statutory context includes what courts occasionally refer to as the historical context surrounding a statute's enactment, amendment, or repeal. *See, e.g., State v. Perry*, 336 Or 49, 54–55, 77 P3d 313 (2003). Historical context, as used here, encompasses a range of evidence that aids the court in discerning the legislature's intent and in explaining its analysis, including:

- prior versions of the particular statute and related statutes
- the common law in existence at the time of enactment

- prior interpretations of statutes that Oregon adopted from other jurisdictions
- prior interpretations of uniform laws or model acts that Oregon adopted.

In addition, because this is a historical inquiry—as opposed to an inquiry into the existing law—it requires determining:

(1) *When* the legislature enacted the relevant statutory provision, and particularly the disputed terms;

(2) *How* the disputed provision and related provisions have changed over the course of time, individually and as part of the statutory framework in which they exist;

(3) *What* the existing common law was at the time of adoption of the statute and how that might bear on the interpretation of the statute; and

(4) *Whether* the legislature adopted the statutory language from another jurisdiction or from a uniform law.

> NOTE: Courts consider prior versions at step one of the analysis, which includes the words actually enacted by the legislature—either as part of the original enactment or subsequent amendments. *See Perry*, 336 Or at 55–56 (considering prior versions of statute as aid to discerning legislature's intent with respect to current version). Conversely, the courts consider the draft history at step two of the analysis, which includes preenactment events—such as amendments made to a bill as it passed through the legislative process. *See State v. Branam*, 220 Or App 255, 262, 185 P3d 557, *rev. denied*, 345 Or 301 (2008) (discussing, as part of legislative history, amendments made to bill before enactment); see also Jack L. Landau, *Some Observations About Statutory Construction in Oregon*, 32 Willamette L Rev 1, 38–40 (1996).

In *Goodyear Tire & Rubber Co. v. Tualatin Tire & Auto*, 322 Or 406, 908 P2d 300 (1995), *modified*, 325 Or 46 (1997), the court utilized the relevant history of a statute as a means of providing the context necessary to a proper understanding of its text. In that case, the supreme court considered whether a right to jury trial existed under the Oregon Franchise Act (OFA). The court engaged in the traditional statutory analysis under *Portland Gen. Elec. Co. v. Bureau of Labor*

& Indus., 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*). *Goodyear Tire & Rubber Co.*, 322 Or at 414. After identifying the relevant text of the statute and noting that the OFA did "not expressly grant a right to trial by jury," the court proceeded to examine the historical context surrounding the enactment of the OFA, "[b]ecause some background is necessary to a proper understanding of the text." *Goodyear Tire & Rubber Co.*, 322 Or at 415.

The court specifically examined the historical common-law distinction between suits in equity that traditionally were tried to the court and actions at law that traditionally were tried to a jury. *Goodyear Tire & Rubber Co.*, 322 Or at 415–417. In addition, the court traced how, following the adoption of the Oregon Rules of Civil Procedure in 1979, many of the common-law distinctions between suits in equity and actions at law had been abolished. *Goodyear Tire & Rubber Co.*, 322 Or at 415–416. The court noted that consistent with the elimination of those distinctions, the legislature eliminated, as a matter of "housekeeping," "[m]ost references in the statutes to 'suits' and 'actions.'" *Goodyear Tire & Rubber Co.*, 322 Or at 416.

After reviewing this historical context, the court returned to the text of the relevant statute and determined that in light of the 1979 amendments eliminating references to law and equity, the text was capable of more than one reasonable interpretation, and therefore required an analysis of the statute's legislative history. *Goodyear Tire & Rubber Co.*, 322 Or at 417. Based on its analysis of the legislative history, the court held that a right to a jury trial existed under the OFA. *Goodyear Tire & Rubber Co.*, 322 Or at 419. Thus, although the court looked specifically to the text of ORS 650.020, the statute's historical context concerning the elimination of the distinctions between suits in equity and actions at law helped inform the court's analysis of the text.

a. (§2.15) Prior Versions of Same Statute or Its Predecessor

When courts interpret a statute, they may consider prior versions of that statute as part of the relevant context. *Krieger v. Just*, 319 Or 328, 876 P2d 754 (1994). As the court has stated, "[i]n a serially amended statute . . . the wording changes adopted from session to session are a part of *context* of the *present version* of the statute being construed." *Krieger*, 319 Or at 336 (emphasis added). This evidence allows the court to consider the historical "sequence of legislation." *State*

v. Perry, 336 Or 49, 55, 77 P3d 313 (2003). For example, a change in a single word or several words may not only signal that the legislature intended to change the direct meaning of the statutory text, but that the legislature intended to alter the scope of the statute. *See Carrigan v. State Farm Mut. Auto. Ins. Co.*, 326 Or 97, 103–104, 949 P2d 705 (1997) (change in phrase in statute from "injured in a motor vehicle" to "injury resulting from the use of a motor vehicle" broadened scope of statute).

Although their task is to discern the legislature's intent, courts have applied certain presumptions when considering amendments to statutes. These presumptions include:

- "[M]aterial changes in language create material changes in meaning." *Fifth Ave. Corp. v. Washington County*, 282 Or 591, 597, 581 P2d 50 (1978) (citing 1A J. Sutherland, *Statutes and Statutory Construction* §22.30 (1972)); *see also Strunk v. Public Emples. Ret. Bd.*, 338 Or 145, 189–190, 108 P3d 1058 (2005) (applying material-change presumption to amendments made to ORS 238.300).
- "[A]mendatory acts do not change the meaning of preexisting language further than is expressly declared or necessarily implied." *Fifth Ave. Corp.*, 282 Or at 597–598.
- Retained portions of an amended statute are not a reenactment or new statement of the law, unless there is demonstrable evidence to the contrary. *Jones v. GMC*, 325 Or 404, 417–418, 939 P2d 608 (1997) (quoting *Allison v. Hatton*, 46 Or 370, 372, 8 P 101 (1905)).

Although the court has historically applied these presumptions, in recent years the supreme court has cautioned against applying them— and refused to apply them—when the statutory text and context unambiguously show that the legislature intended otherwise. *See, e.g., Jones*, 325 Or at 415 (court will not use presumptions—i.e., "bare fact of the amendment"—when to do so is contrary to what "text actually says").

Prior enacted versions of a statute may include its statutory predecessor. *State v. Davis*, 207 Or 525, 533–535, 296 P2d 240 (1956). Those predecessor statutes may have the same or different ORS numbers than the relevant statute the court is construing. *See Strunk*, 338 Or at 186–187 (discussing "ORS 238.300 and its predecessor statute, *former* ORS 237.147 (1993), [which] ha[d] been a part of

the PERS [Public Employees Retirement System] statutes since the creation of PERS in 1953"). Predecessor statutes enacted before Oregon codified the statutes as the Oregon Revised Statutes in 1953 will derive from a different code and also have a different number. *See LaDu v. Oregon Clinic, P.C.*, 165 Or App 687, 690, 998 P2d 733 (2000) (looking to 1862 predecessor to ORS 30.010–30.100).

NOTE: In 1953, when the legislature codified all existing Oregon laws into the Oregon Revised Statutes, it enacted provisions in ORS chapter 174 that offer guidance as to how to best assess pre-1953 versions of those statutes. *See* ORS 174.510– 174.550. A discussion of the creation of the Oregon Revised Statutes and additional guidance in using pre-1953 statutes for interpreting current Oregon law is provided in §§5.15–5.17.

The following examples illustrate common circumstances in which courts look to prior versions of a statute as an aid to construction:

- To determine the date when the legislature enacted specific disputed terms so that it can discern what meaning the enacting legislature would have intended for those terms. *LaDu*, 165 Or App at 690–691 (looking to prior version of statute that initially used the word "person" and then looking to dictionaries contemporaneous with enactment date of that version).
- To determine whether prior versions used different terms than the disputed terms in the current version, which might permit an inference about the legislature's intended meaning or scope of the current version. *State v. Rodarte*, 178 Or App 173, 179–180, 35 P 3d 1116 (2001) (concluding that legislature intended substantive change when prior version provided that "'any crime *punishable* as a felony'" was grounds for revocation of license, while current version required "'any felony *conviction*'" as grounds for revocation of license (quoting ORS 811.182(3)(c)) (emphasis added)).
- To determine whether changes made after the court interpreted the statute or articulated a common-law rule indicate the legislature's intent to incorporate the common law into the statute or to modify the statute. *Weber & Weber*, 337 Or 55, 67–68, 91 P3d 706 (2004) (determining that amendment incorporated common-law rule); *Jones*, 325 Or at 420 (determining that amendment did not materially alter

substance of statute, but simply codified holdings of supreme court in prior cases interpreting statute).

PRACTICE TIP: The lawyer should research the history of the particular statutory provision and understand the changes that the legislature made as it amended the provision over time. This review of the evolution of the statute will allow the lawyer to determine when the legislature enacted the disputed terms and whether prior versions of the statute included different terms. If prior versions did not use the same words as the current version, this may allow an inference regarding what the legislature intended when it changed those words.

b. (§2.16) Prior Versions of Related Statutes

Prior versions of related statutes are also considered part of a statute's context. *Jones v. GMC*, 325 Or 404, 418–419, 939 P2d 608 (1997) (looking at dates of enactment or amendment of related statute to determine whether case law interpreting that statute was relevant to court's analysis). The following examples illustrate common circumstances in which courts look to prior versions of a related statute as an aid to construction:

- To analyze the evolution of the statutory scheme as a contextual backdrop to the analysis. *State v. Brooks*, 187 Or App 388, 393–395, 67 P3d 426 (2003) (tracing history of guilty-except-for-insanity statutes as aid to determining whether legislature intended to change "long-established policy" regarding guilty-except-for-insanity commitment periods).
- To analyze the organization and placement of the relevant statutory provisions within the statutory scheme. *State ex rel. Penn v. Norblad*, 323 Or 464, 468–469, 918 P2d 426 (1996) (placement of prior versions of statutory provisions within act and in later versions allowed inference that legislature intended to limit scope of statute to pretrial matters).
- To look at the provision in the context in which it was originally enacted, which might permit an inference about the legislature's intended meaning of the current version.

The *Penn* case provides an illustration of the court's ability to draw inferences about the legislature's intent based on the placement of prior versions of the relevant statutory provisions within the statutory scheme. In that case, the court examined the prior version of ORS 135.755, the statutory provision that allows a court to dismiss particular cases "in furtherance of justice." The issue, on which the court concluded the text of the statute was "silent," was whether the statute only authorized the trial court to dismiss a case pretrial or also authorized the court to dismiss after the return of a valid jury verdict. *Penn,* 323 Or at 467. The relevant version of the statute provided that "[t]he court may, either of its own motion or upon the application of the district attorney, and in furtherance of justice, order the proceedings to be dismissed. The reasons for the dismissal shall be set forth in the order, which shall be entered in the register." ORS 135.775 (1995).

The court in *Penn* looked to ORS 135.775 as well as other statutory provisions in ORS chapter 135, and the 1864 statutory antecedents to both ORS 135.755 and related statutory provisions as set forth in the Deady Code. The court noted that the "predecessor of ORS 135.755 contained the same operative wording," and that the "sections surrounding" both the 1864 subchapter and the current statute related only to pretrial matters. *Penn,* 323 Or at 467–468. Although the court also considered other evidence in its analysis, the court concluded, in part, that the "chronological order in which the legislature deliberately ha[d] arranged the criminal procedure code from its inception reflect[ed] a conscious choice" and that the statute and its predecessors had always appeared in "plainly pretrial procedures." *Penn,* 323 Or at 469. Therefore, the court held that ORS 135.755 was "a procedural statute that grant[ed] authority to trial judges to act pursuant to it only before trial." *Penn,* 323 Or at 471.

c. (§2.17) Common Law in Existence at Time of Enactment

A statute's context also includes the common law in existence at the time the legislature enacted the statute. *Fresk v. Kraemer,* 337 Or 513, 520, 99 P3d 282 (2004) ("Statutory context includes . . . the preexisting common law. . . ."). Courts presume that "the legislature enacts statutes in light of existing judicial decisions that have a direct bearing upon those statutes." *Weber & Weber,* 337 Or 55, 67, 91 P3d 706 (2004); *see also Van De Hey v. United States Nat'l Bank,* 313 Or 86, 90 n 4, 829 P2d 695 (1992) (discussing principle that common law remains in effect to extent that it does not conflict with legislative or constitutional provisions).

A review of the common law existing at the time of enactment may allow the court to draw inferences about the meaning or scope of a statute because the legislature may have intended to codify, modify, or supplement the common law rule. *See, e.g.*, *King City Rehab, LLC v. Clackamas County*, 214 Or App 333, 338, 164 P3d 1190 (2007) (discussing whether applicable statutes departed from common-law rule in existence at time of enactment). Generally, courts construe statutes "in a manner consistent with the common law, absent clear legislative intent to the contrary." *State v. Ford*, 310 Or 623, 637 n 21, 801 P2d 754 (1990). When the express language of the statute is at odds with a common-law rule or definition, the current wording of the statute controls the analysis. *King City Rehab*, 214 Or App at 338–339.

The focus of the inquiry into the common law includes:

- Discerning whether the legislature intended specific words to carry the meaning they had under the common law. *Butler v. United Pacific Ins. Co.*, 265 Or 473, 479 n 3, 509 P2d 1184 (1973) (giving statutory term *tender* common-law meaning).
- Discerning whether the legislature intended to codify, modify, or supplement common law tests or standards. *Weber*, 337 Or at 67–68 (determining whether legislature's amendment to ORS 107.135 to include "substantial change in economic circumstances" intended to incorporate common-law rule in existence for over 35 years at time of enactment); *Moore v. Mutual of Enumclaw Ins. Co.*, 317 or 235, 855 P2d 626 (1993) (concluding express language in statute inconsistent with common-law rule or definition).

In *Fresk*, the court looked to the common law in existence at the time of the statute's enactment to determine whether the legislature intended words or phrases in the statute to carry their common-law meaning. There, the court had to interpret the meaning of the term *tendered* in ORS 20.080(1). *Fresk*, 337 Or at 520. The issue before the court was the plaintiff's entitlement to attorney fees under ORS 20.080(1), which prohibited an award of attorney fees to the plaintiff "if the court f[ound] that the defendant *tendered* to the plaintiff, prior to the commencement of the action . . . an amount not less than the damages awarded to the plaintiff." ORS 20.080(1) (emphasis added). The defendant had made a prelitigation payment offer, but conditioned that offer on the plaintiff releasing the defendant from

further liability. *Fresk*, 337 Or at 515. The parties disputed whether defendant's offer was a *tender* within the meaning of the statute because at common law, *tender* was defined as "an offer of payment that is coupled either with no conditions or only with conditions upon which the tendering party has a right to insist." *Fresk*, 337 Or at 522.

The court, after analyzing the dictionary definitions, common-law definition, and other attorney fee statutes and their prior interpretations, concluded that the legislature intended to limit the scope of *tender* as used in ORS 20.080(1) to the common-law meaning. *Fresk*, 337 Or at 522–524. Applying this interpretation, the court determined that the "condition of release from further liability for [the] plaintiff's underlying claim d[id] not prevent [the] defendant's offer of payment from acting as an effective 'tender' under ORS 20.080(1)." *Fresk*, 337 Or at 524. Therefore, the court held that the

> defendant's condition of release from further liability for plaintiff's negligence claim, without more, did not prevent his prelitigation payment offer from qualifying as an effective "tender" within the meaning of ORS 20.080(1). Because that tender exceeded the amount of plaintiff's ultimate recovery, plaintiff [was] not entitled to an attorney fees award under ORS 20.080(1).

Fresk, 337 Or at 526.

> CAVEAT: Although Oregon courts consider preexisting common law as part of the context within which a statute is enacted, they do not apply the canon of construction that requires strict construction of statutes in derogation of the common law. A statute "in derogation of the common law" is one that imposes duties or burdens, or establishes rights or provides benefits that were not recognized by the common law. Norman J. Singer, *Sutherland Statutes and Statutory Interpretation* §61:1 (6th ed 2006) (supplemented periodically). The traditional rule of strict construction of statutes in derogation of common law requires that when there is any doubt about the meaning of such a statute or the legislature's intent in enacting the statute, the court gives the statute the effect that makes the least rather than the most change in the common law. Singer, *supra*. In other words, the rule requires that such statutes be strictly construed to prevent any unintended changes to the common law. The primary reason that Oregon courts have rejected this canon is that it represents a "preference for case law over legislation" which is inconsistent with the goal of discerning legislative

intent. *Ass'n of Unit Owners of Bridgeview Condos. v. Dunning,* 187 Or App 595, 609 n 3, 69 P3d 788 (2003).

d. (§2.18) Prior Interpretations of Statutes Adopted from Other Jurisdictions

The Oregon legislature sometimes adopts statutes modeled after statutes from

other jurisdictions. *See, e.g., State v. Mayer,* 146 Or App 86, 90, 932 P2d 570 (1997) (noting that certain definitions in ORS chapter 161 were adopted from New York Revised Penal Code). When Oregon courts construe statutes adopted from other jurisdictions, the context includes preadoption (preenactment) interpretations by the highest court of the jurisdiction from which the statute was adopted. *See State v. Stockfleth,* 311 Or 40, 50, 804 P2d 471 (1991) (explaining that "when Oregon adopts the statute of another jurisdiction, the legislature is presumed also to adopt prior constructions of the statute by the highest court of that jurisdiction"). This rule applies to statutes adopted from another state or from federal statutes. *See, e.g., Pamplin v. Victoria,* 319 Or 429, 433, 877 P2d 1196 (1994) ("Because the Oregon rule [was] almost identical to the federal one and was based on it, decisions of the Supreme Court of the United States concerning FRCP 37(b)(2)(c) that predated the adoption of the Oregon counterpart inform [the court] as to the intent of the Oregon lawmakers.").

The court considers those prior interpretations as context because it assumes that the legislature intended to adopt the same interpretation when it enacted the adopted statute. *Jones v. GMC,* 325 Or 404, 418, 939 P2d 608 (1997); *see also Stockfleth,* 311 Or at 50. However, these prior interpretations only provide "guidance" and do not bind the court. *Badger v. Paulson Inv. Co.,* 311 Or 14, 21, 803 P2d 1178 (1991). Moreover, the court only considers interpretations that the highest court rendered before the Oregon legislature adopted the statute. *Pamplin,* 319 Or at 433–434.

The case of *State v. Willy,* 155 Or App 279, 963 P2d 739 (1998), provides an illustration of the court's application of the prior interpretation rules relating to statutes adopted from other jurisdictions. In that case, three defendants appealed their convictions for disorderly conduct, claiming that their convictions could not be reconciled with three prior cases decided by the court of appeals. *Willy,* 155 Or App at 282–283. The disorderly conduct statute, ORS 166.025(1), was modeled

after New York Penal Law §240.20 (1965). *Willy*, 155 Or App at 284. In the three decisions that the defendants relied on, the Oregon Court of Appeals had applied the rule of construction that "when the Oregon legislature borrows a statute from another state, [the court is] permitted to infer that the legislature intended to adopt also the interpretations of the borrowed statute made by the highest court of the originating state." *Willy*, 155 Or App at 286 (emphasis omitted). However, the court in *Willy* held that in deciding those earlier cases, the court had failed to apply the rule correctly for two different reasons. First, in one of the cases, the court of appeals looked to three decisions of New York trial courts, as opposed to the highest court of the state. *Willy*, 155 Or App at 286. In the other two cases, the court relied on New York cases that interpreted a version of the New York statute different than the one adopted by Oregon. *Willy*, 155 Or App at 286. For this reason, the *Willy* court concluded that the three cases the defendants cited "were wrongly decided," and "their reliance on New York trial court decisions construing a dissimilar statute, [was] plainly incorrect." *Willy*, 155 Or App at 287.

e. (§2.19) Interpretations of Uniform Laws and Model Acts

When the legislature adopts uniform laws or model acts, the context for those adopted acts includes decisions of courts in other jurisdictions that have considered the acts. *See GPL Treatment v. Louisiana-Pacific Corp.*, 323 Or 116, 124, 914 P2d 682 (1996) ("In examining the context of the [Uniform Commercial Code], we also look to the decisions of other jurisdictions that have considered the [statute]."); *see also Conant v. Stroup*, 183 Or App 270, 276–278, 51 P3d 1263 (2002) (considering interpretations from other jurisdictions of model act adopted "almost verbatim" by Oregon legislature).

Uniform laws, or model acts, are generally created and adopted by the states "for the purpose of standardizing the law within the United States." 2B Norman J. Singer, *Sutherland Statutes and Statutory Interpretation* §52 (6th ed 2006) (supplemented periodically). Courts therefore examine the decisions of other states that have adopted the same or similar laws for the purpose of consistency and uniformity in the law. *See GPL Treatment*, 323 Or at 124; *see also Meyer v. Ford Industries, Inc.*, 272 Or 531, 541, 538 P2d 353 (1975) (with respect to Model Business Corporation Act, "it is proper to assume that upon the adoption of that Model Act the Oregon legislature intended that this provision of that Act should be

interpreted and applied in the same manner as intended by the drafters of that Model Act").

Although some uniform laws and model acts include provisions stating that courts should construe the statutes to either effectuate their purpose, or to make uniform the laws among those states that enact them, the court of appeals has questioned the extent to which courts are bound by such uniformity provisions. *See State ex rel. Leo v. Tuthill*, 170 Or App 79, 87 n 8, 11 P3d 270 (2000) (questioning what role "uniformity" provision has in Oregon statutory construction). Among others, these "uniformity" provisions can be found in the Oregon Rules of Civil Procedure, *see* ORCP 38 C(2) ("This section shall be so interpreted and construed as to effectuate its general purposes to make uniform the laws of those states which have similar rules or statutes."), the Uniform Declaratory Judgments Act, *see* ORS 28.150 ("This chapter shall be so interpreted and construed as to effectuate its general purpose to make uniform the law of those states which enact it, and to harmonize, as far as possible, with federal laws and regulations on the subject of declaratory judgments."), and Oregon's Family and Medical Leave Act, *see* ORS 659A.186 ("ORS 659A.150 to 659A.186 shall be construed to the extent possible in a manner that is consistent with any similar provisions of the federal Family and Medical Leave Act of 1993.").

In *Conant v. Stroup*, 183 Or App 270, 51 P3d 1263 (2002), the court looked to interpretations from other jurisdictions as persuasive evidence to support its construction of a model act. In that case, the disputed statutory language derived from the Landowner Liability Act, which Oregon had adopted "almost verbatim" from the model act drafted by the Council of State Governments. *Conant*, 183 Or App 278. The issue presented was whether ORS 105.682 granted private landowners immunity from liability for personal injuries on their lands only when the landowner gave a person permission to use the land for recreational purposes as a member of the general public, not as a specific invitee. Under ORS 105.682 "private landowners [were] immune from liability for personal injuries that [arose] out of the use of their land for recreational purposes when the owner permit[ed] *any member of the public* to use the land for those purposes." *Conant*, 183 Or App at 272 (emphasis added).

After the court analyzed the statute's text, the court looked to its context, which included an inquiry into other provisions of the statute, including the purpose statement. *Conant*, 183 Or App at 276–278. Although the court concluded

that the text and other provisions of the statute supported the conclusion that the statute granted immunity when the injury occurred to a person as a member of the general public, the court looked to interpretations by courts in other jurisdictions for further support. *Conant*, 183 Or App 276–281. The court found those other interpretations persuasive because: (1) other jurisdictions had "uniformly" interpreted the language, (2) the interpretation adopted by those other jurisdictions was consistent with the purpose of the model act, and (3) the interpretation was the only one that did not "inadvertent[ly] eviscerat[e] [the] common-law doctrines concerning the duties of landowners to invitees." *Conant*, 183 Or App at 276–281. Thus the court, in relying on all of that evidence, concluded that ORS 105.682 granted private landowners immunity when a person was a member of the general public, not an invitee.

IV. (§2.20) RULES OF CONSTRUCTION

The rules of construction set forth in §§2.21–2.50 are those that the courts rely on at step one of the statutory construction analysis under *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993), as modified by *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). Although courts sometimes refer to them as rules, maxims, or canons, the court has stated that "the various 'rules' of statutory construction are not 'rules' in the legal sense, but are no more than 'aids' or 'guides' in statutory construction." *Davis v. Wasco Intermediate Education Dist.*, 286 Or 261, 266 n 3, 593 P2d 1152 (1979).

Courts rely on these rules, several of which have the same or similar effect, as a means of supporting their conclusions regarding the legislature's intended meaning of a particular statute. However, in using these rules, the court's task remains to discern the intent of the legislature. *See* ORS 174.020.

When the court relies on evidence of legislative intent from the text or context, including other statutes, prior versions of statutes, or the common law, *see* §§2.4–2.19 (discussing evidence that courts consider in construction of statutes), the court seeks to harmonize the statutes or to harmonize the statutes with the existing common law as "part of a general and uniform system of jurisprudence." *Coates v. Marion County*, 96 Or 334, 339, 189 P 903 (1920). This is because courts assume that the legislature enacts statutes "with full knowledge of the existing condition of the law and with reference to it." *Coates*, 96 Or at 339. Thus

courts, to the extent possible, construe statutes so as to "give effect to all." ORS 174.010.

The rules of construction logically flow from these principles, and, to the extent that the court concludes a conflict exists between two or more statutes or between the common law and a statute, the rules of construction guide the court in resolving the conflict. *See, e.g.*, *State v. Shumway*, 291 Or 153, 160, 630 P2d 796 (1981) (applying rule regarding implied repeal when two statutes conflicted); *see also State v. Ford*, 310 Or 623, 637 n 21, 801 P2d 754 (1990) ("statutes codifying the common law are to be construed in a manner consistent with the common law, absent clear legislative intent to the contrary").

Nonetheless, the court may face a case in which two competing— and conflicting—rules of construction apply. *S-W floor Cover Shop v. Filings of the Nat'l Council on Compensation Ins.,* 318 Or 614, 631, 872 P2d 1 (1994) (noting that preferred construction rendered other provision redundant, but that alternative constructions would have required court to insert or omit language in relevant statute). However, the court's task is to adopt the construction that the court believes the legislature most likely intended. *State v. Stamper*, 197 Or App 413, 427, 106 P3d 172 (2005). As the court of appeals acknowledged when it faced a case in which conflicting rules of construction justified different readings of the statute:

> statute[s] cannot be interpreted merely by the mechanical application of well-known principles of statutory construction. As we have endeavored to demonstrate, depending on which rules are given emphasis, different readings of the relevant statutes may be justified. And the law neglects to supply a rule for determining which rules should prevail. Ultimately, our interpretation of the statute is a judgment call based on our best estimation of what the legislature intended.

Stamper, 197 Or App at 426–427.

A. (§2.21) Definitions as Aid to Construction: Plain Meaning, Statutory Meaning, Technical Meaning

When the meaning of specific words or phrases is at issue, courts generally begin their analysis of the text by defining the disputed terms or phrases. *State v. Murray*, 343 Or 48, 52, 162 P3d 255 (2007) (beginning analysis of text by defining the word *cause* in ORS 163.165). If a prior construction of the disputed text does

not exist, the court gives "words of common usage . . . their plain, natural, and ordinary meaning," *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611, 859 P2d 1143 (1993), unless (1) a statutory definition applies (*State v. Couch*, 341 Or 610, 617–618, 147 P3d 322 (2006) (relying on both statutory and dictionary definitions)), or (2) the court concludes that the term is a term of art—that is, a term that has acquired a specialized meaning within a particular discipline. *See In re Nuss*, 335 Or 368, 372–373, 67 P3d 386 (2003) (court may look to case law or technical guides or manuals for relevant definitions). General principles involving the use of definitions, and several key considerations in selecting and using statutory, dictionary, and technical definitions are discussed in §§2.22–2.30.

1. (§2.22) General Principles

When courts refer to definitions as an aid to construction, the task requires identifying the relevant source for the definition—statutory, common law, or dictionary—and, when the relevant source includes more than one definition for the term, discerning which definition the legislature would have intended.

When identifying the relevant source for definitions, the court looks first for statutory definitions. *State v. Couch*, 341 Or 610, 617, 147 P3d 322 (2006) (when legislature included statutory definition, reliance on other definitions was incorrect). In the absence of a statutory definition, the court assumes that the legislature intended to give words of common usage their "plain, natural, and ordinary meaning." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611, 859 P2d 1143 (1993). Thus, if the term or phrase is not defined by statute, the court generally considers common usage definitions to discern the plain meaning. *Potter v. Schlesser Co.*, 335 Or 209, 213, 63 P3d 1172 (2003) (consulting *Webster's Third New International Dictionary* in absence of statutory definition). However, if the text at issue is a term of art with a special technical meaning different from the common meaning, the court assumes the legislature intended such words to have that technical meaning. *In re Nuss*, 335 Or 368, 372, 67 P3d 386 (2003).

In addition, if the statutory, dictionary, or technical definition is unclear, the court may turn to a common-use dictionary to define terms within the selected definition. *See, e.g., Marcilionis v. Farmers Ins. Co.*, 318 Or 640, 645, 871 P2d 470 (1994) (clarifying statutory definition of term *occupying* in ORS

742.504(2)(I), which contained prepositions "in, upon, entering into, and alighting from," by using common-usage definition of *preposition* found in *Webster's Third New International Dictionary*); *see also Couch*, 341 Or at 618 (clarifying statutory definition of *wildlife* in ORS 496.004(10), which contained the word *wild*, with common usage of *wild* as defined by *Webster's Third New International Dictionary*); *State v. Fries*, 344 Or 541, 545–546, 185 P3d 453 (2008) (defining term *possession* in statutory definition of *possess* because legislature had defined *possess*, in part, as "to have physical possession").

2. (§2.23) Context as Aid to Selecting Definition Intended by Legislature

When discerning the legislature's intent, the task often requires the court to determine the legislature's intended meaning for a term or terms that have more than one common or technical meaning. *Gladhart v. Or. Vineyard Supply Co.*, 332 Or 226, 231–232, 26 P3d 817 (2001) (choosing from among several common definitions). If the court refers to a dictionary or technical manual, the court may explicate each definition, *Conant v. Stroup*, 183 Or App 270, 275, 51 P3d 1263 (2002) (exploring three definitions of word *public*), or only those that appear relevant in the context of the statutory provision. *See State v. Couch*, 341 Or 610, 618, 147 P3d 322 (2006). Rather than explicate every definition, the court may narrow the list of possible definitions by considering the word form that the legislature used—that is, noun, verb, or adverb. *State v. Bray*, 342 Or 711, 719 n 6, 160 P3d 983 (2007) (rejecting state's definition of noun form of term that legislature used as transitive verb in statute); *State v. Hall*, 327 Or 568, 576–577, 966 P2d 208 (1998) (Durham, J., dissenting) (pointing out that majority mistakenly relied on definition of noun *threat* to support its construction of verb *threaten*).

In addition, when narrowing the list of possible definitions, the court may look generally at the term in the context of the statutory provision, and perhaps use a bit of common sense. *See Couch*, 341 Or at 618 (choosing first definition of *wild* because it was the most sensible meaning of word given its use in the statute); *State v. Cox*, 219 Or App 319, 323, 182 P3d 259 (2008) (noting that dictionary contained "quite a few definitions" of word *change* from which to choose, but concluding without explanation that "only one of those definitions appear[ed] to relate to the sense in which the word [was] used in the statute"); *see also State v. Bray*, 342 Or at 719 n 5 (explaining that it did not rely on first definition of word

display because *Webster's Third New International Dictionary* identified definition as obsolete).

Beyond the initial decision to consider one or more definitions, courts consider other evidence of legislative intent to provide additional support for their selected definition or to determine which of two or more definitions the legislature intended. *See Davis v. Wasco Intermediate Education Dist.*, 286 Or 261, 266–267, 593 P2d 1152 (1979). Courts may look for contextual clues within the statutory provision or to contextual evidence beyond the relevant statutory provision. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993); see §§2.10–2.19, discussing contextual evidence that courts consider in the construction of a statute.

The *Gladhart* case provides an example of the analytical process that courts utilize when construing a single word, in a statute, that has several dictionary definitions. In that case, the court interpreted the word *occurs* as it was used in ORS 30.905(2) to determine whether the limitation period began to run when an injury actually happened or when it was discovered. *Gladhart*, 332 Or at 231–232. That provision provided that a "product liability civil action shall be commenced not later than two years after the date on which the death, injury or damage complained of *occurs*." *Gladhart*, 332 Or at 231 (quoting ORS 30.905(2) (emphasis added)).

The plaintiffs relied on the first and third definitions of *occurs* in *Webster's Third New International Dictionary* (unabridged ed 1965) ("'to appear'" and "'to come to mind'") to support the contention that *occurs* incorporated a discovery rule that started the clock when the injured party found out about the injury or when it came to his or her mind. *Gladhart*, 332 Or at 231. The defendant relied on the second definition ("'to present itself/come to pass/take place/happen'") to support the opposite contention that the limitation period began to run when the injury actually happened, regardless of discovery. *Gladhart*, 332 Or at 231–232 (quoting *Webster's Third New International Dictionary*, *supra*).

The court concluded that the definitions did "not stand on equal footing," because, even "without reference to other contextual clues" beyond the statutory provision, the term *occurs* as used in the statute, like the definition asserted by the defendant, referred to *events*—the "death, injury or damage complained of." *Gladhart*, 332 Or at 232. Thus, when considered without reference to other

contextual clues, the court concluded that the term *occurs* described the "happening of an event, not its eventual discovery." *Gladhart*, 332 Or at 232.

Even though the court reached that conclusion by considering the text, it then proceeded to look beyond the statutory provision for other contextual clues to support its construction. The court cited prior versions of ORS 30.905(2) as well as other contemporaneous statutes that included express discovery rules. *Gladhart*, 332 Or at 232–234. The court concluded, "based on the text and context, that . . . ORS 30.905(2) d[id] not contain a so-called 'discovery rule.'" *Gladhart*, 332 Or at 234. The court supported its conclusion, which was consistent with the second definition, based on the text and the context: the legislature used the word *occurs* in the sense of an event that happens and the legislature failed to expressly include a discovery rule, which it knows how to do "when it desires to do so." *Gladhart*, 332 Or at 234.

> NOTE: Although the parties may argue for the court to adopt specific definitions, the court is not limited by the parties' arguments in deciding what statutes mean. *See, e.g., Bridgeview Vineyards, Inc. v. State Land Bd. of Or.*, 211 Or App 251, 278 n 18, 154 P3d 734, *rev. denied*, 343 Or 690 (2007) ("[The court] must, when presented with a problem of statutory construction, correctly interpret the statute, regardless of the parties' proposed interpretations.").

3. (§2.24) Statutory Definitions

To best discern legislative intent, the court looks first for statutory definitions of words or phrases in dispute. *See State v. Couch*, 341 Or 610, 617, 147 P3d 322 (2006). Statutory definitions that apply to the specific provision at issue are binding. *Couch*, 341 Or at 619 ("We are obliged to apply the legislature's definition."). In applying the statutory definition, the court must consider the entire definition. *State v. Ausmus*, 336 Or 493, 500, 85 P3d 864 (2004) (rejecting argument that ignored part of statutory definition at issue). However, even when a statutory definition exists, courts may rely on common-use dictionaries to define words used within the statutory definitions. *Couch*, 341 Or at 618 (defining *wild* within definition of *wildlife*).

When the relevant statute does not define a term, but the agency charged with administering the statute has defined it, the court will consider the agency definition. *See* chapter 6 (Agency Rules). Similarly, the court will consider

definitions of the same term in another statute. *State v. Holloway*, 138 Or App 260, 267, 908 P2d 324 (1995) (reference to *public lands* in ORS 475.996(1)(b)(I) did not necessarily have same meaning as *public lands* in other statutes). These definitions, however, are merely persuasive, not binding. *See, e.g.*, *Holloway*, 138 Or App at 267.

The *Couch* case illustrates how the court uses both statutory definitions and dictionaries to define terms within a statute. In that case, the parties suggested different definitions for the term *wildlife* as used in the Oregon wildlife laws, ORS chapters 496–498 and 501, to determine whether captive deer were *wildlife* within the meaning of those laws. *Couch*, 341 Or at 612. The defendant relied on historical references and case law to argue that *wildlife* included all uncaptured animals and, thus, captive deer were not wildlife within the meaning of the statutes. *Couch*, 341 Or at 616. The state relied on *Webster's Third New International Dictionary*, which defines *wildlife* as "'living things that are neither human nor domesticated,'" to argue that captive deer were within the purview of the statutes. *Couch*, 341 Or at 616 (quoting *Webster's Third New International Dictionary* (unabridged ed 2002)).

The court rejected both of the proffered definitions because the legislature had expressly defined *wildlife* for purposes of the wildlife laws in ORS 496.004(19), *Couch*, 341 Or at 617, 619 ("wildlife means whatever the legislature says that it means"). The statute defined *wildlife* as "fish, shellfish, wild birds, amphibians and reptiles, feral swine . . . and other wild animals." ORS 496.004(19).

The court gave the statutory definition priority, but noted that the statute did not define the word *wild* within that definition. Recognizing that *wild* was a "common word," the court looked to *Webster's Third New International Dictionary* for its plain, natural, and ordinary meaning. *Couch*, 341 Or at 618. Based, in part, on the primary dictionary definition of *wild*: "'[L]iving in a state of nature: inhabiting natural haunts (as the forest or open field): not tamed or domesticated[,]'" the court concluded that "only birds and mammals living untamed or in a state of nature are considered 'wildlife' under ORS 496.004(19)," and held that the captive deer at issue were not wildlife as used in the statutes. *Couch*, 341 Or at 618–619 (quoting *Webster's Third New International Dictionary* at 2614 (unabridged ed 2002)).

Statutory definitions generally fall into three categories. They may define (1) what a word "means," (2) what it "includes," or (3) both. If a statute or regulation defines what a term "means," the court considers that to be the general definition of the term for purposes of that statute or regulation. *Pilgrim v. Clatskanie People's Util. Dist.*, 149 Or App 234, 238–239, 942 P2d 821 (1997) (interpreting OAR 839-006-0105(4)(a)). If a statutory or regulatory definition states what a term "includes," those items must be included, although the list is not exclusive. *Haynes v. Tri-County Metro. Transp. Dist. of Or.*, 337 Or 659, 664–665, 103 P3d 101 (2004) ("Because the legislature uses the term 'include,' the definition is nonexclusive, *i.e.*, the definition of insurer encompasses insurance companies, but it is not limited to insurance companies.").

If a statute or regulation defines what a word means and what it includes, the court includes enumerated items even if they do not fit within the general meaning. *Pilgrim,* 149 Or App at 238–239. For example, in *Pilgrim,* the general definition of *worker* in OAR 839-006-0105(4)(a) provided that a *worker* was a person who works "'subject to the direction and control of any employer.'" *Pilgrim,* 149 Or App at 239 (quoting OAR 839-006-0105(4)(a)). However, the definition also stated that the term *worker* specifically included "elected officials" who were not subject to the control of an employer. *Pilgrim,* 149 Or App at 239.

The court noted that "it is fairly common for the law to specify what a word definitely includes and then provide a more general definition of what the word means apart from those things specifically enumerated." *Pilgrim,* 149 Or App at 238–239. Reasoning that to read the definition any other way would require the court to "read language into" the definition, or render portions of it superfluous, the court then proceeded to hold that the term *worker* included elected officials even though they did not meet the requirement in the general definition of being controlled by an employer. *Pilgrim,* 149 Or App at 239.

4. (§2.25) Plain Meaning: Common Usage Dictionary Definitions

Reasons why courts use common-use dictionaries to find the plain meaning of a statute, and which dictionaries courts use, are discussed in §§2.26–2.28. These sections also discuss cases that illustrate how courts discern legislative intent using the plain meaning of terms.

a. (§2.26) Purpose in Using Common Usage Dictionaries

Courts assume that the legislature intends to give words of common usage their plain meaning and refer to the dictionary for the plain-meaning definition. *State v. Ausmus*, 336 Or 493, 504, 85 P3d 864 (2004) (legislature intended that dictionary definition serve as meaning of statutory term because dictionary provides natural and ordinary meaning); *but see Davidson v. Oregon Government Ethics Com.*, 300 Or 415, 420, 712 P2d 87 (1985) (stating that construing statutes "is not done by consulting dictionary definitions of words, unless there is reason to believe that the legislature consulted the same dictionary").

The assumption that a dictionary definition contains the plain meaning is most likely to be accurate when using a usage dictionary—that is, a dictionary that describes how words are actually used rather than a dictionary that prescribes the "proper" use of words. For example, *Webster's Third New International Dictionary* (hereinafter "*Webster's Third*") is a descriptive dictionary that attempts to define words as used by people in common usage. *Webster's Third* 4a–5a (unabridged ed 2002). As a result, *Webster's Third* is likely to contain definitions familiar to legislators who have served from the time of its original publication in 1961 to the present. Those definitions would therefore likely represent legislative intent during that time period. *See* Jack L. Landau, *The Eighth Justice? Webster, His Dictionary, and Its Influence on Oregon Law*, 2 Or Appellate Almanac 65 (Oregon State Bar, Appellate Practice Section, 2007) (available at http://osbappellate.homestead.com/07_AppellateAlmanac_Web.pdf).

> CAVEAT: Dictionary definitions aid the court in the construction of a statute, but they are not dispositive. *State v. Holloway*, 138 Or App 260, 265, 908 P2d 324 (1995) (dictionary definitions were only a starting point to determine legislative intent in the absence of evidence that the legislature consulted a particular definition in a particular dictionary at the time of enactment). In addition, there has been critical discussion regarding the large role of dictionaries in statutory construction in Oregon. *See* Jack L. Landau, *Some Observations About Statutory Construction in Oregon*, 32 Willamette L Rev 1 (1996); *see also* Jack L. Landau, *The Eighth Justice?*, *supra*. Therefore, when asserting that particular dictionary definitions apply, the lawyer should explain how the context supports that asserted definition.

b. (§2.27) Dictionaries Used by Oregon Supreme Court

When the court seeks to construe a statute, it seeks to discern the intent of the enacting legislature. *State v. Perry*, 336 Or 49, 52, 77 P3d 313 (2003). Thus the court relies, to the extent possible, on dictionaries contemporaneous with the enactment of the disputed words. Although the supreme court has stated that "no single dictionary is authoritative," *Davidson v. Oregon Government Ethics Com.*, 300 Or 415, 420, 712 P2d 87 (1985), Oregon courts have predominantly used *Webster's Third New International Dictionary* (unabridged ed 1961 or later) (hereinafter "*Webster's Third*") to discern the plain meaning for statutes enacted from around 1961 to the present. *See Dearborn v. Real Estate Agency*, 334 Or 493, 502 n 6, 53 P3d 436 (2002), *overruled in part*, 337 Or 309 (2004) (interpreting ORS 696.301(26) (1995)); *Potter v. Schlesser Co.*, 335 Or 209, 213, 63 P3d 1172 (2003) (interpreting ORS 87.445); *Robinson v. Lamb's Wilsonville Thriftway,* 332 Or 453, 458, 31 P3d 421 (2001) (interpreting ORCP 47); *State v. Ausmus*, 336 Or 493, 504, 85 P3d 864 (2004) (interpreting ORS 166.025(1)(e)); *State ex rel. Dep't of Human Servs. v. Rardin (In re Rardin)*, 338 Or 399, 407, 110 P3d 580 (2005) (interpreting ORS 419A.200(5)(a)(A)); *L.H. Morris Elec., Inc. v. Hyundai Semiconductor Am., Inc. (In re Consol. Hyundai Plant Litig.)*, 203 Or App 54, 68, 125 P3d 1 (2005) (interpreting ORS 87.070); *Li v. State*, 338 Or 376, 386, 110 P3d 91 (2005) (interpreting ORS chapter 106).

Although dictionaries usually are a starting point for the analysis, they are not dispositive. *State v. Holloway*, 138 Or App 260, 265, 908 P2d 324 (1995). However, the court has on at least one occasion used dictionary definitions from *Webster's Third* as the sole interpretive tool to construe a statute. *Marcilionis v. Farmers Ins. Co.*, 318 Or 640, 645–646, 871 P2d 470 (1994) (relying exclusively on definitions from *Webster's Third*).

c. (§2.28) How Courts Use Dictionaries to Define Common Terms

When the construction of a statute requires the interpretation of specific words or phrases, courts first identify those words that require defining, define those words, and then, using the appropriate definitions, explain what the statute means. *See, e.g., Walter v. Scherzinger*, 339 Or 408, 416, 121 P3d 644 (2005). In identifying words that require definition, the court analyzes the entire provision and may conclude that construction of the statute depends on the meaning of one

or a few specific words. *See Walter*, 339 Or at 416 (determining that effect of statutory provision depended on meaning of words *appointment* and *position* and then considering relevant dictionary definitions of those words found in *Webster's Third New International Dictionary* (unabridged ed 2002)). Once courts identify and define the relevant terms, they explain how those definitions support the overall construction. The court may do so by substituting the applicable definitions, in whole or in part, for the terms in the statute. *See, e.g.*, *Walter*, 339 Or at 416. In other instances, courts merely explain how the definition or definitions fit within the context of the statutory provision as a whole.

> CAVEAT: Sometimes the court's inquiry focuses not on the meaning of individual words but the meaning of the statute based on its structure. *See Mabon v. Wilson*, 340 Or 385, 389, 133 P3d 899 (2006). For example, in *Mabon*, the court addressed two clauses in ORS 30.510 to determine whether a private party, without the participation of the district attorney, may bring an action challenging the right of a judge to hold office. *Mabon*, 340 Or at 389. The court discussed the effect of the two phrases in general without expressly defining any of the words, but instead focusing on the contrast between the two phrases overall, and their context. *Mabon*, 340 Or at 389. *See also Vsetecka v. Safeway Stores, Inc. (In re Vsetecka)*, 337 Or 502, 510–511, 98 P3d 1116 (2004) (explaining that phrase "where and when and how" did not require literal interpretation when read in context of entire statutory provision).

5. (§2.29) Technical Definitions

If the text at issue has a special technical meaning that is different from its common meaning, courts assume that the legislature intended such words to have their technical meaning rather than their plain meaning. *In re Nuss*, 335 Or 368, 372, 67 P3d 386 (2003). Just as courts proceed with the analysis of words of common usage, courts then consider all or part of the technical definition in place of the word at issue to discern legislative intent. *See Nuss*, 335 Or at 373.

For technical definitions, courts look to authoritative resources from the relevant professional discipline, such as the law or sciences, to discern technical meaning and give that meaning priority over the plain meaning. *See, e.g.*, *Tharp v. Psychiatric Sec. Review Bd.*, 338 Or 413, 423, 110 P3d 103 (2005) (term *personality disorder* was technical psychiatric term defined by *Diagnostic and*

Statistical Manual of Mental Disorders (1980)); *Icenhower v. SAIF Corp. (In re Icenhower)*, 180 Or App 297, 302, 43 P3d 431 (2002) (*proceeding* was legal term of art defined in *Black's Law Dictionary* (7th ed 1999)); *Nibler v. Or. DOT*, 338 Or 19, 22, 105 P3d 360 (2005) (*suit* had meaning in legal parlance defined by case law).

To define legal terms of art, courts generally consider the common law and legal dictionaries. The consideration of prior case law is based on the assumption that the legislature intends to give legal terms of art their legal meaning as developed in the common law. *Joshi v. Providence Health Sys. of Or. Corp.*, 342 Or 152, 158–163, 149 P3d 1164 (2006) (considering case law, W. Page Keeton, Prosser and Keeton on the Law of Torts (5th ed 1984), and Restatement (Second) of Torts (1965), because legislature intended word *caused* to incorporate legal meaning developed through cases); *Stull v. Hoke*, 326 Or 72, 78, 948 P2d 722 (1997) (legal meaning was developed through consistent interpretation by court).

In addition, courts construe statutes, to the extent possible, to be consistent with the common law. Thus, to the extent that the common law defines certain terms, courts look to the common-law definition, absent clear legislative intent to the contrary. *State v. Ford*, 310 Or 623, 637 n 21, 801 P2d 754 (1990). Conversely, when the express language of a statute is at odds with the common-law rule or definition, the text of the statute controls. *King City Rehab, LLC v. Clackamas County*, 214 Or App 333, 338–339, 164 P3d 1190 (2007) (citing *State v. Couch*, 341 Or 610, 618, 147 P3d 322 (2006)).

Courts may consult *Black's Law Dictionary*. *See Friends of Parrett Mt. v. Northwest Natural Gas Co. (In re Site Certificate for S. Mist Pipeline Extension)*, 336 Or 93, 107, 79 P3d 869 (2003) (court asserted legal meaning of *reasonable* was well understood and used *Black's Law Dictionary* to define that meaning). Alternatively, the court may first look to a prior case that discusses the term at issue and then look to *Black's Law Dictionary* as further persuasive evidence of meaning. *See Allen v. County of Jackson County*, 340 Or 146, 154–155, 129 P3d 694 (2006). Finally, the court may look to a common-use dictionary, such as *Webster's Third New International Dictionary* (hereinafter "*Webster's Third*"), as well as the common-law meaning to aid the court in discerning the legislature's intended meaning. *See Fresk v. Kraemer*, 337 Or 513, 521, 99 P3d 282 (2004) (discerning legislature's intended meaning of term *tender*, which had a well-defined common-law meaning).

For nonlegal technical terms, courts consider authoritative resources accepted in the relevant profession. *See Tharp*, 338 Or at 423 (relying on professional manual). However, courts emphasize that sources for definitions are only persuasive—that is, not binding—unless it is known that the legislature intended the manual or other resource to control the meaning of the statutory term. *Tharp*, 338 Or at 424; *see also Karjalainen v. Curtis Johnston & Pennywise, Inc. (In re Karjalainen)*, 208 Or App 674, 683, 146 P3d 336 (2006) (consulting three medical dictionaries in addition to *Webster's Third* to define term *arthritis* as used in ORS 656.005(24)(a)).

In addition, courts only identify terms of art as those with "well-established" meanings. *See McIntire v. Forbes*, 322 Or 426, 431, 909 P2d 846 (1996) (stating that "[a]nalysis of text also includes reference to well-established legal meanings for terms that the legislature has used"). And, absent evidence that the terms are well-established as terms of art, the court will limit its analysis to the plain meaning. *See Beaver Creek Coop. Tel. Co. v. PUC*, 182 Or App 559, 571–572, 50 P3d 1231 (2002) (concluding that term *for hire* was not "well-established" as term of art in utility field, and thus, court looked to plain meaning).

6. (§2.30) Contemporaneous Definitions

Whether considering the common or technical meaning of terms, the court considers the definitions of those terms that are contemporaneous with the enactment of the statute. *LaDu v. Oregon Clinic, P.C.*, 165 Or App 687, 690–691, 998 P2d 733 (2000) (relying on dictionary contemporaneous with enactment of statute). Looking to the definition understood at the time of enactment is consistent with the court's task to discern the enacting legislature's intent. *State v. Perry*, 336 Or 49, 52–53, 77 P3d 313 (2003).

In *Perry*, the court considered definitions in multiple contemporaneous legal dictionaries as an aid to discerning the meaning of a technical term. There, the court interpreted the phrase *place of business* as used in ORS 166.250(2)(b), which was originally enacted in 1925. *Perry*, 336 Or at 52–55. The defendant argued that an employee of a business was at his place of business within the meaning of ORS 166.250(2)(b) when he was at his place of employment. *Perry*, 336 Or at 52. The court distinguished between the meaning of *place of business* as it was intended in the statute, and "place of employment" as posited by counsel. *Perry*, 336 Or at 53–54.

First, the court emphasized the original enactment date of the statute. *Perry*, 336 Or at 52. Second, to make a persuasive argument based on dictionary definitions, the court used four different contemporaneous legal dictionaries to reason that in 1925 the legislature probably understood *place of business* to refer to the place a person conducted their own independent business, as opposed to where an employee supported someone else's business. *Perry*, 336 Or at 53–54.

PRACTICE TIP: The lawyer should use the following process for defining terms used in statutory text:

(1) Identify the terms that require definition to determine the meaning of the statute.

(2) Identify the date of enactment.

(3) Select relevant contemporaneous statutory, common, and technical definitions using the context of the statute.

(4) Explain the significance of the relevant definitions when considered in place of the terms used in the statute.

(5) Explain how the definitions are plausible within the context of the statute.

(6) Apply the plausible definitions to the facts at issue.

B. (§2.31) Prior Interpretations by Oregon Courts

As discussed in prior sections, Oregon courts consider prior interpretations evidence of the legislature's intent. *See* §2.6 (text includes prior interpretations by Oregon courts); §2.18 (context for statutes adopted from other jurisdictions includes prior interpretations by the highest court of that jurisdiction that predate Oregon's adoption of the statute); *and* §2.19 (context for statutes adopted from uniform and model acts includes interpretations by other jurisdictions).

C. (§2.32) Court May Not Omit or Insert Words

When interpreting statutes, courts can neither insert what the legislature omitted, nor omit what the legislature inserted. ORS 174.010 ("In the construction of a statute, the office of the judge is simply to ascertain and declare what is, in terms or in substance, contained therein, not to insert what has been omitted, or to omit what has been inserted."). This rule of construction prohibits the courts from inserting a word or phrase, *Bergmann v. Hutton*, 337 Or 596, 607, 101 P3d 353

(2004) (declining to insert "limit of liability" into insurance statute), a concept of law, *Liberty Northwest Ins. Corp. v. Spivey (In re Spivey)*, 197 Or App 67, 71, 104 P3d 640 (2005) (declining to add requirement of jurisdictional time limit), or even punctuation, *State v. Webb*, 324 Or 380, 388, 927 P2d 79 (1996) (declining to change punctuation to effect different reading of statute).

The statutory maxim found in ORS 174.010 "not to insert what has been omitted, or omit what has been inserted," serves two important purposes. First, by not altering the language enacted by the legislature, courts recognize the legislature's role in policy-making and preserve the separation of powers between the legislative and judicial branches. *State v. Linder (In re Linder)*, 177 Or App 715, 717, 33 P3d 1023 (2001) ("[A]dding what the legislature omitted requires courts to engage in policy making that is more appropriately left to the legislature."). Second, by applying the exact language enacted, courts rely on the "best evidence" to determine the legislature's intent. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993) (hereinafter *PGE*).

In Oregon, the legislature has "plenary lawmaking authority" while the judiciary has power limited to interpretation of statutes enacted by the legislature. *Hale v. Port of Portland*, 308 Or 508, 512, 783 P2d 506 (1989), *overruled on other grounds*, 332 Or 83 (2001). Courts "'are forbidden, both by statutory command and by constitutional principles, to insert language that the legislature, whether by design or by default, has omitted.'" *Tee v. Albertson's, Inc. (In re Tee)*, 148 Or App 384, 389, 939 P2d 668 (1997) (quoting *Deluxe Cabinet Works v. Messmer (In re Messmer)*, 140 Or App 548, 553, 915 P2d 1053 (1996)).

When the supreme court decided *PGE* (and modified *PGE* by *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009)), outlining the methodology for interpreting statutes, the court "demarcated a clear boundary line between the powers of the legislature and those of the court and, in doing so, circumscribed the court's authority to construe a statute." *Young v. State*, 161 Or App 32, 38, 983 P2d 1044 (1999) (so stating with respect to *PGE* methodology). Even when an unambiguous statute creates an absurd result in a given case, courts will not insert language to "save" the statute because, "the legislative power includes the authority to write a seemingly absurd law, so long as the intent to do that is stated clearly." *Young*, 161 Or App at 38; *see also State v. Vasquez-Rubio*, 323 Or 275, 282–283, 917 P2d 494 (1996). Courts have frequently noted that providing missing

terms or in any way altering the explicit language of a statute would be stepping into the shoes of the legislature, a step that judges seek to avoid. *See generally Clackamas County v. Gay*, 146 Or App 706, 711–718, 934 P2d 551 (1997) (Landau, J., concurring).

Courts rely on ORS 174.010 often, including the following common applications:

- When the legislature has specifically addressed a situation in one context but not in another, courts presume that the legislature intended a difference, and spoke only as it intended to. *See, e.g., Linder*, 177 Or App at 716–717 (invoking ORS 174.010 when court concluded legislature omitted ineffective assistance of counsel claims for civil commitments even though legislature provided for ineffective assistance of counsel claims in criminal matters).
- When a party urges a particular construction that would necessarily result in the court adding a word or phrase, or, conversely, omitting a word or phrase. *See, e.g., State v. Pine*, 336 Or 194, 201, 82 P3d 130 (2003) ("Reading the statute to the contrary would require omission of words that the legislature chose to insert.").
- When a particular construction would in effect require the court to insert an exception into a statute. *See, e.g., State v. Fries*, 344 Or 541, 551, 185 P3d 453 (2008).

An apparent corollary to the statutory enjoinder "not to insert what has been omitted" (ORS 174.010) is the notion that if the legislature had intended something different—or more specific, or more general—the legislature would have said as much. Although these two ideas are related, courts will often argue, without expressly citing ORS 174.010, that if the legislature had intended something, it would have said so explicitly. *See, e.g., Fort Vannoy Irrigation Dist. v. Water Res. Comm'n,* 214 Or App 88, 93–94, 162 P3d 1066 (2007), *aff'd and remanded,* 345 Or 56 (2008). Although not a true rule of construction, use of this corollary to ORS 174.010 allows the court to illustrate how the legislature might have written the statute if it had intended a different meaning.

D. (§2.33) Consistency: Construe Same Terms Consistently

Courts generally assume that the legislature intends the same words or phrases to carry the same meaning throughout a statute in the absence of evidence to the contrary. *Penland v. Redwood Sanitary Sewer Serv. Dist.*, 327 Or 1, 7, 956 P2d 964 (1998); *State v. Stallcup*, 341 Or 93, 99–100, 138 P3d 9 (2006). This assumption applies not just to the specific provision, but extends to related statutes and those in pari materia. *See Stallcup*, 341 Or at 99–103. The assumption may be overcome by evidence indicating that the legislature intended a word to carry two different meanings. *State ex rel. Frohnmayer v. Oregon State Bar*, 307 Or 304, 308 & n 2, 767 P2d 893 (1989) (explaining that "legislature might define the bar as a state agency for the purpose of one statute but not for others"); *Enertrol Power Monitoring Corp. v. State*, 314 Or 78, 84, 836 P2d 123 (1992).

The assumption that the same term carries the same meaning throughout a statute generally applies to statutory provisions enacted at the same time. *See Tharp v. Psychiatric Sec. Review Bd.*, 338 Or 413, 422, 110 P3d 103 (2005) (construing term consistently when, among other things, both statutes were enacted as part of 1971 revisions to criminal code). However, the court may apply the assumption to statutes enacted at different times, absent evidence of a contrary intent. *See, e.g., Coates v. Marion County*, 96 Or 334, 339, 189 P 903 (1920) (assuming legislature is aware of existing laws when it enacts new ones).

Because this rule is an assumption that courts make about the legislature's intent in choosing certain words or phrases, courts often cite the rule when one party advocates that terms carry the same meaning or, conversely, different meanings. Courts then look to the text, context, and, if necessary, the legislative history to determine whether the legislature intended that the terms carry the same meaning. *See, e.g., Stallcup*, 341 Or at 98–103 (relying on related statute, different terms within same statute, and administrative rule to discern whether term *appraisal*, as used in ORS 35.346(5)(b), had same meaning as used in ORS chapter 674).

> NOTE: The issue of whether terms have the same meaning may arise in several circumstances, including: (1) when the court has previously construed a term for purposes of another provision and a party seeks to rely on that prior construction; (2) when the court is construing a term that appears several times in the same statute, and the meaning asserted by one

party may result in inconsistencies within the statute; or (3) when the legislature has defined the term for purposes of one statute, and a party seeks to have that definition apply to the statute being construed.

Courts sometimes invoke the consistency rule when analyzing the structure of a provision. *See, e.g., Costco Wholesale Corp. v. City of Beaverton*, 206 Or App 380, 391–392, 136 P3d 1219 (2006), *aff'd,* 343 Or 18 (2007). In those circumstances, courts invoke the rule when determining whether the legislature intended the subsequent use of a term—usually a reference to a person or thing—to refer back to the particular person or thing initially stated in the statute. *See Costco Wholesale Corp.*, 206 Or App at 391–392 (invoking rule but relying on structure of statute to conclude that second use of term *territory* in statute necessarily referred to same area of land as first use of term when second reference stated "*such* territory").

The converse to the assumption that the same terms carry the same meaning is the assumption that the use of different terms is an indication that the legislature intended different meanings. *See, e.g., James v. Newberg*, 101 Or 616, 619, 201 P 212 (1921). Courts typically rely on this rule when a party asserts that different terms have the same meaning. *James*, 101 Or at 619–620 (rejecting assertion that *sidewalk* and *pavement* had same meaning). Courts also rely on this rule to demonstrate that the legislature used different terms and, thus, necessarily intended different meanings. *See Stallcup*, 341 Or at 103 (relying on legislature's use of different terms within statute as suggesting legislature intended those terms to carry different meanings).

E. (§2.34) Use of Term in One Section and Not in Another Indicates a Purposeful Omission

The court sometimes relies on the rule that the use of a term in one section and not in another indicates a purposeful omission. *See Jordan v. SAIF Corp. (In re Jordan)*, 343 Or 208, 217–218, 167 P3d 451 (2007). That rule is consistent with ORS 174.010, which requires the court not to insert what the legislature omitted. *See* §§2.32, 5.3 (discussing rule).

F. (§2.35) Rule Against Surplusage

Included in ORS 174.010 is the legislative directive that "where there are several provisions or particulars [in a statute] such construction is, if possible, to be adopted as will give effect to all." This statutory rule has similar, consistent

common-law counterparts, which courts most often invoke when rejecting a particular construction that would render portions of a statute meaningless or create a redundancy. *See, e.g., Pac. Coast Recovery Serv. v. Johnston*, 219 Or App 570, 576–577, 184 P3d 1127 (2008) (refusing to adopt interpretation that would render sentence within statutory provision a nullity). These counterparts include the assumption that the legislature did not intend any portion of its enactments to be meaningless surplusage (*see, e.g., State v. Mayorga*, 186 Or App 175, 180, 62 P3d 818 (2003)) and that the court ordinarily construes statutes so as to avoid potential redundancies (*see, e.g., Godfrey v. Fred Meyer Stores (In re Godfrey)*, 202 Or App 673, 682, 124 P3d 621 (2005)).

These rules in essence allow courts to assume that the legislature did not intend any portion of a statute to contain redundant or surplus language. ORS 174.010; *see also State v. Stamper*, 197 Or App 413, 423, 106 P3d 172 (2005) (noting that proffered construction would "render superfluous portions of other statutes"). However, courts may adopt a construction that renders a provision superfluous or redundant if there is strong evidence that the construction the court adopted was, in its view, the "preferable" one. *See Thomas Creek Lumber & Log Co. v. Dep't of Revenue,* 344 Or 131, 137–138, 178 P3d 217 (2008) (acknowledging that interpretation created redundancy but finding that construction "preferable" to rendering all of provision ineffective or omitting words); *S-W Floor Cover Shop v. Filings of the Nat'l Council on Compensation Ins.*, 318 Or 614, 630–631, 872 P2d 1 (1994) (choosing interpretation that renders wording redundant over one that requires court to omit or insert language in the statute); *Stamper*, 197 Or App at 427 (acknowledging that construction rendered superfluous portions of another statute, but concluding that evidence indicated legislature intended construction that court adopted).

G. (§2.36) Harmonize Statutes; Give Effect to All

ORS 174.010 states, in part, that "where there are several provisions or particulars such construction is, if possible, to be adopted as will give effect to all." Because courts presume that the legislature enacts statutes "with full knowledge of the existing condition of the law and with reference to it," they construe statutes as "part of a general and uniform system of jurisprudence." *Coates v. Marion County*, 96 Or 334, 339, 189 P 903 (1920). Thus, courts look to the provisions of the relevant statute and other related statutes and seek to harmonize the statutes so that all "provisions or particulars" have effect. *Daly v. Horsefly Irr. Dist.*, 143 Or 441,

445, 21 P2d 787 (1933); *see also State v. Buck*, 200 Or 87, 262 P2d 495 (1953), *overruled in part*, 299 Or 12 (1985) (concluding legislature intended later-enacted statute to essentially graft an exception into previously enacted statute).

Although courts seek to harmonize statutes and "give effect to all" provisions and particulars, circumstances sometimes arise when they cannot do so. One such circumstance occurs when the issue is which of two related statutes applies and the statutes conflict. In that circumstance, courts will either: (1) conclude that the later-enacted statute impliedly repealed or amended the earlier statute, *see* §2.38 (discussing implied repeal or amendment of statutes); or (2) determine which statute is more specific and apply that statute, *see* ORS 174.020(2) ("[w]hen a general and particular provision are inconsistent, the latter is paramount to the former so that a particular intent controls a general intent that is inconsistent with the particular intent"). How courts determine whether statutes conflict and how they address issues of implied repeal and determining when a provision is general or particular are discussed in §§2.37–2.38.

The other circumstance when courts cannot harmonize statutes occurs when the issue is the meaning of a statute (not a dispute over which statute applies). In that situation, courts, in seeking to construe the statute in a manner that "give[s] effect to all" provisions in the statute and related statutes, may conclude that the only plausible construction of the statute renders other provisions or other statutes superfluous or redundant. *See, e.g.*, *State v. Stamper*, 197 Or App 413, 427, 106 P3d 172 (2005) (determining that only plausible construction of statute rendered provision in related statute a nullity).

H. (§2.37) Particular Intent Controls over a General Inconsistent One

When an irreconcilable conflict exists between two statutes that arguably both apply, ORS 174.020(2) provides a means for resolving the conflict. That statute provides: "When a general and particular provision are inconsistent, the latter is paramount to the former so that a particular intent controls a general intent that is inconsistent with the particular intent." ORS 174.020(2). Although this is a rule of construction that courts rely on, they have cautioned that it is "vague . . . and subject to manipulation." *Oregonians for Sound Econ. Policy v.* State Accident Ins. Fund Corp., 187 Or App 621, 631, 69 P3d 742 (2003).

This rule only comes into play when two conflicting statutes on the same subject could apply. Therefore, before applying this rule of construction, courts

first seek to harmonize the statutes—that is, read them as consistent. *State v. Guzek*, 322 Or 245, 268, 906 P2d 272 (1995) ("when one statute deals with a subject in general terms and another deals with the same subject in a more minute and definite way, the two should be read together and harmonized, if possible, while giving effect to a consistent legislative policy"). Only if the statutes irreconcilably conflict will the court then consider which statute is "general" and which is "specific." *State ex rel. Juvenile Dep't v. M.T. (In re M.T.),* 321 Or 419, 426, 899 P2d 1192 (1995) ("When a general statute and a specific statute both purport to control an area of law, this court considers the specific statute to take precedence over an inconsistent general statute related to the same subject.").

When determining whether statutes conflict, courts first seek to read the statutes so as to "give effect to all" (ORS 174.010). *Olsen v. Deschutes County*, 204 Or App 7, 13, 127 P3d 655 (2006) (when determining whether general or specific statute applied, first step was determining whether statutes could be harmonized so as to give effect to all). Thus, as with other statutory construction issues, courts rely on the text and context as evidence from which to discern the legislature's intent. *See, e.g., Olsen*, 204 Or App at 13 (disagreeing with defendant's assertion that "later more specific statute" applied because it would render older statute meaningless and statutes could be read in harmony); *see also* §2.38 (discussing implied repeal, and the inquiry as to whether two statutes conflict irreconcilably).

When courts conclude that two statutes do, in fact, conflict, they apply the more specific statute. ORS 174.020(2). However, determining which statute is general and which is specific may also be disputed. *Kambury v. DaimlerChrysler Corp.*, 334 Or 367, 372–374, 50 P3d 1163 (2002) (resolving whether general wrongful-death statute of limitations or product liability statute of limitations applied when death allegedly caused by defective product); *see also Bobo v. Kulongoski*, 338 Or 111, 107 P3d 18 (2005). In addition, either statute might be characterized as more specific or general depending on the features the court focuses on:

> [T]he rule that, in cases of conflict, specific statutory provisions control over general ones can produce different results depending on which statute is characterized as the specific and which as the general. The problem is that, in many cases, the same statutes may be characterized as specific or general depending on which features a court chooses to emphasize.

Oregonians for Sound Econ. Policy, 187 Or App at 631.

I. (§2.38) Implied Repeal

When two conflicting statutes enacted at different times relate to the same subject matter and both arguably apply to a case, the court may conclude that the legislature intended the later-enacted statute to impliedly repeal or amend the earlier statute. *See State v. Shumway*, 291 Or 153, 160, 630 P2d 796 (1981). Although courts disfavor the rule of repeal by implication, they apply the rule when the later-enacted statute is repugnant to the earlier enacted statute, despite the absence of express language of repeal. *Shumway*, 291 Or at 160. However, because repeal and amendment by implication is not favored, "it is recognized [only] when the matter is clear." *Balzer Machinery Co. v. Klineline Sand & Gravel Co.*, 271 Or 596, 601, 533 P2d 321 (1975) (concluding that statutes were inconsistent and thus, later-enacted statute impliedly amended earlier statute). However, the earlier law will only be repealed or amended to the extent of the repugnancy. *Shumway*, 291 Or at 162.

Before determining that a statute has been impliedly repealed, courts initially seek to harmonize the statutes—that is, give meaning to all. *State v. Buck*, 200 Or 87, 145, 262 P2d 495 (1953) (concluding that later physician-licensing statute that permitted revocation of license for performing only certain abortions impliedly amended earlier criminal abortion law by creating exception). Statutes are so inconsistent as to be repugnant, and therefore subject to implied repeal, only when the new and the old enactments "'cannot stand together or be harmonized.'" *Buck*, 200 Or at 145 (quoting *Ulrich v. Lincoln Realty Co.*, 180 Or 380, 168 P2d 582 (1946)). "The harmony sought . . . is not necessarily a perfect symmetry . . . it is sufficient if [the court] arrive[s] at a construction representing a reasonable consistency between the affected parts." *Lilly v. Gladden*, 220 Or 84, 95, 348 P2d 1 (1959).

Courts may avoid repugnancy by concluding that the statutes have a different subject matter and purpose, and, therefore, can both stand together. *Buck*, 200 Or at 145. When seeking to harmonize statutes, courts focus on how the legislature intended the statutes to operate with respect to each other. *See State v. Langdon*, 330 Or 72, 80–81, 999 P2d 1127 (2000). The controlling inquiry is "whether both [statutes] can be applied or whether a choice has to be made [that

the later statute amended or repealed the earlier statute] because they are inconsistent." *Shumway*, 291 Or at 160.

Courts focus on the specific provisions that apply to the case at hand, disregarding whether other provisions not applicable to the case conflict. *See Shumway*, 291 Or at 161 (finding no implied repeal when applicable provisions in murder and aggravated murder statutes did not conflict, even though other provisions not applicable to case did conflict). In considering the specific provisions at issue, courts look at the text in context to analyze and explain how the statutes operate. *See Langdon*, 330 Or at 81 (analyzing how provisions of two sentencing statutes operated and explaining how and to what extent, given their operation, they conflicted); *Shumway*, 291 Or at 160–161 (analyzing how provisions of aggravated murder and murder statutes operated, and explaining how applicable provisions did not conflict, even though other provisions conflicted).

> NOTE: Although it applies most often to statutes enacted by the legislature, the doctrine of implied repeal also applies to statutes enacted by the initiative process. *See, e.g.*, *Shumway*, 291 Or at 160–161. Issues of implied amendment, while analyzed similarly, generally arise when the legislature enacts a specific law on the same subject matter that permits conduct that an earlier general law prohibited, and, thus, impliedly, creates an exception to the earlier law. *See Buck*, 200 Or at 97. However, courts may find implied amendment when the earlier-enacted law is specific and the later-enacted law is general. *See Home Tel. & Tel. Co. v. Moodie*, 75 Or 117, 120, 145 P 635 (1915) (noting that assumption of specific law creating exception is "stronger" when earlier law is the general law).

Implied repeal may arise when the legislature enacts a law that covers the entire subject of an earlier law, and thus, the later-enacted law conflicts with the earlier law. *State ex rel. Washington-Oregon Inv. Co. v. Dobson*, 169 Or 546, 552–553, 130 P2d 939 (1942). In addition, courts have recognized implied repeal specifically when the later-enacted law is couched in negative terms so as to take away or prohibit the previously granted authority. *Dobson*, 169 Or at 549, 552 (implied repeal occurred when later-enacted statute provided that "no appeal" could be taken to circuit court unless amount in controversy exceeded $50, thus conflicting with earlier statute that permitted appeal from small claims court "when the sum in controversy [was] not less than $10.00" (internal quotation omitted)); *see also Langdon*, 330 Or at 80–81 (finding implied amendment when later-

enacted Measure 11 *prohibited* reduction of certain sentences but earlier statute *required* reduction of sentences in some instances).

J. (§2.39) Ejusdem Generis

Ejusdem generis, Latin for "of the same kind or class," is a logical tool that courts have used to interpret the text of a statutory provision by means of its context. *See Hodges v. Real Estate Div., Dep't of Commerce,* 40 Or App 243, 247, 594 P2d 1286 (1979) (describing ejusdem generis as a "logical proposition"). *Black's Law Dictionary* defines *ejusdem generis* as "[a] canon of construction that when a general word or phrase follows a list of specifics, the general word or phrase will be interpreted to include only items of the same type as those listed." *Black's Law Dictionary* 556 (Bryan A. Garner ed., 8th ed 2004). It is a more specific form of the maxim noscitur a sociis. 2B Norman J. Singer, *Sutherland Statutory Construction* §56A:7 at 525 (7th ed 1992); *see* §2.43 (discussing noscitur a sociis).

As the court of appeals recently explained, ejusdem generis is "the rule of statutory construction which 'allows the general terms of an act [i.e., a catch-all phrase] to be modified and limited by the enumeration of specific examples preceding [or following] the general language.'" *State v. Hutchins,* 214 Or App 260, 267, 164 P3d 318 (2007), *rev. granted,* 344 Or 280 (2008) (quoting *State v. Tucker,* 28 Or App 29, 32, 558 P2d 1244 (1977)). In other words, "the general words are not to be construed in their broadest sense, but are to be limited to conduct of the same kind or class" as the specific examples. *Hodges,* 40 Or App at 247. Because the rule serves to limit the construction of the general catch-all phrase, it should only be invoked when the court is construing the catch-all phrase. The rule rests on the proposition that "if the legislature had intended the general words of the enactment to be used in their unrestricted sense, the specific, particularized words would have been unnecessary." *Hodges,* 40 Or App at 247.

As an example, if a statute included "diamonds, sapphires, emeralds, or other jewels," one might wonder whether the legislature intended the statute to apply to topaz. In applying ejusdem generis, topaz arguably would be excluded. Diamonds, sapphires, and emeralds are all considered precious gemstones, and are considerably more expensive than topaz, which is a semiprecious gemstone. By applying the principles of ejusdem generis to limit the scope of the general catch-

all phrase to gemstones of a similar kind or class as those in the list, "other jewels" probably is limited to other precious gemstones, such as rubies.

Sections 2.40–2.42 discuss the circumstances when the rule applies, when it does not apply, and how the courts determine the common trait or characteristic from the list of specific terms.

1. (§2.40) Determining When Ejusdem Generis Applies

As a textual aid, ejusdem generis provides a tool for interpreting which persons or things fall within the purview of a statute's catch-all phrase. *State v. Hutchins*, 214 Or App 260, 267, 164 P3d 318 (2007), *rev. granted*, 344 Or 280 (2008). In its classic application, ejusdem generis applies to statutes when a list of specific examples is followed by a general catch-all phrase. *Hutchins*, 214 Or App at 267. However, the court has applied ejusdem generis when the catch-all phrase precedes the list of specific items. *See, e.g., Liberty v. DOT*, 342 Or 11, 20, 148 P3d 909 (2006) (relying on ejusdem generis in interpretation of statutory definition in ORS 105.672(5), which provided "'[r]ecreational purposes' includes, but is not limited to, outdoor activities such as hunting, fishing [and other specified activities]"). Ejusdem generis therefore generally applies when the statutory provision includes both a specific list of items that have a common trait or characteristic and a general catch-all phrase and when the issue presented is the scope or meaning of the general catch-all phrase. However, as discussed in §2.41, even when those circumstances exist, the court may still refuse to apply ejusdem generis.

> CAVEAT: On several occasions, the courts have applied ejusdem generis in a manner inconsistent with classical ejusdem generis. For example, the court has applied ejusdem generis to a list of items that was neither preceded nor followed by a catch-all phrase. *See, e.g., Bjurstrom v. Or. Lottery*, 202 Or App 162, 171–172, 120 P3d 1235 (2005) (invoking ejusdem generis to construe term *mismanagement* in ORS 659A.203(1)(b)(B), which provided protection for disclosure of "'[m]ismanagement, gross waste of funds or abuse of authority or substantial and specific danger to public health and safety resulting from action of the state'"). The court has done so after noting that ejusdem generis limits general language in a list to things of the same kind as those enumerated by specific words. *See, e.g., Bjurstrom*, 202 Or App at 171–172; *State ex rel.*

Oregon Health Sciences Univ. v. Haas, 325 Or 492, 503, 942 P2d 261 (1997). The court has also applied ejusdem generis to limit the scope of one subsection by considering the limited scope of the other subsections. *See State v. Werdell*, 340 Or 590, 597, 136 P3d 17 (2006); *Dearborn v. Real Estate Agency*, 334 Or 493, 500–501, 53 P3d 436 (2002), *overruled in part*, 337 Or 309 (2004). However, neither of these applications represents the classical use of ejusdem generis, so the lawyer should use caution in relying on these cases or their application. As the court of appeals has noted, "the canon of construction known by the Latin expression 'ejusdem generis' is little understood and much overused." *State v. Walker*, 192 Or App 535, 539, 86 P3d 690 (2004). Thus, when the statutory language contains merely a list that is not preceded or followed by a general catch-all phrase, the lawyer should consider relying on other rules to support the construction asserted.

2. (§2.41) Circumstances in Which Ejusdem Generis Will Not Apply

Even when both the list and general catch-all phrase are present (*see* §2.40), the court may refuse to apply ejusdem generis. First, the court will not apply ejusdem generis when its application would lead to a construction that is at odds with the legislature's apparent intention. *Britton v. Board of Podiatry Examiners*, 53 Or App 544, 553, 632 P2d 1273 (1981) (refusing to apply rule because it would result in construction contrary to legislative intent). Second, the court will not apply ejusdem generis when its application would lead to redundancy or to a construction that results in the creation of surplusage. *Sanders v. Oregon Pacific States Ins. Co.*, 110 Or App 179, 183–184, 821 P2d 1119 (1991), *aff'd,* 314 Or 521 (1992). Finally, because ejusdem generis requires a list from which the court can identify common characteristics that might aid the court in discerning the meaning and scope of the general term, ejusdem generis does not apply if it does not appear that (1) the legislature intended the list as a class with a common characteristic, *see State v. Mayorga*, 186 Or App 175, 182 n 4, 62 P3d 818 (2003) (discussing issues surrounding search for common characteristic); or (2) if the "list of specifically enumerated items [is not] long enough to reveal the characteristics of a recognizable class to which the general term may be limited." *State v. Walker*, 192 Or App 535, 539–540, 86 P3d 690 (2004) (refusing to apply ejusdem generis because, among other things, "list" only included two "general items" stated in the disjunctive).

3. (§2.42) Identifying Common Trait or Characteristic

The greatest challenge in applying ejusdem generis is in identifying the common trait or characteristic of the specific list to discern the legislature's intended reach of the general catch-all phrase. That is so because the specific terms in the list may have "any number of competing classifications." *State v. Walker*, 192 Or App 535, 540 n 1, 86 P3d 690 (2004). Sometimes, descriptive words modifying the specific terms or modifying the general term may help clarify or limit the common trait. *See State v. Johnston*, 176 Or App 418, 423, 31 P3d 1101 (2001) (interpreting phrase *ordered by the court* in "'supervision fees, fines, restitution, or *other fees* ordered by the court'" as necessarily limited to types of other fees legislature intended (quoting ORS 137.540(1)(a)).

> PRACTICE TIP: In addition to identifying the common trait or characteristic, a lawyer asserting the application of a certain trait (or disputing the application of a different trait) should take care to explain the relevance of the trait to the particular statute. *See Lewis v. CIGNA Ins. Co. (In re Lewis)*, 192 Or App 658, 663–664, 87 P3d 698 (2004) (rejecting claimant's ejusdem generis argument as unpersuasive because he did not point out the relevant trait, or explain why "that trait or set of traits, at the specified level of generality, . . . differ . . . in a way that [was] relevant to the statute").

K. (§2.43) Noscitur A Sociis

Noscitur a sociis, Latin for "it is known by its associates," is "a canon of construction holding that the meaning of an unclear word or phrase should be determined by the words immediately surrounding it." *Black's Law Dictionary* 1087 (Bryan A. Garner ed., 8th ed 2004). Under that common-law principle, the court assumes "that words in a series share the same quality." *Johnson v. Employment Dep't,* 187 Or App 441, 450 n 4, 67 P3d 984 (2003). The court applies the rule to determine the scope of the disputed word by considering the "common characteristics" of the enumerated words in the series. *King City Rehab, LLC v. Clackamas County*, 214 Or App 333, 341, 164 P3d 1190 (2007).

Although this is the most common application of noscitur a sociis, the court has indicated that the maxim "invites the court's attention to the entire context and not to one passage only." *White v. State Industrial Acci. Com.*, 227 Or 306, 317, 362 P2d 302 (1961) (invoking, generally, noscitur a sociis and ejusdem generis to

limit general terms in statute by considering specific limits set forth in other provisions). Thus, the court has invoked noscitur a sociis to support its consideration of the statutory text as a whole, not just the specific provision. *See State ex rel. Nilsen v. Hayes*, 20 Or App 135, 142, 530 P2d 1264 (1975) (invoking noscitur a sociis to determine meaning of phrase *doing business* by looking to provision as a whole as well as other provisions of statute).

A classic example of the court's application of noscitur a sociis can be found in *King City Rehab*, 214 Or App at 340–341. In that case, the issue was whether the term *administrative costs* as used in the definition of *care* in ORS 87.501(2) included costs related to collecting bills, specifically attorney fees. That definition provided that "'costs [for the purposes of long-term care lien provision] means all the *services rendered in a long term care facility*, including but not limited to medical care, room and board, nursing care, administrative costs, supplies, equipment and ancillary services such as therapies.'" *King City Rehab*, 214 Or App at 340 (quoting ORS 87.501(2)).

The court concluded that *administrative costs* excluded costs related to collecting bills. Relying in part on the principle of noscitur a sociis that "terms in a list are interpreted in light of the common characteristics of other terms in the same list," the court reasoned that the list of terms all "refer[red] to the provision of services *to the resident in the facility*." *King City Rehab*, 214 Or App 340–341. Thus, the statute referred only to administrative costs associated with "providing services in the long-term care facility," not to costs associated with collecting payment for those services. *King City Rehab*, 214 Or App 340–341.

L. (§2.44) Expressio Unius Est Exclusio Alterius

Expressio unius est exclusio alterius, another common-law aid to the construction of statutes, "hold[s] that to express or include one thing implies the exclusion of the other, or of the alternative." *Black's Law Dictionary* 620 (Bryan A. Garner ed., 8th ed 2004). The rule may also be stated as *inclusio unius est exclusio alterius*. *Waddill v. Anchor Hocking, Inc.*, 330 Or 376, 382, 8 P3d 200 (2000); *Fisher Broadcasting v. Department of Revenue*, 321 Or 341, 353, 898 P2d 1333 (1995).

By way of example, saying that citizens are entitled to vote implies that noncitizens are not entitled to vote. *Black's Law Dictionary*, *supra*, at 620. Including one group impliedly excludes the other. However, saying that citizens

may vote does not expressly say anything about the rights of noncitizens; it simply assumes the negative of the first statement about citizens.

However, both the court of appeals and the supreme court have repeatedly warned the bench and bar that the maxim "is to be applied with caution and merely as an auxiliary rule to determine the legislative intention." *Cabell v. Cottage Grove*, 170 Or 256, 281, 130 P2d 1013 (1943).

Although *expressio unius* is consistent with ORS 174.010, and the legislature's directive to the courts "not to insert what has been omitted or omit what has been inserted," which the court regularly relies on (*see* §§2.32, 5.3), the court rarely relies on the maxim. In fact, the supreme court has only looked to the rule as an aid to construction once in the last eight years. *See Waddill*, 330 Or at 382.

Expressio unius applies only in limited circumstances. "Before the maxim *expressio unius est exclusio alterius* can be instructive as to what a statute *excludes*, one must first *identify what it includes*." *Carlson v. Benton County*, 154 Or App 62, 67, 961 P2d 248 (1998) (emphasis added). And, because *expressio unius* is a rule of inference, it gives way to stronger evidence of legislative intent. *Cabell*, 170 Or at 281. Thus, lawyers should limit use of this maxim, and consider its application cautiously:

> The maxim "expressio unius est exclusio alterius" is not of universal, but of limited, use and application. It is an aid to construction, not a rule of law. It is not conclusive, is applicable only under certain conditions, is subject to exceptions, may not be used to create an ambiguity, and requires great caution in its application . . . It may not be used to defeat or override clear and contrary evidence of legislative intent.

73 Am Jur2d *Statutes*, §130 (2007).

Judge Posner has pointed out another weakness: "The canon expressio unius est exclusio alterius is . . . based on the assumption of legislative omniscience, because it would make sense only if all omissions in legislative drafting were deliberate." Richard A. Posner, The Federal Courts: Crisis and Reform 282 (1985). Judge Posner went on to say "[a]lthough this canon seemed dead for a while, it has been resurrected by the Supreme Court . . . Its recent disparagement by a unanimous Court [in *Herman & MacLean v. Huddleston*, 459 US 375, 386 n 23, 103 S Ct 683, 690 n 23 (1983)] puts its future in some doubt but more likely

confirms that judicial use of canons of construction is opportunistic." Posner, *supra*.

M. (§2.45) Grammar

Courts use rules of grammar to discern legislative intent because they assume the legislature uses words purposefully in a manner consistent with the usual rules of grammar. *See Martin v. City of Albany (In re Martin)*, 320 Or 175, 181, 880 P2d 926 (1994). However, the court uses rules of grammar as a tool within the statutory context. *See Norris v. Board of Parole & Post-Prison Supervision*, 331 Or 194, 206–207, 13 P3d 104 (2000). Sections 2.46–2.49 do not contain a complete list of grammatical rules, but provide examples of common grammatical arguments.

1. (§2.46) Rule of Last Antecedent

Oregon courts rely on the grammatical principle known as the "doctrine of the last antecedent" to interpret certain statutes. *See State v. Webb*, 324 Or 380, 386, 927 P2d 79 (1996) (applying the rule). Although complicated to explain, the rule, as applied, is fairly simple: "'Referential and qualifying words and phrases, where no contrary intention appears, refer solely to the last antecedent. The last antecedent is "the last word, phrase, or clause that can be made an antecedent without impairing the meaning of the sentence."'" *Webb*, 324 Or at 386 (quoting 2A Norman J. Singer, *Sutherland Statutory Construction* §47.33, at 270 (5th ed 1992) (supplemented periodically)). Thus, under the rule of the last antecedent, a qualifying phrase generally applies to only the last antecedent, unless a comma separates the qualifying phrase from the last antecedent. *Webb*, 324 Or at 386 (citing Singer, *supra*).

A simple example demonstrates how this rule of construction operates. For the purposes of this example, the last antecedent is bold, and the modifier (or qualifying words and phrases) is underlined:

- I saw John and **Mary** <u>with a baby</u>.

In this example, Mary is with the baby because the modifying phrase "with a baby" is not set apart from the last antecedent, Mary, by a comma. The addition of a comma changes the answer to the question:

- I saw John and **Mary**, <u>with a baby.</u>

> In this example, John *and* Mary are with a baby. This is because both antecedents are set apart from the modifying phrase by a comma, so the modifying phrase modifies both Mary and John.

The supreme court has explained the doctrine of the last antecedent and the cohesiveness of this rule with rules of grammar:

> The doctrine of the last antecedent, including its observation about the placement of commas, is consistent with general grammatical rules, found outside the legal context, governing restrictive and nonrestrictive (also called "essential" and "nonessential") clauses. *The Chicago Manual of Style* contains a typical statement of such rules:
>
> "An adjectival clause or phrase that follows a noun and restricts or limits the reference of the noun in a way that is essential to the meaning of the sentence should not be set off by commas; but an adjectival clause or phrase that is nonrestrictive or is purely descriptive, which could be dropped without changing the reference of the noun or the meaning of the sentence, is set off by commas[.]"

Webb, 324 Or at 388 (quoting The Chicago Manual of Style §5.41, at 167–168 (14th ed 1993); in the 15th ed, *cf.* §§6.31, 6.38, and 6.43).

The court in *Webb* cited well-known treatises on grammar, outlining two important grammatical concepts applicable under the doctrine of the last antecedent:

> "An *essential* clause is necessary to the meaning of the sentence. Because it *cannot be omitted*, it should not be set off by commas . . . A *nonessential* clause provides additional descriptive or explanatory detail. Because it *can be omitted* without changing the meaning of the sentence, it should be set off by commas."

Webb, 324 Or at 387–388 (quoting William A. Sabin, The Gregg Reference Manual ¶131, at 20 (7th ed 1992)).

Although the doctrine of the last antecedent is a helpful tool in the construction of statutes, the Oregon Supreme Court has placed a limitation on its use: "the doctrine is only a textual aid, and its application yields to more persuasive contextual evidence of the legislature's intent and to common sense. *State v. Johnson*, 339 Ore. 69, 93–94, 116 P.3d 879 (2005) (declining to apply doctrine where it would render a statute's meaning implausible)." *Bridgeview Vineyards, Inc. v. State Land Bd. of Or.*, 211 Or App 251, 270, 154 P3d 734, *rev. denied*, 343 Or 690 (2007).

2. (§2.47) Indefinite and Definite Articles

The legislature's use of indefinite and definite articles, such as *a* versus *the*, may allow an inference about the scope of the provision. Articles such as *a* and *the* often precede an object in a statute. The use of the definite article *the* may be used along with an object—for example, "the judgment," "the police officer"—to point out some object mentioned in a previous sentence or provision. *See Osborn v. Psychiatric Sec. Review Bd.*, 325 Or 135, 142, 934 P2d 391 (1997) (concluding that definite article *the* indicated legislative intent to refer to previous part of statute). Conversely, the use of the indefinite article *a* may indicate no such limitation. Rather, the use of the indefinite article *a* may indicate a legislative intent to refer to an unidentified, undetermined, or unspecified object. *See, e.g., Carroll & Carroll*, 186 Or App 59, 68, 61 P3d 964 (2003). Therefore, the definite article *the* may indicate the legislature intended a narrow interpretation or application of a statute, while the indefinite article *a* may indicate the legislature intended a broader interpretation.

3. (§2.48) Form of Term: Verb or Noun

Because courts look to the words that the legislature wrote as the "best evidence of the legislature's intent," *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611, 859 P2d 1143 (1993), they consider the form of the word relevant. *See State v. Bray*, 342 Or 711, 719 n 6, 160 P3d 983 (2007) (rejecting state's definition of word *display* as noun when the statute used the word in its verb form). Thus, courts consider whether the legislature used a word as a noun or a verb, *Bray*, 342 Or at 719 n 9, or alternatively, if the legislature used a verb, the tense of the verb chosen. *1000 Friends of Oregon v. Land Conservation & Dev. Com.*, 292 Or 735, 746, 642 P2d 1158 (1982) (construing statute consistent with present tense of verb used by legislature). Courts also consider whether the legislature used a noun in the singular or plural. *Landsem Farms, LP v. Marion County*, 190 Or App 120, 127, 78 P3d 103 (2003) (noting legislature's use of singular term in land use statute and concluding that singular noun in that context did not include the plural).

Courts "do not lightly disregard" the legislature's choice of terms because they "best effectuate the legislative intention by giving effect to the plain, natural and ordinary meaning of the [terms] chosen by the legislature." *Martin v. City of Albany (In re Martin)*, 320 Or 175, 181, 880 P2d 926 (1994) (referring to

legislature's choice of verb tense). Thus, with respect to verbs, courts typically look to the verb tense used—whether past, present, or future—as indicating an intent to exclude the other tenses from the meaning of the terms. *1000 Friends of Oregon*, 292 Or at 746 (finding that use of verb *threaten* in its present tense as indicating legislative intent to exclude future tense meaning for the term). However, the court may rely on other forms of a word as support for its interpretation of that word. *See State v. Hall*, 327 Or 568, 573, 966 P2d 208 (1998) (using dictionary definition of noun *threat*, which was not present in statute, as context to support its construction of verb *threaten*, which was in statute).

4. (§2.49) Structure, Generally

Sometimes courts conclude, without referring to a general rule of grammar, that the structure of the statute requires a specific construction. For example, in *Costco Wholesale Corp. v. City of Beaverton*, 206 Or App 380, 136 P3d 1219 (2006), *aff'd,* 343 Or 18 (2007), the court concluded that, based on the structure of the statute, the legislature intended to use a term consistently throughout the statute. In that case, the court of appeals considered whether the petitioner's properties were part of the *territory* that the statute authorized the city to annex. The relevant statute, ORS 222.750, used the term "territory" twice, and provided that "[w]hen *territory* not within a city is surrounded by the corporate boundaries of the city . . . it is within the power and authority of that city to annex *such territory*." *Costco Wholesale Corp.*, 206 Or App at 383 (quoting ORS 222.750) (emphasis different from original). Although the court did not define the term *territory*, the court considered whether, given the context, the legislature used the term consistently in both places it appeared in the provision—to refer to the same area. *Costco Wholesale Corp.*, 206 Or App at 391–392.

The court looked at the structure of the statute to conclude that the *territory* referred to in both parts of the provision "necessarily" referred to the same area, "[t]hat is, the area 'surrounded by the corporate boundaries of the city' and the area to be annexed." *Costco*, 206 Or App at 392 (quoting ORS 222.750). Implicit in the court's conclusion that the *territory* necessarily included the same area was the legislature's reference in the second instance to *such territory*. The focus of the court's analysis on the structure of the provision indicates that the legislature's use of *such* referred to the "same territory described in the statute's introductory phrase." *Costco*, 206 Or App at 391.

N. (§2.50) Construe Statute Consistent with Purpose: Express Statement of Purpose or Findings

When possible, courts seek to construe statutes consistent with the expressed legislative purpose or legislative findings. *United States Nat'l Bank v. Boge,* 311 Or 550, 560–561, 814 P2d 1082 (1991). However, because "'statutory construction methodology, not policy considerations'" guide the court in discerning the legislature's intent, the court may only seek to further the underlying policy by giving effect to the statute's actual wording. *Johnson v. Swaim*, 343 Or 423, 430–431, 172 P3d 645 (2007) (quoting *Rodriguez by Rodriguez v. The Holland, Inc.*, 328 Or 440, 446, 980 P2d 672 (1999)).

Thus, when a statute or related statute contains an express statement of purpose or legislative findings, the court, at level one of the statutory analysis, may look to those provisions as part of the context of the statute to support its construction. *See, e.g., Boge,* 311 Or at 560–561 (relying on express purpose statement to support construction); *Hale v. Klemp*, 220 Or App 27, 33, 184 P3d 1185 (2008) (relying on legislative findings provision to support its construction). In addition, when the purpose of the statute is the actual issue before the court, the court may look to express statements of purpose in related statutes to discern the legislature's intended purpose. *See, e.g., State v. Kitzman*, 323 Or 589, 598, 920 P2d 134 (1996) (looking to related provision to determine whether legislature designed statute to protect citizens against unauthorized or illegal searches or seizures).

In either circumstance, when the legislature codifies its findings or purposes, courts will look to those provisions as evidence of legislative intent as part of its level-one analysis and seek to construe the statute consistent with those provisions. *Boge*, 311 Or at 564. The court does not look to the legislative history in search of the legislature's purpose except when resolving an ambiguity at level two of its statutory construction analysis, *State v. Shaw*, 338 Or 586, 605–606, 113 P3d 898 (2005) (examining legislative history to determine general purpose of statute to resolve ambiguity), or resolving an ambiguity at level three of the analysis. *Godfrey v. Fred Meyer Stores (In re Godfrey)*, 202 Or App 673, 689, 124 P3d 621 (2005) (relying on legislative history and prior cases discussing purpose of statute when it invoked general maxim of construction to "construe statute consistent with legislature's purpose").

Chapter 3: STEP-TWO ANALYSIS: LEGISLATIVE HISTORY

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I. (§3.1) INTRODUCTION

"Reading the tea leaves of legislative history always is risky business." *State v. Walker*, 192 Or App 535, 545, 86 P3d 690 (2004). Nonetheless, Oregon courts continue to turn to the available legislative history under the dictates of the statutory analysis established by the Oregon Supreme Court. The courts previously turned to legislative history to inform the inquiry into legislative intent "[i]f, but only if, the intent of the legislature is not clear from the text and context inquiry." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611–612, 859 P2d 1143 (1993) (hereinafter *PGE*). More recently, the court has modified the *PGE* analysis, permitting consideration of legislative history even when the text and context do not lead to ambiguous meaning of a statute. *State v. Gaines*, 346 Or 160, 171–172, 206 P3d 1042 (2009).

In *Gaines*, the defendant was convicted of obstructing governmental administration when she refused to cooperate in being photographed after her arrest. On appeal, she argued that her behavior did not constitute a "'means of . . . physical . . . interference or obstacle'" within the meaning of the relevant statute. *Gaines*, 346 Or at 162 (quoting ORS 162.235(1)). She argued further that the 2001 amendments to ORS 174.020 required the court to consider the legislative history of ORS 162.235(1) along with the text and context of the statute, even if the court found that its analysis of the text and context did not render the legislative intent ambiguous. *Gaines*, 346 Or at 165. Interestingly, in assessing the meaning of the 2001 amendments to ORS 174.020, the court found that a text-and-context analysis suggested that the amendments did not significantly change the *PGE* standard. *Gaines*, 346 Or at 166. However, the court did not stop its analysis at the text-and-context level. As the plaintiff argued that ORS 174.020 required, the court went on to examine the legislative history. The legislative history revealed a clear legislative intent to eliminate the requirement that a court only look to legislative history "if but only if" the text and context left the meaning ambiguous. *Gaines*, 346 Or at 169.

This chapter examines the Oregon courts' use of legislative history under the three-step *PGE/Gaines* methodology for statutory interpretation, discussing: (1) what triggers a step-two analysis (§§3.2–3.4); (2) how the courts use various sources of legislative history as an aid to resolving the statutory ambiguity at issue (§§3.5–3.15); and (3) why, in some cases after reaching step two, legislative history does not resolve the statutory ambiguity (§§3.16–3.19). This chapter also discusses the impact of the 2001 amendments to ORS 174.020, which now provides that courts consult proffered legislative history without identifying a statutory ambiguity first. *Gaines*, 346 Or at 169.

The court will now consider proffered legislative history even when the text and context of a statute appear to render it unambiguous. In effect, *Gaines* brings legislative history into the step-one analysis along with the text and context of a statute. That said, legislative history remains a second step of statutory analysis—the court will consider it only after analyzing the text and context of a statute. The weight the court gives that legislative history also remains within the discretion of the court. A party attempting to overcome seemingly plain and unambiguous text through reference to legislative history has "a difficult task before it." *Gaines*, 346 Or at 172.

Although *Gaines* modifies the *PGE* methodology, the full extent of that modification remains to be seen. However, a recent appellate court decision suggests the extent may be relatively slight. *State v. Kelly*, 229 Or App 461, 211 P3d 932 (2009). *Kelly* raised the issue of the meaning of ORS 811.335(1)(b), which requires drivers to signal a turn "during not less than the last 100 feet traveled by the vehicle before turning." The defendant, who signaled a turn after he had stopped at an intersection, argued that the legislative history showed that the intent of the statute was to require a signal for at least as long as it took to travel the last 100 feet, but not to signal for the specified distance. The court agreed that under *Gaines* it needed to consider the legislative history. The court also made several points as to what weight it would give that legislative history.

The court first made clear that legislative history alone cannot overcome statutory text that is truly capable of only one interpretation. *Kelly*, 229 Or App at 466. Beyond that caution, the court explained the traditional limits of legislative history: legislative history is most helpful when it uncovers the general legislative intent of a statute (*Kelly*, 299 Or App at 466) (*see* §3.6); statements of single legislators or nonlegislators are generally, though not always, less helpful (*Kelly*,

299 Or App at 466–467) (*see* §§3.8–3.9); and the existence of a particular problem that precipitated a bill does not necessarily mean the statute was intended to address only that problem (*Kelly*, 299 Or App at 468). What *Kelly* does not suggest is that *Gaines* changes in any significant way *how* courts use legislative history. Rather, it only changes *when* the court will consider legislative history. Thus, even under *Gaines*, legislative history will be most helpful when an analysis of the text and context does not resolve an ambiguity of the statute. Legislative history may also be useful to reinforce an apparently unambiguous interpretation of a statute.

> NOTE: Under *PGE*, the supreme court established three "levels" of statutory analysis. More recent decisions have eroded the distinction between level one (text and context) and level two (legislative history). A court will now consider proffered legislative history even if analysis of a statute's text and context does not create an ambiguity. *Gaines*, 346 Or at 172. Post-*Gaines*, the *PGE* levels may more accurately be described as sequential "steps." Consideration of general maxims, the third step, remains appropriate only when the meaning of a statute remains ambiguous after analysis of a statute's text, context, and legislative history. *See* chapter 4. For consistency, this volume will refer to the three steps of statutory analysis: text and context; legislative history, and general maxims of statutory construction.

II. (§3.2) WHEN THE COURTS REACH STEP TWO

Sections 3.3–3.4 explore the various circumstances under which courts reach a step-two analysis, and, thus, consider legislative history. Specifically, §3.3 discusses legislative history as a means of resolving a statutory ambiguity, and §3.4 discusses legislative history as a means of confirming the interpretation reached at step one.

A. (§3.3) When Step-One Analysis Does Not Resolve the Statutory Ambiguity

The court resorts to a step-two analysis if it has identified an unresolved ambiguity after a text-and-context analysis at step one. A statutory term is ambiguous if there are at least two plausible interpretations of the term. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*). *Owens v. Motor Vehicles Div.*, 319 Or 259, 268, 875 P2d 463

(1994) (when the statute is capable of multiple constructions that are not "wholly implausible" the court may examine legislative history).

Because "[w]ords are an imperfect medium at best," the step-one analysis often involves the court's attempt to clarify the meaning of a statutory word or phrase that the legislature has not clearly defined. *Clackamas County v. Gay*, 162 Or App 233, 239, 986 P2d 588 (1999). In some cases, the ensuing step-one analysis may be quite brief before the court decides to look at legislative history to "resolve remaining doubts as to the legislature's intent." *Huff v. Great W. Seed Co.*, 322 Or 457, 462, 909 P2d 858 (1996) (citing *PGE*, 317 Or at 611–612). In *Huff*, the Oregon Supreme Court sought to determine if the legislature intended to incorporate a discovery rule tolling the commencement of the statute of limitations under ORS 659.121(3), which required commencement of any lawsuit within one year of the occurrence of an unlawful employment practice. *Huff*, 322 Or at 461.

In its step-one textual analysis, the court looked to the dictionary for guidance since ORS 659.121(3) did not define the word *occurrence* in directing when the statute of limitations period began, nor was the word self-defining. *Huff*, 322 Or at 462. However, the court found conflicting dictionary definitions of *occurrence*, with one definition supporting the discovery rule interpretation while the other definition did not. *Huff*, 322 Or at 462. Having concluded the step-one analysis, the court turned to a review of the legislative history, ultimately holding that the legislature did not intend to incorporate a discovery rule into the statute of limitations. *Huff*, 322 Or at 462.

Likewise, the court may find few clues in its contextual review before moving on to step two. For example, the court sought to determine whether the Workers' Compensation Board (WCB) retained jurisdiction to assess penalties against an insurer or self-insured employers for unreasonably delaying or denying a workers' compensation claim under ORS 656.262(11)(a). *Icenhower v. SAIF Corp. (In re Icenhower)*, 180 Or App 297, 300, 43 P3d 431 (2002). The statute granted exclusive jurisdiction to a different agency, the Department of Consumer and Business Services (DCBS), "over proceedings regarding solely the assessment and payment of [penalties]." *Icenhower*, 180 Or App at 300–301. The plaintiff originally filed her claim with the WCB and subsequently settled her claim except for the issue of a penalty for delay in payment. *Icenhower*, 180 Or App 297. Thus, the question was the meaning of *proceeding* and whether the WCB retained

jurisdiction to determine the assessment of a penalty or if jurisdiction lay only with the DCBS. *Icenhower*, 180 Or App at 300–302.

In its step-one contextual analysis, the court examined related workers' compensation statutes, concluding that other references to *proceedings* failed "to clarify the legislative intent." *Icenhower*, 180 Or App at 302. Finding its contextual analysis "not especially enlightening," *Icenhower*, 180 Or App at 302, the court moved on to step two, concluding that the WCB retained jurisdiction to decide the penalty issue. *Icenhower*, 180 Or App at 305–306.

Another line of pre-*Gaines* cases, while not explicitly announcing that the step-one analysis failed to resolve the statutory ambiguity, nevertheless demonstrated that the statutes at issue were open to different readings and, therefore, the court resorted to legislative history. For example, in a case involving conflicting interpretations of a child custody statute, the supreme court only briefly discussed the text and context of the statute, before moving to a discussion of the legislative history. *O'Donnell-Lamont & Lamont*, 337 Or 86, 105–106, 91 P3d 721 (2004).

Similarly, in considering conflicting statutory interpretations related to ORS 291.349, Oregon's income tax refund statute ("kicker" refund), the supreme court only briefly discussed the text of the relevant provision before moving directly to the legislative history, without first identifying any statutory ambiguity. *Bobo v. Kulongoski*, 338 Or 111, 116, 107 P3d 18 (2005).

Cases such as these should serve as a reminder to lawyers that the courts' use of legislative history has been unpredictable. *See also State v. Johnson*, 199 Or App 305, 316–317, 111 P3d 784 (2005) (court did not invoke *PGE* before proceeding to discuss the legislative history supporting the defendant's position); *State v. Vazquez-Escobar*, 211 Or App 115, 123–124, 153 P3d 168, *rev. denied*, 343 Or 224 (2007) (without reference to *PGE*, court discussed legislative history to help discern legislative purpose of statute at issue). However, courts may now consider legislative history even when an analysis of the text and context appears to resolve any ambiguity. If proffered by a party, the court will consider the legislative history; however, if no party offers it, the court may choose to independently research the legislative history.

B. (§3.4) When the Courts Reach Step Two as a Means of Confirming a Step-One Analysis

Before *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009), was decided, courts occasionally resorted to legislative history despite not having identified an ambiguity after considering the text and context. Even though a step-one analysis was probably correct, courts examined legislative history "for the sake of argument" or in case "any doubt remained." (As discussed in §§3.16–3.19, the court also occasionally employs this reasoning to reach a step-three analysis after resorting to legislative history, even though steps one and two seemingly resolve the statutory ambiguity.) The court's resort to legislative history in these cases is a means of confirming the interpretation reached through is step-one analysis. The 2001 amendments to ORS 174.020, as interpreted in *Gaines*, now explicitly require courts to examine legislative history "to confirm" and "even to illuminate" a statute's meaning. *Gaines*, 346 Or at 172. Thus, courts are likely to continue to use legislative history when a party offers it, even if the text appears unambiguous.

For example, the court sought to construe the terms *substantial* and *prolonged* as used in ORS 107.105(1)(f), a statute providing that enhanced earning capacity must be considered marital property. *Denton & Denton*, 145 Or App 381, 392–393, 930 P2d 239 (1996), *aff'd in part, rev'd in part on other grounds,* 326 Or 236 (1998). After reaching a conclusion based on a step-one analysis of the text and context of the statute, the court still moved on to consider legislative history, using a justification that recurs in later opinions: "Assuming for the sake of argument that the language of the statute admits of more than one reasonable construction . . . the legislative history confirms the foregoing interpretation." *Denton*, 145 Or App at 393. The court went on to trace the bill's history, relying on extensive testimony from the sponsoring legislator and a number of interested witnesses, and finding several consistent themes which supported the text-and-context analysis. *Denton*, 145 Or App at 393–401.

Additionally, the *Denton* case is notable in that the court chose to examine the legislative history "in order to establish the error of the dissent's analysis." *Denton*, 145 Or App at 404. Subsequently, the courts have generally not provided any rationale beyond desiring added support for a step-one interpretation, and continue to resort to step two for confirmation. *See also Waite v. Dempsey*, 203 Or App 136, 141, 125 P3d 788 (2005) ("[a]ny doubts . . . are easily resolved by reference to the legislative history"); *Roberts v. SAIF Corp. (In re Roberts)*, 341 Or

48, 53, 136 P3d 1105 (2006) ("A review of the legislative history confirms . . . the legislature's intent."). In addition, *Gaines* noted that a party might proffer legislative history to attempt to identify a "latent ambiguity" in the statute. *Gaines*, 346 Or at 172.

> PRACTICE TIP: Even if the ambiguity may be resolved at step one, the lawyer should provide the relevant legislative history because the court may still rely on it as added support for its conclusion.

III. (§3.5) GUIDELINES TO THE COURTS' USE OF LEGISLATIVE HISTORY

In their quest to resolve statutory ambiguity, Oregon courts use legislative history in three ways: (1) as direct evidence for discerning the legislative intent of a specific statutory issue, (2) to clarify statutory text, and (3) to illuminate the underlying purpose or goal of the statute at issue. This section provides the lawyer with examples of how courts have used legislative history to resolve statutory ambiguity, with an emphasis on why the particular types of history examined were helpful in reaching the court's conclusion. In these cases, the court's use of legislative history, along with its step-one analysis, proved dispositive in resolving the statutory ambiguity at issue, making resort to step three unnecessary.

Section 3.6 provides an overview of the limited general guidelines regarding the use of legislative history established by Oregon courts. Next, §§3.7–3.15 examine the primary types of legislative history that courts have used and, most importantly, why the particular legislative history consulted aided the court in discerning the legislature's intent.

Predictably, the more legislative history available to the court, the more likely it is to find persuasive evidence supporting one of the interpretations under consideration. Ideally the court will be able to trace the legislative history "as a whole, in chronological sequence, from committee to floor, from one house to the other." *Denton & Denton*, 145 Or App 381, 404, 930 P2d 239 (1996), *aff'd in part, rev'd in part on other grounds*, 326 Or 236 (1998). However, it is unusual for an Oregon statute to provide such a complete history, so the court sometimes takes what there is—finding significance in, for example, the testimony of a single interested witness.

A. (§3.6) General Principles

As Judge Jack Landau observed in a 1996 Oregon Court of Appeals concurrence: "Neither this court nor the Supreme Court has developed any standards by which we should evaluate the probative value of one type of history or another." *Jones v. GMC,* 139 Or App 244, 270, 911 P2d 1243 (1996). That remains true. However, while a comprehensive set of guidelines explaining how legislative history should be applied to resolve statutory ambiguity does not exist in Oregon case law, the courts have from time to time provided limited explanations regarding the proper scope of legislative history and the weight to be given to particular types of legislative history.

This section examines four general principles: (1) legislative history should reflect the legislative thinking at the time when the statute was enacted, (2) the most useful legislative history reflects consistent themes relied on throughout the legislative process, (3) the most persuasive legislative history indicates that a large number of legislators were aware of it, and (4) legislative history cannot create ambiguity in an unambiguous statute.

It is important to note what the courts do not consider legislative history. Prior versions of the statute at issue, along with "the broad historical circumstances surrounding enactment" and "prior versions of other statutes and their legislative history" are part of the court's contextual analysis, not legislative history. Jack L. Landau, *Some Observations About Statutory Construction in Oregon,* 32 Willamette L Rev 1, 38–40 (1996).

Under the first principle, the legislative history should reflect the actual legislative thinking at the time the statute was enacted. For example, prior to *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.,* 317 Or 606, 859 P2d 1143 (1993), the supreme court announced that "[t]he views legislators have of existing law may shed light on a new enactment, but it is of no weight in interpreting a law enacted by their predecessors." *DeFazio v. Washington Public Power Supply System,* 296 Or 550, 561, 679 P2d 1316 (1984) (legislators' doubt concerning the authority of cities and people's utility districts to join in combined transactions before enactment of statute at issue could not "be used to show what the prior state of the law actually was").

By the same token, "[s]ubsequent statements by legislators are not probative of the intent of statutes already in effect." *United Tel. Employees Pac v. Secretary*

of State, 138 Or App 135, 139, 906 P2d 306 (1995) (citing *Fred Meyer, Inc. v. Bureau of Labor*, 39 Or App 253, 262, 592 P2d 564 (1979) (refusing to rely on subsequent testimony by legislator who chaired committee that drafted the legislation)). Elaborating on this rule years later, the court explained that "post-enactment statements of legislators are not part of the record of the Legislative Assembly that are considered the contemporaneous 'history' that is appropriate for courts to consult." *Salem-Keizer Ass'n of Classified Emples. v. Salem-Keizer Sch. Dist. 24J*, 186 Or App 19, 27, 61 P3d 970 (2003) (former legislator's testimony regarding intended meaning of statute failed to sway court).

Under the second principle, the most reliable legislative history contains themes "consistently reflected in both houses and throughout the legislative process," making it "more likely to reveal the intentions of the legislature as a whole." *Denton & Denton*, 145 Or App 381, 400, 930 P2d 239 (1996), *aff'd in part, rev'd in part on other grounds,* 326 Or 236, 951 P2d 693 (1998). *See also State v. Gaines*, 346 Or 160, 172–173 n 9, 206 P3d 1042 (2009) ("'In general, an examination of legislative history is most useful when it is able to uncover the manifest general legislative intent behind an enactment.'" (quoting *Errand v. Cascade Steel Rolling Mills*, 320 Or 509, 539 n 4, 888 P2d 544 (1995) (Graber, J., dissenting))).

Under the third principle—regardless of what type of legislative history is examined—a key consideration is whether the history indicates that a majority of the legislature, or at least the majority of the committee members working on the bill at issue, were aware of and apparently agreed with the comments made. The courts have cautioned against relying on the "views of only a small number of persons." *Errand*, 320 Or at 539 n 4; *State v. Stamper*, 197 Or App 413, 424–425, 106 P3d 172 (2005). A lawyer planning to rely on a limited number of statements should, therefore, make sure the statements are not contradicted elsewhere in the legislative history. *State v. Walker*, 192 Or App 535, 546, 86 P3d 690 (2004). Thus, it is not necessarily the quantity of legislative history that counts, but whether the court believes that the statements were representative of a significant number of the enacting legislators.

Finally, the lawyer must keep in mind that "[l]egislative history . . . cannot create an ambiguity in a statute that is not ambiguous on its face." *Doe 1 v. State*, 164 Or App 543, 559, 993 P2d 822 (1999). Stated differently, "[l]egislative history cannot *create* meaning; it can only *clarify* the meaning of words actually enacted

by the legislature." *Jones*, 139 Or App at 269 (Landau, J., concurring). Furthermore, even if the legislative history indicates otherwise, the court is not "free to ignore" the statutory language itself. *Eslamizar v. American States Ins. Co.*, 134 Or App 138, 146 n 3, 894 P2d 1195 (1995). The *Eslamizar* court held that the term *reliance* as used in a fire insurance statute must be given its ordinary meaning. *Eslamizar*, 134 Or App at 146. If the statutory language was "not what the legislature intended, then the legislature has made a mistake, and only the legislature may remedy it." *Eslamizar*, 134 Or App at 146 n 3.

B. (§3.7) What Makes Legislative History Persuasive

Although Oregon courts have never spelled out a hierarchy of legislative history types, the nature of the legislative history relied on does matter. As the court of appeals has observed, "[n]ot all legislative history is entitled to equal weight." *Topolic v. Rolie*, 131 Or App 72, 76, 883 P2d 887 (1994). Nevertheless, the courts rely on a wide variety of sources to aid in the quest to discern legislative intent, not always in a consistent manner. It is worth reiterating that, regardless of the type of legislative history relied on, the lawyer's use of that history "will be more persuasive to the extent that" it does "not merely cite snippets of history, but also" tries "to demonstrate the extent to which legislators were aware of it and—even better—relied on it." Jack L. Landau et al., *Day with the Supremes, Crossroads: The Oregon Supreme Court and Appellate Practice in the 21st Century; PGE v. BOLI* at 13: *Awkward Adolescence or on the Smooth Path to Maturity?* 2–11 (Oregon Law Institute CLE Program Materials October 2006).

Sections 3.8–3.15 examine the main sources of legislative history relied on by the courts, including: (1) statements and comments of legislators, nonlegislators, and legislative counsel; (2) bill drafts; (3) staff measure summaries and other written materials; (4) commentary to the Criminal Law Revision Commission; (5) legislative history of a federal statute on which an Oregon statute is based; and (6) commentary to uniform laws. This section then offers examples illustrating how the courts relied on each type of legislative history to draw an inference regarding legislative intent.

1. Statements Made in Committees and Floor Debates

a. (§3.8) Legislators

In Oregon, "legislative history largely consists of oral comments, speeches, and statements heard only by those who attended the hearing or debate at which

the remarks were made." Jack L. Landau et al., *Day with the Supremes, Crossroads: The Oregon Supreme Court and Appellate Practice in the 21st Century; PGE v. BOLI* at 13: *Awkward Adolescence or on the Smooth Path to Maturity?* 50 (Oregon Law Institute CLE Program Materials Oct 2006). Consequently, the most commonly consulted sources of legislative history are the statements and comments of legislators in committee hearings, work sessions, and floor debates. Furthermore, a survey of over 150 cases involving a legislative history analysis after *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611–612, 859 P2d 1143 (1993) (hereinafter *PGE*), reveals no judicial preference between relying on comments and statements made in committee settings as opposed to those made during floor debates.

Reliance on this type of legislative history engenders criticism, and the Oregon Supreme Court has noted that "isolated statements made in committee are not necessarily indicative of the intent of the entire legislature." *Davis by & Through Davis-Toepfer v. O'Brien,* 320 Or 729, 745, 891 P2d 1307 (1995). However, the fact that "legislative history frequently is sparse and equivocal" does not stop the courts from relying on such statements if they shed light on the statutory question under analysis. *Beiswenger v. Psychiatric Sec. Review Bd.*, 192 Or App 38, 51, 84 P3d 180 (2004). For example, in a case decided less than two weeks after *PGE,* the supreme court relied primarily on the statements of a single legislator to resolve an ambiguity in a workers' compensation statute. *SAIF Corp. v. Drews,* 318 Or 1, 7–9, 860 P2d 254 (1993). The case required the court to determine which of two employers was responsible for a worker's second work-related injury. ORS 656.308(1) established the "responsibility among successive employers" when a worker suffered one or more "compensable" injuries. *Drews,* 318 Or at 3–4. The statutory definition of *compensable injury* required that a compensable injury be "'the major contributing cause of the consequential condition.'" *Drews,* 318 Or at 4 (quoting ORS 656.005(7)(a)(A)).

Because the text and context of the statutory scheme did not provide an answer as to which employer was responsible for the worker's new injury, the court turned to the legislative history of the two statutes. *Drews,* 318 Or at 6. Relying on the statements of Rep. Mannix made during a public hearing of the Joint Interim Special Committee on Workers' Compensation, the court found an emphatic answer: "*[T]his will do away with the current court interpretations of what is a new injury for responsibility purposes.* Do you hear that, judges on the

Court of Appeals, members of the Board, when you read the transcript of this hearing?" *Drews,* 318 Or at 8 (emphasis in original). Mannix further explained that the new provision made clear that unless there was a new compensable injury, responsibility remained with the first employer. *Drews,* 318 Or at 8.

Although legislative history "created in anticipation of appellate court review" is rarely this dramatic, and *Drews* may be criticized for its reliance primarily on one legislator's statements, the court noted that two other legislators, one of whom was the cochair of the committee that drafted the 1990 amendments, agreed with Mannix's interpretation. Landau, at n 255*; Drews,* 318 Or at 8 n 4. In addition, the statements were made during a floor debate as well as during a public hearing before a joint special committee, indicating that the remarks reached, if not a majority of the legislators, then at least those directly involved in shaping the 1990 amendments. Relying on this legislative history, the supreme court reversed the decisions of the court of appeals and Workers' Compensation Board, finding that the claimant's second injury was not the "major contributing cause" of her preexisting condition, and thus her first employer remained responsible for compensation. *Drews,* 318 Or at 9.

At the other end of the spectrum, the court sometimes finds support for a particular statutory interpretation in a comparatively large number of legislators' views. For example, in determining that a driver arrested for driving under the influence of intoxicants could not challenge the accuracy of the Intoxilyzer breath test in a Motor Vehicles Division (MVD) license suspension hearing, the court referred to numerous work sessions and public hearings in tracing the evolution of the bill that became ORS 813.410. *Owens v. Motor Vehicles Div.,* 319 Or 259, 269–271, 875 P2d 463 (1994). In reaching its decision, the court summarized numerous discussions held in at least seven different committee work sessions and public hearings, quoted legislator testimony, and concluded that the views of the legislators demonstrated a consistent understanding "throughout [the] legislative history" that "[w]hether a test 'disclosed' a particular level of blood alcohol was a matter of reading the result," as long as the "machine had been properly tested and administered." *Owens,* 319 Or at 270. For example, the court found that "committee members from both the House and the Senate routinely referred to 'blowing over .10 [percent],' 'flunking the test,' and 'testing' or 'registering' .10 percent blood alcohol content." *Owens,* 319 Or at 270–271.

b. (§3.9) Nonlegislator Witnesses

The use of testimony by nonlegislator witnesses is probably the most debated type of legislative history on which the courts rely. Criticism of reliance on nonlegislator testimony surfaces in a number of opinions. *See, e.g., State v. Guzek*, 322 Or 245, 261, 906 P2d 272 (1995), *modified*, 342 Or 345, 153 P3d 101 (2007) ("It is curious that the dissent relies so heavily on the testimony of one witness."); *State v. Stamper*, 197 Or App 413, 424–425, 106 P3d 172 (2005) ("we are hesitant to ascribe to the Legislative Assembly as a whole the single remark of a single nonlegislator at a committee hearing").

Yet, while the court acknowledges that statements of nonlegislators must be viewed with caution, examples abound of reliance on such comments. Generally, the court relies on such testimony because the court respects the knowledge of the witness, who may, for example, be a representative of the bill's sponsoring organization. The courts have also relied on the testimony of a variety of public officials. *See, e.g., Guzek*, 322 Or at 262–263 (testimony of the attorney general and solicitor general); *Huff v. Great W. Seed Co.*, 322 Or 457, 462–463, 909 P2d 858 (1996) (testimony of the assistant attorney general); *Legalclub.com, Inc. v. Dep't. of Consumer & Bus. Servs.,* 182 Or App 494, 501–503, 50 P3d 1196 (2002) (testimony of the director of the Department of Insurance and Finance). These are credible and knowledgeable witnesses whose testimony the court often finds enlightening because the legislators themselves take these officials' views seriously.

Guzek has been cited in a number of cases for the majority's warning against relying on the "inconclusive testimony" of a nonlegislator witness, because the witness's statements said "little about the intent of the Oregon Legislative Assembly as a whole." *Guzek*, 322 Or at 260. *Guzek* involved ORS 163.150(1)(b), the death penalty statute, which originally required the jury to answer three questions during the penalty phase of a capital trial concerning the existence of aggravating circumstances enumerated in the statute. *Guzek*, 322 Or at 257. In 1989, the legislature added a fourth question whose "purpose . . . was to permit consideration of mitigating evidence that weighs against the sentence of death." *Guzek*, 322 Or at 256. Specifically at issue in *Guzek* was whether the fourth question also allowed the jury to consider any additional "non-statutory aggravating factor[s] beyond the three . . . specifically enumerated in the statute." *Guzek*, 322 Or at 263.

Although the majority found that the text and context "clearly indicate that the fourth question under that statute only permits the jury to consider mitigating evidence," it reviewed the legislative history in response to the dissent's claim that the legislative history supported the opposite conclusion, "that the fourth question permits the consideration of aggravating evidence." *Guzek,* 322 Or at 260. The majority noted that the dissent relied heavily on the statements of Dale Penn, a representative of the Oregon District Attorney's Association, and that Penn's testimony did not support the dissent's position. *Guzek,* 322 Or at 260. The majority pointed out that Penn "did not say that the fourth question permits the state to introduce evidence of aggravating circumstances," but rather, "he stated that the fourth question would permit both the state and the defense to make arguments 'for or against death.'" *Guzek,* 322 Or at 262. Additionally, the majority pointed to the statements of "two important witnesses": the attorney general and the solicitor general who both testified that the legislature supported permitting consideration of mitigating circumstances. *Guzek,* 322 Or at 262–263.

Despite the courts' admonition against reliance on testimony by nonlegislators, the courts have relied on testimony of a nonlegislator witness who is connected to the bill's sponsor, such as the attorney general and the solicitor general in the *Guzek* case. In fact, in a case decided one week after *Guzek,* the court placed definitive weight on the testimony of a nonlegislator witness representing the bill's sponsor, illustrating that testimony revealing the intent of the legislation will be afforded great weight as long as it is not contradicted by the legislators. *Zidell Marine Corp. v. West Painting,* 322 Or 347, 350, 906 P2d 809 (1995).

Zidell Marine involved the writ of garnishment statutes and, in particular, whether the words *earnings* and *wages* used in ORS 29.401– 29.415 included all forms of earnings, such as contract payments, or only an employee's wages for personal services. *Zidell Marine Corp.,* 322 Or at 353. The statutes did not define either word, so the court turned to the legislative history. *Zidell Marine Corp.,* 322 Or at 355– 357.

The Oregon Collectors Association proposed the original bill, and the court relied exclusively on the testimony of two nonlegislators: a representative from the association, and a lawyer for the association. *Zidell Marine Corp.,* 322 Or at 357–358. The court quoted extensively from the representative's testimony, in which he stated before both the House and Senate Judiciary Committees that the continuing

garnishment bill applied "*on wages only*," meaning "non-exempt *wages*," and only applied to "*wage* garnishments." *Zidell Marine Corp.*, 322 Or at 357– 358 (emphasis in original). Significantly, the court noted that no members of the house or senate "questioned, challenged, or disagreed with" the representative's testimony. *Zidell Marine Corp.*, 322 Or at 358–359. The court concluded that "the legislature intended the writ of continuing garnishment . . . be available only with respect to an employee's wages for personal services," which did not include contract payments. *Zidell Marine Corp.*, 322 Or at 359.

The reliance on nonlegislator witnesses established in *Zidell Marine* continues to guide Oregon courts. The court of appeals held that, because a nonlegislator witness "represented the organization that drafted the bill and because his explanation of the bill's purpose and effect was uncontradicted, it is reasonable to assume that the legislators who heard and read his testimony relied on it and adopted his understanding of the bill." *Fast v. Moore (In re Moore-Tillay)*, 205 Or App 630, 638, 135 P3d 387 (2006).

The occasional reluctance to rely on a nonlegislator's testimony surfaced again involving the interpretation of a criminal sexual abuse statute that required a lack of consent by the victim to the alleged sexual abuse. *Stamper*, 197 Or App at 423–425. The defendant argued that the statute required proof of a lack of actual consent, while the prosecution argued that a lack of capacity to consent because the victim was under 18 years of age sufficed to satisfy the statutory requirement of a lack of consent. *Stamper*, 197 Or App at 416. A county district attorney, Peter Sandrock, and the Oregon District Attorneys Association introduced the legislation. *Stamper*, 197 Or App at 423. Sandrock testified that the statutory reference to a lack of consent "'*does not include a lack of capacity to consent*' to a sexual act." *Stamper*, 197 Or App at 424 (emphasis in original). However, the court was "hesitant to ascribe to the Legislative Assembly as a whole the single remark of a single nonlegislator at a committee hearing." *Stamper*, 197 Or App at 424–425. The reason for the court's hesitation likely came not so much from the fact that this was a single nonlegislator's comments, but because the witness's own later statement appeared to contradict his testimony. Sandrock also testified without further elaboration that the "subject of incapacity to consent was 'defined elsewhere in the rape code.'" *Stamper*, 197 Or App at 424. Because the court was unable to discern what this meant and, in fact, it created further ambiguity, the court was unwilling to find a resolution to its inquiry from Sandrock's testimony

alone, and proceeded to a general-maxims analysis under *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993). *Stamper*, 197 Or App at 425.

c. (§3.10) Committee or Legislative Counsel

The court may also find statutory clarification in the comments of committee or legislative counsel. Because the legislators rely on these staff attorneys, the court may find their statements helpful in understanding what was intended by a particular statutory provision. *See Owens v. Maass*, 323 Or 430, 443–444, 918 P2d 808 (1996) (committee counsel took the lead on instructing legislative counsel's office in drafting new section of the bill clarifying effective date of bill as to different categories of criminal defendants).

Similarly, in *Owens v. Motor Vehicles Div.*, 319 Or 259, 875 P2d 463 (1994), discussed in §3.8, the legal counsel's comments comprised part of the consistent legislative history relied on by the court. *Owens*, 319 Or at 270–271 (committee counsel explained type of events triggering automatic license suspension). *See also Koennecke v. Lampert*, 198 Or App 444, 452, 108 P3d 653 (2005) (court relied on legislative counsel's testimony concerning a bill prohibiting certain persons from possessing firearms).

> PRACTICE TIP: The lawyer should identify the speaker's role in the drafting of a bill, along with the circumstances surrounding the speaker's testimony, to help determine the weight the court is likely to give the speaker's statements.

2. (§3.11) Examining History of Bill Drafts

In its quest to discern legislative intent, the court often examines the history of bill drafts that preceded the final statute as enacted. Examining how the bill evolved from committees to final enactment may provide an answer to the ambiguity at issue by showing various options the legislature considered and either adopted or discarded along the way. In this regard, the lawyer should keep in mind that "statements related to earlier versions" of a bill, "rather than to its final enacted form," may not carry decisive weight with the court. *Linn-Benton-Lincoln Educ. Ass'n/OEA/NEA v. Linn-Benton-Lincoln ESD*, 163 Or App 558, 569, 989 P2d 25 (1999). On the other hand, as the following example illustrates, if the statements made at earlier stages in the bill's history show how the legislature

resolved its own confusion about what a particular statutory provision would accomplish, the court is more likely to find that legislative history persuasive.

In *Owens v. Maass*, 323 Or 430, 433, 918 P2d 808 (1996), the court held that an amendment to ORS 138.510(2)—extending the time period for filing a petition for postconviction relief from 120 days to two years—did not apply retroactively to defendants whose conviction became final on appeal during the original 120-day filing period, even if they filed their postconviction petition for relief after the effective date of the amendment. In reaching its holding, the court started with a text-and-context analysis of the statute. Complicating the analysis was an applications clause also enacted by the legislature but not codified as part of ORS 138.510, stating that "[t]he amendments to ORS 138.510 . . . *apply to all petitions for post-conviction relief filed after the effective date of this Act*." *Owens*, 323 Or at 434 (emphasis in original). The state argued that the phrase "*all petitions*" was not intended by the legislature "to include petitions previously time-barred under the 120-day filing period." *Owens*, 323 Or at 441.

The court, finding that the text and context did not clearly demonstrate the legislature's intent, turned to the legislative history. *Owens*, 323 Or at 442. The court traced the history of the bill from its origin, focusing on statements made by legislators and legislative counsel in various committees and subcommittees. *Owens*, 323 Or at 442. The history of various drafts of the bill was especially persuasive because it demonstrated consistent views regarding the retroactive effect of the amendment as the bill evolved through both the house and senate. *Owens*, 323 Or at 442–446. The court noted that the legislative history included a discussion reflecting an uncertainty among the legislators as to the retroactive application of the new longer filing period to defendants whose convictions became final during the original 120-day filing period, leading to a request for clarification by the subcommittee chair. *Owens*, 323 Or at 443.

Subsequently, a new provision was added to the bill to clarify which group of defendants could benefit from the new filing period, and excluding defendants whose convictions became final during the original 120-day filing period. *Owens*, 323 Or at 444. Both the house and the senate passed versions of the bill containing the clarification provision. *Owens*, 323 Or at 444–445. The court held that the new two-year filing period did not apply to this defendant, thus barring him "from filing a petition for post-conviction relief." *Owens*, 323 Or at 446.

Another example of the significance of the history of bill drafts that reveals the legislature's understanding of statutory terms is found in two cases discussing the same criminal statute, ORS 161.295, which requires a finding of a "mental disease or defect" at the time of the criminal conduct in order to allow a judgment of guilty except for insanity. *Beiswenger v. Psychiatric Sec. Review Bd.*, 192 Or App 38, 84 P3d 180 (2004); *Tharp v. Psychiatric Sec. Review Bd.*, 338 Or 413, 110 P3d 103 (2005). The statute does not expressly define "mental disease or defect," although ORS 161.295(2) states that "mental disease or defect" does not "include any abnormality constituting solely a personality disorder," another undefined term. *Tharp,* 338 Or at 423. In both cases, the petitioners appealed the Psychiatric Security Review Board's (PSRB) denial of their requests for discharge or conditional release. *Beiswenger,* 192 Or App at 43; *Tharp,* 338 Or at 416. Both claimed that their conditions, which included diagnoses of substance dependency, were "personality disorders" rather than a "mental disease or defect." *Beiswenger,* 192 Or App at 43; *Tharp,* 338 Or at 417. The PSRB disagreed, asserting that each petitioner's diagnosed conditions constituted a mental disease or defect, and refused to discharge the petitioners. *Beiswenger,* 192 Or App at 43; *Tharp,* 338 Or at 417.

The court in *Beiswenger* turned to the legislative history after finding ambiguities in both of the statutory terms. *Beiswenger,* 192 Or App at 46. The earliest version of the bill did not exclude personality disorders from the definition of mental disease. However, after PSRB representatives testified supporting the exclusion of personality disorders (including sexual conduct and substance dependency disorders) from the definition of mental disease, an amended version of the original bill was introduced that excluded personality disorders from the statutory definition of mental disease or defect. *Beiswenger,* 192 Or App at 50. Similar to what the supreme court did in *Owens,* 323 Or 430, the court of appeals stressed that "[f]rom the first hearing before the House Judiciary Committee . . . to the . . . conference committee negotiations, the legislative history consistently and pervasively reflects an understanding that the statutory term 'personality disorder' includes, among other things, sexual conduct disorders, alcohol dependency, and drug dependency." *Beiswenger,* 192 Or App at 51–52. A year later the supreme court reached a similar conclusion in *Tharp,* relying on the court's examination in *Beiswenger* of the legislative history of ORS 161.295. *Tharp,* 338 Or at 430.

3. (§3.12) Staff Measure Summaries and Other Written Materials

At the national level, committee reports are accepted as the most authoritative source of legislative history by the United States Supreme Court. George A. Costello, *Average Voting Members and Other "Benign Fictions": The Relative Reliability of Committee Reports, Floor Debates, and Other Sources of Legislative History*, 1990 Duke L J 39, 43 (1990). However, in Oregon "formal committee reports generally are not prepared and distributed to legislative members." Jack L. Landau et al., *Day with the Supremes, Crossroads: The Oregon Supreme Court and Appellate Practice in the 21st Century; PGE v. BOLI* at 13: *Awkward Adolescence or on the Smooth Path to Maturity?* 50 (Oregon Law Institute CLE Program Materials Oct 2006). Thus, while very few Oregon cases rely on committee reports, other types of written materials are used when available.

The legislative staff for house or senate committee members prepares staff measure summaries and analyses. In a number of cases, the courts have relied on these summaries for insight into legislative intent. *See e.g., State v. Walker*, 192 Or App 535, 544, 86 P3d 690 (2004) (explanation of proposed bill by committee counsel); *State v. Milburn*, 205 Or App 205, 213, 134 P3d 969 (2006) (senate committee's analysis of proposed bill). The courts have also relied on a variety of other written materials submitted directly to house or senate committees during the legislative process.

For example, as part of its exhaustive review of the legislative history in *Beiswenger v. Psychiatric Sec. Review Bd.*, 192 Or App 38, 84 P3d 180 (2004) (discussed in §3.11), the court quoted from a staff measure analysis. *Beiswenger*, 192 Or App at 50. The court seems to have presumed that this analysis was distributed to the committee members for whom it was prepared, making it a reliable indicator that the legislators understood how this key provision worked and had an opportunity to voice any opposition to the analysis. *Beiswenger*, 192 Or App 38.

Similarly, in *Robert Camel Contr., Inc. v. Krautscheid*, 205 Or App 498, 503–504, 134 P3d 1065 (2006), the court relied on a staff measure summary to support its interpretation of ORS 20.077 concerning the definition of prevailing party for purposes of recovering attorney fees in actions involving multiple claims.

The court also relies on other types of written materials submitted during the legislative process. For example, in determining whether ORS 161.665(1) permitted an award of *reasonable* attorney fees or limited an award of fees to "the amount actually incurred by the state in providing legal services to a defendant" the court relied on a letter to several legislators from the state court administrator. *State v. Gruver*, 138 Or App 124, 128, 906 P2d 852 (1995). The administrator's letter explained that the purpose of the legislation was to provide for a reasonable attorney fee "rather than the current standard, which requires the court to determine the actual cost." *Gruver*, 138 Or App at 128. The court noted that no other interpretations of the statute were offered, and that the administrator's amendments were adopted without objection by the legislature. *Gruver*, 138 Or App at 128.

As part of its legislative-history analysis, the court may even turn to a law review article written after the legislation was enacted that describes the legislative history of the statute at issue. For example, in an administrative law case, the court sought to determine the scope of ORS 183.335(2)(b)(C), one of the elements of the notice and comment procedures for the adoption of administrative rules. *Fremont Lumber Co. v. Energy Facility Siting Council*, 325 Or 256, 260, 936 P2d 968 (1997). Specifically, the statute required that an agency's notice of "intent to adopt, amend, or repeal a rule [must] include 'a statement of the need for the rule.'" *Fremont Lumber Co.*, 325 Or at 260 (quoting ORS 183.335(2)(b)(C)).

After a brief text-and-context analysis, the court turned to the legislative history in an effort to discern what information an agency must provide to satisfy the statutory requirement of a "statement of need." *Fremont Lumber Co.*, 325 Or at 261. The court relied on a law review article discussing the legislative history of the Oregon Administrative Procedure Act as a means of discerning the legislative purpose for requiring the agency to prepare a statement of need. *Fremont Lumber Co.*, 325 Or at 262 (citing David B. Frohnmayer, *The Oregon Administrative Procedure Act*: *An Essay on State Administrative Rulemaking Procedure Reform*, 58 Or L Rev 411, 463–467 (1980)). *See also Rico-Villalobos v. Guisto*, 339 Or 197, 205–206, 118 P3d 246 (2005) (citing William C. Snouffer, *An Article of Faith Abolishes Bail in Oregon*, 53 Or L Rev 273, 274–275 (1974) (discussing legislative history of Oregon's bail statutes)).

Oregon courts have relied on written comments of the Council on Court Procedures in construing various rules of civil procedure. For example, in a child support case, the court sought to determine if service of a summons on the father's

bookkeeper at his office fit within the meaning of ORCP 7 D(2)(c). *Boyd & Boyd*, 131 Or App 194, 196–197, 884 P2d 556 (1994). The statute provided that "[i]f the person to be served maintains an office for the conduct of business, office service may be made by leaving a true copy of the summons and complaint." *Boyd*, 131 Or App at 197. The question was whether the bookkeeper's office was "maintained for the conduct of business" by the father. *Boyd*, 131 Or App at 197.

The court noted that "[t]he best indicator of the legislature's intent is found in the statements of the Council that drafted the rule." *Boyd*, 131 Or App at 198. The commentary to the rule noted that proper office service occurs at "*a place . . . where the person to be served conducts a regular occupational activity*." *Boyd*, 131 Or App at 198 (emphasis in original). Consequently, the father was not properly served under this prong of the rule because he was not served at a place where he conducted his regular occupational activities. *Boyd*, 131 Or App at 199. *See also Carlson v. Martin*, 160 Or App 350, 358–359, 983 P2d 1031 (1999) (court relied on Council on Court Procedures' comments to determine whether plaintiff's efforts to serve the Motor Vehicles Division were reasonable).

4. (§3.13) Commentary to the Criminal Law Revision Commission

A number of cases have relied on the commentary compiled by the Criminal Law Revision Commission, which undertook a "comprehensive effort to revise substantive Oregon criminal law" that culminated in the Oregon Criminal Code of 1971. *State v. Chakerian*, 325 Or 370, 378–379, 938 P2d 756 (1997). The commentary consists of a compilation of the drafts and accompanying commentaries produced by the commission's three subcommittees that worked on the revised criminal code, along with the minutes of the subcommittees' meetings. *State v. Wolleat*, 338 Or 469, 476 n 4, 111 P3d 1131 (2005). The commission then provided a final draft of the proposed criminal code together with the commentary to the legislature. *Wolleat*, 338 Or at 476 n 4.

For purposes of an analysis under *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*), the commentary constitutes legislative history rather than the context of the criminal statutes. *Chakerian*, 325 Or at 379. In *Chakerian*, then, decided before the 2001 amendments to ORS 174.020 (discussed in §3.4), the court did not reach the commentary because its step-one analysis resolved the statutory ambiguity at issue.

Chakerian, 325 Or at 380. *Wolleat* provides a good example of the court finding the criminal law commentary useful at the second level of a *PGE* analysis. *Wolleat*, 338 Or 469. In *Wolleat*, the defendant was charged with assault and kidnapping after he dragged the victim, with whom he lived, from their bedroom into the living room, a distance of about 15 or 20 feet, and repeatedly struck her. *Wolleat*, 338 Or at 471. At issue was whether the act of moving the victim from one room to the other was sufficient to establish the defendant's intent to deprive the victim of her "personal liberty" as required under ORS 163.225(1) to establish the crime of kidnapping. *Wolleat*, 338 Or at 471–472. The court sought to determine if there was a "minimum distance that a defendant must intend to move the victim before a reasonable juror can say that the defendant intended to interfere substantially with the victim's personal liberty." *Wolleat*, 338 Or at 476. Although the text and context of the statute did not provide an answer, several portions of the legislative history did. *Wolleat*, 338 Or at 475–476.

First, the commission's research counsel explained to a subcommittee that using the phrase *substantial distance*, which the court found informative in discerning the meaning of *interfere substantially* as used in the statute, was meant to differentiate between a kidnapper moving the victim outside the immediate vicinity as opposed to merely moving the person to another room. *Wolleat*, 333 Or at 476. Second, the commentary stated that the "serious penalties associated with kidnapping should not apply to brief detentions . . . incidental to the commission of another crime." *Wolleat*, 338 Or at 477 n 6. Third, when questioned about the inclusion in the kidnapping statutes of the "intent to interfere substantially" element, the commission's director explained that without this element, "there would be a potential . . . kidnapping charge where kidnapping [was] not really the crime." *Wolleat*, 338 Or at 477 n 6. The legislature subsequently adopted the proposed kidnapping statutes with this element intact. *Wolleat*, 338 Or at 478.

Based on this commentary, the court found that the defendant's "intended movement" of the victim was "so minimal that a court can say, as a matter of law, that no reasonable juror could find that the defendant had the statutorily required intent" necessary for a kidnapping. *Wolleat*, 338 Or at 478; *see also State ex rel. Turner v. Frankel*, 322 Or 363, 374–375, 908 P2d 293 (1995) (commentary provided added support to court's interpretation of criminal statutes governing retrial of defendant when original trial ended in deadlocked jury).

5. (§3.14) Legislative History of a Federal Statute on Which an Oregon Statute Is Based

When an Oregon statute is modeled on its federal counterpart the court will look to the federal statute's legislative history as a means of construing Oregon's version of the statute. *State v. Cooper,* 319 Or 162, 168, 874 P2d 822 (1994).

In *Cooper,* the court sought to determine whether a city police officer was an "officer" of the state under OEC 615(2), which permits the exclusion of witnesses at trial except for an "officer" serving as a representative of the state in a criminal trial. *Cooper,* 319 Or at 164. Text and context did not clarify the issue, so the court proceeded to a legislative-history analysis. *Cooper,* 319 Or at 167.

Noting that the history of OEC 615 did not comment directly on the definition of *officer,* and that Oregon's legislature was aware that Congress played a "significant role . . . in adopting the federal rules," the court explained: "[W]e give weight to a pre-existing interpretation by Congress of the language adopted by the Oregon legislature and look to the legislative history of FRE 615 for guidance in determining Oregon legislative intent concerning OEC 615(2)." *Cooper,* 319 Or at 168.

The Senate report did not provide a direct answer, but the court noted that "the policy behind FRE 615 is to extend parity of treatment to parties who are not natural persons," which included "an investigative officer from a federal agency other than the prosecutor's office." *Cooper,* 319 Or at 168–170 (internal quotation omitted). Therefore, the court "presume[d] that the Oregon legislature, in enacting OEC 615(2), intended to adopt along with the rule the same policy of providing parity between the parties" and, as such, "the state may designate a person who will be a witness in the case as its 'officer' who is exempt from exclusion." *Cooper,* 319 Or at 170; *see also State v. Stiles,* 165 Or App 584, 593, 998 P2d 703 (2000) ("Given that the purpose of the Oregon legislation was to comply with the federal mandate, the phrase 'under the influence of a controlled substance' . . . necessarily incorporated the same content as the parallel phrase in the federal legislation.").

> PRACTICE TIP: The legislative history of a statute modeled after another jurisdiction is distinguished from case law interpreting the statute from the other jurisdiction. When the highest court in another jurisdiction has interpreted a statute before Oregon adopted it, that interpretation is

considered to be the interpretation the Oregon legislature intended. *State v. Stockfleth*, 311 Or 40, 50, 804 P2d 471 (1991).

6. (§3.15) Commentary to Uniform Laws

Several cases have relied on the official commentary to the Uniform Interstate Family Support Act (UIFSA) as persuasive legislative history in determining child support obligations. Oregon codified the UIFSA at ORS 110.303–110.452. In *State v. Calvert (In re Calvert & Calvert)*, 191 Or App 361, 363, 82 P3d 1056 (2004), the state initiated a child support enforcement action against a father who challenged the inclusion of interest on his past-due child support obligation. The court turned to the UIFSA's official commentary to clarify whether interest could accrue if it was not included on the certified statement itemizing the payments due and payments received. *Calvert*, 191 Or App at 370. The commentary noted the distinction in the UIFSA between "arrears" and "interest on arrears, and explained that" the term *arrearages* referred to "unpaid support, exclusive of accrued interest." *Calvert*, 191 Or App at 370–371. Thus, a failure to include interest in the certified statement did not preclude a support enforcement action for the past-due child support payments, together with accrued interest. *Calvert*, 191 Or App at 372; *see also State DCS ex rel. State v. Anderson*, 189 Or App 162, 171, 74 P3d 1149 (2003) ("any doubts about the intended construction of UIFSA are eliminated by reference to the commentary to the uniform act").

IV. (§3.16) WHEN LEGISLATIVE HISTORY DOES NOT RESOLVE THE AMBIGUITY

Sections 3.17–3.19 explore cases in which the court was unable to resolve the statutory ambiguity after an examination of the relevant legislative history, necessitating a step-three analysis which requires applying general maxims of interpretation. This may occur when there is simply no relevant legislative history that addresses the statutory ambiguity at issue. In other cases, even though the step-two analysis does not resolve the ambiguity, the relevant legislative history may still assist the court in reaching its decision. Cases in which the statutory ambiguity at issue was resolved by a combination of steps one and two analyses, but the court proceeded to step three for confirmation, are also examined.

A. (§3.17) Legislative History Silent on Statutory Question Under Analysis

Not surprisingly, the court on occasion tries to consult legislative history but finds it silent on the interpretive question under analysis. For example, the court dispensed with legislative history in one sentence by stating simply that the legislative history was silent on the particular issue facing the court. *Ritcherson v. State*, 131 Or App 183, 186, 884 P2d 554 (1994) (seeking to determine if ORS 138.510(2) included retroactive application of its two-year statute of limitations period); *see also Windsor Ins. Co. v. Judd*, 321 Or 379, 387, 898 P2d 761 (1995) ("[W]hat little [discussion of the amendment] there was reveals nothing that sheds light directly on the question posed in this case."); *State v. Holloway*, 138 Or App 260, 267, 908 P2d 324 (1995) ("Unfortunately, our examination of the legislative history sheds no light on the matter."); *In Def. of Animals v. Or. Health Scis. Univ.*, 199 Or App 160, 173 n 9, 112 P3d 336 (2005) ("We note that the legislative history . . . provides no assistance in determining the provision's meaning.").

B. (§3.18) Legislative History Informative but Not Determinative

The legislative history may shed some light on the analysis without removing all doubt as to which statutory interpretation is correct. Moreover, since the court is wary of attributing the statements of a few witnesses to the legislature as a whole, if "the testimony of the small number of witnesses who spoke to the point in issue is itself ambiguous," the court will likely move on to step three. *State v. Thompson-Seed*, 162 Or App 483, 490, 986 P2d 732 (1999); *see also State v. Stamper*, 197 Or App 413, 423–425, 106 P3d 172 (2005), discussed in §3.19.

In some cases the court reviews the legislative history and concludes that the question under consideration simply is not answered because the legislators did not consider the particular situation presented. As the court has recently noted, "legislative history that does not directly address the issue before us, even testimony from the apparent drafter of the language we are construing, is of limited authority." *Jensen v. Bevard*, 215 Or App 215, 225, 168 P3d 1209, *adhered to on recons.*, 217 Or App 309 (2007).

For example, in determining a right to attorney fees under ORS 279.067(4), which provides for fees to a successful party, the court reviewed the legislative history and determined that the history did not answer whether a defendant who was not an original party but was later added to the case could recover attorney

fees. *Steelman-Duff, Inc. v. DOT/Oregon State Highway Div.*, 323 Or 220, 231–235, 915 P2d 958 (1996). Consequently, the court proceeded to step three to resolve the issue. *Steelman-Duff*, 323 Or at 235.

In another case in which the court sought to discern the meaning of the term *academically licensed*, the legislative history was consulted after the text-and-context analysis proved inconclusive, but it too was insufficient to resolve the ambiguity. *Linn-Benton-Lincoln Educ. Ass'n/OEA/ NEA v. Linn-Benton-Lincoln ESD*, 163 Or App 558, 568–570, 989 P2d 25 (1999). Although the court found the history informative, it gave several reasons for not finding the legislative history decisive: (1) the "statements related to earlier versions" of the senate bill "rather than to its final enacted form"; (2) statements were made by witnesses rather than by legislators; and (3) "any inference drawn from the nature of revisions to the bill after those statements were made is, at best, permissive." *Linn-Benton*, 163 Or App at 569–570. However, even though the legislative history was not dispositive, it did "provide some guidance" for the court's step-three analysis. *Linn-Benton*, 163 Or App at 570.

C. (§3.19) Courts Resort to Step Three for Confirmation

In several cases, the court has seemingly resolved the ambiguity after resorting to legislative history combined with its text-and-context analysis but nevertheless moves on to step three for the sake of argument. This is similar to the cases discussed in §3.4 in which the court resorted to step two as confirmation for its step-one conclusion.

The most notable example of this occurred in *Beiswenger v. Psychiatric Sec. Review Bd.*, 192 Or App 38, 51, 84 P3d 180 (2004), discussed in §3.11. After the court's detailed step-two analysis seemingly resolving the interpretive question, the court addressed the state's argument that the legislative history was equivocal, noting that the state failed to provide citations to the legislative history supporting its argument. *Beiswenger*, 192 Or App at 52–54.

Nevertheless, the court conducted a brief step-three analysis "for the sake of argument," which merely provided additional support for the conclusion it had already reached at step two. *Beiswenger*, 192 Or App at 53–54.

Chapter 4: STEP THREE ANALYSIS: GENERAL MAXIMS OF STATUTORY CONSTRUCTION

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I. (§4.1) INTRODUCTION—*PGE* STEP THREE

In *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993) (hereinafter *PGE*), the Oregon Supreme Court specified the circumstances under which a court should consider general maxims of statutory construction: "If, after consideration of text, context, and legislative history, the intent of the legislature remains unclear, then the court may resort to general maxims of statutory construction to aid in resolving the remaining uncertainty." *See State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009) (modifying *PGE* with respect to legislative history).

General maxims look outside the text and context of the statute, which is why they are not applied at the first step of the analysis. They are extrinsic canons of construction; hence, they are applied at the third step of the analysis because when courts cannot discern legislative intent from the statute's text and context, or its legislative history, they must then turn to extrinsic evidence of legislative intent. The court will consider both statutory maxims, such as those found in several provisions of ORS chapter 174, and maxims found in case law.

When conducting the third step of the analysis, courts will first look for specific maxims of statutory construction that assist in discerning legislative intent, such as the assumption that the legislature would not intend to produce an unconstitutional result. *See, e.g.*, *State ex rel. Juvenile Dep't v. Kopp (In re Hinkle)*, 180 Or App 566, 576, 43 P3d 1197 (2002). However, in the majority of cases the court cannot find a specific maxim that can be applied to resolve the ambiguity in the statute. In these cases, consistent with the goal of discerning legislative intent, "the court will attempt to determine how the legislature would have intended the statute to be applied had it considered the issue." *PGE*, 317 Or at 612. *See also Westwood Homeowners Ass'n v. Lane County,* 318 Or 146, 160, 864

P2d 350 (1993), *modified, adhered to on recons.*, 318 Or 327 (1994); *Weidner v. Oregon State Penitentiary*, 319 Or 295, 301, 877 P2d 62 (1994).

In most statutory construction cases in Oregon, the court is able to discern the legislature's intent in the first two steps of the statutory analysis; that is, from either the text and context of the statute (*see* chapter 2), which are the best evidence of legislative intent, or from the statute's legislative history (*see* chapter 3). As a result, courts will only rarely resort to the third step of the analysis and consider general maxims of statutory construction. In fact, of more than 1,200 cases applying the statutory analysis since *PGE*, courts turned to the third step of analysis because the ambiguity remained unresolved after consideration of text, context, and legislative history fewer than 70 times.

This chapter first explains when step three applies before moving on to a review of courts' application of the third step of analysis. This review considers maxims courts have applied when conducting step-three analysis, the reasons for their use, and the methods of their application. For an explanation of how courts determine if a statute is ambiguous at steps one and two, see chapter 3.

II. (§4.2) WHEN STEP THREE ANALYSIS APPLIES

A court will only resort to the third step of the analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*), if the legislature's intent cannot be determined at the first two steps of the analysis. *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). Courts will not apply general maxims to create meaning contrary to legislative intent discerned from the text, context, or legislative history of the statute. If the court is able to discern the intent of the legislature from either the text and context of the statute or its legislative history, then the court will interpret the statute's meaning in accordance with that discerned intent, and the inquiry ends. *PGE*, 317 Or at 612; *Gaines*, 346 Or at 172.

> NOTE: Maxims of statutory construction that apply directly to reading the text of the statute, such as the maxim that words of common usage typically should be given their plain, natural, and ordinary meaning, are applied at step one of the analysis; they do not apply at step three. *See* §4.13.

For example, in *State v. Vasquez-Rubio*, 323 Or 275, 282, 917 P2d 494 (1996), the state argued that the defendant's proposed interpretation of the statute in question

produced an absurd result, because that interpretation would effectively render the statute a nullity. Although the court disagreed that the interpretation in question produced an absurd result, it noted that because the legislative intent was clear from the statute's text and context, "[courts] do not apply the statutory maxim that [they] should avoid a literal application of the statutory text if it will produce an absurd result." *Vasquez-Rubio,* 323 Or at 282. The court reasoned that to apply a general maxim of statutory construction to interpret the statute in a manner that contradicts the unambiguously determined legislative intent would be "rewriting a clear statute based solely on [the court's] conjecture that the legislature could not have intended a particular result." *Vasquez-Rubio,* 323 Or at 283.

Similarly, in *Young v. State,* 161 Or App 32, 37–38, 983 P2d 1044 (1999), the court of appeals refused the state's strong urging to apply the absurd-results maxim at the first step of the analysis, because the statute was unambiguous. In that case, the court was asked to construe an overtime benefits statute that exempted "public employees" from receiving overtime benefits, but did not include state employees in the definition of *public employees*. The state contended that allowing state employees to receive overtime benefits not permitted for "public employees" was an absurd result. The court expressed no opinion as to whether the result was absurd, and pointed out that the *PGE* analysis defines a progression "from what the legislature has written, to what the legislature has considered, and finally, *as a last resort*, to what the court determines makes sense." *Young,* 161 Or App at 37 (emphasis added). Because the methodology requires ambiguity in the text, context, and legislative history of the statute before moving on to general maxims, and no such ambiguity existed, the court could not consider the absurd-results maxim. The court noted that the legislative power includes the power "to write a seemingly absurd law." *Young,* 161 Or App at 38.

III. (§4.3) HOW COURTS APPROACH STEP THREE OF THE *PGE* ANALYSIS

Sections 4.4–4.21 consider the approach Oregon courts use to discern legislative intent at the third step of the analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.,* 317 Or 606, 612, 859 P2d 1143 (1993) (hereinafter *PGE*). The main focus of these sections is on those general maxims of statutory construction used by Oregon courts, and how they have been applied. Some of these maxims are contained in statutes, and some are taken from case law.

These sections also consider some factors courts might use in determining whether to apply one of the many common-law or statutory maxims that have not previously been used in the third step of the *PGE* analysis.

Before moving on to consideration of maxims that apply at step three of the analysis, it is important to note that maxims that apply directly to reading the text of the statute are applied at step one of the analysis; they do not apply at step three. The supreme court described the application of textual maxims at the first step of analysis in the original *PGE* decision:

> In trying to ascertain the meaning of a statutory provision, and thereby to inform the court's inquiry into legislative intent, the court considers rules of construction of the statutory text that bear directly on how to read the text. Some of those rules are mandated by statute, including, for example, the statutory enjoinder "not to insert what has been omitted, or to omit what has been inserted." ORS 174.010. Others are found in the case law, including, for example, the rule that words of common usage typically should be given their plain, natural, and ordinary meaning. *See State v. Langley*, 314 Or 247, 256, 839 P2d 692 (1992) (illustrating rule); *Perez v. State Farm Mutual Ins. Co.*, 289 Or 295, 299, 613 P2d 32 (1980) (same).

PGE, 317 Or at 611. Since *PGE*, courts have consistently applied textual maxims at the first step of analysis. For example, see *Jones v. GMC*, 325 Or 404, 412, 939 P2d 608 (1997) (applying ORS 174.010 to interpret ORCP 47 C), or *L.H. Morris Elec., Inc. v. Hyundai Semiconductor Am., Inc. (In re Consol. Hyundai Plant Litig.)*, 203 Or App 54, 68, 125 P3d 1 (2005) (applying maxim that words of common usage typically should be given their plain, natural, and ordinary meaning).

> CAVEAT: On at least one occasion, a court has applied the textual maxim of ejusdem generis at the third step of the *PGE* analysis. *See Baar v. Fairview Training Ctr. (In re Baar)*, 139 Or App 196, 205, 911 P2d 1232 (1996). In recent years, as courts have developed the *PGE* approach, they appear to be more consistent in applying textual canons at the first step.

In many of the cases considered in §§4.4–4.21, the court found support for its eventual conclusion in the first two steps of the *PGE* analysis, but did not find such support sufficiently dispositive to decide the case at those steps. Thus, the court turned to step three of the *PGE* analysis to reach its final decision. *See, e.g., Westwood Homeowners Ass'n v. Lane County,* 318 Or 146, 154–158, 864 P2d 350

(1993), *modified and adhered to on recons.*, 318 Or 327 (1994); *Weidner v. Oregon State Penitentiary*, 319 Or 295, 301, 877 P2d 62 (1994).

A. (§4.4) Statutory Maxims

As noted in §4.3, both statutory and common-law maxims of construction may be used at the third step of analysis. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993). In practice, courts most often rely on common-law maxims. However, statutory maxims have been applied in some cases. Many of these maxims are contained in ORS chapter 174 ("Construction of Statutes; Definitions") but some of them are found in other provisions of the Oregon Revised Statutes. Sections 4.5–4.6 discuss statutory maxims in more detail.

1. (§4.5) Maxims from ORS 174

Several provisions pertaining to statutory construction are set forth in ORS chapter 174. As discussed in §4.3, some of these provisions, such as ORS 174.010, pertain to textual interpretation, and so are applied at the first step of analysis. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–611, 859 P2d 1143 (1993) (hereinafter *PGE*). Several other provisions of ORS chapter 174 apply (or could apply) at the third step of the *PGE* analysis:

- ORS 174.030: Construction favoring natural right to prevail

  "Where a statute is equally susceptible of two interpretations, one in favor of natural right and the other against it, the former is to prevail." ORS 174.030. This provision has not been used to decide a *PGE* analysis case. *See* §5.6. It was mentioned in *Buell v. State Industrial Acci. Com.*, 238 Or 492, 498, 395 P2d 442 (1964), but not used to decide the case. It has also been cited in several dissents; *see, e.g., Roberts v. McConnville*, 310 Or 283, 289, 797 P2d 365 (1990) (Fadeley, J., dissenting) (arguing that denial of writ of mandamus, essentially preventing printing of financial information in voters' pamphlet, violates spirit of ORS 174.030); *McAlmond v. Myers*, 262 Or 521, 538, 500 P2d 457 (1972) (Bryson, J., dissenting) (arguing that "[i]t is the natural right of electors of major political parties to seek office and vote for the candidate of their choice").

- ORS 174.070: Effect of repeal of validating or curative act

Under ORS 174.070 "[t]he repeal of a validating or curative Act shall not affect any validation or cure theretofore accomplished." This statute has not yet been cited in an Oregon case.

- ORS 174.080: Effect of repeal of repealing act

  ORS 174.080 states that "[w]henever a statute which repealed a former statute, either expressly or by implication, is repealed, the former statute shall not thereby be revived unless it is expressly so provided." This statute has been cited in two Oregon cases, both of which predate *PGE*: *Care Ambulance Co. v. Multnomah County*, 97 Or App 618, 622, 777 P2d 997 (1989), and *Lilly v. Gladden*, 220 Or 84, 93–94, 348 P2d 1 (1959). *Lilly* includes a thorough discussion of how the court applied ORS 174.080 to hold that deletion of the false-pretenses provisions from the larceny statute did not revive the false-pretenses provisions in the prior version, and noted the maxim that repeal of statutes by implication is not favored. *Lilly*, 220 Or at 93–94.

- ORS 174.090: Effect of repeal of repealing constitutional provision

  ORS 174.090 mirrors ORS 174.080, but applies to constitutional provisions rather than statutes. It states that "[w]henever a constitutional provision which repeals or suspends in whole or in part a former constitutional provision, either expressly or by implication, is repealed, the former constitutional provision so repealed or suspended thereby shall not be revived unless it expressly is so provided." ORS 174.090. This statute has been cited in one pre-*PGE* Oregon case, but the citation was for reference purposes only, and was not part of the court's reasoning or decision. *Davis v. Wasco Intermediate Education Dist.*, 286 Or 261, 274, 593 P2d 1152 (1979) (Linde, J., concurring).

- ORS 174.530: Construction of statutes enacted as part of 1953 revision

  ORS 174.530 states:

  > The statute laws described in ORS 174.510 (1) [describing 1953 revision of statutes] are intended to speak for themselves. All sections of the statute laws so described are considered to speak as of the same date, except that in cases of conflict between two or more sections or of an ambiguity in a section, reference may be had to the Acts from which the sections are derived, for the purpose of

> applying the rules of construction relating to repeal or amendment by implication or for the purpose of resolving the ambiguity.

This statute has been cited in three pre-*PGE* cases: *State v. Holland*, 202 Or 656, 660, 277 P2d 386 (1954); *State v. Lermeny*, 213 Or 574, 580, 326 P2d 768 (1958); and *Davis*, 286 Or at 274. Since this statute specifically refers to the reenactment of Oregon laws in 1953, and it has not been applied since 1979, future application of ORS 174.530 will likely be rare.

2. (§4.6) Other Statutory Maxims

Oregon statutes contain several provisions designed to guide courts in their construction of related statutory provisions. Many of these provisions instruct courts to construe statutes liberally, such as ORS 30.475, which states that "ORS 30.475 to 30.485 shall be liberally construed" so as to limit liability of persons volunteering to transport elderly or disabled individuals, or the provisions of the Insurance Code described below. Other examples include:

- ORS 421.245, Interstate Corrections Compact (provisions of the compact to be liberally construed);
- ORS 537.120, Appropriation of Water Generally (construe so as to protect vested water rights);
- ORS 262.115, Joint Operating Agencies for Electric Power ("ORS 262.005 to 262.115 and 308.505 shall be liberally construed"); and
- ORS 109.090, Parent and Child Rights and Relationships (ORS 109.060–109.090 to be liberally construed).

NOTE: ORS 109.090(2), enacted in 1957, also states that the liberal construction should occur notwithstanding "the rule of common law that statutes in derogation thereof are to be strictly construed." The supreme court has since abolished this rule in Oregon. See discussion of *Beaver v. Pelett*, 299 Or 664, 705 P2d 1149 (1985), in §4.20.

However, some statutory provisions require a more restrictive approach to construction. *See* ORS 130.910, Uniform Trust Code (any rule of construction in ORS chapter 130 only applies to trusts executed before January 1, 2006); ORS 192.524, Protected Health Information ("Nothing in ORS 192.519 or 192.520 may be construed so as to create a new private right of action against a health care provider or a state health plan.").

Most of these provisions have not yet been applied to the third step of analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993) (hereinafter *PGE*). However, in *Carrigan v. State Farm Mut. Auto. Ins. Co.*, 326 Or 97, 949 P2d 705 (1997), the supreme court relied on the Insurance Code in its analysis of Oregon's personal injury protection statutes. The court determined that ORS 742.520(2)(a), which provides coverage for injuries "resulting . . . from the use, occupancy or maintenance of any motor vehicle," extended to a gunshot injury incurred during the course of a carjacking, even though neither the assailant nor the victim was in the car at the time of the shooting. *Carrigan*, 324 Or at 104–105. In conducting its *PGE* step-three analysis, the court found assistance in determining legislative intent from two statutory provisions: ORS 731.008, which states that "the Insurance Code is for the protection of the insurance-buying public," and ORS 731.016, which states that "[t]he Insurance Code *shall be liberally construed*" to give effect to the policy stated in ORS 731.008." *Carrigan*, 324 Or at 104. The court, in construing ORS 742.520(a)(2) liberally to protect the insured, reasoned that the plaintiff's injuries resulted from the use of his car because they "arose as a consequence of the carjacking event that involved the 'use' of the vehicle," and that "the temporal and spatial distance between that use and his gunshot injury [were] insufficient to prevent the injury from 'resulting from' that use." *Carrigan*, 324 Or at 105. The court also noted that if the legislature had intended the more narrow construction of "resulting from," they had the "linguistic tools" to narrow the scope accordingly. *Carrigan*, 324 Or at 103.

B. (§4.7) Specific Common-Law Maxims Applied

When conducting the third step of the analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993) (hereinafter *PGE*), courts will first look for specific common-law maxims of statutory construction that aid in resolving the ambiguity in the statute. In accordance with the underlying goal of the *PGE* analysis, courts look for maxims that aid in determining legislative intent, such as the assumption that the legislature would not intend to produce an unconstitutional result.

In applying common-law maxims of statutory construction in an attempt to determine legislative intent, courts show great deference to legislative power. However, because intent is an individual trait, and the legislature is composed of many individuals, determining the collective intent of a diverse body such as the

legislature is difficult. As a result, courts will often look to evidence of the purpose of a statute or statutory scheme, or the statute or scheme's underlying policy. Since such purpose or policy would likely be understood and shared by a majority of the members of the enacting legislature, it is therefore a reliable expression of the "intent" of the legislature as a whole. As can be seen from the example cases in §§4.8–4.9, courts will find evidence of such policy and purpose from a variety of sources, such as related statutes, legislative history, or the maxims of construction themselves. In addition, cases such as *Weidner v. Oregon State Penitentiary*, 319 Or 295, 877 P2d 62 (1994), and *State v. Holloway*, 138 Or App 260, 908 P2d 324 (1995), indicate a judicial preference for consistency and predictability in the construction of statutes.

1. (§4.8) Construe Statutes to Be Constitutional

When the court has to choose between two plausible interpretations of a statute, one of which is constitutional and one of which is unconstitutional, the court will assume that the legislature intended the constitutional interpretation. *State v. Kitzman*, 323 Or 589, 602, 920 P2d 134. This is commonly known as the avoidance canon. Oregon courts apply this maxim so as to avoid results that are potentially unconstitutional. The proposed construction does not have to be blatantly unconstitutional.

> NOTE: In applying this maxim to construction of a constitutional amendment, the court of appeals made reference to another maxim with constitutional implications: the presumption that constitutional amendments apply prospectively (see discussion of *State v. Lanig*, 154 Or App 665, 963 P2d 58 (1998), below).

> NOTE: In addition to statutes, the analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993) (hereinafter *PGE*), applies to interpretation of constitutional provisions, laws, and constitutional amendments adopted by initiative or referendum, and administrative regulations. *PGE*, 317 Or at 612 n 4.

The court of appeals applied the maxim of construing statutes to avoid unconstitutional results in *State ex rel. Juvenile Dep't v. Kopp (In re Hinkle),* 180 Or App 566, 43 P3d 1197 (2002). In that case the court had to determine whether the statute governing appeal from a parental rights termination deprived a 17-year-old mother of standing to appeal denial of her motion to set a termination judgment

aside. The court held that the construction denying standing violated the mother's due-process rights, and therefore the legislature would not have intended such an application of the statute. *Kopp,* 180 Or App at 576.

In *Westwood Homeowners Ass'n v. Lane County,* 318 Or 146, 864 P2d 350 (1993), *modified and adhered to on recons.,* 318 Or 327 (1994), although the court had already determined the legislative intent, potential constitutional implications provided additional support for the court's holding. As discussed in §4.15, the issue in this case was whether servitudes that benefit and burden individual lots in a planned unit development survive a tax foreclosure sale at which a county acquires title. The court held that the servitudes were property rights benefitting both the dominant and servient estates, and therefore to extinguish the servitudes would arguably infringe on the constitutional rights of the owners of the dominant estates by depriving them of their property without due process of law. *Westwood*, 318 Or at 160. *See also Vokoun v. City of Lake Oswego,* 189 Or App 499, 511, 76 P3d 677 (2003) (holding that limits on damages in Oregon Tort Claims Act do not apply to inverse condemnation claims because to decide otherwise would deprive claimants of property without just compensation, in violation of Oregon and federal constitutions).

The maxim that statutes should be construed so as to avoid constitutional difficulty was applied to construction of a constitutional amendment in *Lanig*, 154 Or App at 674. At issue in the case was whether Ballot Measure 40, codified at article 1, §42(1)(f), of the Oregon Constitution—which provides that crime victims have the right to have all relevant evidence admitted against the defendant—applies retroactively. *Lanig*, 154 Or App at 669–670. The defendant was charged with possession of a controlled substance after police found drugs in a film canister in her purse during a traffic stop. The defendant contended that the drugs should have been suppressed as evidence at trial because the police lacked reasonable suspicion to expand the scope of their search. Amongst other arguments, the state contended that the evidence was admissible under Measure 40, which was enacted after defendant's trial. In holding that Measure 40 did not apply retroactively, and therefore that the evidence was not admissible, the court primarily relied on the maxim that statutes should be construed so as to avoid constitutional difficulty. The court reasoned that to allow Measure 40 to apply retroactively would raise conflicts with state and federal constitutional provisions against ex post facto laws. *Lanig*, 154 Or App at 674. The court also cited another maxim in support of its

position: the presumption that constitutional amendments apply prospectively. *Lanig*, 154 Or App at 675. Referring to it as an "older, but no less familiar" maxim, the court rejected the state's argument that it was an "anachronism" that should be discarded. *Lanig*, 154 Or App at 676.

2. (§4.9) Avoid Absurd Results

Courts will assume that the legislature would not have intended that a statute produce absurd results. *State v. Vasquez-Rubio*, 323 Or 275, 282–283, 917 P2d 494 (1996). Defining exactly what constitutes an absurd result is difficult; Oregon courts have yet to craft such a definition. However, one judge suggested that the result of a proposed construction of a statute is absurd when any reasonable person would conclude that the legislature could not possibly have intended the result, even if the text of the statute arguably supports it. *See Young v. State*, 161 Or App 32, 43, 983 P2d 1044 (1999) (Haselton, J., concurring). The broad nature of this approach invites abuse and the majority in *Young* declined to follow Judge Haselton's view on this point. Oregon courts are reluctant to apply the absurd-results maxim, "because it entails the risk of judicial displacement of legislative policy on the basis of judicial speculation that the legislature could not have meant what it unmistakably said." *Southwood Homeowners Ass'n v. Philomath,* 106 Or App 21, 24, 806 P2d 162 (1991).

However, the maxim has been applied in some cases. For example, in *State v. Walker*, 192 Or App 535, 86 P3d 690 (2004), the court of appeals was required to decide whether the six-year statute of limitations commenced when a child sodomy victim reported the incident to a schoolteacher. The statute in question required that a sodomy prosecution in which the victim is a minor must be commenced within six years of the incident being reported to "'a law enforcement agency or other governmental agency.'" *Walker*, 192 Or App at 538 (quoting ORS 131.125(2)(g)). At issue was the definition of *other governmental agency*. In attempting to determine legislative intent, the court noted that "we are . . . permitted to assume that the legislature would not have intended that its enactment produce absurd results." *Walker*, 192 Or App at 546. The defendant's first proposed definition of *other governmental agency* included all governmental agencies. The court held that this was an absurd result because the statute of limitations would be triggered by the victim reporting the incident to an employee of the Department of Geology and Mineral Industries, who has no obligation to do anything with the information. *Walker*, 192 Or App at 546–547. However, the

defendant's other proposed construction, that the term applies to those agencies with a statutory obligation to pass on the information to appropriate investigative authorities, did not produce an absurd result, and most closely followed the legislative purpose of the statute. *Walker*, 192 Or App at 548. *See also State v. O'Donnell,* 192 Or App 234, 251– 252, 85 P3d 323 (2004) (holding that defendant's proposed construction of double jeopardy statute, which would enable him to avoid retrial on serious criminal charges because judge at his previous trial had not formally "found" that jury was unable to reach verdict, was an absurd result because it would "absurdly and unconscionably elevate ambiguous form over incontrovertible substance").

3. (§4.10) Repeals of Statutes by Implication Are Disfavored

When attempting to determine legislative intent, courts will attempt to give harmonious effect to all statutes on the same subject when reasonably possible. Therefore, courts will only find amendment or repeal of a statute by implication when the legislature's intent to give such effect to the new legislation is clear. Such conflict must be "'plain, unavoidable, and irreconcilable.'" *State v. Thompson-Seed*, 162 Or App 483, 491, 986 P2d 732 (1999) (quoting *State v. Shumway*, 291 Or 153, 162, 630 P2d 796 (1981)). In *Thompson-Seed*, the court of appeals considered whether ORS 136.432, which provides that a court generally cannot exclude evidence "otherwise admissible" in a criminal action on the grounds that it was obtained in violation of any statutory provision, impliedly repeals ORS 192.590(5), which renders inadmissible evidence obtained from financial institutions in violation of statutory procedures. The court found support for the defendant's argument that the legislature did not intend such repeal from the statute's text, context, and legislative history, but was unable to conclusively resolve the issue. *Thompson-Seed*, 162 Or App at 487–489. Turning to the third step of the analysis set forth in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993), the court cited the above maxim as the most pertinent. *Thompson-Seed*, 162 Or App at 490–491. The court pointed out that the legislature's intention to repeal may be demonstrated by "an unworkable conflict between the new and old statutes." *Thompson-Seed*, 162 Or App at 491. However, the court noted that such conflict must be "'plain, unavoidable, and irreconcilable.'" *Thompson-Seed*, 162 Or App at 491 (quoting *Shumway*, 291 Or at 162). Finding no such "plain, unavoidable, and irreconcilable" conflict in the current case, and noting that if the legislature had intended to repeal the prior

statute it could have done so explicitly, the court held that there was no implied repeal of ORS 192.590(5) by ORS 136.432. *Thompson-Seed*, 162 Or App at 491.

NOTE: Courts do not always limit consideration of this maxim to step three. *See, e.g., State ex rel. Huddleston v. Sawyer*, 324 Or 597, 604, 932 P2d 1145 (1997) (reconciling Measure 11 and felony sentencing guidelines at step one); *City of Lowell v. Wilson*, 197 Or App 291, 309–310, 105 P3d 856 (2005) (reconciling ORS 138.057 with ORS 221.360).

4. (§4.11) Give Retroactive Effect to Procedural and Remedial Statutes

Remedial statutes should be liberally construed to advance the remedy. As a result, courts will presume that the legislature intended to give retroactive effect to statutes that are remedial or procedural, as opposed to substantive, in nature. Substantive statutes are those that alter legal duties or a party's rights. In *Robert Camel Contr., Inc. v. Krautscheid*, 205 Or App 498, 134 P3d 1065 (2006), the court of appeals considered whether a statute governing attorney-fee awards applied retroactively to a housing construction contract dispute. The statute in question, ORS 20.077, provides that attorney fees be awarded to prevailing parties on a claim-by-claim basis in actions for which an award of attorney fees is authorized, and expressly states that it does not create a claim to attorney fees when no such claim exists. *Robert Camel Contr., Inc.*, 205 Or App at 501. In analyzing ORS 20.077, the court held that it is procedural rather than substantive because it does not alter any legal duties, nor does it alter any rights. *Robert Camel Contr., Inc.*, 205 Or App at 502. Thus, citing the above maxim, the court held that the legislature would have intended ORS 20.077 to apply retroactively. *Robert Camel Contr., Inc.*, 205 Or App at 502.

NOTE: In the same case, the court considered whether ORS 20.077 required a claim-by-claim analysis to determine attorney-fee awards. The court resolved this issue in the affirmative based on the text and context of the statute. *Robert Camel Contr., Inc.*, 205 Or App at 503.

5. (§4.12) Read Statute in Manner That Gives Effect to Related Statutes

When attempting to determine legislative intent, courts will assume that the legislature intended statutes to comprise a workable whole. Therefore, they will construe a statute in a manner that gives effect to related statutes. This maxim is

usually applied at step one of the analysis announced in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–611, 859 P2d 1143 (1993) (hereinafter *PGE*), because the related statutes are part of the context of the statute in question. But in *State v. Stamper*, 197 Or App 413, 425, 106 P3d 172 (2005), the related statutes were enacted after the statute in question (ORS 163.425) and therefore were not part of the context and could not be considered at the first step of the analysis. Context only includes related statutes enacted before (or with) the one in question, because the focus of statutory construction in Oregon is the actual, subjective intentions of the enacting legislature, which would not have been aware of later-enacted statutes. As a result, the court applied this maxim at the third step of analysis. *Stamper*, 197 Or App at 425–427.

In *Stamper* the court was required to construe ORS 163.425, which states that a person commits sexual abuse in the second degree when "that person subjects another person to sexual intercourse . . . and the victim does not consent thereto." *Stamper*, 197 Or App at 415. At issue in the case was whether the state had to prove that the victim did not consent when she was under the age of 18, and thus was legally incapable of consent. In attempting to determine the meaning of "does not consent," the court considered ORS 163.345(1), which specifically refers to ORS 163.425, and expressly states that lack of consent can be established by "'incapacity to consent by reason of being less than a specified age.'" *Stamper*, 197 Or App at 425 (quoting ORS 163.425). Because ORS 163.425 "clearly contemplates that lack of consent under ORS 163.425 may be established by evidence of incapacity because of . . . age," the court held that ORS 163.425 did not require the state to prove lack of consent for minor victims. *Stamper*, 197 Or App at 426–427. The court reasoned that ORS 163.425 could only be construed as requiring proof of lack of consent even for minor victims by refusing to give effect to ORS 163.345(1), which was an unacceptable result. *Stamper*, 197 Or App at 426. The court noted that such an approach would also create significant tension with ORS 163.315, which establishes that victims under 18 cannot consent. *Stamper*, 197 Or App at 427.

6. (§4.13) Assume Legislature Intends Words to Be Used Consistently

When attempting to discern legislative intent, courts will assume that the legislature intended words to be used consistently. In *State v. Holloway*, 138 Or App 260, 908 P2d 324 (1995), the court of appeals considered the defendant's

appeal of an enhanced sentence for a commercial drug offense under ORS 475.996, on the basis of his use of "public lands" to grow marijuana. He had grown the marijuana inside a building owned by his employer, a private company, but when the United States retained title to the underlying land. The defendant argued for use of an older, common-law definition of *public lands* which would have excluded the property in question, whereas the state argued for a more contemporary definition, which did include the property. In considering the context of the statute as part of its step-one analysis, the court noted that the term *public lands* appears in the Oregon Revised Statutes "some 600 times." *Holloway*, 138 Or App at 266. Many statutes using the term *public lands* defined it consistently with the state's proposed definition, and none of the statutes indicated an intent to adopt the more restrictive common-law definition. *Holloway*, 138 Or App at 266. However, the term was not defined in ORS 475.966 itself, so the court held that it did not necessarily follow automatically that the legislature intended *public lands* to have the same meaning in this case. *Holloway*, 138 Or App at 267. After finding no help from the legislative history, the court turned to general maxims of statutory construction, and stated that "in the absence of evidence to the contrary, we may assume that the legislature intends words to be used consistently." *Holloway*, 138 Or App at 267. The court then relied on the legislature's consistent definition of the term in other statutes, along with the fact that there was no evidence that the legislature intended *public lands* to mean something different in ORS 475.996, to hold that the state's proposed definition applied. *Holloway*, 138 Or App at 267–268. Assuming that the legislature intends words to be used consistently is arguably a textual approach. Therefore, a future court may choose to apply this maxim at the first step of the statutory analysis.

C. (§4.14) General Maxim—Determining Legislature's Likely Interpretation Had It Considered the Matter

In many cases, a court cannot find a specific common-law maxim that can be applied to resolve the ambiguity in a statute. In these cases, the court will attempt to determine how the legislature would have intended the statute to be applied had it considered the issue. This is the most commonly used approach to the third step of the analysis set forth in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993) (hereinafter *PGE*), having been applied in over 20 cases. Since this maxim parallels *PGE*'s general command that the goal of statutory construction is to determine legislative intent, the court

will often look for indications of such intent. Oregon courts have used a variety of techniques in this analysis. The most common approach is to look for indications of legislative intent from sources such as other Oregon statutes, or from the statutes and legislative history that were considered in the first and second step of the *PGE* analysis in the current case. *See Westwood Homeowners Ass'n v. Lane County,* 318 Or 146, 159–160, 864 P2d 350 (1993), *modified and adhered to on recons.*, 318 Or 327 (1994). On other occasions, courts have sought to avoid conflict with other statutes, considered statutes and case law from other jurisdictions, and simply applied the court's own judgment in an attempt to determine how the legislature would have intended the statute to be applied had it considered the issue. *See Carlson v. Myers*, 327 Or 213, 225–226, 959 P2d 31 (1998); *Marks v. McKenzie High Sch. Fact-Finding Team*, 319 Or 451, 878 P2d 417 (1994); *Weidner v. Oregon State Penitentiary*, 319 Or 295, 301, 877 P2d 62 (1994). Sections 4.15–4.18 discuss the techniques Oregon courts have relied on, and their application in example cases.

1. (§4.15) Indications of Legislative Intent

When attempting to determine how the legislature would have intended the statute to be applied had it considered the issue, courts will look for indications of legislative intent. This intent may be deduced from several sources. Courts most often look to the text, context, and legislative history of the statute considered in the first two steps of the analysis announced in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–611, 859 P2d 1143 (1993) (hereinafter *PGE*), and as modified by *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). This is particularly true when a court finds support for a particular construction of the statute in the first two steps of analysis, but the support is not sufficient to conclusively resolve the ambiguity.

The supreme court took this approach in *Westwood Homeowners Ass'n v. Lane County*, 318 Or 146, 864 P2d 350 (1993), *modified and adhered to on recons.*, 318 Or 327 (1994). The court was required to construe ORS 312.270(1), which provides that "'[w]hen a county acquires real property by foreclosure for delinquent taxes, the conveyance vests in the county title to the property, free from all liens and encumbrances.'" *Westwood Homeowners Ass'n,* 318 Or at 148. The issue in the case was whether, "under that statute, servitudes that benefit and burden individual lots in a planned unit development survive a tax foreclosure sale at which a county acquires title." *Westwood Homeowners Ass'n,* 318 Or at 148.

The court determined several reasons for concluding that the legislature would have intended to exclude servitudes from the meaning of *encumbrances*, and thereby allow them to survive the tax foreclosure sale. The court reasoned that the enforcement of servitudes is essential to planned community development, and that the extinction of such servitudes could have disastrous consequences. *Westwood Homeowners Ass'n,* 318 Or at 158–159. The court also noted that other related statutes showed that "the preservation of a neighborhood through a general plan of servitudes is favored by the legislature." *Westwood Homeowners Ass'n,* 318 Or at 159. Therefore, the court reasoned that the legislature would have intended that the servitudes be preserved in this situation. *Westwood Homeowners Ass'n,* 318 Or at 159.

> NOTE: This case also finds support for its conclusion in the maxim that statutes should be construed so as to satisfy the constitution. This maxim, and its application in *Westwood Homeowners Ass'n,* is discussed in §4.8.

When attempting to determine the legislature's intent, courts will consider evidence found during the first and second steps of the *PGE* analysis. In *State v. Tannehill*, 341 Or 205, 210–211, 141 P3d 584 (2006), the court was required to determine whether the term *withdraw the plea* allowed a defendant to withdraw all or just a part of his plea. The court was unable to resolve the ambiguity at steps one and two of the analysis, but did find that the text and context of the statute, particularly related statutes, indicated an intent to allow a defendant to withdraw the entire plea. *Tannehill,* 341 Or at 211. The court then turned to the third step of analysis. In applying the maxim of attempting to determine how the legislature would have intended the statute to be applied had it considered the issue, the court "[drew] guidance from the statutes that we previously have discussed" in determining their holding that the defendant could in fact withdraw his entire plea. *Tannehill,* 341 Or at 211–212.

Legislative history, even when not dispositive at the second step of analysis, can be highly probative in determining how the legislature would have intended the statute to be applied had it considered the issue. In *State v. Lonergan*, 210 Or App 155, 149 P3d 1215 (2006), *rev'd,* 344 Or 15 (2008), the court of appeals was required to determine whether the defendant had committed the crime of escape in the second degree, which required that he "use[d] physical force escaping from custody," ORS 162.155(1)(a); when he did not immediately use force in leaving

custody, but fought violently when reapprehended after a pursuit of 50 to 75 yards. The court found the statute's text and context ambiguous, and proceeded to consideration of legislative history. *Lonergan*, 210 Or App at 163. The statute was originally proposed by the Criminal Law Revision Commission in 1970, and the Commission's commentary stated that the proposed grading scheme for escape crimes was designed to address the "'*risk to others*'" created by the escape. *Lonergan*, 210 Or App at 163 (quoting Commentary to Criminal Law Revision Commission Proposed Oregon Criminal Code, Final Draft and Report §§190–192, 194–195 (July 1970) (emphasis in original)). The court found this information informative, but insufficient to decide the case at the second step of analysis, and thus proceeded to consider general maxims of statutory construction. *Lonergan*, 210 Or App at 164. The court relied on the combined maxims of how the legislature would have intended the statute to be applied had it considered the issue and that the statute should be construed in a manner consistent with its purpose. Although the court stated the maxims separately, it noted that they were interrelated. *Lonergan*, 210 Or App at 164. The court stated that legislative history, though not dispositive at the second step, may be highly probative in discerning the purpose of the statute, and hence the intent of the legislature, at the third step. *Lonergan*, 210 Or App at 164. Based on this approach, and the legislative history cited, the court determined that the legislature would have intended the statute to apply to the defendant had it considered the circumstances of this case, because the "risk to others" was the same in this case as it would be if the defendant's violent acts had occurred before his leaving custody. *Lonergan*, 210 Or App at 165. *See also Linn-Benton-Lincoln Educ. Ass'n/OEA/NEA v. Linn-Benton-Lincoln ESD*, 163 Or App 558, 570 n 8, 989 P2d 25 (1999) (applying evidence from step two of the *PGE* analysis at step three, stating that "[i]t is appropriate to allude to legislative history at the third level of the *PGE* analysis").

Sometimes the court will adopt the maxim of attempting to determine how the legislature would have intended the statute to be applied had it considered the issue, but phrase it differently. For example, in *Welliver Welding Works v. Farmen (In re Farmen)*, 133 Or App 203, 890 P2d 429 (1995), the court phrased the maxim as "we attempt to construe the language of the statute in a manner consistent with its purposes." *Welliver Welding Works*, 133 Or App at 210. The issue in the case was whether the legislature intended that worker's eligibility for vocational assistance be predicated on the worker's wage of "regular employment" at the time

of injury, or at the time of a later claim for a worsening of the condition caused by that injury. After finding support for the worker's position that the term referred to employment at the time of original injury at the first two steps of the statutory analysis, the court turned to general maxims, and stated the relevant maxim as quoted above. *Welliver Welding Works*, 133 Or App at 207–210. The court then noted that the Oregon Supreme Court has said that a purpose of workers' compensation is to compensate workers active in the workforce for wages lost due to reduced capacity to work resulting from a compensable injury. *Welliver Welding Works*, 133 Or App at 210. The court reasoned that reduced capacity to work can result from aggravation of a compensable injury, but that without the original injury, there is no worsened condition. *Welliver Welding Works*, 133 Or App at 211. Thus, the court reasoned that it is more likely that the legislature intended the worker's eligibility for vocational assistance to be based on the worker's wage at the time of the initial injury. *Welliver Welding Works*, 133 Or App at 211. In effect, the court determined how the legislature would have intended the statute to be applied had it considered the issue.

> NOTE: The court in this case applied the *PGE* analysis to its review of an administrative agency's interpretation of an "inexact term" under the approach developed in *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 223, 621 P2d 547 (1980). *Welliver*, 133 Or App at 207.

2. (§4.16) Avoid Conflict with Other Statutes

One indication of how the legislature would have intended the statute to be applied had it considered the issue is whether a proposed interpretation produces a conflict with other statutes. In *Carlson v. Myers*, 327 Or 213, 959 P2d 31 (1998), the supreme court considered the issue of whether certain ballot initiative titles and summaries violated statutes governing the form of ballot titles. To decide the issue, the court had to determine whether ORS 250.035(6), which provides in part that "[t]o avoid confusion, a ballot title shall not resemble any title previously filed," requires an unconditional ban on ballot titles that resemble each other. *Carlson*, 327 Or at 222–225. The court noted that to require such a ban would force the court to resolve an irreconcilable conflict with ORS 250.085(5), which directs the attorney general to certify accurate ballot titles for proposed initiatives. *Carlson*, 327 Or at 226. The court concluded that the legislature would not have intended such a conflict, and thus held that ORS 250.035(6) does not require an unconditional ban on ballot titles that resemble each other. *Carlson*, 327 Or at 226.

3. (§4.17) Other Jurisdictions

In *Marks v. McKenzie High Sch. Fact-Finding Team*, 319 Or 451, 878 P2d 417 (1994), the supreme court turned to the public records laws of other jurisdictions and case law interpreting them after enactment of the Oregon law. The issue in the case was whether a "fact-finding team" appointed to investigate problems at a high school was a "public body" subject to the Oregon Public Records Law. *Marks*, 319 Or at 453. The court looked to subsequent law of other jurisdictions because of a statement in the legislative history that the Oregon law was drafted after research into the public records laws of the other states, even though, as the court noted, the legislature did not adopt another jurisdiction's statute. *Marks*, 319 Or at 457–458. The court pointed out that it did not regard the case law from other jurisdictions as evidence of what the legislature actually intended when the law was enacted, because the analysis in the cases from other jurisdictions was developed only after the Oregon law took effect. Instead, the court used the case law from other jurisdictions as an indication of what the legislature might have intended had it thought of the issue. *Marks*, 319 Or at 463.

4. (§4.18) Apply Judgment of Court

In the absence of other evidence, the court will simply use its judgment in attempting to determine how the legislature would have intended the statute to be applied had it considered the issue. For example, in *Weidner v. Oregon State Penitentiary*, 319 Or 295, 297, 877 P2d 62 (1994), the court considered the issue of whether an inmate filing a petition for judicial review of an administrative order imposing sanctions for disciplinary transgressions must file the petition within 30 days of the date of the order. The applicable statute, ORS 421.195 (1993), stated that the petition must be filed "'*within 30 days of the order for which review is sought*.'" *Weidner*, 319 Or at 299. The court had to determine within 30 days of which date the petition must be filed: the date that appears on the order, the date on which the order was transmitted to the inmate, or the date on which the inmate received the order. *Weidner*, 319 Or at 300. In holding that the legislature would have applied the statute to the date which appears on the order, the court did not apply any maxims of statutory construction. Instead, the court reasoned that "the merits preponderate" in favor of the first construction because it provided certainty, and because disciplinary orders are usually immediately communicated to the inmate. *Weidner*, 319 Or at 302. The court also noted that the construction stating that the petition must be filed within 30 days of receipt was unlikely

because the text of the statute says "within 30 days of the order," which is not connected to an extrinsic event such as receipt of the order. *Weidner*, 319 Or at 300.

D. (§4.19) Common-Law Maxims That May Apply

Many common-law maxims of statutory construction have not yet been applied to the third step of the *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*), analysis in Oregon courts. In *State v. Stamper*, 197 Or App 413, 106 P3d 172 (2005), the court noted that there is no rule as to which maxims may apply and that depending on which maxim is applied, a statute can be interpreted in different ways. *Stamper*, 197 Or App at 426. The court in *Stamper* noted that the goal remains to determine legislative intent. *Stamper*,197 Or App at 427. A lawyer attempting to apply a maxim that has not yet been used in a post-*PGE* case should consider three factors. First, the lawyer should determine whether the maxim is one that aids in discerning legislative intent. Second, the lawyer should determine whether Oregon has rejected the maxim, either statutorily or via judicial opinion. Third, as discussed in §4.20, the lawyer should ensure that the maxim is not founded on an older view or principle of the law that is no longer in effect. For a detailed discussion of statutory maxims, see Norman J. Singer & J.D. Shambie Singer, *Sutherland Statutes and Statutory Construction* (2002) (supplemented periodically).

E. (§4.20) Maxims Not Used

Not all general maxims of statutory construction apply in Oregon. Some may have been rejected by statute or by the courts, and others may not apply because they are founded on an older view or principle of the law that is no longer in effect. For example, in Oregon, ORS 161.025 statutorily abrogated the rule of lenity as stated in *Bailey v. Lampert*, 342 Or 321, 327, 153 P3d 95 (2007). Under ORS 161.025(2) penal statutes must be construed "'according to the fair import of [their] terms,' rather than construing them 'strictly.'" *Bailey*, 342 Or at 327. In *Bailey*, the court had to determine whether the plaintiff was entitled to relief from a felon-in-possession conviction when the prior felony was later invalidated. The plaintiff urged that the court apply the rule of lenity to hold in his favor. *Bailey*, 342 Or at 327. However, the court refused, citing ORS 161.025(2) as its reason for holding that the plaintiff was a convicted felon at the time of the second conviction, which is all that the statute requires. *Bailey*, 342 Or at 329. The court

resolved the statutory construction issue in this case using the text-and-context analysis set forth in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–611, 859 P2d 1143 (1993) (hereinafter *PGE*).

The maxim that statutes in derogation of the common law should be strictly construed no longer applies in Oregon. In a pre-*PGE* case, *Beaver v. Pelett*, 299 Or 664, 705 P2d 1149 (1985), the supreme court considered the issue of whether the state was a "person" within the meaning of the statute governing contribution claims. In support of its argument, the state claimed that the contribution statute should be strictly construed because it derogates from the common law. *Beaver*, 299 Or at 668. The court disagreed, noting that "[e]very statute 'derogates' from prior law, if it is adopted for any substantive reason at all." *Beaver*, 299 Or at 669. In holding that it did not apply, the court noted that the maxim expressed in part resistance to changes in law, and in part the legal profession's historical preference for case law as opposed to legislation, and stated that the maxim was "long overdue to be put to rest." *Beaver*, 299 Or at 668–669. *See also Ass'n of Unit Owners of Bridgeview Condos. v. Dunning*, 187 Or App 595, 609 n 3, 69 P3d 788 (2003) (citing *Beaver*, 299 Or at 668–669, and expressing court's "wish that parties would stop invoking that canon of construction").

The courts' reaction to attempts to use the maxim that statutes in derogation of the common law should be strictly construed indicates that courts may be reluctant to apply older common-law maxims, particularly those based in a different view of the law, as was the case for this maxim. A lawyer considering use of an older maxim should first research the basis for the maxim, to ensure that it is not founded on an older view or principle of the law that is no longer in effect.

F. (§4.21) When General Maxims of Statutory Construction Do Not Resolve Issue

Sometimes, the court will proceed through all three steps of the analysis set forth in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993), and still find that legislative intent cannot be discerned. In that case, the court will consider the merits of the case at hand, without ruling on how the statute should be construed. In *GPL Treatment v. Louisiana-Pacific Corp.*, 323 Or 116, 914 P2d 682 (1996), the supreme court was faced with the issue of whether GPL's order confirmation forms, sent to Louisiana-Pacific in confirmation of an oral contract for sale of cedar shakes, satisfied the merchant's exception to

the statute of frauds. The central question was whether the order confirmation forms constituted a "writing in confirmation of the contract and sufficient against the sender" under ORS 72.2010(2). *GPL Treatment,* 323 Or at 118 & n 1. GPL contended that they did, whereas Louisiana-Pacific argued that because the forms contained a "sign and return" clause, they were merely offers, which had not been accepted. The court determined that the text and context of the statute provided no relevant information about what form a writing must take to satisfy ORS 72.2010(2). *GPL Treatment,* 323 Or at 123. The court then dismissed the legislative history as unhelpful, and without explicitly considering any maxims, stated that "we find no assistance in resort to general maxims of statutory construction." *GPL Treatment,* 323 Or at 127. As a result, the court concluded that there was no uniform answer as to the effect of a "sign and return" clause, so each writing must be considered on its merits. *GPL Treatment,* 323 Or at 126.

IV. (§4.22) REFERENCE—MAXIMS DISCUSSED

This section contains a table listing the maxims and sample cases discussed in this chapter. For a more extensive list of maxims of statutory construction (which Oregon courts may or may not choose to apply), as developed by the United States Supreme Court during the 1986 to 1991 terms, along with citations to cases, see William N. Eskridge Jr., *Dynamic Statutory Interpretation* 323 (Appendix 3) (Harvard University Press 1994).

Maxim	Cases
ORS 174.030: "Where a statute is equally susceptible of two interpretations, one in favor of natural right and the other against it, the former is to prevail."	*Buell v. State Industrial Acci. Com.*, 238 Or 492, 498, 395 P2d 442 (1964) *Roberts v. McConnville*, 310 Or 283, 289, 797 P2d 365 (1990) *McAlmond v. Myers*, 262 Or 521, 538, 500 P2d 457 (1972)

Maxim	Cases
ORS 174.080: "Whenever a statute that repealed a former statute, either expressly or by implication, is repealed, the former statute shall not thereby be revived unless it is expressly so provided."	*Care Ambulance Co. v. Multnomah County*, 97 Or App 618, 777 P2d 997 (1989) *Lilly v. Gladden*, 220 Or 84, 93–94, 348 P2d 1 (1959)
ORS 174.090: "Whenever a constitutional provision which repeals or suspends in whole or in part a former constitutional provision, either expressly or by implication, is repealed, the former constitutional provision so repealed or suspended thereby shall not be revived unless it expressly is so provided."	*Davis v. Wasco Intermediate Education Dist.*, 286 Or 261, 274, 593 P2d 1152 (1979) (Linde, J., concurring) *Klamath Falls v. Oregon Liquor Control Com.*, 146 Or 83, 91–92, 29 P2d 564 (1934)
ORS 174.530: "The statute laws described in ORS 174.510 (1) are intended to speak for themselves. All sections of the statute laws so described are considered to speak as of the same date, except that in cases of conflict between two or more sections or of an ambiguity in a section, reference may be had to the Acts from which the sections are derived, for the purpose of applying the rules of construction relating to repeal or amendment by implication or for the purpose of resolving the ambiguity."	*State v. Holland*, 202 Or 656, 659–664, 277 P2d 386 (1954) *State v. Lermeny*, 213 Or 574, 580–581, 326 P2d 768 (1958) *Davis*, 286 Or at 274 (Linde, J., concurring)
ORS 731.008, 731.016: "The Insurance Code shall be liberally construed."	*Carrigan v. State Farm Mut. Auto. Ins. Co.*, 326 Or 97, 104, 949 P2d 705 (1997)

Maxim	Cases
Determine how the legislature would have intended the statute to be applied had it considered the issue.	*Westwood Homeowners A'ssn v. Lane County*, 318 Or 146, 158, 864 P2d 350 (1993), *modified and adhered to on recons.*, 318 Or 327 (1994) *Welliver Welding Works v. Farmen (In re Farmen)*, 133 Or App 203, 210–211, 890 P2d 429 (1995) *Carlson v. Myers*, 327 Or 213, 959 P2d 31 (1998)
Construe so as to avoid conflict with other statutes.	*Carlson*, 327 Or at 225–227.
Legislative history may be highly probative in discerning the purpose of the statute.	*State v. Lonergan*, 210 Or App 155, 164, 149 P3d 1215 (2006), *rev'd,* 344 Or 15 (2008)
Consider public records laws of other jurisdictions and case law interpreting them.	*Marks v. McKenzie High Sch. Fact-Finding Team*, 319 Or 451, 457, 878 P2d 417 (1994)
Construe statutes so as to avoid constitutional conflicts.	*State ex rel. Juvenile Dep't v. Kopp (In re Hinkle)*, 180 Or App 566, 576, 43 P3d 1197 (2002) *Westwood Homeowners Ass'n,* 318 Or at 160 *Vokoun v. City of Lake Oswego*, 189 Or App 499, 511, 76 P3d 677 (2003) *State v. Lanig*, 154 Or App 665, 674, 963 P2d 58 (1998)
Presume that constitutional amendments apply prospectively.	*Lanig*, 154 Or App at 674–675
Construe statutes so as to avoid absurd results.	*State v. Walker*, 192 Or App 535, 541–542, 86 P3d 690 (2004) *State v. O'Donnell,* 192 Or App 234, 251, 85 P3d 323 (2004)

Maxim	Cases
Repeals of statutes by implication are disfavored.	*State v. Thompson-Seed*, 162 Or App 483, 490–491, 986 P2d 732 (1999)
Presume that the legislature intended to give retroactive effect to statutes that are remedial or procedural, as opposed to substantive, in nature.	*Robert Camel Contr., Inc. v. Krautscheid*, 205 Or App 498, 502, 134 P3d 1065 (2006)
Read the statute in a manner that gives effect to related statutes.	*State v. Stamper*, 197 Or App 413, 106 P3d 172 (2005)
Assume the legislature intends words to be used consistently.	*State v. Holloway*, 138 Or App 260, 267, 908 P2d 324 (1995)
Criminal statutes must give fair warning of the nature of the offense.	*State v. Duggan*, 290 Or 369, 372, 622 P2d 316 (1981)
Rule of lenity (no longer applies in Oregon).	*Bailey v. Lampert*, 342 Or 321, 327, 153 P3d 95 (2007)
Statutes in derogation of the common law should be strictly construed (no longer applies in Oregon).	*Beaver v. Pelett*, 299 Or 664, 668–669, 705 P2d 1149 (1985) *Ass'n of Unit Owners of Bridgeview Condos. v. Dunning*, 187 Or App 595, 609 n 3, 69 P3d 788 (2003)

Chapter 5 : ORS CHAPTER 174 —STATUTORY RULES OF CONSTRUCTION

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I. (§5.1) INTRODUCTION

This chapter discusses the generally applicable statutory rules of construction and statutory definitions set forth in ORS chapter 174. The most commonly relied-on provisions are considered in this chapter; however, lawyers should be familiar with all of ORS chapter 174. This chapter also cross-references those sections of other chapters that address the ORS chapter 174 rules used under each step of the analytical framework set forth in *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). *See* §1.5.

> NOTE: Several statutes within the Oregon Revised Statutes contain specific rules of construction with respect to those specific statutes. However, they are not discussed within this book because they are not generally applicable. Accordingly, the lawyer should review specific chapters and acts to determine whether the legislature adopted rules of construction that might apply to a particular statute or set of statutes.

II. (§5.2) GENERAL RULE FOR STATUTORY CONSTRUCTION

Two long-standing canons of construction with regard to the court's interpretation of a statute's text and context were codified in ORS 174.010. Oregon courts cite to ORS 174.010 when engaged in the text-and-context analysis. *See Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993). The statute states:

> In the construction of a statute, the office of the judge is simply to ascertain and declare what is, in terms or in substance, contained therein, not to insert what has been omitted, or to omit what has been inserted; and where there are several provisions or particulars such construction is, if possible, to be adopted as will give effect to all.

ORS 174.010.

Oregon courts are thus directed to not read in or ignore statutory language and to construe statutes, to the extent possible, so that every provision has meaning. When interpreting statutes, the courts may rely on one or both of the directives in ORS 174.010. *See, e.g.*, *State v. Webb*, 324 Or 380, 388, 927 P2d 79 (1996) (relying on "do not insert or omit" doctrine); *Burden v. Copco Refrigeration, Inc.*, 339 Or 388, 396, 121 P3d 1133 (2005) (discussing "give effect to all provisions" doctrine). Therefore, this chapter, as well as the text-and-context analysis in chapter 2, will discuss each directive separately.

A. (§5.3) Rule Against Inserting or Omitting

The Oregon courts have largely treated the ORS 174.010 directive not to "insert what has been omitted or omit what has been inserted" as a principle of statutory construction. *See Clackamas County v. Gay*, 146 Or App 706, 711–718, 934 P2d 551 (1997) (Landau, J., concurring) (tracing history and construction of "do not insert or omit doctrine" and ORS 174.010). For example, in *State v. Webb*, 324 Or 380, 927 P2d 79 (1996), the Oregon Supreme Court relied on ORS 174.010 when it considered ORS 46.040, which stated:

> District courts shall have the same criminal and quasi-criminal jurisdiction as justices courts and shall have concurrent jurisdiction with the circuit courts of all misdemeanors . . . *where the punishment prescribed does not exceed one year's imprisonment in the county jail or a fine of $3,000, or both such fine and imprisonment.*

Webb, 324 Or at 384–385 (quoting ORS 46.040 (1993)).

The issue was "whether the clause 'where the punishment prescribed does not exceed . . . a fine of $3,000'" limited both antecedent clauses, which would have the effect of precluding district court jurisdiction for any misdemeanor case when the fine exceeded $3,000, or only the immediately preceding antecedent clause. *Webb*, 324 Or at 385–386.

The court in *Webb* noted that the former construction, modification of both antecedent clauses, was incorrect because it would force the court

> to alter the sentence in some way—by changing the punctuation or the wording—in order reasonably to read the statute as defendant proposes. That is, defendant reads the first sentence of ORS 46.040 (1993) to mean: District courts shall have (1) the same criminal and quasi-criminal jurisdiction as justices' courts and (2)

> concurrent jurisdiction with the circuit courts of all misdemeanors, where the punishment prescribed does not exceed a $3,000 fine. By contrast, no change in the punctuation or wording is required to support the [plaintiff's] reading of the text [where the "fine of $3,000" limit only modifies the immediately preceding clause]. We are "not to insert what has been omitted, or to omit what has been inserted."

Webb, 342 Or at 388–389 (quoting ORS 174.010).

In other words, the court reasoned that ORS 174.010 prohibited the court from altering ORS 46.040 and the defendant's construction would have required the court to alter that provision by inserting a comma. Thus, the court read ORS 46.040 as written and relied on rules of grammar consistent with the state's proposed construction. *Webb*, 324 Or at 388–389 (also relying on doctrine of last antecedent).

Oregon courts historically have shown varying levels of tolerance for creating exceptions to ORS 174.010 and its predecessors. *See Gay*, 146 Or App at 711–718 (Landau, J., concurring) (tracing history and construction of "do not insert or omit" doctrine and ORS 174.010). For example, in 1944, the Oregon Supreme Court held:

> If the language is plain and unambiguous, if it can be given but one meaning, and that meaning does not lead to an impossibility or an absurdity such as the legislature could not be supposed to have intended, the court must give effect to that meaning if constitutional, *even though the result may be, in the court's opinion, harsh, unjust, or mistaken in policy* . . .
>
> When, however, a literal application of the language produces an *absurd or unreasonable result*, it is the duty of the court to construe the act, if possible, so that it is a reasonable and workable law and not inconsistent with the general policy of the legislature.

Fox v. Galloway, 174 Or 339, 347, 148 P2d 922 (1944) (emphasis added).

Similarly, in 1974, the Oregon Supreme Court again expressed the view that "the rule requiring the court to follow the plain meaning of seemingly unambiguous language is not inflexible and not without exception." *Johnson v. Star Machinery Co.*, 270 Or 694, 703–704, 530 P2d 53 (1974) (citing "rule of the equity of the statute" in 2A C. Dallas Sands, *Sutherland Statutory Construction* 351–377, ch 54 (4th ed 1973)). In other words, because "it is the legislative intent which controls[,] [w]hen such intent is manifest the courts must give it effect, even

though to do so does violation to the literal meaning of its words." *Johnson*, 270 Or at 706–707. *See also State ex rel. Kirsch v. Curnutt*, 317 Or 92, 97–98, 853 P2d 1312 (1993) ("This court often has noted that, in discerning the intent of the legislature, a statute should not be construed so as to ascribe to the legislature the intent to produce an unreasonable or absurd result." (internal quotation omitted)).

However, since the decision in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*), no majority opinion by an Oregon court has cited *Fox* or *Johnson* favorably, or otherwise suggested that an exception exists to the ORS 174.010 directive to not insert or omit. Judge Landau of the court of appeals has repeatedly described *Johnson* as "bad law, not merely because it conflicts with *PGE*, but because it also conflicts with fundamental statutory and constitutional principles concerning the nature of the judicial power." *Young*, 161 Or App at 42 (Landau, J., concurring).

B. (§5.4) Giving Effect to All Provisions

In addition to the ORS 174.010 directive not to "insert or omit" language (*see* §5.3), ORS 174.010 also provides that "where there are several provisions or particulars such construction is, if possible, to be adopted as will give effect to all." ORS 174.010. That directive requires courts to "construe statutes on the same subject as consistent and in harmony with one another." *State v. Langdon*, 151 Or App 640, 645, 950 P2d 410 (1997), *aff'd,* 330 Or 72 (2000); *see also Burden v. Copco Refrigeration, Inc.*, 339 Or 388, 396, 121 P3d 1133 (2005) (construing ORCP 21 A pertaining to certificate of service as consistent with ORCP 7); *Environmental Quality Comm'n v. City of Coos Bay,* 171 Or App 106, 110, 14 P3d 649 (2000) ("We are required, if possible, to avoid construing statutes in a way that renders any provision meaningless.").

The "give effect to all" directive allows the courts to assume the legislature did not intend any portion of a statute to contain redundant or surplus language. ORS 174.010. Thus, the courts rely on this rule to avoid rendering the statutory provision at issue a nullity or to avoid rendering any part of *another* statutory provision a nullity. *State v. Stamper*, 197 Or App 413, 423, 106 P3d 172 (2005) (noting that proffered construction would "render[] superfluous portions of other statutes"). See chapter 2 for further discussion of this rule as part of the text-and-context analysis under the statutory analytical framework.

However, the courts may adopt a construction that renders a provision superfluous or redundant if there is strong evidence that the construction the lower court adopted was, in its view, the correct one or the "preferable" one. *Thomas Creek Lumber & Log Co. v. Dep't of Revenue,* 344 Or 131, 137–138, 178 P3d 217 (2008) (acknowledging that interpretation created redundancy but finding that construction "preferable" to rendering all of provision ineffective or omitting words); *Stamper*, 197 Or App at 423–427 (acknowledging that construction rendered superfluous portions of another statute, but concluding that evidence indicated legislature intended construction adopted by court). See chapter 2 for further discussion and examples of how courts rely on the "give effect to all" provision.

The court of appeal's opinion in *Keller v. SAIF Corp. (In re Keller)*, 175 Or App 78, 27 P3d 1064 (2001) illustrates how courts seek to give effect to all provisions. In *Keller*, an employee injured his foot at work but did not notify the employer of the injury or file a workers' compensation claim for almost a year. The employer was aware of the injury but not of the fact that it occurred at the workplace. *Keller*, 175 Or App at 80–81. The administrative law judge denied the employee's claim for relief, citing the notice requirement under ORS 656.265, which provided that:

> "(1) Notice of an accident resulting in an injury or death shall be given immediately by the worker or a dependent of the worker to the employer, but not later than 90 days after the accident . . . .
>
> ". . . .
>
> "(4) Failure to give notice as required by this section bars a claim under this chapter unless **the notice is given** within one year after the date of the accident and:
>
> "(a) The **employer had knowledge** of the injury or death[.] (Emphasis added.)"

Keller, 175 Or App at 80.

The employee argued that his claim was not time-barred even though he failed to provide his employer notice of the injury within 90 days, because, in his view, "the knowledge requirement [under ORS 656.265(4)(a)] is satisfied if the employer learns of the injury *any time within one year after the date of the accident*." *Keller*, 175 Or App at 81 (emphasis added).

The court of appeals disagreed, concluding that the text of ORS 656.265 only excused an employee "from giving formal notice within 90 days, so long as the employer had actual knowledge of the injury during that same 90-day time period and the claimant gave formal notice within one year." *Keller*, 175 Or App at 82. The court reasoned that construing the knowledge requirement of ORS 656.265(4)(a) to extend beyond the 90-day formal notice requirement in subsection (1) would, "essentially, swallow up the rule stated in ORS 656.265(1)," rendering it superfluous, and thus violating ORS 174.010. *Keller*, 175 Or App at 82. In sum, ORS 174.010 directs the courts to construe statutes, when possible, in a manner that gives effect to all provisions unless the court concludes that the legislature intended a different construction. *See Stamper*, 197 Or App at 418.

> NOTE: The supreme court recently granted review in *State v. Hogevoll*, 223 Or App 526, 196 P3d 1008 (2008), to address, among other issues, whether "at the first level of statutory construction (namely context)" a court may consider "the absurdity of a construction that would nullify related statutes" or whether the absurd result maxim may be applied only at the third step of the analysis under *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). Oregon Supreme Court media release (June 4, 2009), available at www.ojd.state.or.us/SCA/WebMediaRel.nsf/Supreme?OpenView&Start=1&Count=1000.

III. (§5.5) GENERAL AND PARTICULAR PROVISIONS

Oregon courts regularly rely on ORS 174.020 when construing statutes to give effect to the legislature's intent or to set forth Oregon's statutory construction methodology. *State v. Gaines*, 346 Or 160, 171–173, 206 P3d 1042 (2009) (citing ORS 174.020). The statute includes three subsections, which address the court's goal in the interpretation of statutes:

> (1)(a) In the construction of a statute, a court shall pursue the intention of the legislature if possible.
>
> (b) To assist a court in its construction of a statute, a party may offer the legislative history of the statute.
>
> (2) When a general and particular provision are inconsistent, the latter is paramount to the former so that a particular intent controls a general intent that is inconsistent with the particular intent.

> (3) A court may limit its consideration of legislative history to the information that the parties provide to the court. A court shall give the weight to the legislative history that the court considers to be appropriate.

ORS 174.020.

This section focuses on ORS 174.020(2), relating to inconsistent general and particular provisions, which the courts rely on at the court's text-and-context analysis. The method Oregon courts use to discern the legislature's intent, ORS 174.020(1)(a), and the role of legislative history as expressed in ORS 174.020(1)(b) and (3) are addressed in §§1.3–1.5.

Under ORS 174.020(2), "'when one statute deals with a subject in general terms and another deals with the same subject in a more minute and definite way, the two should be read together and harmonized, if possible, while giving effect to a consistent legislative policy.'" *Kambury v. DaimlerChrysler Corp.*, 334 Or 367, 374, 50 P3d 1163 (2002) (quoting *State v. Guzek*, 322 Or 245, 268, 906 P2d 272 (1995)). In *Smith v. Multnomah County Bd. of Comm'rs,* 318 Or 302, 309, 865 P2d 356 (1994) (quoting *State v. Preston*, 103 Or 631, 637, 206 P 304 (1922)), the court reiterated that:

> "[W]here there is a conflict between two statutes, both of which would otherwise have equal force and effect, and the provisions of one are particular, special and specific in their directions, and those of the other are general in their terms, the special provisions must prevail over the general provisions[.]"

Conversely, when a general provision and a *later-enacted* particular provision are irreconcilable, "the specific statute is considered an exception to the general one." *Strader v. Grange Mut. Ins. Co.*, 179 Or App 329, 337–338, 39 P3d 903 (2002) (under first-step analysis, "when a general and particular provision are inconsistent, the latter is paramount to the former so that a particular intent controls a general intent that is inconsistent with the particular intent" (quoting ORS 174.020(2)); *Lewis v. CIGNA Ins. Co. (In re Lewis)*, 339 Or 342, 350, 121 P3d 1128 (2005) (articulating same). When determining whether a statute is more specific, the court considers whether the statutes relate to the same subject matter and which of the two statutes deals with the subject matter "in a more minute and definite way." *Guzek*, 322 Or at 268. Therefore, the court's analysis under ORS 174.020 requires two inquires: (1) whether the two provisions are inconsistent; and (2) if the two provisions are inconsistent, then which of the two provisions is general and which is specific. See chapter 2 discussing this rule of construction.

Under the first inquiry, the courts prefer to construe statutes in harmony with each other. *Guzek*, 322 Or at 268 (citing *State v. Pearson*, 250 Or 54, 58, 440 P2d 229 (1968)). *Guzek* offers an example of how Oregon courts engage in this analysis. In *Guzek*, the court reconciled two statutes governing sentencing procedures. The first, ORS 137.013, was "a *general* statute that appear[ed] in a chapter containing the sentencing procedures for non-capital cases," which gave "victims or their next of kin the right to make impact statements . . . at the time of *sentencing* in criminal cases generally." *Guzek*, 322 Or at 268 (emphasis added). By contrast, ORS 163.150(1)(a) was a more specific statute, which provided specific procedures to follow in a penalty phase for a capital case. *Guzek*, 322 Or at 268. Moreover, as the court noted earlier in the opinion, "victim impact statements [we]re not 'relevant to sentenc[ing]' in capital cases under ORS 163.150(1)(b) (1989)." *Guzek*, 322 Or at 269 (ORS 163.150(1)(b) (1989) set forth four questions that jury must answer in capital case).

The supreme court reasoned that any inconsistency between the two statutes could be resolved by construing "ORS 137.013 to apply only to sentencing in noncapital cases," thereby giving effect to both statutes. *Guzek*, 322 Or at 269.

Only if the statutes are inconsistent does the court determine which statute is general and which statute is specific. Oregon courts have not offered a bright-line or consistent approach for distinguishing general provisions from particular provisions, but courts have described the application of ORS 174.020(2) as a "circular exercise" under which the determination of which statute is general and which is particular is more the product of the parties' arguments than an application of clear judicial precedent. *State v. Vedder*, 206 Or App 424, 430, 136 P3d 1128 (2006); *Larsen v. Bd. of Parole & Post-Prison Supervision*, 206 Or App 353, 363, 138 P3d 16 (2006) ("We are mindful of the fact that it is not always easy to discern which among statutes is the 'general' and which is the 'specific,' . . . "). Moreover, the courts have cautioned that the rule is easily manipulated and, thus, should be applied with caution. *See Oregonians for Sound Econ. Policy v. State Accident Ins. Fund Corp.*, 187 Or App 621, 631, 69 P3d 742 (2003) (addressing rules of construction generally, "caution is always in order when invoking such rules of construction, if for no other reason than they are often quite vague themselves and subject to manipulation").

The interpretation of two statutes in *Oregonians for Sound Econ. Policy* demonstrates the challenges of distinguishing the general from the particular. In

that case, the court of appeals was confronted with the inconsistent provisions of ORS chapter 192, the Public Records Law, and a public inspection provision for records held by the State Accident Insurance Fund Corporation (SAIF) under ORS 656.702(1), which the plaintiff sought to enforce through a declaratory judgment action under ORS 28.010 and 28.020. *Oregonians for Sound Econ. Policy*, 187 Or App at 626. SAIF argued that the Public Records Law was more specific than the declaratory judgment provisions, and, to the extent that the two conflicted, the Public Records Law controlled. The plaintiff argued, and the court of appeals agreed, that the proper inquiry was whether ORS 656.702, a statute specific to SAIF records was more specific than the Public Records Law. *Oregonians for Sound Econ. Policy*, 187 Or App at 626. In addressing SAIF's argument under ORS 174.020 relating to the specific statute controlling over the general, the court noted the troubling application of ORS 174.020(2):

> the rule that in cases of conflict, specific statutory provisions control over general ones can produce different results depending on which statute is characterized as the specific and which as the general. The problem is that, in many cases, the same statutes may be characterized as specific or general depending on which features a court chooses to emphasize. In a similar vein, the application of the rule depends on which statutes are deemed to conflict.

Oregonians for Sound Econ. Policy, 187 Or App at 631.

Oregon courts have declined to set forth a bright-line rule for distinguishing a general provision from a particular provision. As *Oregonians for Sound Econ. Policy* illustrates, which of two provisions is the general and which is the particular will depend in large part on the circumstances of a given case. Thus, lawyers relying on ORS 174.020(2) when construing a statute should keep in mind that Oregon courts are cognizant of ORS 174.020(2)'s vulnerability to sometimes conflicting applications, and should, therefore, ensure that their positions pertaining to general and particular provisions be well supported by the language of the statute itself.

IV. (§5.6) FAVORING NATURAL RIGHT TO PREVAIL

The legislature's preference that statutes be construed to promote "natural rights" is established in ORS 174.030, which states that, "[w]here a statute is equally susceptible of two interpretations, one in favor of natural right and the other against it, the former is to prevail." Oregon courts consider ORS 174.030

when engaged in the third step of statutory construction analysis (as outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*) and modified by *State v. Gaines*, 346 Or 160, 171–173, 206 P3d 1042 (2009)), when the legislature's intent regarding a statute remains ambiguous after assessing the statute's text and context, and legislative history. *PGE*, 317 Or at 612 ("Although some of those maxims of statutory construction may be statutory, *see, e.g.*, ORS 174.030 (natural rights), others more commonly may be found in case law."). Consequently, Oregon courts tend to consider arguments based on natural rights as mere supporting rules.

No Oregon court has relied on ORS 174.030 as the basis for a decision since the Oregon Supreme Court set forth *PGE*'s statutory construction regime. Nonetheless, in the early twentieth century the Oregon Supreme Court defined natural rights generally as "'those which grow out of the nature of man and depend upon personality as distinguished from such as are created by law and depend upon civilized society, or they are those which are plainly assured by natural law.'" *Kosciolek v. Portland R., L. & P. Co.*, 81 Or 517, 523, 160 P 132 (1916) (quoting *Black's Law Dictionary* 1038).

More specifically, the court has stated that natural rights at common law include "the right of personal security in the legal enjoyment of life, limb, body, health and reputation, the right of personal liberty, and the right of private property." *Kosiolek*, 81 Or at 522; *see also McAlmond v. Myers*, 262 Or 521, 538, 500 P2d 457 (1972) (Bryson, J., dissenting) ("It is the natural right of electors of major political parties to seek office and vote for the candidate of their choice.").

In those decisions when the court has cited to natural rights, the courts have tended to couple their discussions of natural rights with references to absurd results or legislative policy. For example, in *Buell v. State Industrial Acci. Com.*, 238 Or 492, 494–495, 395 P2d 442 (1964), the Oregon Supreme Court was faced with a statute that it deemed ambiguous in its determination of whether a claimant could appeal a State Industrial Accident Commission decision after two years. The court held for the claimant despite the literal meaning of the statute, reasoning that "[w]hile there is no 'natural' right to receive compensation, there is a strong legislative policy in favor of it." *Buell*, 238 Or at 498. *See also State v. Stuart*, 250 Or 303, 308, 442 P2d 231 (1968) (citing ORS 174.030 as authority for not imparting to the legislature a particular intent for a statute, because to do so it "would be necessary to ascribe such an intent to the realm of whimsy or to

legislative fecklessness"); *State v. McGuire*, 24 Or 366, 378–379, 33 P 666 (1893) (noting in dicta that "it would be our duty to adopt that construction which would avoid unjust consequences"). Although the court in *Buell* did not expressly rely on ORS 174.030 as authority for its reasoning, the natural rights doctrine seemed to influence the court's reasoning.

Oregon is not alone in largely discarding natural rights as a basis for construing statutes. "The violation of a common law or natural right was regarded in early . . . American jurisprudence as an 'extra-constitutional' ground for declaring a statute invalid." Norman J. Singer, *Sutherland Statutes and Statutory Construction* §61:6 (6th ed 2007) (supplemented periodically). At most, modern courts look to natural rights for the "rule that statutes in derogation of natural or common rights are to be strictly interpreted." Singer, *supra*. In sum, lawyers should be cognizant that although perhaps out of fashion and rarely applied, statutory construction arguments based on natural rights under ORS 174.030 remain viable.

V. (§5.7) SEVERABILITY

The rule the courts rely on for determining whether an unconstitutional statutory provision may be severed from a statute without jeopardizing the statute in its entirety is codified in ORS 174.040. That statute states:

> It shall be considered that it is the legislative intent, in the enactment of any statute, that if any part of the statute is held unconstitutional, the remaining parts shall remain in force unless:
>
> (1) The statute provides otherwise;
>
> (2) The remaining parts are so essentially and inseparable connected with and dependent upon the unconstitutional part that it is apparent that the remaining parts would not have been enacted without the unconstitutional part; or
>
> (3) The remaining parts, standing alone, are incomplete and incapable of being executed in accordance with the legislative intent.

ORS 174.040.

Thus, ORS 174.040 only applies once the court has resolved the constitutional issue and declared a provision unconstitutional. *State v. Dilts*, 337 Or 645, 653–654, 103 P3d 95 (2004) ("[T]his court considers whether a part of a statute should be severed only when part of a statute is held to be unconstitutional

and the court therefore must determine whether *that* part of the statute can be severed and the remaining parts of the statute saved."); *Bernstein Bros., Inc. v. Department of Revenue*, 294 Or 614, 618, 661 P2d 537 (1983) ("When a party contends the entire act is unconstitutional . . . severability is not germane until the constitutional claim itself is resolved.").

Although ORS 174.040 appears to only apply to statutes, the courts have cited it when determining whether an unconstitutional provision in a municipal ordinance may be severed. *D.S. Parklane Dev., Inc. v. Metro*, 165 Or App 1, 16, 994 P2d 1205 (2000) (severability principles that apply to statutes also apply to municipal ordinances).

Whether an unconstitutional provision "is severable from the enactment of which it is a part is a question of legislative intent." *Advocates for Effective Regulation v. City of Eugene*, 176 Or App 370, 376, 32 P3d 228 (2001); *City Univ. v. Office of Educ. Policy & Planning*, 126 Or App 459, 472–473, 870 P2d 222, *aff'd,* 320 Or 422 (1994) (De Muniz, J., concurring in part and dissenting in part) ("In deciding whether to delete one word or to delete [a provision] in its entirety, a court is guided by the rule that statutory provisions should be severed only if the challenged portion can be removed 'without doing violence to the intent of the legislature.'" (quoting *Pavlicek v. State Industrial Acci. Com.*, 235 Or 490, 494, 385 P2d 159 (1963))).

However, ORS 174.040, which codifies the common-law presumption of severability, only applies if the statute has neither an express severability clause nor a nonseverability clause. *Advocates for Effective Regulation*, 176 Or App at 376 & n 1; *State v. Jackson*, 224 Or 337, 343, 356 P2d 495 (1960) ("ORS 174.040 does no more than to codify what has long been the common law rule of construction in this state."). If the statute includes an express severability clause—a provision that expressly states that if any part of a statute is held unconstitutional, the remainder will not be affected—then the courts will discern the legislature's intent pertaining to that clause under the usual statutory interpretive framework, without consulting ORS 174.040. *Advocates for Effective Regulation*, 176 Or App at 376; *see* ORS 28.140 (example of severability clause pertaining to declaratory judgments, "[t]he several sections and provisions of this chapter, except ORS 28.010 and 28.020, are hereby declared independent and severable, and the invalidity, if any, of any part or feature thereof shall not affect or render the remainder of the chapter invalid or inoperative").

Oregon courts have read ORS 174.040 as requiring that the presumption of severability can only be overcome if:

> (1) the enactment provides that the remaining parts shall not remain in effect;
>
> (2) the remaining parts are so dependent on the invalid part that the remaining parts would not have been enacted without the invalid part; or
>
> (3) the remaining parts, standing alone, are incomplete and incapable of being executed in accordance with legislative intent.

Advocates for Effective Regulation, 176 Or App at 376 (citing ORS 174.040).

If the unconstitutional word or provision of a statute cannot be severed without undermining the legislature's intent regarding the statute as a whole, then the court invalidates the statute in its entirety. *City Univ. v. Office of Educ. Policy & Planning*, 320 Or 422, 426–427, 885 P2d 701 (1994) (hereinafter *City Univ. II*); *City of Portland v. Roth*, 130 Or App 179, 184, 880 P2d 967 (1994).

In considering the legislature's intent regarding severability under ORS 174.040, the courts first look to the express terms of the statute. ORS 174.040(1). If the legislature has included a nonseverability clause in a statute—a provision that expressly states that the legislature does not intend any part of an act to be law if any other part is declared unconstitutional—then the nonseverability clause controls. ORS 174.040(1). If the statute does not include a nonseverabilility clause, then the court presumes severability, unless "the remaining parts would not have been enacted without the invalid part, or . . . standing alone, are incomplete and incapable of being executed in accordance with legislative intent." *Advocates for Effective Regulation*, 176 Or App at 376; ORS 174.040(2)–(3). In discerning the legislature's intent, the courts look to the text in context, *Portland v. Dollarhide*, 300 Or 490, 504–505, 714 P2d 220 (1986) (considering text and legislative history of city ordinance), the amendment history of the statute, and the legislative history. *See City Univ. II*, 320 Or at 426–427 (considering legislative and amendment history of statute). When determining whether the remaining parts would not have been enacted without the unconstitutional part or, standing alone, are incomplete and incapable of being executed in accordance with the legislative intent, the court may seek to discern the legislature's primary purpose in enacting the statute. *City Univ. II*, 320 Or at 427–428. That inquiry may aid the court in determining whether the legislature's purpose in enacting the statute can be fulfilled without the severed provision. *City Univ. II*, 320 Or at 427–428.

The Oregon Supreme Court's treatment of ORS 174.040 is well illustrated in *City Univ. II*. In that case, the court assessed the constitutionality of ORS 348.835(2)(c) (a provision that exempted Oregon schools from oversight and approval of the Oregon Office of Educational Policy and Planning (OEPP), and that was determined by the trial court and court of appeals to discriminate against out-of-state schools in violation of the Commerce Clause of the U.S. Constitution). *City Univ. II*, 320 Or at 424–425. The oversight exemption applied to "[a]ny Oregon school which is a member in good standing of the Northwest Association of Schools and Colleges." *City Univ. II*, 320 Or at 424; ORS 348.835(2)(c). Both parties agreed that the provision was unconstitutional but disputed whether severing only the word "Oregon" from ORS 348.835(2)(c) or the entire subsection was the proper remedy. *City Univ. II*, 320 Or at 425 (noting that "[n]either the state nor plaintiff argue[d] that ORS 348.835 must be invalidated in its entirety; nor [did the court] know of any reason to invalidate the statute in its entirety").

The court walked through the ORS 174.040 analysis, concluding first, with respect to ORS 174.040(1), that ORS 348.835 did not expressly state that the statute was not severable. *City Univ. II*, 320 Or at 426. Next, the court considered ORS 174.040(2), and concluded, without explanation, that the remaining provisions were not so dependent on subsection (2)(c) of ORS 348.835 that the legislature would not have enacted the remaining parts without subsection (2)(c). *City Univ. II*, 320 Or at 426. Finally, in considering ORS 174.040(3), the court concluded that subsection (2)(c) must be severed in its entirety. The court reasoned that ORS 348.835's legislative history suggested that the "*dominant* legislative purpose in enacting . . . paragraph (2)(c) was to protect Oregon citizens, educational institutions, and students from schools that entered the Oregon market with no front-end review," and "[t]hat purpose is not served by severing the word 'Oregon' from ORS 348.835(2)(c)." *City Univ. II*, 320 Or at 431–432. In sum, the court considered each of the inquiries under ORS 174.040 to determine the legislature's intent regarding severability. In doing so, the court considered the text, context, and legislative history of the relevant statute.

VI. (§5.8) EFFECT OF AMENDMENT OF STATUTE ADOPTED BY REFERENCE

A presumption is established under ORS 174.060 that when one Oregon statute references another Oregon statute, the reference applies to the most current version of the referenced statutory provision. Specifically, ORS 174.060 states:

> When one statute refers to another, either by general or by specific reference or designation, the reference shall extend to and include, in addition to the statute to which reference was made, amendments thereto and statutes enacted expressly in lieu thereof unless a contrary intent is expressed specifically or unless the amendment to, or statute enacted in lieu of, the statute referred to is substantially different in the nature of its essential provisions from what the statute to which reference was made was when the statute making the reference was enacted.

ORS 174.060 does not apply if the later amendment or statute enacted in lieu of the cross-referenced statute "is substantially different in . . . nature." ORS 174.060. Thus, when the legislature amends a cross-referenced statute or substitutes a cross-referenced statute with another statute, the court will inquire into whether the amended or substituted statute is "substantially different in nature." *See Harris v. Board of Parole*, 47 Or App 289, 297–299, 614 P2d 602 (1980) (statute incorporated by reference when original and substituted provisions both dealt with scope of review in contested cases); *Conrad v. Motor Vehicles Div.*, 30 Or App 501, 503, 567 P2d 587 (1977) (statute incorporated by reference substituted financial responsibility statute when original and substituted provisions established similar, although not identical, offenses for driving while intoxicated).

The Oregon Court of Appeals has interpreted ORS 174.060 as applying "only to references to Oregon statutes" and not to non-Oregon statutes. *State v. Charlesworth*, 151 Or App 100, 107, 951 P2d 153 (1997) (considering ORS 166.715's reference to 18 USC §1961 pertaining to racketeering). That construction is consistent with constitutional principals. Construing ORS 174.060 to apply to non-Oregon statutes "would run afoul of the Oregon constitutional prohibition against the delegation of legislative powers." *Charlesworth*, 151 Or App at 107.

Nonetheless, with respect to income-tax provisions, the legislature may adopt by reference provisions of the federal Internal Revenue Code, which may be amended from time to time. Or Const art IV, §32 (constitutional provision adopted by referendum creating exception to rule that legislature cannot delegate its

powers). The supreme court noted that the exception applies only to taxable income provisions for income-tax purposes. *Seymour v. Department of Revenue,* 311 Or 254, 258, 809 P2d 100 (1991).

Thus, aside from income-tax provisions, lawyers should note that if an Oregon statute references a specific non-Oregon statute, Oregon courts will consider only the version of the non-Oregon statute that existed when the Oregon statute was enacted, not the non-Oregon statute's subsequent amendments.

VII. (§5.9) DEFINITIONS

Definitions for a number of terms and phrases used in other sections of the Oregon Revised Statutes are provided in ORS 174.100– 174.118. These definitions can be divided into two categories: "Miscellaneous" definitions in ORS 174.100–174.107, and "Public Bodies" definitions in ORS 174.108–174.118. The legislature also limited the application of these definitions to specific circumstances. Thus, the lawyer needs to be familiar with these ORS chapter 174 definitions, but apply them only as specifically articulated by the legislature.

The legislature has made the definitions in ORS 174.100–174.105 generally applicable to all statutes that use one of the defined terms, with some exceptions. Conversely, the definitions in ORS 174.108– 174.118 only apply if a statute expressly cross-references the defined term, and those definitions expressly apply only to statutes enacted after January 1, 2002. ORS 174.108(2). To the extent that the definitions in ORS chapter 174 apply, the court considers them as part of the text-and-context statutory construction analysis. Definitions of miscellaneous terms defined in ORS 174.100–174.107 are discussed in §5.10, and the "Public Bodies" terms defined in ORS 174.108–174.118 are discussed in §5.11.

A. (§5.10) Definitions—Miscellaneous Terms

A number of miscellaneous terms are defined in ORS 174.100– 174.107. These definitions apply generally to the Oregon Revised Statutes, except as specifically limited. The most commonly used terms are defined in ORS 174.100. Those terms are: *any other state, city, county court, may not, person, sexual orientation, state treasury, to, United States,* and *violate.* Those definitions apply "unless the context or a specially applicable definition requires otherwise." ORS 174.100.

Other miscellaneous definitions include:

- *Agricultural commodity and agricultural product*, ORS 174.102;
- *Public notice*, ORS 174.104;
- *War veteran*, ORS 174.105;
- *Domesticated elk*, ORS 174.106; and
- *Person with a disability*, ORS 174.107.

The definitions of *domesticated elk* (ORS 174.106) and *person with a disability* (ORS 174.107) apply to all uses of those terms in the Oregon statutes. On the other hand, the definitions in ORS 174.100– 174.105 apply in all those situations when the terms are used, except when the "context or a specially applicable definition requires otherwise." ORS 174.100. In addition, the definitions of *agricultural commodity* and *agricultural product* in ORS 174.102 expressly apply to "any administrative rule" adopted pursuant to a statute. ORS 174.102. When a term defined in ORS 174.100–174.105 is used in a statute and not specially defined in that statute, the party arguing that the legislature did not intend the ORS chapter 174 definition to apply "must identify some statutory context to show that" the term as used in the relevant provision has a "different and narrower definition." *Hamilton v. Paynter*, 342 Or 48, 53, 149 P3d 131 (2006). Likewise, ORS 174.100–174.105 are nonexclusive, meaning that parties may supplement ORS chapter 174 definitions with definitions from other sources that are not inconsistent with the ORS chapter 174 definitions. *State v. Rennells*, 213 Or App 423, 435–436, 162 P3d 1006 (2007) (definition of *violate* in ORS 174.100(9) was "not exclusive" and referring to *Webster's Third New International Dictionary* for common meaning).

The Oregon Supreme Court's discussion in *Hamilton*, 342 Or at 53–55, of the definition of *person* in ORS 174.100, offers an analysis of the application of definitions or whether "the context . . . requires otherwise." In *Hamilton*, the Oregon Supreme Court assessed whether the definition of *person* in ORS 174.100(5) applied to the legislature's use of *person* in ORS 12.155, which provided that when a *person* makes an advance payment for an injury, the statute of limitations is tolled until the *person* providing the payment gives the injured party written notice of the date the applicable statute of limitations expires. *Hamilton*, 342 Or at 52–53. In arguing that the statute of limitations had expired, the defendant argued that it was not a *person* under ORS 12.155 because the

legislature intended that reference to *persons* to only include insurers, not members of the general public. *Hamilton,* 342 Or at 50–53.

The court in *Hamilton* noted that the defendant was a *person* under ORS 174.100(5), which included "individuals, corporations, associates, firms, partnerships, limited liability companies and joint stock companies." *Hamilton,* 342 Or at 53–54. Therefore, the defendant bore the burden to "identify some statutory context to show that the word 'person' as used in ORS 12.155, had a different and narrower definition." *Hamilton,* 342 Or at 53. The supreme court rejected the defendant's argument that ORS 12.155 applied only to insurers, not members of the public. The court reasoned that ORS 12.155(1)'s reference to the Department of Consumer and Business Services, which had oversight over "insurers, not the general public," did not "require a narrower definition of the word 'person.'" *Hamilton,* 342 Or at 53–54. Rather, the court reasoned, "[t]he plain text of ORS 12.155 simply require[d] any 'person who makes an advance payment,' whether an insurer or not, to use the [Department of Consumer and Business Service's] form." *Hamilton,* 342 Or at 53–54.

Oregon courts rarely cite to the ORS chapter 174 definitions. Specifically, apart from ORS 174.100's definitions for *person, violate,* and *may not,* Oregon courts have not meaningfully discussed or cited definitions in ORS 174.100–174.107. *See Hamilton,* 342 Or at 53 (defining *person*); *Rennells,* 213 Or App at 436 (defining *violate*); *Jury Serv. Res. Ctr. v. Carson,* 199 Or App 106, 112, 110 P3d 594 (2005), *rev'd,* 340 Or 423 (2006) (defining *may not*). As the Oregon Supreme Court's reference to ORS 174.100(5) in *Hamilton* illustrated, however, failing to adequately consider and prepare arguments addressing ORS chapter 174's definitions can meaningfully affect a case. Thus, the lawyer should both be mindful that ORS chapter 174's definitions exist, and know when they apply and recognize the import those provisions may have in crafting statutory construction arguments.

B. (§5.11) Definitions—Public Bodies

The following terms are defined under ORS 174.108–174.118:

- *Public body* (ORS 174.109);
- *State government* (ORS 174.111);
- *Executive department* (ORS 174.112);

- *Judicial department* (ORS 174.113);
- *Legislative department* (ORS 174.114);
- *Local government* and *local service district* (ORS 174.116);
- *Special government body* (ORS 174.117).

Unlike the miscellaneous terms defined in ORS 174.100–174.105 (*see* §5.10), which generally apply to all statutory provisions unless the legislature indicates a contrary intent, the "Public Bodies" definitions only apply "if the statute using the [definition] makes specific reference to the provision of ORS 174.108 to 174.118 that defines the term and indicates that the term has the meaning specified in that provision." ORS 174.108(1). Likewise, the "Public Bodies" definitions do not apply to the Oregon Health and Science University, the Oregon State Bar, or any intergovernmental entity formed with another state, political subdivision of another state, or an agency of the federal government. ORS 174.108(3). Oregon courts have not cited to any of the "Public Bodies" definitions in ORS 174.108–174.118. Consequently, the lawyer probably need not be as sensitive to "Public Bodies" definitions as miscellaneous definitions, because the relevant statute will reference ORS 174.108– 174.118 if those definitions apply. Nonetheless, lawyers should be mindful that a particular statute's failure to cross-reference ORS 174.108–174.118 may constitute evidence that the legislature intended for a term to have a meaning other than the definition provided by ORS chapter 174.

VIII. (§5.12) SINGULAR VS. PLURAL, MASCULINE VS. FEMININE

The legislature's intent with respect to singular and plural, and masculine and feminine language, is set forth in ORS 174.127–174.129. Issues about such variations arise in the court's text-and-context first-level statutory construction analysis. The rule under ORS 174.127(1) is that "[t]he singular number may include the plural and the plural number, the singular" and ORS 174.127(2) states that, "[w]ords used in the masculine gender may include the feminine and the neuter." Along lines similar to ORS 174.127(2), ORS 174.129 states:

> It shall be the policy of the State of Oregon that all statutes, rules and orders enacted, adopted or amended after October 3, 1979, be written in sex-neutral terms unless it is necessary for the purpose of the statute, rule or order that it be expressed in terms of a particular gender.

Singular versus plural language is discussed in §5.13, and gender-neutral terms are addressed in §5.14.

A. (§5.13) Singular vs. Plural

The issue of the legislature's intent about the use of singular and plural language has arisen in several cases in Oregon. Most courts considering the issue of singular versus plural language in a statute conclude that the legislature's intent is clear from the statute's plain language and context without having to look to ORS 174.127(1) for guidance. *State v. Rice*, 206 Or 237, 241, 291 P2d 1019 (1956) ("But even without the aid of ORS 174.110 [renumbered ORS 174.127] . . . , it is clear that paragraph (11) of ORS 161.010 [defining *person*] . . . [refers] to 'persons' in the plural as well as to a 'person' in the singular."); *Clackamas County Education Service Dist. v. Clackamas County*, 86 Or App 259, 266, 739 P2d 587 (1987) ("There is no linguistic or logical reason why the words 'a particular municipal corporation' cannot refer to as many particular municipal corporations as happen to be involved."). Moreover, as the Oregon Court of Appeals noted, ORS 174.127(1)'s directive regarding singular and plural language is qualified with the term *may*, thereby permitting courts to implement ORS 174.127(1) when doing so comports with the court's underlying view of the legislature's intent. *State v. Brooks*, 187 Or App 388, 397, 67 P3d 426 (2003); *see also, School Dist. No. 1 v. Multnomah County*, 9 Or Tax 371, 377 (1983) ("The court notes that [ORS 174.127(1)]'s directive allows [singular to plural] construction rather than commands it by employing 'may' rather than 'shall' or 'will'. . . . the singular may include the plural when the situation warrants it[.]").

The appellate court's treatment of singular and plural language in *Care Ambulance Co. v. Multnomah County*, 97 Or App 618, 622, 777 P2d 997 (1989), offers a good example of how Oregon courts might use the directive in ORS 174.127(1) that "[t]he singular number may include the plural and the plural number, the singular." In *Care Ambulance Co.*, the court of appeals considered ORS 823.180(1), which provided that "'[e]ach county shall . . . establish ambulance service *areas* consistent with [a] plan for the efficient and effective provision of ambulance services.'" *Care Ambulance Co.*, 97 Or App at 622 (emphasis added). The plaintiff, a provider of ambulance and emergency medical services, argued that the plural phrase *ambulance service areas* in the statute precluded Multnomah County from establishing only one ambulance service area. *Care Ambulance Co.*, 97 Or App at 622. The court of appeals disagreed. The court

reasoned, albeit without actually citing ORS 174.127(1) (or its predecessor ORS 174.110), that "plural words in legislation can mean simply 'one or more,' and that reading them as *requiring* 'more than one' might be untenable in light of the legislative purpose." *Care Ambulance Co.,* 97 Or App at 623. Because ORS 174.127(1) provides that "[t]he singular number *may* include the plural and the plural number, the singular," that court's inquiry, which looked to the text and context of the statute, engaged in an inquiry into the legislature's intent while at the same time reaching a conclusion consistent with ORS 174.127(1).

B. (§5.14) Masculine vs. Feminine

The masculine-to-feminine provision of ORS 174.127(2) states that "[w]ords used in the masculine gender may include the feminine and the neuter." Only one recent opinion has meaningfully addressed that provision. *In re Compensation of Williams,* 54 Or App 398, 400, 635 P2d 384 (1981), *aff'd,* 294 Or 33 (1982) (considering prior codifications of ORS 174.127 and ORS 174.129) (hereinafter *Williams*). The courts' lack of reference to ORS 174.127(2) and 174.129 in recent years is likely due to the legislature taking care to draft new legislation and amend old legislation so that statutes are gender neutral. Thus, although the issue may seldom arise, the lawyer should be aware of the legislature's intent with respect to gender-specific language and the court's interpretation of the statutory directive that "[w]ords used in the masculine gender may include the feminine and the neuter." ORS 174.127(2).

The *Williams* case offers an example of how courts could apply ORS 174.127(2) if a question arose with respect to a provision's gender neutrality. In *Williams,* the court interpreted an Oregon death benefits statute, ORS 656.226, which provided for death benefits for women and children. *Williams,* 54 Or App at 400.

The court of appeals rejected the argument that ORS 174.127(2) and ORS 174.129 (*former* ORS 174.110(2) and 174.115, respectively) required that the statute provide death benefits for men as well as women, reading ORS 174.127(2) literally, as authorizing the court to change words used in the masculine gender to the feminine gender, not words of the feminine gender to the masculine gender. *Williams,* 54 Or App at 401. Likewise, the court considered the policy statement in ORS 174.129 "that all statutes, rules and orders enacted, adopted or amended after October 3, 1979, be written in sex-neutral terms unless it is necessary for the

purpose of the statute, rule or order that it be expressed in terms of a particular gender." The court stated that it could not "apply a 'policy' to contradict the obvious meaning of the words employed by the legislature." *Williams*, 53 Or App at 401.

Because ORS 174.127 is permissive and ORS 174.129 merely sets forth a policy statement, the courts likely will look to the legislature's intended meaning in drafting a statute and cite to these provisions as support for the construction.

IX. (§5.15) CREATION OF OREGON REVISED STATUTES

ORS 174.510–174.520 and 174.550 pertain to the 1953 creation of the Oregon Revised Statutes. The courts have rarely cited these provisions, but for lawyers construing statutes with origins before 1953, these sections may offer some guidance as to how to best assess pre-1953 versions of those statutes. The creation of the Oregon Revised Statutes is outlined in §5.16, and §5.17 discusses the use of pre-1953 statutes for interpreting current Oregon law.

A. (§5.16) 1953 Creation of the Oregon Revised Statutes

ORS 174.510 and 174.520 reference the legislature's creation of the Oregon Revised Statutes and set forth the process for considering pre-1953 revised statutes if a current statute with origins in pre-1953 Oregon law is held unconstitutional. In 1953, the Oregon legislature compiled the existing Oregon laws into the Oregon Revised Statutes. The 1953 creation of the Oregon Revised Statutes is codified in ORS 174.510. Complementing ORS 174.510, ORS 174.520(1) states that all Oregon laws of a "general, public and permanent nature enacted prior to January 12, 1953, were repealed effective December 31, 1953." ORS 174.520(1). The next subsection states that if any provision of the Oregon Revised Statute that was "derived from an Act that amended or repealed a preexisting statute, is held unconstitutional, the provisions of [ORS 174.520(1)] . . . of this section shall not prevent the preexisting statute from being law if that appears to have been the intent of the Legislative Assembly or the people." ORS 174.520(2).

The Oregon courts have rarely cited ORS 175.510 and 174.520, although various courts have referenced ORS 174.510 as creating the Oregon Revised Statutes and ORS 174.520(1) as repealing pre-1953 Oregon laws. *State v. Davis*, 207 Or 525, 296 P2d 240 (1956), *superseded by statute on other grounds*, 293 Or 402 (1982); *State v. Lermeny*, 213 Or 574, 326 P2d 768 (1958); *State v. Holland*,

202 Or 656, 277 P2d 386 (1954). However, no court has taken the opportunity to use or interpret ORS 174.520(2). Nonetheless, because ORS 174.520(2) sets forth circumstances in which a court may look to pre-1953 Oregon laws—that is, if a statutory provision with roots in pre-1953 Oregon law is held unconstitutional—lawyers confronted with such a narrow factual situation should be aware that ORS 174.520(2) offers statutory support for looking to the pre-1953 law.

B. (§5.17) Interpreting the Oregon Revised Statutes in Light of Pre-1953 Oregon Laws

One method for courts to consider with pre-1953 revised statutes when construing statutes passed after 1953 is set forth in ORS 174.530. This statute contains two clauses addressing the 1953 revisions. The first clause states, "[t]he statute laws described in ORS 174.510(1) are intended to speak for themselves." ORS 174.530. Oregon courts have interpreted this clause to mean that the Oregon legislature intended that the "Oregon Revised Statutes . . . [be] adopted as law and not merely as evidence of law." *State v. Davis*, 207 Or 525, 538, 296 P2d 240 (1956), *superseded by statute on other grounds*, 293 Or 402 (1982) ("[T]he legislative council [that guided the revision] had no authority to change the substance of the law and that the legislature cannot delegate the general lawmaking power. But on enactment the revision became the product, not of the revision council, but of the legislature."); *State v. Holland*, 202 Or 656, 661, 277 P2d 386 (1954).

Nevertheless, Oregon courts construing statutes with origins before 1953 have looked to those pre-1953 statutes as evidence of the legislature's intent. For example, the court of appeals considered whether the legislature intended the term *person* in Oregon's wrongful death provisions, ORS 30.010–30.100, originally enacted in 1862, to include a fetus. *LaDu v. Oregon Clinic, P.C.*, 165 Or App 687, 690, 998 P2d 733 (2000) (quoting General Laws of Oregon, ch 4, §367 (Deady 1845– 1864)). The court looked to the 1862 statute under the first-level statutory construction analysis to determine the legislature's intent in passing the original 1862 statute and considered what the legislature that enacted the statute would have intended the term *person* to include. *LaDu*, 165 Or App at 690–691.

The second clause of ORS 174.530 addresses the extent to which the 1953 codification altered pre-1953 Oregon law. That clause states:

> All sections of the statute laws so described are considered to speak as of the same date, except that in cases of conflict between two or more sections or of an ambiguity in a section, reference may be had to the Acts from which the sections are derived, for the purpose of applying the rules of construction relating to repeal or amendment by implication or for the purpose of resolving ambiguity.

ORS 174.530.

Oregon courts have interpreted the exception clause in ORS 174.530 as creating "a presumption that the revision has not changed the law . . . and in the case of an ambiguity in a section of the Oregon Revised Statutes, [the courts] are required to resort to the act from which the section is derived 'for the purpose of resolving the ambiguity.'" *State v. Lermeny*, 213 Or 574, 580, 326 P2d 768 (1958) (quoting ORS 174.530). This presumption, however, "cannot control if the revision as adopted by the legislature does clearly change preexisting law." *Davis*, 207 Or at 538. In other words, if the legislature amends a statute with the clear intention of breaking with pre-1953 law, then courts may not look to pre-1953 law in resolving an ambiguity within the statute.

The Oregon Supreme Court addressed the question of whether the legislature intended to change preexisting law in *Davis*, a case in which a defendant was charged with manslaughter for causing the death of another by operating of a vehicle while under the influence of alcohol. The 1931 statute regarding manslaughter and the operation of motor vehicles read: "'If the death of any human being shall be caused by the operation of any vehicle *contrary to this act* by any person while intoxicated or under the influence of intoxicating liquor or narcotic drugs, such operator of such vehicle shall be deemed guilty of manslaughter.'" *Davis*, 207 Or at 534 (quoting 1931 Or Laws ch 360, §18(c)) (emphasis added).

In 1931, driving under the influence of intoxicating liquor, as well as reckless driving, were "contrary to this act" under Sections 18(a) and 19(a), respectively. The 1951 statute, ORS 483.992(2)(b), revised the 1931 law to read:

> If the death of any human being is caused by the negligent operation of any vehicle *contrary to the sections listed in subsections (1), (2), and (3) of ORS 483.990,* by any person while intoxicated or under the influence of intoxicating liquor or narcotic drugs, the operator of such vehicle shall be deemed guilty of manslaughter.

Davis, 207 Or at 533 (emphasis added) (quoting ORS 483.992(2)(b) (1951)).

Unlike the 1931 law, which referenced reckless driving, ORS 483.990 did not. The court thought it "unthinkable" that the legislature intended to punish a person for manslaughter for being under the influence of liquor and killing someone while negligently violating one of the traffic laws listed in ORS 483.990, but not a person who, while under the influence of liquor, killed someone while committing the offense of reckless driving. *Davis,* 207 Or at 537. However, because the 1951 revision was not "in substantially the same terms" as the 1931 law, the court in *Davis* declined to treat the 1951 statute as a mere continuation of the 1931 version of the statute. *Davis,* 207 Or at 538–539 (defendant could be found guilty under other provisions of manslaughter statute).

A related statute, ORS 174.550, states, "[t]he provisions of the statute laws described in ORS 174.510(1) are considered as substituted in a continuing way for the provisions of the prior statute laws repealed by ORS 174.520." Oregon courts have referred to ORS 174.550 as a "savings clause" stating, "when the revised and consolidated act re-enacts in the same or substantially the same terms, the provisions of the act so revised . . . the revision . . . shall be taken to [be] a continuation of the former act." *Davis,* 207 Or at 538–539 (internal quotation omitted); *State v. McCathern*, 211 Or App 171, 179, 154 P3d 130, *rev. denied,* 343 Or 186 (2007) ("ORS 174.550 makes clear that the general repeal and reenactment of statutes in 1953 did not result in any substantive changes to the law. The statutes reenacted in 1953 'are considered as substituted in a continuing way for the provisions of the prior statute laws.'" (quoting ORS 174.550)); *Crocker & Crocker,* 157 Or App 651, 658–659, 971 P2d 469 (1998), *aff'd,* 332 Or 42 (2001) (citing ORS 175.550). In *Holland,* 202 Or at 664, the court said:

> In our opinion the legislature clearly expressed the intention, in harmony with the general rule [that statutes with the same or substantially the same terms as the former act shall be treated as continuations of the former act], when it provided that the revised statutes shall be considered as 'substituted *in a continuing way*' for the provisions of the prior statute laws repealed. . . . This was a saving clause.

Taken together, ORS 174.530 and 174.550 establish that the Oregon Revised Statutes, as enacted pursuant to ORS 174.510, speak for themselves. That being said, because the legislature intended (unless expressed otherwise) that the Oregon Revised Statutes serve as a continuation of pre-1953 Oregon law, lawyers should look to the pre-1953 Oregon laws—including the legislative history of those pre-1953 laws—when resolving ambiguities in the Oregon Revised Statutes.

X. (§5.18) REVISIONS FOR ACCURACY

The legislature's intent that the courts should not construe revisions for accuracy as changes to substantive law is clarified in ORS 174.535. Since 1953, the legislature has occasionally amended the Oregon Revised Statutes for housekeeping purposes. The legislature's intent with respect to these housekeeping amendments is articulated in ORS 174.535:

> It is the policy of the Legislative Assembly to revise sections from Oregon Revised Statutes and Oregon law periodically in order to maintain accuracy. However, nothing [in the listed housekeeping amendments] . . . is intended to alter the legislative intent or purpose of statutory sections affected by [the listed amendments] . . . , except insofar as the amendments hereto, or repeals thereof, specifically require.

This provision specifically applies to statutes passed after 1953, as well as to the 1953 revision itself. *See Bates v. Gordon*, 212 Or App 336, 157 P3d 1219 (2007) (noting 2003 revision). This is the only Oregon case that has cited to ORS 174.535 in construing a statute that the legislature had revised for accuracy. In *Bates*, the court of appeals considered a 2003 amendment to ORS 166.293. Before the amendment, "ORS 166.293(3)(a) provided that '[a]ny act or condition that would prevent the issuance of a license under ORS 166.291 *to 166.293* [was] cause for revoking a concealed handgun license.' (Emphasis added)." *Bates*, 212 Or App at 342. In 2003, the legislature revised ORS 166.293 to provide, "[a]ny act or condition that would prevent the issuance of a license under ORS 166.291 *and 166.292* [was] cause for revoking a concealed handgun license." *Bates*, 212 Or App at 342 (emphasis added). The effect of the 2003 revision was to remove the statute's reference to ORS 166.293, which authorized the sheriff to revoke a concealed handgun license on the basis that the sheriff had reasonable grounds to believe that the licensee was a danger to the community as demonstrated by a past pattern of behavior involving threats of violence. *Bates*, 212 Or App at 342–343.

The court considered the legislature's intent in amending ORS 166.293, which was amended as part of section 14 of the 2003 Oregon Laws. The court noted that because the housekeeping provisions of ORS 174.535 specifically stated that "nothing in . . . chapter 14, Oregon Laws 2003 . . . [was] intended to alter the legislative intent or purpose of statutory sections affected by . . . chapter 14," that ORS 174.535 provided "context" for interpreting ORS 166.293. *Bates*, 212 Or App at 343. The court concluded that the text and context of ORS 166.293(3)(a) was

susceptible to "more than one reasonable interpretation" and demonstrated that "the legislature could have believed that, when it amended [that provision], it was merely performing a housekeeping function by eliminating a redundan[cy]." *Bates*, 212 Or App at 346. Conversely, the legislature could have intended the removal of the reference to substantively modify ORS 166.293. *Bates*, 212 Or App at 343. Because the statute was susceptible to more than one reasonable interpretation, the court looked to the legislative history of the 2003 amendments, which specifically stated that the statutory "fixes [were] technical" and did "not change the law[']s meaning[]." *Bates*, 212 Or App at 346. Thus, the court construed the statute consistent with the housekeeping function articulated in ORS 174.535.

> NOTE: *Bates* does not offer a straightforward application of ORS 174.535. Rather, the court of appeals merely considered ORS 174.535 as relevant context for interpreting the statute. The court's reluctance to embrace ORS 174.535 as an outright basis for concluding that the legislature did not intended to substantively amend ORS 166.293(3)(a) may be because ORS 174.535 is at odds with the statutory directive under ORS 174.010 not to insert or omit language in a statute. Nonetheless, ORS 174.535 offers a means for construing statutes that have been revised for accuracy, even when it appears that a revision for accuracy may have inadvertently altered substantive aspects of the statute.

XI. (§5.19) PORTIONS OF PRINTED EDITION NOT CONSIDERED PART OF LAW

Subject to a limited exception discussed below, ORS 174.540 provides that courts should not consider titles, headings, and other such parts of printed statute editions as part of the statute for purposes of ascertaining the legislature's intent. ORS 174.540 provides that "[t]itle heads, chapter heads, division heads, section and subsection heads or titles, and explanatory notes and cross-references, in the statute laws described in ORS 174.510(1) and in parts of the Oregon Revised Statutes, do not constitute any part of the law."

In addition to the parts of a printed statute edition expressly referenced in ORS 174.540, Oregon courts have held that captions and related clauses also do not constitute part of the substantive law. *Nakamoto v. Kulongoski*, 322 Or 181, 189, 904 P2d 165 (1995) ("a ballot measure's relating clause cannot supply express provisions that are not otherwise in the measure's text"); *Ascher v. Kulongoski*,

322 Or 516, 522–523, 909 P2d 1216 (1996) (discussing a ballot measure's heading and explanatory note). Likewise, although Oregon courts seem not to have expressly addressed the question, other parts of a statute, such as "short titles" and "popular names," are also likely not part of the law and are simply added for the reader's convenience.

The issue of the legislature's intent regarding parts of a printed statute edition has arisen in a number of cases in Oregon. The most common case involving ORS 174.540 occurs when a party asserts that titles or headings are relevant context in the court's text-and-context statutory construction analysis. Most courts addressing such an argument point to ORS 174.540 for the general rule that statutory headings, titles, and captions in the "post-1953 Oregon Revised Statutes 'do not constitute any part of the law,'" *State ex rel. Penn v. Norblad,* 323 Or 464, 468, 918 P2d 426 (1996) (quoting ORS 174.540), and have "no legal significance in determining [the statute's] meaning." *Exchange Props., Inc. v. Crook County,* 164 Or App 517, 520, 992 P2d 486 (1999); *Church v. Grant County,* 187 Or App 518, 526 n 4, 69 P3d 759 (2003). Rather, headings, titles, and captions are "instead, created by 'Legislative Counsel for the reader's convenience'" and are not something within the contemplation of the legislature that enacted the statute. *State v. Robertson,* 207 Or App 464, 472, 142 P3d 113 (2006) (quoting *Church,* 187 Or App at 526 n 4). Cases holding otherwise were decided before the legislature created the Oregon Revised Statutes in 1953. *See Swift & Co. v. Peterson,* 192 Or 97, 109, 233 P2d 216 (1951) ("It is the express intent of the legislature which we seek, and to do this we must look to the entire statute.").

Despite the general rule outlined above, the Oregon Supreme Court concluded that headings in the 1973 code of criminal procedure were relevant in the construction of the statute. *Norblad,* 323 Or at 468–469. Although the criminal procedure code stated that the "part, article and section *headings or captions*" used were "*only for convenience in* locating" provisions, it also stated that they were used for "*explaining provisions*" of the act. *Norblad,* 323 Or at 468–469. Although that provision expressly stated that the "part, article and section *headings or captions*" were "not intended to be part of the statutory law," the court concluded that because the legislature voted on the 1973 criminal procedure code in a form that included headings, and because the criminal code itself allowed those headings

to be “used . . . in . . . explaining provisions” of the code, the court could “consider the . . . headings in [its] search for legislative intent.” *Norblad*, 323 Or at 468– 469.

The courts have suggested that a similar rule applies to titles when those titles were actually before the legislature. *Goose Hollow Foothills League v. Portland*, 66 Or App 920, 926 n 5, 676 P2d 897 (1984) (stating in dicta that “[w]hile a section caption is of no aid in construing a statute, the legislative title to an act may be” because the “title accompanies the bill as it passes through the legislature and may have some value in determining legislative intent”).

In sum, Oregon courts generally may not consider titles and headings as articulated under ORS 174.540 unless: (1) the legislature considered the heading or title at the time it passed the bill, and (2) the statute expressly permits the court to consider the heading or title.

Chapter 6: AGENCY INTERPRETATION OF STATUTES AND REGULATIONS

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I. (§6.1) INTRODUCTION

Courts regularly interpret statutes and statutory terms. Agencies also regularly interpret statutes and terms when they promulgate rules or issue final orders in a contested case or other than a contested case. *See Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 221, 621 P2d 547 (1980) (hereinafter *Springfield*). However, the allocation between agencies and courts to give "specific meaning to statutory terms presents a problem of long standing." *Springfield,* 290 Or at 221.

In *Springfield,* the Oregon Supreme Court refined the analytical framework for judicial review of agency interpretations of statutes, outlining a classification of statutory terms to guide agency interpretation of statutes and judicial review of administrative actions. *Springfield,* 290 Or at 223. This chapter discusses the analytical framework outlined in *Springfield* and the judicial review of agency interpretation of statutes and administrative rules.

The statutory basis for judicial review of administrative actions is discussed in §6.2. A summary overview of the *Springfield* framework is provided in §§6.3–6.4. Discussion of the three classes of statutory terms in that framework (exact terms, inexact terms, and delegative terms), focusing on how classification of terms determines the agency's responsibility in interpreting and applying statutes and the court's standard of review of that administrative action is set forth in §§6.5– 6.12. Lastly, §§6.13–6.18 examine the general rules of construction that courts apply when reviewing agency interpretation of administrative rules and the deferential standard of review that applies when agencies interpret their own rules.

II. (§6.2) STATUTORY BASIS FOR JUDICIAL REVIEW OF AGENCY ACTIONS

Judicial review of agency actions is generally governed by Oregon's Administrative Procedures Act (APA), ORS 183.310–183.750. *See* ORS 183.400 (review of validity of rules), ORS 183.480 (review of orders), ORS 183.484 (review of orders in other than contested cases); *see also Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 224, 226–227, 621 P2d 547 (1980). In some instances, other statutes will govern a court's review. See the note at the end of this section.

The APA identifies agency actions as either rules, ORS 183.310(9), or orders, ORS 183.310(6)(a). Orders include those in contested cases and in other than contested cases. ORS 183.310(6)(a). Whether the court of appeals or the circuit court has jurisdiction to review agency action depends on the type of action. The court of appeals has jurisdiction to review orders in contested cases, ORS 183.482, and the validity of rules promulgated by an agency, ORS 183.400(1). Circuit courts review orders in other than contested cases, ORS 183.484, and may also review the validity or enforcement of a challenged rule, ORS 183.400(2). *See Oregon Administrative Law* ch 8 (Oregon CLE 2001 & Supp 2005) and *Appeal and Review* ch 6 (Oregon CLE 1993 & Supp 2002) for a more in-depth discussion of jurisdictional and procedural issues for judicial review of agency actions.

Judicial review of agency interpretations of statutes often arises under ORS 183.480 (review of orders). Review of agency interpretations may also occur under ORS 183.400 as part of a rule challenge. *See Qwest Corp. v. PUC*, 205 Or App 370, 376–377, 135 P3d 321 (2006) (reviewed agency's interpretation of statute granting rulemaking authority to determine if agency exceeded authority in enacting penalty rules); ORS 183.482(8)(a)–(b) (orders in contested cases), ORS 183.484(5)(a)– (b) (orders in other than contested cases). The latter two jurisdictional bases specifically provide for review to determine whether the agency "erroneously interpreted a provision of law and that a correct interpretation compels a particular action" and whether "the agency's exercise of discretion" was "[o]utside the range of discretion delegated to the agency by law." ORS 183.482(8)(a)–(b), 183.484(5)(a)–(b). *See, e.g., Springfield*, 290 Or at 227, 229.

NOTE: Although the APA generally governs judicial review of agency actions, it does not govern review in all circumstances. The APA expressly

provides that certain provisions do not apply to certain agencies. *See, e.g.*, ORS 183.315(1) (listing agencies exempt from ORS 183.480, such as "local government boundary commissions," Department of Revenue, State Accident Insurance Fund Corporation, Department of Consumer and Business Services, Psychiatric Security Review Board, State Board of Parole and Post-Prison Supervision), ORS 183.310(1) (exempting "legislative and judicial branches" from definition of *agency*). Furthermore, other statutes that govern particular agencies may provide the basis for judicial review of actions by those agencies. *See, e.g.*, ORS 305.410 (tax court has "sole, exclusive and final judicial authority" on all issues arising under Oregon tax laws, subject to provisions of ORS 305.445).

III. OVERVIEW OF CLASSIFICATION OF STATUTORY TERMS

A. (§6.3) *Springfield Education Asso.* v. *Springfield School Dist.*

In 1980, the Oregon Supreme Court reviewed prior case law concerning judicial review of agency actions, finding that courts had employed a variety of approaches using inconsistent theories and terms to review administrative actions. *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 221–223, 621 P2d 547 (1980) (hereinafter *Springfield*). The court, however, found that the case law was "fairly harmonious" when examined in the context of the nature and scope of the authority delegated to the agency by statute. *Springfield*, 290 Or at 221–223. The court determined that focusing on the specific words of the statutes to determine the nature and scope of that delegated authority provided a consistent framework of analysis. *Springfield*, 290 Or at 222–223.

The court identified three classes of statutory terms that establish the agency's initial responsibility in interpreting and applying statutes and determine the court's standard of review in reviewing administrative actions. *Springfield*, 290 Or at 223. As summarized by the court, the three categories of terms are:

> 1.) Terms of precise meaning [i.e., exact terms], whether of common or technical parlance, requiring only fact-finding by the agency and judicial review for substantial evidence;
>
> 2.) Inexact terms which require agency interpretation and judicial review for consistency with legislative policy; and

3.) Terms of delegation which require legislative policy determination by the agency and judicial review of whether that policy is within the delegation.

Springfield, 290 Or at 223.

Each class of statutory terms determines a different set of responsibilities for the agency and for the court on review. *Springfield*, 290 Or at 223. Each category "requires a different level of appellate court deference to an agency interpretation of a particular term." *J.R. Simplot Co. v. Dep't. of Agric.,* 340 Or 188, 196, 131 P3d 162 (2006).

Before engaging in an in-depth discussion of the three categories of terms, §6.4 discusses the importnce of first identifying the specific statutory terms at issue, which occasionally may be a contested issue.

B. (§6.4) Determining the Relevant Statutory Term

The statutory term at issue in an administrative action and on review by a court may be a single word, multiple words, or a phrase. *See, e.g., Jeld-Wen, Inc. v. Environmental Quality Comm'n,* 162 Or App 100, 102–103, 986 P2d 582 (1999) (issue was whether a municipal sewer system was "available" to landowner under ORS 454.655(4), and OAR 340-071-0160(5)(f) requiring landowner to connect to municipal sewer system and not enlarge septic tank and drain field sewage system); *SAIF Corp. v. Bales,* 107 Or App 198, 201, 810 P2d 1346 (1991) (firefighter's workers' compensation claim depended on whether a previous examination qualified as a "physical examination" under ORS 656.802(3)); *Steele v. Employment Dep't,* 143 Or App 105, 109, 923 P2d 1252 (1996), *aff'd,* 328 Or 292 (1999) (phrase at issue was *misconduct connected with work,* in connection with ORS 657.176(2)(a), listing grounds for disqualifying unemployment benefits).

In most cases, the terms at issue are either apparent in the agency's order or rule, or identified by the parties before the court. However, a court is not bound to accept the parties' identification or interpretation of the terms at issue; the court may identify or construe the terms differently. *See J.R. Simplot Co. v. Dep't of Agric.,* 340 Or 188, 194, 131 P3d 162 (2006) ("when presented with a question of statutory interpretation, this court must identify the correct interpretation, whether or not the parties have suggested it") (citing *Stull v. Hoke,* 326 Or 72, 77, 948 P2d 722 (1997)); *see also J.R. Simplot Co.,* 340 Or at 197 (court considered phrase even though parties focused on term in isolation); *Coast Sec. Mortg. Corp. v. Real Estate Agency,* 331 Or 348, 354, 15 P3d 29 (2000) (court classified phrase *act in*

the capacity of an escrow agent in context of ORS 696.511(1) as an inexact term, despite parties' assertion that it was a delegative term).

A term's classification may depend on what words are included in the operative phrase. A term in isolation may fall into one classification, but fall into another when considered in context with other words. For example, in *J.R. Simplot Co.,* involving the review of an administrative order by the Oregon Department of Agriculture denying a refund of inspection fees, the parties' dispute centered on whether the term *reasonably necessary* in ORS 632.490 was an inexact or delegative term. *J.R. Simplot Co.,* 340 Or at 197. The court determined that the term had to be construed in the context of the entire sentence: "both parties focus too narrowly on the words 'reasonably necessary,' when the proper inquiry also must encompass the words that immediately follow: 'to cover the cost of inspection and administration.'" *J.R. Simplot Co.,* 340 Or at 197. The term *reasonably necessary,* viewed in isolation, would have been treated as a delegative term, but when combined with the phrase that followed it, it was treated as an inexact term because the "phrase tells the department *how* to pursue the [legislative] policy objective of funding an inspection program." *J.R. Simplot Co.,* 340 Or at 197. The court's review thus examined whether the department's action effectuated that policy. *J.R. Simplot Co.,* 340 Or at 198. Classifying the term as delegative would have required a different standard of review that examined whether the agency's decision was within the range of discretion allowed under the general statutory policy. *See Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 229, 621 P2d 547 (1980).

IV. EXACT TERMS

A. (§6.5) Generally

Exact terms are "[t]erms of relatively precise meaning." *Springfield Education Asso. v. Springfield School Dist.,* 290 Or 217, 223, 621 P2d 547 (1980) (hereinafter *Springfield*). The meaning of such terms are often "easily discernible on their face," *J.R. Simplot Co. v. Dep't of Agric.,* 340 Or 188, 196–197, 131 P3d 162 (2006), or defined by statute, *see Employment Div. v. Ring,* 104 Or App 713, 718, 803 P2d 766 (1990) (terms *wages* and *employment,* as used in ORS ch 657, are exact terms "because each was given a precise meaning by statute"). Exact terms may be terms of common usage or technical parlance, such as "21 years of

age, male, 30 days, Class II farmland, rodent, [and] Marion County." *Springfield*, 290 Or at 223.

However, the fact that a term is statutorily defined does not guarantee it will be treated as an exact term. *See Necanicum Inv. Co. v. Employment Dep't.,* 214 Or App 385, 388, 164 P3d 1197 (2007), *rev'd on other grounds,* 345 Or 138 (2008) (court treated terms *wages* and *employment* used in ORS ch 657 as inexact despite being defined in statute); *see also Coast Sec. Mortg. Corp. v. Real Estate Agency,* 331 Or 348, 354, 15 P3d 29 (2000) (phrase *act in the capacity of an escrow agent* in ORS 696.511(1) deemed to be inexact term, despite *escrow* and *escrow agent* being exact terms defined in statute; *act in the capacity* was not defined, subjecting entire phrase to various interpretations).

COMMENT: Reconciling *Employment Div.* with *Necanicum Inv. Co.* is difficult based on their inconsistent treatment of the same statutory terms *wages* and *employment*, as defined in ORS chapter 657 covering unemployment insurance. In *Employment Div.*, the issue was whether the payment of back-pay to a private sector employee, while she received unemployment benefits, constituted "wages" and "employment" under ORS chapter 657. *Employment Div.*, 104 Or App at 715–716. The court of appeals construed *wages* and *employment* as exact terms because they were statutorily defined (ORS 657.105(1) and 657.030(1), respectively), "each was given a precise meaning by statute." *Employment Div.*, 104 Or App at 718. Under these definitions, the court concluded that the individual was not in an "employment" relationship when she was receiving unemployment benefits. *Employment Div.*, 104 Or App at 715–716. Furthermore, the court invalidated administrative rule OAR 471-030-0020(4) "[b]ecause [it] conflicts with the statutory definitions of wages and employment." *Employment Div.*, 104 Or App at 715–716.

In *Necanicum Inv. Co.*, the issue was whether a corporation's payments to its board of directors constituted "wages" for "employment" that are subject to state unemployment taxes under ORS chapter 657. *Necanicum Inv. Co.*, 214 Or App at 387. Without discussion, the court of appeals simply treated the terms as inexact and "review[ed] the department's interpretation of the relevant statutes for consistency with legislative intent." *Necanicum Inv. Co.*, 214 Or App at 388. The court concluded that the legislature intended to define *employment* expansively and held that the

payments should be taxed as "wages" for "employment" under ORS chapter 657. *Necanicum Inv. Co.*, 214 Or App at 390–392.

The Oregon Supreme Court reversed, holding that it was error for the court of appeals to treat the board of directors as employees of a corporation. *Necanicum Inv. Co. v. Employment Dep't,* 345 Or 138, 145, 190 P3d 368 (2008). The court reviewed the definitions of *employment* and comparable terms in ORS chapter 657 in light of statutes regulating corporations and directors to discern the legislature's intent as to the nature of the relationship between a corporation and its directors. *Necanicum Inv. Co.*, 345 Or at 142–144. The court concluded that "the legislature did not intend to include corporate directors, serving solely as directors, within the statutory definition of an 'employee' of a corporation for purposes of the unemployment tax." *Necanicum Inv. Co.*, 345 Or at 145. Although the court did not address whether the terms *wages* and *employment* should properly be classified as exact or inexact, it continued to treat the terms as inexact, analyzing the statutory text and context to discern legislative intent. *Necanicum Inv. Co.*, 345 Or at 142–145.

If the court in *Employment Div.* had classified the terms as inexact, then the case could be reconciled more easily with *Necanicum Inv. Co.*, because inexact terms "are capable of contradictory applications" depending on the context of their application and the legislative policy embodied in the terms. *See Springfield*, 290 Or at 225. As it stands, the two cases are inconsistent in their treatment of the same statutory terms.

A court may look to a dictionary to determine whether a term is exact. *Coats v. State ex rel. DOT*, 170 Or App 32, 38, 11 P3d 258 (2000), *vacated on other grounds*, 334 Or 587 (2002) (relevant term was *upon public works*; term *public works* defined in statute, therefore, focus was on meaning of term *upon*). However, if a dictionary provides alternative definitions that could lead to differing results, a court will likely conclude that the term is not exact because "the dictionary definitions do not tell . . . [which definition] the legislature intended." *Coats*, 170 Or App at 38 (the term *upon* synonymous with *on* which "has numerous definitions that could be relevant in this context"). A court may also look to prior case law to determine the meaning of common or technical terms. *Bergerson v. Salem-Keizer Sch. Dist.*, 185 Or App 649, 659–660, 60 P3d 1126 (2003) (meaning of legal terms

colorable claim of error and *irreparable injury* determined with reference to dictionary and case law construing terms).

NOTE: In *Bergerson*, the court of appeals considered the terms *colorable claim of error* and *irreparable injury* as used in the APA under ORS 183.482(3)(a), which governs when an agency may stay enforcement of an administrative order upon the filing of a petition for judicial review of that order. *Bergerson*, 185 Or App at 657–658. Although the court did not expressly hold that those terms were exact, the court concluded that they were "terms of relatively precise meaning" not subject to interpretation by the agency. *Bergerson*, 185 Or App at 658 ("Although we review FDAB's findings of fact for substantial evidence, ORS 183.482(8)(c), we do not understand ORS 183.482(3)(a) and (b) to confer any discretion on the agency."). These legal terms have relatively precise meanings that do not vary according to the agency, statute, or fact scenario: "[n]either the words of the statute nor its context suggest that the legislature intended those standards to have different meanings depending on the identity of the agency whose decision is under review." *Bergerson*, 185 Or App at 657–658.

The terms *colorable claim of error* and *irreparable injury* are not similar to, or as easily definable as, other exact terms ("e.g., 21 years of age, male, 30 days, Class II farmland, rodent, Marion County," *Springfield*, 290 Or at 224), because they are terms of "technical parlance." *See Springfield*, 290 Or at 223 (exact terms may be "of common or technical parlance"). Allowing the definition of an exact term to vary on a case-by-case basis could result in the term being construed to mean different things in different cases, which would run afoul of constitutional obligations of equal treatment. *Cf. Karjalainen v. Curtis Johnston & Pennywise, Inc. (In re Karjalainen)*, 208 Or App 674, 681, 146 P3d 336 (2006) (in context of inexact terms, meaning of statutory terms is an issue of law that can not vary on an "*ad hoc*, case-by-case interpretation").

B. (§6.6) Standard of Review

An agency's treatment of an exact term in a particular case is limited to fact-finding and applying the term to the facts of the case; no interpretation by the agency is necessary. *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 224, 621 P2d 547 (1980) (hereinafter *Springfield*); *Employment Div. v.*

Ring, 104 Or App 713, 718, 803 P2d 766 (1990) (statutorily defined terms *wage* and *employment* "not in need of agency interpretation . . . agency needed only to engage in factfinding and application of the existing definitions"). A court reviews an administrative order applying an exact term for substantial evidence in the record. *Springfield*, 290 Or at 224. The standard of review is set forth in ORS 183.482(8)(c): "The court shall set aside or remand the order if it finds that the order is not supported by substantial evidence in the record. Substantial evidence exists to support a finding of fact when the record, viewed as a whole, would permit a reasonable person to make that finding." *See Springfield*, 290 Or at 224.

NOTE: The determination of the *meaning* of an exact term (and similarly, the meaning of a statute), as distinct from its *application*, is an issue of law that is reviewed for errors of law. *See Bergerson v. Salem-Keizer Sch. Dist.*, 185 Or App 649, 658, 60 P3d 1126 (2003) (determination of meaning of terms *colorable claim of error* and *irreparable injury* is an issue of law, but agency's application of terms depends on fact-finding supported by substantial evidence); *Springfield*, 290 Or at 224 ("The determination of the meaning of a statute is one of law, ultimately for the court."); *Karjalainen v. Curtis Johnston & Pennywise, Inc. (In re Karjalainen)*, 208 Or App 674, 681, 146 P3d 336 (2006) ("In no event is the *meaning* of a statutory term determined as a question of fact. That is because statutes are—by definition—law, and their interpretation always is a question of law.") (citing *Miller v. Water Wonderland Improvement Dist.*, 326 Or 306, 309, 951 P2d 720 (1998)).

PRACTICE TIP: The validity of an agency rule can be challenged under ORS 183.400(4)(b) ("[e]xceeds the statutory authority of the agency") if it conflicts with the statutory definition of an exact term. *See Employment Div.*, 104 Or App at 718 (court invalidated OAR 471-030-0020(4), which conflicted with exact terms *wages* and *employment*, defined under ORS 657.105(1) and ORS 657.030(1)). Furthermore, an agency order can be challenged under ORS 183.482(8)(a) on the basis that the agency applied an incorrect definition of an exact term. *See Bergerson*, 185 Or App at 658 (review of agency interpretation and application of terms *colorable claim of error* and *irreparable injury* in ORS 183.482(3)(a)–(b) reviewed for errors of law). *See Oregon Administrative Law* ch 8 (Oregon CLE 2001 & Supp

2005) for a more extensive discussion of judicial review of rules and final orders.

V. INEXACT TERMS

A. (§6.7) Generally

Inexact terms are less precise than exact terms; they embody "complete expressions of legislative meaning, even though that meaning may not always be obvious." *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 224, 621 P2d 547 (1980) (hereinafter *Springfield*). The role of the agency, whether by issuing an order in a contested case or promulgating a rule, is interpretive: to discern the meaning of the term that best effectuates the statutory policy. *Springfield*, 290 Or at 226; *see also England v. Thunderbird*, 315 Or 633, 638, 848 P2d 100 (1993) ("An inexact term gives the agency interpretive but not legislative responsibility."). The task of the agency, and ultimately of the court, is to determine what the legislature intended such words to encompass. *Coast Sec. Mortg. Corp. v. Real Estate Agency*, 331 Or 348, 354, 15 P3d 29 (2000). Under ORS 183.470, which requires agency orders to include findings of fact and conclusions of law, an agency must explain the rationale underlying its interpretation and application of an inexact term. *Springfield*, 290 Or at 226–227.

Inexact terms include such terms as: *available* (*Jeld-Wen, Inc. v. Environmental Quality Comm'n,* 162 Or App 100, 104, 986 P2d 582 (1999)); *physical examination* (*SAIF Corp. v. Bales*, 107 Or App 198, 201, 810 P2d 1346 (1991)); and *earning capacity* (*England*, 315 Or at 638). Terms defined by statute may be inexact if their meanings are open to various interpretations. *See, e.g., Market Transport, Ltd. v. Maudlin*, 301 Or 727, 736–737, 725 P2d 914 (1986) (statutory terms *carrier*, *common carrier*, and *broker* classified as inexact); *Vickers/ Nelson & Assocs. v. Envtl. Quality Comm'n,* 209 Or App 179, 185, 148 P3d 917 (2006) ("the phrase 'operator of a facility' is an 'inexact term' because, although parts of that phrase are defined by statute . . . the phrase itself is open to various interpretations"); *Coast Sec. Mortg. Corp.*, 331 Or at 354 (*act in the capacity of an escrow agent* is inexact term despite statutory definition of *escrow* and *escrow agent*, the "phrase is open to various interpretations"); *Necanicum Inv. Co. v. Employment Dep't.,* 214 Or App 385, 388, 164 P3d 1197 (2007), *rev'd on other grounds*, 345 Or 138 (2008) (*wages* and *employment*, defined in ORS ch 657, treated as inexact terms); *but see Employment Div. v. Ring*, 104 Or App 713, 718,

803 P2d 766 (1990) (*wages* and *employment*, as used in ORS ch 657, treated as exact terms "because each was given a precise meaning by statute"); see the comment in §6.5 for a discussion of the inconsistency between *Necanicum Inv. Co.* and *Employment Div.*

B. (§6.8) Standard of Review

The court's standard of review of administrative orders that apply an inexact term is for errors of law, as set forth in ORS 183.482(8)(a):

> The court may affirm, reverse or remand the order. If the court finds that the agency has erroneously interpreted a provision of law and that a correct interpretation compels a particular action, it shall:
>
> (A) Set aside or modify the order; or
>
> (B) Remand the case to the agency for further action under a correct interpretation of the provision of law.

Springfield Education Asso. v. Springfield School Dist., 290 Or 217, 227, 621 P2d 547 (1980) (quoting ORS 183.482(8)(a)) (hereinafter *Springfield*).

The determination of the meaning of a statute is an issue of law for the court. *Springfield*, 290 Or at 224. A court reviews an administrative rule or order to determine whether it is consistent with the legislative policy that is embodied in the meaning of the term. *Springfield*, 290 Or at 227. To discern the legislative intent behind the meaning of an inexact term and the policy underlying a statute, a court will apply the statutory construction analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*), as modified by *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). *See Coast Sec. Mortg. Corp. v. Real Estate Agency*, 331 Or 348, 354, 15 P3d 29 (2000); *see also Linn-Benton-Lincoln Educ. Ass'n/OEA/NEA v. Linn-Benton-Lincoln ESD*, 163 Or App 558, 563, 989 P2d 25 (1999). Thus, the court will first look to the text and context of the statute (including "other provisions of the same statute and other related statutes," *Coast Sec. Mortg. Corp.*, 331 Or at 354), then to the legislative history, and, if necessary, to general maxims of statutory construction to determine whether the agency's interpretation and application of the term were consistent with legislative policy. *Coast Sec. Mortg. Corp.*, 331 Or at 354. See §1. and chapters 2–4 for a detailed discussion of the statutory-construction analysis.

To discern legislative intent, a court will give consideration to an agency's interpretation of an inexact term when (1) the agency was involved in the

legislative process; (2) it is a technical term and the agency has special expertise or experience (*Springfield*, 290 Or at 227–228); or (3) the agency is charged with enforcing the statute (*Jeld-Wen, Inc. v. Environmental Quality Comm'n,* 162 Or App 100, 108, 986 P2d 582 (1999) (citing *Knapp v. North Bend*, 304 Or 34, 41–42, 741 P2d 505 (1987)). Thus, the courts consider such evidence relevant to discerning legislative intent under the usual statutory interpretation framework.

In *Jeld-Wen, Inc.*, the court, at the third step of the statutory analysis, applied the general maxim of statutory construction of construing the statute in accordance with what it believes the legislature would have done in the particular situation at issue. *Jeld-Wen, Inc.*, 162 Or App at 106 & n 5; *see also PGE*, 317 Or at 612 (one of the maxims considered at step three is the principle that "where no legislative history exists, the court will attempt to determine how the legislature would have intended the statute to be applied had it considered the issue"). The court found the agency's "explanation of the practical application of the statute . . . [to] be particularly helpful in understanding what the legislature intended by adopting it." *Jeld-Wen, Inc.*, 162 Or App at 106. The agency's interpretation was also helpful to the court's understanding how the inexact term *available* fit into the overall statutory scheme. *Jeld-Wen, Inc.*, 162 Or App at 108–109; *see also Vickers/Nelson & Assocs. v. Envtl. Quality Comm'n,* 209 Or App 179, 189–190, 148 P3d 917 (2006) (legislative testimony by agency director considered by court at step-three analysis); *Huff v. Great W. Seed Co.*, 322 Or 457, 462–463, 909 P2d 858 (1996) (testimony of assistant attorney general considered at *PGE* level-two analysis); *Legalclub.com, Inc. v. Dep't. of Consumer & Bus. Servs.*, 182 Or App 494, 501–503, 50 P3d 1196 (2002) (at *PGE* step-two analysis, court considered testimony of director of the Department of Insurance and Finance).

> NOTE: Cases analyzing agency interpretations of statutes that predate *PGE* cannot be disregarded or discounted merely on that basis. *Mastriano v. Bd. of Parole & Post-Prison Supervision*, 342 Or 684, 691–692, 159 P3d 1151 (2007). In *Mastriano*, the Oregon Supreme Court reaffirmed its pronouncement in *Bergerson v. Salem-Keizer Sch. Dist.*, 341 Or 401, 414 n 7, 144 P3d 918 (2006), that statutory interpretation cases should not be disregarded simply because they predate *PGE*. *Mastriano*, 342 Or at 691–692. The court of appeals below had disregarded a pre-*PGE* case, "follow[ing] what it understood to be a suggestion in *Morales* [*v. SAIF Corp. (In re Morales)*, 339 Or 574, 124 P3d 1233 (2005)] that pre-*PGE*

decisions are not binding." *Mastriano*, 342 Or at 691. The supreme court explained that:

> *PGE* did not change the substantive principles that apply to statutory interpretation so much as it provided a coherent and predictable order in which to invoke those principles. The absence of a *PGE*-style examination of legislative intent does not deprive a prior statutory interpretation of its ordinary effect as a precedent.

Mastriano, 342 Or at 691–692.

PRACTICE TIP: A common general challenge to an administrative action is that the agency erroneously interpreted the relevant statute. *See, e.g., V.L.Y. v. Bd. of Parole & Post-Prison Supervision*, 338 Or 44, 55–56, 106 P3d 145 (2005) (parole board erroneously interpreted phrase *person exhibits characteristics showing a tendency to victimize or injure others* in ORS 181.585 relating to "predatory sex offender" classification when it based its decision solely on past convictions reported in sex offender risk assessment scale and refused to consider relevant evidence of person's present condition).

Another challenge is when the agency misclassifies an inexact term as either an exact or delegative term, leading to an erroneous result. *See, e.g., J.R. Simplot Co. v. Dep't of Agric.,* 340 Or 188, 197–198, 131 P3d 162 (2006) (inexact term in ORS 632.920 misclassified by Department of Agriculture as delegative term); *Karjalainen v. Curtis Johnston & Pennywise, Inc. (In re Karjalainen)*, 208 Or App 674, 678–681, 146 P3d 336 (2006) (although agency did not expressly misclassify inexact term *arthritis or an arthritic condition* under ORS 656.005(24)(a) as an exact term, it erroneously applied a fact-finding analysis instead of the required interpretive analysis to discern legislative intent for meaning of the term).

VI. (§6.9) DELEGATIVE TERMS

The third class of terms, delegative terms, "express non-completed legislation which the agency is given delegated authority to complete." *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 228, 621 P2d 547 (1980) (hereinafter *Springfield*). The agency is delegated the responsibility to refine and execute the general legislative policy expressed in the statute under which the

agency operates. *Springfield*, 290 Or at 228. Thus, in contrast to the fact-finding function of the agency with exact terms and its interpretive role when applying inexact terms, the agency carries out an "essentially legislative" function with delegative terms, making rules and clarifying policy within the scope of authority and range of discretion conferred by statute. *See Springfield*, 290 Or at 229 ("The delegation of responsibility for policy refinement under such a statute is to the agency, not to the court."); *see also Ross v. Springfield School Dist.*, 294 Or 357, 367 n 7, 657 P2d 188 (1982) ("The agency functions as more than mere interpreter; it may make rules within the range of discretion established by the statutory terms.").

Delegative terms include such terms as unreasonable, good cause, fair, undue, public convenience and necessity (Springfield, 290 Or at 228); clearly an excessive remedy (Bergerson v. Salem-Keizer Sch. Dist., 341 Or 401, 413, 144 P3d 918 (2006)); and good moral character (Reguero v. Teacher Standards & Practices Com., 312 Or 402, 409, 822 P2d 1171 (1991)).

A. (§6.10) Determining Whether a Term Is Delegative

Whether a term is delegative or inexact is often not clear on its face. Courts will look to the surrounding statutory context in which the term is used, even to related statutes, to determine if the term embodies a "complete expression[] of legislative meaning," or "noncompleted legislation that the agency is given delegated authority to complete." *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 224, 228, 621 P2d 547 (1980) (hereinafter *Springfield*). If the statutory context reveals that the agency was granted wide discretion to implement the statute or charged with broad regulatory responsibilities, the term more likely expresses a general legislative policy that the legislature intended the agency to complete either by rule or adjudication. *Springfield*, 290 Or at 229–230; *Jansen v. Atiyeh*, 87 Or App 617, 622–623, 743 P2d 765 (1987), *modified and adhered to on recons.*, 89 Or App 557 (1988) (term *higher education* held to be delegative based on "the broad general authority" the Board of Higher Education was given to manage Oregon's higher education system).

For instance, in *Hale v. Water Res. Dep't,* 184 Or App 36, 41, 55 P3d 497 (2002), the Water Resources Department was delegated substantial latitude under ORS 537.250(1) to determine if an appropriation of water had been "perfected" before issuing a water rights certificate. The statute expressly stated that it was left

to "the satisfaction of the department" whether an appropriation is to be deemed "perfected." *Hale*, 184 Or App at 41. Thus, the court held that the term *perfected* was delegative and it was within the department's discretion to define the term through adjudication to include the concept of "continuity of use." *Hale*, 184 Or App at 42.

In determining the classification of a term as delegative, the courts will consider the relevant terms and the broader statutory context, which may provide evidence of the breadth of the authority granted to the agency. *See Chase Gardens v. Oregon Pub. Util. Comm'n,* 131 Or App 602, 886 P2d 1087 (1994) (considering breadth of authority relevant in determining that term was delegative). In *Chase Gardens*, a commercial customer of Northwest Natural Gas (NNG) asserted that NNG had unjustly discriminated against it in violation of ORS 757.310 and sought review of the commission's order that concluded that NNG had not discriminated against it. On review, the NNG customer asserted specifically that the commission erroneously interpreted and applied the statutory terms in a related statute, ORS 757.325, which prohibited the public utility from making or giving any "'undue or unreasonable preference or advantage'" to any person or subjecting any person to "'undue or unreasonable prejudice or disadvantage.'" *Chase Gardens*, 131 Or App at 604, 603 (quoting ORS 757.325). The court, in concluding that those terms were delegative, looked to the Public Utility Commission's (PUC) expansive authority under the statutory scheme, which granted the "PUC broad power to do 'all things necessary' to supervise and regulate public utilities." *Chase Gardens*, 131 Or App at 607 (quoting ORS 757.040). Those powers included "the responsibility for determining the circumstances under which a public utility unjustly discriminated against a particular customer," which supported the conclusion that the legislature intended for the PUC to complete the policy decision with respect to unjust discrimination. *Chase Gardens*, 131 Or App at 607–608.

Even when the terms, on their face, may not appear to be delegative, the broader context itself may suggest the legislature intended to delegate legislative power to an agency. *Jansen*, 87 Or App at 619.

In *Jansen*, the plaintiffs (hotel and motel operators, taxis, and caterers) alleged that the Oregon State Board of Higher Education (the Board) exceeded its authority under ORS 351.160(1) by offering the facilities of Southern Oregon State College (SOSC) to nonstudents who were attending the Oregon Shakespeare Festival in Ashland. *Jansen*, 87 Or App at 619, 622. Under the statute, the Board

had authority to enter into contracts for, inter alia, the use of school facilities for "purposes for higher education." *Jansen*, 87 Or App at 622. Pursuant to ORS 351.160(1), the Board, acting through SOSC, implemented a program to rent its facilities to groups with an educational objective, but who were not students at SOSC.

The court concluded that the term *higher education* is delegative based on "the broad general authority that the legislature has given to the Board to manage the higher education system of the state," as evidenced in ORS 351.160(1) and numerous other statutes. *Jansen*, 87 Or App at 622–623. The court further concluded that the Board's decision to offer its facilities to nonstudents having an educational goal was well within its delegative authority to interpret the term *higher education*. *Jansen*, 87 Or App at 623.

Conversely, when the legislature has qualified or limited the scope of a term within a statute, the court will more likely conclude that the term is a completed expression of legislative meaning. *See J.R. Simplot Co. v. Dep't of Agric.,* 340 Or 188, 197–198, 131 P3d 162 (2006). In *J.R. Simplot Co.,* the court rejected the Department of Agriculture's contention that the term *reasonably necessary,* as used in ORS 632.940, was delegative, finding that the term was qualified by the phrase following it: *to cover the cost of inspection and administration*. *J.R. Simplot Co.,* 340 Or at 197. The court held that the term *reasonably necessary to cover the cost of inspection and administration* was not a delegative term because it did more than simply establish a general legislative policy; it directed the department on "*how* to pursue the policy objective of funding an inspection program." *J.R. Simplot Co.,* 340 Or at 197. Thus, the term was inexact because it expressed a complete legislative policy. *J.R. Simplot Co.,* 340 Or at 198.

B. (§6.11) Rule Making Prior to Adjudication to Define Terms

Generally, an agency may define delegative terms either by rule or order. *Trebesch v. Employment Div.,* 300 Or 264, 269, 273, 710 P2d 136 (1985). Whether an agency must first promulgate rules to define a term before any adjudication does not depend on the term's classification. *Trebesch,* 300 Or at 269. Rather, it depends on the intent of the legislature, as discerned from the agency's authorizing statute and the structure and responsibilities of the agency. *Trebesch,* 300 Or at 269–270. In other words, rulemaking is required if there is an express or implied requirement for it in the statute. *Hale v. Water Res. Dep't,* 184 Or App 36, 44–45, 55 P3d 497

(2002) (no express or implied requirement that agency needed to engage in formal rulemaking to define the term *perfected* before adjudication). If such legislative intent exists, a party may challenge an agency decision for failure to promulgate a rule defining a statutory term before the adjudication. *See Trebesch,* 300 Or at 277.

In *Trebesch,* the supreme court set forth the framework of the statutory interpretation courts should engage in to determine if prior rulemaking is required. *Trebesch,* 300 Or at 267. The initial inquiry is whether the authorizing statute expressly requires the agency to define statutory terms by rulemaking. *Trebesch,* 300 Or at 270 (citing *Application of Portland General Electric Co.,* 277 Or 447, 458, 561 P2d 154 (1977)). Absent an express directive, legislative intent can be assessed by review of: (1) whether the agency's delegated role is fact-finding, interpretation, or policymaking, based on the type of statutory term at issue; (2) the type and breadth of authority delegated to the agency, that is, whether the agency has rulemaking or adjudication authority, or both; (3) the tasks assigned to the agency; and (4) the structure and process by which the agency executes its tasks. *Trebesch,* 300 Or at 270; *but see YMCA of Columbia-Willamette v. Department of Revenue*, 308 Or 644, 649, 784 P2d 1086 (1989) (court noted that agencies are always required to define delegative terms before applying them in contested cases) (dictum).

The issue in *Trebesch* was whether the Employment Division was required to promulgate rules defining the term *systematic and sustained effort to obtain work* before issuing an order denying unemployment benefits under ORS 657.325(6)(b). *Trebesch,* 300 Or at 266. The court held that the term was inexact, requiring "interpretation, not policymaking," yet the agency was delegated both adjudicative and rulemaking authority; therefore, it had the option to define the term by either promulgating rules or issuing orders. *Trebesch,* 300 Or at 272. An important factor to determine whether prior rulemaking was required is the extent to which the agency or an officer of the agency was delegated "comprehensive review powers to consider interpretations of law." *Trebesch,* 300 Or at 274, 277 ("Depending upon how comprehensive the adjudicatory power is, the legislature may have envisioned that interpretations of law by orders in contested cases would provide an alternative to interpretations by rules."). If the agency has such comprehensive powers, then the term can be defined either through rulemaking or adjudication; the latter gives guidance to agency decision-makers through "well articulated opinions." *Trebesch,* 300 Or at 276. However, if the agency does not

have such powers, then the term must first be defined by rule. *Trebesch*, 300 Or at 277. Under either scenario, the agency had not defined the term by rule or order. The court remanded the decision to the agency to define the term, whether by rule or order, depending on how extensive the assistant director perceived his review power. *Trebesch*, 200 Or at 277.

C. (§6.12) Standard of Review

A court reviews an agency's rule or order involving a delegative term to determine whether it "is within the range of discretion allowed by the more general policy of the statute." *Springfield Education Asso. v. Springfield School Dist.*, 290 Or 217, 229, 621 P2d 547 (1980) (hereinafter *Springfield*); *see also Lombardo v. Warner*, 340 Or 264, 270, 132 P3d 22 (2006) (courts "determine whether the agency's action was within the scope of the authority conferred by the statute"). For contested cases, this standard of review is encompassed in ORS 183.482(8)(b):

> The court shall remand the order to the agency if it finds the agency's exercise of discretion to be:
>
> (A) Outside the range of discretion delegated to the agency by law;
>
> (B) Inconsistent with an agency rule, an officially stated agency position, or a prior agency practice, if the inconsistency is not explained by the agency; or
>
> (C) Otherwise in violation of a constitutional or statutory provision.

Springfield, 290 Or at 299; *see also* ORS 183.484(5)(b) (standard of review for orders in other than contested cases); ORS 183.400(4) (standard of review for rules).

The court's task is to determine the range of discretion delegated to the agency through the use of the delegative term and evaluate whether the agency action in interpreting and applying the term is within the range of discretion allowed by the general policy of the statute. *Bergerson v. Salem-Keizer Sch. Dist.*, 341 Or 401, 413, 144 P3d 918 (2006). The court determines the general policy of a statute applying the framework of statutory construction. *Bergerson*, 341 Or at 413; *see Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993) (hereinafter *PGE*); see generally chapter 1 for an overview of the statutory analysis.

CAVEAT: In *Meltebeke v. Bureau of Labor & Indus.*, 322 Or 132, 142 n 12, 903 P2d 351 (1995), the supreme court held that the statutory analysis outlined in *PGE* does not apply to determine whether an agency rule defining a delegative term is within its scope of delegated authority. However, the supreme court more recently clarified that the analysis *does* apply to determine whether agency interpretation of a delegative term is within the scope of authority delegated under the general policy of the statute. *Bergerson*, 341 Or at 413. The application of the statutory analysis does not depend on whether the agency's interpretation of a term occurs through rulemaking or adjudication.

Because an agency has discretion to refine and execute policy within the scope of authority delegated by the legislature (*Springfield*, 290 Or at 229), a court's review of the agency's interpretation and application of delegative terms is "largely deferential" if the agency is found to have acted within its range of discretion. *Booth v. Tektronix, Inc.*, 312 Or 463, 473–474, 823 P2d 402 (1991) (allowing employer to submit into evidence prehearing communications with employee's physicians—otherwise allowable under applicable evidential rules—was within scope of authority of Workers' Compensation Board to interpret rules promulgated under ORS 656.252(1) governing physician reporting requirements); *see also Qwest Corp. v. PUC*, 205 Or App 370, 380, 135 P3d 321 (2006) (court upheld rules creating penalties for unauthorized attachments to utility poles pursuant to statutory directive to establish "appropriate sanctions" for unauthorized pole attachments: "we will defer to the agency's interpretation so long as it is consistent with the legislature's purpose").

If the agency's interpretation is not inconsistent with the general policy of the statute, it is not the court's role on review to evaluate competing policy interests and substitute its judgment for the agency's on which interpretation should prevail. *See Booth*, 312 Or at 473–474; *see also Ass'n of Or. Corr. Employees v. State*, 213 Or App 648, 657, 164 P3d 291, *rev. denied*, 343 Or 363 (2007) (court deferred to agency's interpretation of delegative phrase *bargain collectively in good faith with the exclusive representative* under the prohibition in ORS 243.672(1)(e) against unlawful labor practices by a public employer: "we defer—as we consistently have—to the board's methodology for determining whether parties have bargained in good faith.").

PRACTICE TIP: A court will invalidate an administrative rule if the agency exceeds its scope of authority or the applicable legal standards set forth in the governing statute. *See Waterwatch of Or., Inc. v. Water Res. Comm'n,* 199 Or App 598, 605–607, 112 P3d 443 (2005).

In *Waterwatch of Or., Inc.,* the Oregon Court of Appeals invalidated rules the Water Resources Commission promulgated to govern groundwater appropriation and mitigation requirements in the Deschutes River Basin. *Waterwatch of Or., Inc.,*199 Or App at 601. In a rule challenge under ORS 183.400(4)(b), the court first examined the governing policy directive and the legal standard imposed by ORS 390.835(1), which stated: "It is declared that the highest and best uses of the waters within scenic waterways are recreation, fish and wildlife uses. The free-flowing character of these waters shall be *maintained in quantities necessary for recreation, fish and wildlife uses*." *Waterwatch of Or., Inc.,* 199 Or App at 605 (emphasis added). Because the contested rules only required that "mitigation" efforts moderate the detrimental effect of groundwater use on river flows, the agency exceeded its statutory authority by promulgating rules that departed from the statutory legal standard requiring that river flows must be "maintained." *Waterwatch of Or., Inc.,* 199 Or App at 612, 616–617; *see also Steele v. Employment Dep't,* 143 Or App 105, 112–115, 923 P2d 1252 (1996), *aff'd,* 328 Or 292 (1999) (rule of Employment Appeals Board establishing alcohol-related absences as automatic grounds for denial of unemployment benefits pursuant to ORS 657.176(2)(a) for "misconduct connected with work" fell outside range of discretion allowed by statute because meaning of term, as evidenced by dictionaries and prior case law, encompassed element of willfulness, intent, or other culpable state of mind).

VII. (§6.13) AGENCY INTERPRETATION OF ADMINISTRATIVE RULES

Courts review an agency's interpretation of administrative rules using the same analytical framework set forth in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.,* 317 Or 606, 859 P2d 1143 (1993), to interpret the meaning of statutes and discern legislative intent. When the agency interprets its own rules, a court will apply a deferential standard of review, upholding the agency's interpretation unless it is implausible, that is, it is not inconsistent with the wording of the rule itself, its

context, or any other source of law. An agency interpreting the rules promulgated by another agency will not be accorded the same deference.

A. (§6.14) Administrative Rules Construed in Same Manner as Statutes

To determine the meaning of an administrative rule, a court will apply the same analytical framework used to discern the meaning of a statute. *See Abu-Adas v. Employment Dep't Food Emplrs.,* 325 Or 480, 485, 940 P3d 1219 (1997); *Stanley v. Driver & Motor Vehicle Servs.*, 193 Or App 202, 205, 89 P3d 1186 (2004) ("In construing an administrative rule, we apply the same analytical framework applicable to the construction of statutes."). The court's role is "to determine the meaning of the words used, giving effect to the intent of the enacting body." *Abu-Adas,* 325 Or at 485; *see also In re Marriage of Perlenfein and Perlenfein*, 316 Or 16, 20, 848 P2d 604 (1993) ("In interpreting a statute or regulation, our task is to ascertain the intent of the body that promulgated it.").

A court first looks to the text of the rule and its context to determine the rule's plain meaning. *Abu-Adas,* 325 Or at 485; *see also SAIF Corp. v. Frias (In re Frias)*, 169 Or App 345, 350, 8 P3d 1005 (2000) ("We interpret administrative rules according to their plain meaning, considering the text of the rule in context."). "Context includes other provisions of the same rule, other related rules[,] the statute pursuant to which the rule was created, and other related statutes." *Abu-Adas,* 325 Or at 485. However, there must be a "contextual link," a "substantive relationship" between the rule being interpreted and the other provision that "reflects in some meaningful way on the intended meaning" of the rule being interpreted. *Department of Land Conserv. & Dev. v. Jackson County,* 151 Or App 210, 220, 948 P2d 731 (1997); *see also Marshall's Towing v. Dep't of State Police*, 339 Or 54, 63, 116 P3d 873 (2005) (in construing term in regulations governing nonpreference towing, court read "the words of the rule *in pari materia*").

The *Abu-Adas* and *Department of Land Conserv. & Dev.* cases illustrate the court's reliance on textual and contextual review of agency interpretation of rules. In *Abu-Adas* the court reviewed a decision of the Employment Appeals Board (EAB) disqualifying petitioners from receiving unemployment compensation benefits pursuant to ORS 657.200(1) because unemployment was "due to a labor dispute." *Abu-Adas,* 325 Or at 483–484. The Employment Department

promulgated OAR 471-030-0097, defining *labor dispute* as any action by two or more individuals that results in "a strike or lockout." *Abu-Adas,* 325 Or at 484. The petitioners argued that a "lockout" had not occurred because not all employees were subject to the lockout, thus unemployment was not "due to a labor dispute." *Abu-Adas,* 325 Or at 484. The court looked to the text of the rule, to the governing statute, and to related statutes. The court upheld the EAB's interpretation, concluding that the rule did not require a "complete," "total," or "substantial" lockout. The term *lockout* was not qualified in any manner that would rule out partial lockouts being included in the definition of *labor dispute*. *Abu-Adas,* 325 Or at 485–486. In addition, the context of the statutory provision specifically recognized a lockout as a labor dispute and provided further support for the EAB's interpretation.

Although context may include other provisions of the rule, related rules, the statute, and related statutes, such context is relevant evidence of the enacting agency's intent only to the extent it has "a genuine bearing on the meaning of the provision that is being construed." *Department of Land Conserv. & Dev.,* 151 Or App at 218. In *Department of Land Conserv. & Dev.,* the court concluded that the rule was unambiguous based on the plain meaning of the text. *Department of Land Conserv. & Dev.,* 151 Or App at 217–218. Nonetheless, the Department asserted that the general policy statement expressed in the rule supported a different construction. The court declined to give any weight to the policy statement because there was no "contextual link" between the policy statement and the particular rule at issue. *Department of Land Conserv. & Dev.,* 151 Or App at 218–220. The court cautioned that courts should not "*make* policy in the guise of interpretation" or "allow agencies or other parties to achieve through a court's interpretation policy objectives that the enactment . . . was not meant to or failed to embody." *Department of Land Conserv. & Dev.,* 151 Or App at 218.

Courts construe administrative rules using the same rules of construction that apply to statutes. *See Columbia Steel Castings Co. v. Portland,* 314 Or 424, 430, 840 P2d 71 (1992) (principles of statutory construction may be applied to "discrete sets of administrative rules that deal with a particular topic"). See chapter 2 discussing rules of construction. Such rules include:

(1) Courts are "'not to insert what has been omitted' when they interpret a statute . . . . [which] applies equally to agencies when they interpret an agency's administrative rules and regulations." *City of Klamath Falls v. Environmental*

Quality Comm'n, 318 Or 532, 543, 870 P2d 825 (1994) (on review of decision by Environmental Quality Commission denying permit for hydroelectric project, court declined to read into regulation governing water quality an adverse-effect-on-fish standard when rule had per se violations based on changes in water temperature) (quoting ORS 174.010); ORS 174.010 (states that role of a court "is simply to ascertain and declare what is, in terms or in substance, contained therein, not to insert what has been omitted, or to omit what has been inserted").

(2) The corollary rule is that "[w]hen a legislature or agency uses a particular term in one provision of a statute or regulation, but omits that same term in a parallel and related provision, we infer that the legislature or agency did not intend that the term apply in the provision from which the term is omitted." *In re Marriage of Perlenfein and Perlenfein,* 316 Or at 22 (on review of motion to modify child support, court rejected husband's argument that term *received* should be read into rule defining *gross income* from closely held corporation because the term is used in regulations defining other forms of *gross income*) (citing ORS 174.010).

(3) Terms have the same meaning throughout a statute, as well as throughout "discrete sets of administrative rules that deal with a particular topic," absent any indication to the contrary. *Columbia Steel Castings Co.,* 314 Or at 430 ("terms are read consistently throughout a statute").

(4) "When a general and a particular provision on the same subject are inconsistent, this court applies the particular provision." *In re Marriage of Perlenfein and Perlenfein,* 316 Or at 20–22 (court applied more specific regulation governing calculation of *gross income* in OAR 137-050-0330(1) relating to self-employment, royalties, proprietorship of business, and joint ownership of partnerships or closely held corporations, rather than general definition of *gross income* in OAR 137-050-0340).

B. Deferential Standard of Review Applied to Agency Interpreting Its Own Rules

1. (§6.15) Deferential Standard of *Don't Waste Or. Comm.* v. *Energy Facility Siting Council*

When an agency interprets an administrative rule, the Oregon Supreme Court has held that courts must accord deference to the agency's interpretation of its own rules, unless "the agency's plausible interpretation of its own rule can be

shown either to be inconsistent with the wording of the rule itself, or with the rule's context, or with any other source of law." *Don't Waste Or. Comm. v. Energy Facility Siting Council*, 320 Or 132, 142, 881 P2d 119 (1994). This standard also applies when the agency's interpretation is made in the course of applying the rule. *Deleon, Inc. v. Dep't of Human Servs.,* 220 Or App 542, 548, 188 P3d 354 (2008).

In the context of ORS 183.482(8)(a), which authorizes a court to overturn an agency's interpretation of a rule if the agency "erroneously interpreted a provision of law," the agency's rule itself is the "provision of law." *Don't Waste Or. Comm.,* 320 Or at 142. Therefore, a court cannot overrule an agency's interpretation of its own rule if the interpretation is not implausible in light of the text and context of the rule or other source of law, and the rule was otherwise validly promulgated. *Don't Waste Or. Comm.,* 320 Or at 142; *see also SAIF Corp. v. Donahue-Birran (In re Donahue-Birran),* 195 Or App 173, 181, 96 P3d 1282 (2004) ("we are bound to defer to plausible interpretations of administrative rules by the agency that promulgated them").

In *Don't Waste Or. Comm.,* the court reviewed a final order of the Energy Facility Siting Council (EFSC) certifying a proposed natural gas facility to generate electricity. *Don't Waste Or. Comm.,* 320 Or at 135. At issue was the EFSC's interpretation of rules it had promulgated that set standards under which proposed facilities could be exempt from demonstrating a need for the power to be generated from the facility. *Don't Waste Or. Comm.,* 320 Or at 140. The text and context of the rule, which defined the need-for-power exemption in terms of a "capacity" of 950 megawatts, could have been interpreted plausibly to mean either "nominal capacity" or "output capacity"; the latter interpretation was adopted by the EFSC. *Don't Waste Or. Comm.,* 320 Or at 141–142. Under such circumstances, the court concluded that it "cannot overrule, under ORS 183.482(8)(a), an agency's interpretation of its own rule." *Don't Waste Or. Comm.,* 320 Or at 142.

2. (§6.16) Plausibility of Agency's Interpretation Determined by Construing Meaning of Rule

To determine if an agency's interpretation is consistent with the text and context of the rule—or other source of law—and thus entitled to deference, a court will examine the text and context to discern the intent of the enacting body. *See Marshall's Towing v. Dep't of State Police,* 339 Or 54, 62, 116 P3d 873 (2005) (court examined text and context of rule and related rules to determine meaning of

nonpreference towing rule and held that interpretation of *exclusive control* by Oregon State Police was erroneous). In other words, the court will apply a *PGE*-type of analysis to discern the meaning of the rule. *See Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993). See discussion in §6.14.

When a court holds that an agency's interpretation is not plausible, it can remand the matter to the agency to apply a plausible interpretation of the rule to the facts of the case. *Papas v. Or. Liquor Control Comm'n,* 213 Or App 369, 380, 161 P3d 948 (2007), remanded matter to Oregon Liquor Control Commission (OLCC) after holding that OLCC's interpretation of its rule prohibiting "drinking contest" was implausible in light of wording of rule that limited it to instances when contest was "designed to increase consumption," and context of other rules that show that OLCC knows how to apply a rule to all form of contests without qualification).

In *Gafur v. Legacy Good Samaritan Hosp. & Med. Ctr.*, 344 Or 525, 537, 185 P3d 446 (2008), the Oregon Supreme Court construed the meaning of a rule promulgated by the Bureau of Labor and Industries (BOLI) and held that BOLI's interpretation of its own rule was incorrect and not entitled to any deference. In a class action lawsuit filed by hospital employees against their employers, the court reviewed the defendants' ORCP 21 motion to dismiss to determine whether the plaintiffs had a private right of action to seek compensation for alleged violations of statutes and rules requiring rest breaks. *Gafur,* 344 Or at 528. The court of appeals had accepted the plaintiffs' position that, because OAR 839-020-0050(1)(b) entitles employees to 10-minute rest breaks for every four hours worked "without deduction from the employee's pay," they are entitled to four hours' pay for three hours and 50 minutes of work if the employer did not provide the required rest periods. *Gafur,* 344 Or at 534.

Reviewing the text of the rule in context, the supreme court concluded that the prohibition on deductions from pay supported the opposite interpretation. *Gafur,* 344 Or at 534. The terms *work* and *work period* are defined in the rule as including rest periods, therefore, "an employee who takes a rest break does not stop working for wage and hour purposes." *Gafur,* 344 Or at 536. Thus, an employee who works four hours with a 10-minute break "works" the same amount of time for wage purposes as an employee who takes no break. *Gafur,* 344 Or at 536.

BOLI filed an *amicus* brief supporting the plaintiffs' interpretation of the rule. *Gafur*, 344 Or at 536. BOLI argued that its interpretation was entitled to deference under *Don't Waste Or. Comm. v. Energy Facility Siting Council,* 320 Or 132, 142, 881 P2d 119 (1994). *Gafur*, 344 Or at 536–537. The supreme court disagreed because BOLI's interpretation was clearly inconsistent with the text and context of the rule. *Gafur*, 344 Or at 537. Furthermore, BOLI had never before espoused that interpretation in a rule, order, or policy statement, and failed to present any evidence that it ever intended the rule to have that meaning. *Gafur*, 344 Or at 537. BOLI's argument was "no more than an assertion that the Court of Appeals opinion was correct. We do not view that as an interpretation to which we owe deference." *Gafur*, 344 Or at 537.

Deleon, Inc. v. Dep't of Human Servs., 220 Or App 542, 188 P3d 354 (2008), provides another example of an agency's interpretation held to be implausible. In *Deleon, Inc.*, the Department of Human Services (DHS) had penalized a grocery store owner for violations of DHS rules administering the federally sponsored Women, Infants, and Children (WIC) Program. *Deleon, Inc.*, 220 Or App at 544. The WIC Program provides "authorized shoppers" with vouchers to buy "authorized foods" from WIC vendors. *Deleon, Inc.*, 220 Or App at 544. The WIC Program also requires states to implement a monitoring program of covert "compliance buys," when agency investigators make purchases to see whether WIC vendors are committing "vendor overcharges" by charging DHS more for "authorized foods" than allowed. *Deleon, Inc.*, 220 Or App at 544.

DHS found the store owner, a WIC vendor, to be in violation of (1) OAR 333-054-0050(3)(b)(C), by engaging in a "pattern of vendor overcharges," which entailed charging more for authorized foods than allowed; and (2) OAR 333-054-0050(3)(b)(E), by engaging in a "a pattern of charging for authorized foods not received by the authorized shopper." *Deleon, Inc.*, 220 Or App at 547. The violations were based on sales of Similac (infant formula) to a DHS employee making compliance buys, for which the vendor overcharged DHS. *Deleon, Inc.*, 220 Or App at 546–547. Similac was not on the list of authorized foods in the WIC Program. *Deleon, Inc.*, 220 Or App at 546.

On review, the court held that DHS's interpretation of its rules, made in the course of applying its rules, was implausible. *Deleon, Inc.*, 220 Or App at 549. First, DHS's interpretation of OAR 333-054-0050(3)(b)(C) was inconsistent with the plain language of the rule which prohibited only the overcharge of authorized

foods. *Deleon, Inc.*, 220 Or App at 549. Because the purchase of Similac did not involve an authorized food, the rule did not apply. *Deleon, Inc.*, 220 Or App at 549. Second, OAR 333-054-0050(3)(b)(E) also did not apply because the DHS employee who made the covert compliance buy did not fit within the "clear and unequivocal" language of the administrative rule defining *authorized shopper*, which was limited to "any pregnant woman, breastfeeding woman, post-partum woman, infant or child who received authorized foods" under the WIC Program, any breastfed infant of a participating woman, or the participant's documented designee. *Deleon, Inc.*, 220 Or App at 549–550 (citing OAR 333-054-0010(17)).

3. (§6.17) Interpretations by Authorized Representative of the Agency

Under the deferential standard of review enunciated in *Don't Waste Or. Comm. v. Energy Facility Siting Council*, 320 Or 132, 881 P2d 119 (1994), the interpretation of a rule by an authorized representative of the agency that promulgated the rule is given the same level of deference that would be given to the agency itself. *SAIF Corp. v. Donahue-Birran (In re Donahue-Birran)*, 195 Or App 173, 182, 96 P3d 1282 (2004). In *SAIF Corp.*, a workers' compensation case, the court deferred to the Appellate Review Unit's (ARU) interpretation of a rule promulgated by the Department of Consumer and Business Services (DCBS) because the ARU was a part of the DCBS, within its Workers' Compensation Division. *SAIF Corp.*, 195 Or App at 181. However, the court did not defer to the Workers' Compensation Board's interpretation of the rule promulgated by the DCBS "because they are different agencies and deference is due only to an interpretation by the agency that promulgates a rule." *SAIF Corp.*, 195 Or App at 181.

Therefore, a lawyer should determine which agency promulgated the rule and which agencies govern the particular agency representatives and bodies involved. For example, in *Double K Kleaning Serv. v. Empl. Dep't,* 191 Or App 374, 376, 82 P3d 642 (2004), the court reviewed the Employment Appeals Board's (EAB) decision to award unemployment benefits to an employee who had been fired after a verbal altercation with his employer. The issue was whether the employee was disqualified from receiving benefits under ORS 657.176(2)(a) by reason of being fired for "misconduct." Under rules promulgated by the Employment Department, OAR 471-030-0038(3)(a), *misconduct* was defined as a "willful or wantonly negligent violation of the standards of behavior which an

employer has the right to expect of an employee . . .” *Double K Kleaning Serv.*, 191 Or App at 376. However, under OAR 471-030-0038(3)(b), “[i]solated instances of poor judgment” are not misconduct. *Double K Kleaning Serv.*, 191 Or App at 376.

A representative of the Employment Department found initially that there was no “misconduct.” *Double K Kleaning Serv.*, 191 Or App at 377. The decision was then affirmed by an administrative law judge (ALJ), and then the EAB. *Double K Kleaning Serv.*, 191 Or App at 376. On review, the court gave no deference to either the EAB’s or the ALJ’s interpretation because neither were representatives of the Employment Department. *Double K Kleaning Serv.*, 191 Or App at 379. However, because a representative of the Employment Department had initially interpreted the rule promulgated by the Department, the court deferred to that interpretation. *Double K Kleaning Serv.*, 191 Or App at 379. The court concluded that the interpretation of the representative was consistent with case law, which showed that a heated argument could qualify as either “misconduct” or “isolated instances of poor judgment” depending on the presence of mitigating or aggravating circumstances, both of which were present.

4. (§6.18) No Deference to Agency Interpretations of Rules Promulgated by Another Agency

A court gives no deference to an agency’s interpretation of another agency’s rules. *Lederer v. Viking Freight, Inc. (In re Lederer)*, 193 Or App 226, 236 n 6, 89 P3d 1199, *modified on recons.*, 195 Or App 94, 96 P3d 882 (2004). The court reviews the agency’s interpretation using the same analytical framework that applies to interpreting statutes; that is, looking to the text and context to determine the meaning of the rule to give effect to the intent of the enacting body. *See Oregon Occupational Safety & Health Div. v. Don Whitaker Logging, Inc.*, 329 Or 256, 261 n 7, 985 P2d 1272 (1999).

Chapter 7: INTERPRETING THE OREGON CONSTITUTION

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I. (§7.1) INTRODUCTION

This chapter describes the different ways that Oregon courts interpret the Oregon Constitution. On the most basic level, courts use one framework for interpreting the original constitutional provisions that were drafted in 1857 and adopted in 1859, and another framework for interpreting subsequently enacted provisions.

The first part of this chapter discusses when, and under what circumstances, Oregon courts will reach questions of constitutional interpretation. The second part of this chapter addresses the methodology for interpreting the original provisions of the state constitution announced by the Oregon Supreme Court in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992). The third part of the chapter addresses the methodology for interpreting amendments and additions to the original constitution under *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994). The last part of this chapter addresses when and how to challenge the courts' constitutional interpretations predating the *Priest* and *Ecumenical Ministries* cases.

II. (§7.2) WHEN DOES THE STATE CONSTITUTION MATTER: FIRST-THINGS-FIRST DOCTRINE AND ROLE OF STATE CONSTITUTION

In analyzing state constitutional interpretation issues, the lawyer must be aware of several principles followed by the courts. First, Oregon courts resolve issues on a subconstitutional basis when possible. Second, Oregon courts tend to prefer to resolve cases based on state constitutional principles rather than federal principles (the first-things-first doctrine). Third, Oregon courts are reluctant to address constitutional issues that have not been adequately preserved for appeal.

A. (§7.3) Subconstitutional Decisions Before Constitutional Decisions

Whenever possible, Oregon courts will decide cases without reaching constitutional questions: "All issues should first be addressed on a subconstitutional level." *State v. Moylett*, 313 Or 540, 545, 836 P2d 1329 (1992).

B. (§7.4) Independent Interpretations of State and Federal Constitutions

Since the 1980s, the Oregon Supreme Court has demonstrated a strong preference for deciding cases on state constitutional grounds rather than resorting to the United States Constitution. Hans Linde, *First Things First: Rediscovering the States' Bills of Rights,* 9 U Balt L Rev 379 (1980); Wallace P. Carson Jr., *"Last Things Last": A Methodological Approach to Legal Argument in State Courts,* 19 Willamette L Rev 641 (1983). This preference is often referred to as the first-things-first doctrine, under which courts use state constitutional law to resolve cases whenever possible, rather than relying on federal law. *Sterling v. Cupp*, 290 Or 611, 613–614, 625 P2d 123 (1981).

Although Oregon courts appear to still adhere to the first-things-first principle, since the 1980s they have ignored state constitutional analysis and gone straight to a federal constitutional analysis. *See, e.g., State v. Mendez*, 308 Or 9, 19, 774 P2d 1082 (1989) (court declined to consider state constitutional claim when defendant failed to raise it in brief); *GTE Northwest v. Public Util. Comm'n,* 321 Or 458, 468 n 6, 900 P2d 495 (1995) (plaintiff made no state constitutional analysis; court assumed state and federal constitutional analysis was identical); *Church at 295 S. 18th St. v. Employment Dep't,* 175 Or App 114, 123 n 2, 28 P3d 1185 (2001) (court refused to consider state constitutional analysis because the issue was not preserved for appeal). Despite the occasional refusal to address state constitutional issues, courts continue to apply the first-things-first doctrine when one of the parties preserves it on appeal. *See, e.g., State v. Vasquez*, 336 Or 598, 603 n 4, 88 P3d 271 (2004).

A corollary of the first-things-first doctrine is the practice of Oregon courts to interpret state constitutional provisions independent of federal analogues. For example, the Oregon Supreme Court declined to revisit its previous confrontation clause decisions merely because federal courts had announced a new approach to the federal confrontation clause. *State v. Cook*, 340 Or 530, 540, 135 P3d 260 (2006). This does not mean, however, that Oregon courts will never look to federal

constitutional principles. In *State v. Mai*, 294 Or 269, 272, 656 P2d 315 (1982), the Oregon Supreme Court construed the state compulsory process clause "in the same way as the Supreme Court construed the virtually identical federal counterpart." The lawyer must distinguish between the United States Constitution and the Oregon Constitution, and must clearly identify which constitution supports his or her arguments.

C. (§7.5) Importance of Properly Preserving Constitutional Issues for Appeal

In the past, the Oregon Supreme Court has been willing to address state constitutional issues that may have been inadequately raised or preserved for appeal. In *State v. Clark*, 291 Or 231, 247 & n 1, 630 P2d 810 (1981) (Tongue, J., concurring), the defendant did not expressly discuss the state constitutional issues in his appeal brief, yet the Oregon Supreme Court felt obliged to address those issues, noting that the defendant had raised the constitutional issues at trial. Similarly, in *State v. Kennedy*, 295 Or 260, 265–267, 666 P2d 1316 (1983), the court resolved the case on state constitutional grounds despite the parties' failure to discuss the state issue separate from federal issues (both parties believed that the case would be resolved on federal grounds).

In one recent case, however, the Oregon Supreme Court affirmed the court of appeals' ruling when a party failed to properly preserve a state constitutional argument. *State v. Ice*, 343 Or 248, 170 P3d 1049 (2007), *rev'd,* 129 S Ct 711 (2009). The cautious approach calls for preserving state and federal constitutional issues, but to be prepared to address them even if it appears that they were not preserved.

III. (§7.6) THE COURT'S ROLE: DETERMINATION OF INTENT

The Oregon Supreme Court has repeatedly stated that its role when interpreting the constitution is to give effect to the intent underlying the document. The question then becomes whose intent is relevant.

A. (§7.7) Original Constitutional Provisions

When interpreting original constitutional provisions enacted in 1859, Oregon courts sometimes state that the relevant intent is that of the voters who ratified the constitution, that of the constitution's framers, or both. In practice, however, the courts limit their historical analysis to consideration of the framers' intent. For

example, in *Monaghan v. School Dist.*, 211 Or 360, 367, 315 P2d 797 (1957), the court stated: "The constitution derives its force and effect from the people who ratified it and not from the proceedings of the convention where it was framed, yet we are permitted to consider some of the circumstances, conditions, and personalities present at that time as a source of help . . . ." The court then provided a detailed exploration of the framers' intent with no reference to the voters of 1859. *See also Lakin v. Senco Prods., Inc.*, 329 Or 62, 72, 987 P2d 463 (1999) (referring to framers of constitution); *State v. Ciancanelli*, 339 Or 282, 310–311, 121 P3d 613 (2005) (discussing framers' intent as "the intent of the people who drafted and adopted" the constitution); *Liberty Northwest Ins. Corp. v. Or. Ins. Guar. Ass'n,* 206 Or App 102, 112, 136 P3d 49 (2006) (discussing framers' intent).

Lawyers should tailor their arguments to the court's preference for any evidence that reveals the framers' intent in enacting the original provisions of the constitution. This focus on the framers' intent likely results from the paucity of evidence of the voters' intent. There is, however, some documentation of the proceedings of the 1857 Constitutional Convention that may reveal the framers' intent. Although there are no official reports of the convention, there are daily news reports. Charles Henry Carey, The Oregon Constitution and Proceedings and Debates of the Constitutional Convention of 1857 (1926). In addition, courts rely on two scholarly works to discern the framers' intent. Claudia Burton produced a three-part series: Claudia Burton and Andrew Glade, *A Legislative History of the Oregon Constitution of 1857—Part I (Articles I & II),* 37 Willamette L Rev 469 (2001); Claudia Burton, *A Legislative History of the Oregon Constitution of 1857—Part II (Frame of Government: Articles III–VII),* 39 Willamette L Rev 245 (2003); Claudia Burton, *A Legislative History of the Oregon Constitution of 1857—Part III (Mostly Miscellaneous: Articles VIII– XVIII),* 40 Willamette L Rev 225 (2004). In addition, David Schuman has examined the origins of the constitution in his article, *The Creation of the Oregon Constitution,* 74 Or L Rev 611 (1995).

B. (§7.8) Subsequent Amendments to the Constitution

In contrast to the interpretation of original constitutional provisions that is governed by the framers' intent, the voters' intent governs the interpretation of subsequent amendments and additions to the constitution. *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 817 P2d 106 (1994). As discussed in

more detail later in this chapter, sources revealing the intent of the voters include the voters' pamphlet, ballot measure titles, and newspaper articles.

IV. INTERPRETING ORIGINAL CONSTITUTIONAL PROVISIONS—OVERVIEW

A. (§7.9) *Priest* Analytical Framework

In 1992, the Oregon Supreme Court systematized the manner in which it interprets original provisions of the Oregon Constitution. Under *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), when a court is called on to interpret an original constitutional provision, it must consider three factors:

(1) The wording of the provision;

(2) The historical circumstances leading up to the enactment of the provision; and

(3) Prior case law interpreting that provision. *Priest*, 314 Or at 415–417. The courts consider all three *Priest* factors in interpreting an original constitutional provision and the three factors may overlap.

For example, in *Priest*, the court's analysis of historical circumstances (the second factor) included considerable discussion of sources appropriate to a discussion of case law (the third factor). The court cited one Oregon case not for a point of law, but for the historical fact that many sections of the Oregon Constitution are based on the 1851 Indiana Constitution. *Priest*, 314 Or at 418. In addition, during its consideration of the historical circumstances surrounding enactment of the constitutional provision, the court relied on case law from other jurisdictions. *Priest*, 314 Or at 418–419. Likewise, the court's choice of dictionaries could sometimes be construed as historical and at other times as textual because the court tended to use dictionaries that predated the enactment of the constitution. This is consistent with the court's apparent preference for originalism. Jack L. Landau, *A Judge's Perspective on the Use and Misuse of History in State Constitutional Interpretation*, 38 Val U L Rev 451 (2004).

Because the *Priest* factors overlap, a lawyer should be prepared to discuss all three factors. *See State v. Norris*, 188 Or App 318, 331, 72 P3d 103 (2003) (noting that Oregon Supreme Court examines the three factors in a variety of orders). However, as a practical matter, the text of the provision may be the most important

factor. The court necessarily must look at the text it is asked to interpret, and in determining the framers' intentions, the words used by the framers limits the realm of possible intentions.

B. (§7.10) *Priest* Decision

In *Priest v. Pearce,* 314 Or 411, 840 P2d 65 (1992), the defendant claimed that the Oregon Constitution entitled him to postconviction bail pending the outcome of his appeal: "Offences [*sic*], except murder, and treason, shall be bailable by sufficient sureties. Murder or treason, shall not be bailable, when the proof is evident, or the presumption strong." *Priest,* 314 Or at 413 (quoting Or Const art I, §14). The defendant argued that article I, §14, mandated both preconviction and postconviction bail for all nonmurder and nontreason offenses. *Priest,* 314 Or at 415–416. The court disagreed. The court considered the text and context of the provision (the first *Priest* factor), finding that it did not support the plaintiff's position. *Priest,* 314 Or at 416. First, the second sentence of article I, §14, applied only to murder and treason in cases when a conviction had not yet been obtained. *Priest,* 314 Or at 416. It would be contrary to the plain meaning of the text of the provision to say that bail could be available after a defendant's conviction for murder or treason, because proof would be evident and the presumption of guilt strong. *Priest,* 314 Or at 416.

The court further reasoned that it would be "anomalous" to interpret the first sentence as requiring bail both pre- and postconviction, but interpreting the second sentence as requiring bail only in preconviction cases. *Priest,* 314 Or at 416. After concluding that the text of article I, §14, did not support the conclusion that there is a constitutional right to postconviction bail, the court proceeded to the second factor of analysis—case law. The court noted the existence of earlier cases suggesting a right to postconviction bail, while more recent cases suggested otherwise. However, none of the earlier cases "specifically and authoritatively decide[d] the question." *Priest,* 314 Or at 417.

The court then proceeded to the final factor of analysis, examination of the historical circumstances surrounding enactment of the provision. The court considered the origins of the concept of a right to bail, including similar provisions from seventeenth-century Massachusetts and Pennsylvania colonial enactments, and eighteenth- and nineteenth-century state constitutional provisions from North Carolina and Indiana. *Priest,* 314 Or at 417–418.

Noting that the framers closely modeled the Oregon Constitution after the Indiana Constitution, the court recognized that any Indiana judicial decisions predating Oregon's 1857 Constitutional Convention could be used to shed light on the framers' intent, but did not find any decisions addressing the bail provision. *Priest*, 314 Or at 418–419. Furthermore, Indiana decisions issued after Oregon's constitutional convention were not applicable because the Oregon framers would not have been aware of those decisions at the time they drafted the Oregon Constitution. *Priest*, 314 Or at 418–419. Finally, the court noted that although neither Oregon nor Indiana precedent was decisive, only one state with a similarly worded right to bail provision (Louisiana) had ever held that the right was guaranteed pending appeal. *Priest*, 314 Or at 419.

V. (§7.11) APPLYING *PRIEST* FACTORS: HOW TO EXAMINE TEXT OF A PROVISION

Examining the wording of a constitutional provision under *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), is similar to the first step of statutory interpretation under *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993), as modified by *State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009). Although courts may sometimes say that they consider the text, in actuality they consider both the text and context. *See State v. Hirsch*, 338 Or 622, 634, 114 P3d 1104 (2005) (noting that even when constitutional text is silent that "other constitutional provisions" may be "helpful"); *State v. Cavan*, 337 Or 433, 441, 98 P3d 381 (2004) (consider text and context).

In considering the text and context of a constitutional provision, the courts may resort to case law to shed light on the meaning of the provision, even though the examination of case law is a separate factor under the *Priest* analysis. *See Billings v. Gates*, 323 Or 167, 173–177, 916 P2d 291 (1996) (relying on same cases in its text-and-context analysis as in its case-law analysis); *contra*, *DeMendoza v. Huffman*, 334 Or 425, 432–433, 51 P3d 1232 (2002) (limiting discussion of text and context to plain meaning of the words). When examining the text and context of a constitutional provision, the courts will infer that the framers' inclusion of a particular word elsewhere in the constitution suggests that its absence in a provision was purposeful. *See State v. Conger*, 319 Or 484, 502, 878 P2d 1089 (1994) (framers intentionally omitted quorum requirement for grand juries because they included express quorum requirements elsewhere in

constitution and in earlier Oregon laws). The courts will also refer to cases antedating the provision in question to provide information about its context. *Conger*, 319 Or at 502.

Another technique the courts use in a text-and-context analysis is to determine how the text was understood at the time it was drafted in 1857. For example, the Oregon Supreme Court will refer to dictionaries predating the adoption of the constitution, such as Noah Webster, *An American Dictionary of the English Language* (1828). *See Juarez v. Windsor Rock Prods., Inc.*, 341 Or 160, 169–170, 144 P3d 211 (2006) (interpreting meaning of *property* as used in article I, §10); *State v. Vasquez*, 336 Or 598, 604, 88 P3d 271 (2004) (interpreting *justice* and *administer* in article I, §10); *Macpherson v. Dep't of Admin. Servs.*, 340 Or 117, 132, 130 P3d 308 (2006) (interpreting *suspend* in article I, §22); *Lahmann v. Grand Aerie of Fraternal Order of Eagles*, 202 Or App 123, 135, 121 P3d 671 (2005) (interpreting *assembling together* in article I, §26).

Occasionally, the courts apply statutory maxims of construction in a text-and-context analysis under *Priest*. *See Hirsch*, 338 Or at 635 (inclusion of term in one section implies drafters' intent to omit that term in another section); *State v. Cervantes-Oropeza*, 215 Or App 518, 523, 170 P3d 1114 (2007) (giving words their ordinary meaning). However, the so-called third-step canons of construction (such as avoiding absurd results) may not be applicable under *Priest* and the prudent approach would be to use them only to bolster an argument that is already grounded in the *Priest* framework.

One area where textual analysis of original constitutional provisions clearly differs from statutory analysis is that ORS chapter 174 does not apply when interpreting the constitution. See chapter 5 for a detailed discussion of the statutory interpretive requirements imposed by ORS chapter 174.

VI. (§7.12) APPLYING *PRIEST* FACTORS: HOW TO CONSIDER CASE LAW SURROUNDING A PARTICULAR PROVISION

The second factor in the framework set forth in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), requires courts to consider the case law surrounding a particular provision. This step is largely self-explanatory, with two caveats. First, the case law to be considered includes cases decided both before and after ratification of the constitution. *Smothers v. Gresham Transfer, Inc.*, 332 Or 83,

115–123, 23 P3d 333 (2001) (reviewing 100 years of case law construing state remedies clause). Second, as discussed more fully below in §§7.31–7.35, the degree of deference given to precedent depends on several factors, including the degree to which the precedent conforms to the principles of the *Priest* framework, and the degree to which overturning precedent would disrupt settled law.

VII. (§7.13) APPLYING *PRIEST* FACTORS: HOW TO APPROACH HISTORICAL CIRCUMSTANCES BEHIND A PROVISION

The third factor in the framework set forth in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), requires courts to consider the historical circumstances leading to the enactment of the particular constitutional provision. This part of the analysis often comes down to the availability and reliability of evidence. Sections 7.14–7.18 address issues that frequently arise, including: (1) which resources to consider, (2) when to look at the express versus implied intent of the framers, and (3) how to proceed when the historical record is silent regarding a particular question.

A. (§7.14) Issue Framing: Scope of Historical Circumstances

One of the first problems a lawyer is likely to face when examining the historical circumstances surrounding a provision is determining what exactly constitutes, or otherwise limits, the relevant historical circumstances. History can be described on different levels of abstraction and generality. Jack L. Landau, *A Judge's Perspective on the Use and Misuse of History in State Constitutional Interpretation*, 38 Val U L Rev 451, 457–460 (2004).

The Oregon Constitution was adopted in 1857 and Oregon voters ratified it in 1859. W.C. Palmer, *The Sources of the Oregon Constitution*, 5 Or L Rev 200 (1925–1926). The framers of the Oregon Constitution borrowed extensively from a draft of the 1851 Indiana Constitution. Palmer, *supra*. The provisions included in the Oregon and Indiana Constitutions are not unique to those two states. For example, the concept of due process traces back at least as far as the Magna Carta in the thirteenth century. Should discussion of the historical circumstances that led to the creation of a constitutional provision be limited to Oregon in 1857 when the document was drafted? To 1859 when voters approved it? Or should the discussion include evidence pertaining to Indiana in 1851? Or should the discussion include evidence dating back to the thirteenth century if a plausible argument can be made

that such evidence relates to the "historical circumstances" leading to a provision's creation?

The Oregon Supreme Court has not answered these questions, even though the limits on the scope of historical inquiry may determine the outcome of a case. In *Lahmann v. Grand Aerie of Fraternal Order of Eagles*, 202 Or App 123, 121 P3d 671 (2005), the majority found a wide range of historical evidence to be relevant, whereas the dissent preferred to consider only historical evidence directly pertaining to Oregon in the mid-nineteenth century.

The *Lahmann* plaintiff, a woman, sought membership in an Eagles Lodge, or aerie. The Lodge countered that it could exclude people from its membership based on gender. The majority considered a broad range of historical sources, several of which were not directly related to Oregon during the drafting and enactment of the Oregon Constitution, and ruled against the plaintiff, concluding that the constitution (article I, §26) protected the right to assemble for political, but not social purposes. *Lahmann*, 202 Or App at 143–144.

The sources the majority relied on included the Magna Carta, town governance meetings in prerevolutionary Massachusetts, the absence of any debate during the Oregon and Indiana Constitutional Conventions concerning the free assembly provisions, and federal cases construing the First Amendment dating from 1872 to 1985. *Lahmann*, 202 Or App at 136–143.

Judge Edmonds, writing the dissent, criticized the majority for considering historical sources that did not reflect concerns germane to Oregon in 1857, while the role of fraternal organizations in Oregon during that same time period supported the conclusion that the framers meant to grant a more expansive right to free assembly. *Lahmann*, 202 Or App at 149–161 (Edmonds, J., dissenting).

B. (§7.15) Issue Framing: Literal vs. Abstract Intent

One problem in discerning the framers' intent is the possibility that the framers never considered or otherwise foresaw circumstances that would arise in the future. The framework set forth in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), does not define if the intent in question refers to the framers' actual state of mind (literal intent), or if it refers to what the framers would have felt or believed if additional information had been available to them when they drafted the constitution (abstract intent).

A line of cases discussing the right to bear arms (article I, §27) and modern weapons exemplifies this issue. In 1980, the Oregon Supreme Court held that the right to bear arms protects the right to possess "modern day equivalents" of weapons used by colonial militiamen, but it does not protect possession of "advanced weapons of modern warfare." *State v. Kessler,* 289 Or 359, 369, 614 P2d 94 (1980). This "modern day equivalents" standard requires the court to discern the probable, not literal, intent of the framers had they known the state of modern technology. However, *Kessler* involved a billy club—which was clearly a type of weapon used in Oregon in the 1850s—and the court did not have to decide if a billy club constituted a "modern day equivalent" because the framers were clearly aware of the existence of bludgeoning weapons such as clubs.

Four years later in 1984, the court attempted to clarify the "modern day equivalents" standard in a case involving a switchblade knife (a knife with a retractable blade that uses a spring to project or swing the blade into position). *State v. Delgado,* 298 Or 395, 692 P2d 610 (1984). The court concluded that the right to bear arms protected the right to possess a switchblade knife, holding that the Oregon Constitution protected weapons that, "as modified by [their] modern design and function, [were] of the sort commonly used by individuals for personal defense . . . in 1859 when Oregon's constitution was adopted." *Delgado,* 298 Or at 400–401. The court noted that pocketknives were popular means of self-defense before the adoption of the constitution, and that the addition of a spring to the blade did not make the knife so distinct from the knives in the 1850s that the framers would not have meant to protect the right to carry a switchblade knife. *Delgado,* 298 Or at 402–403.

Nine years later, the court of appeals held that modern assault rifles (semiautomatic rifles, semiautomatic pistols, and certain types of shotguns) were not modern-day equivalents of weapons used in 1857. *Oregon State Shooting Ass'n v. Multnomah County,* 122 Or App 540, 858 P2d 1315 (1993). The court acknowledged that in the 1850s a repeating rifle known as the Volcanic may have existed in Oregon. However, the court concluded that if the drafters "had envisioned the technological advancements and the reasons for which those advancements were made," they would not have intended to include assault rifles because the modern-day weapons were not the same "sort" of weapons that the framers meant to include in the right to bear arms. *Oregon State Shooting Ass'n,* 122 Or App at 547–549.

The dissent in *Oregon State Shooting Ass'n* took the opposite tack. Rather than considering the differences between modern weapons and weapons in the 1850s, it emphasized their overall similarities. *Oregon State Shooting Ass'n,* 122 Or at 553–560. The two opinions did not differ on the facts of the case; rather, they disagreed on how to interpret the evidence. Jack L. Landau, *A Judge's Perspective on the Use and Misuse of History in State Constitutional Interpretation,* 38 Val U L Rev 451, 460–461 (2004).

C. (§7.16) Absence of Evidence in Historical Record

The historical record will often be incomplete, which may affect the court's decision in different ways. Courts generally prefer evidence that directly relates to a particular provision, but it will sometimes consider less direct evidence. In some cases, even with direct evidence, courts will look at a very broad historical record to confirm or clarify the available evidence.

For example, in *Smothers v. Gresham Transfer, Inc.*, 332 Or 83, 94–115, 23 P3d 333 (2001), the court found that direct evidence of the drafters' intent underlying the remedies clause (article I, §10) was "sketchy," and engaged in a thorough and detailed historical review of the concepts of due process and remedies from the time of the Magna Carta through the colonial era and into the first half of the nineteenth century. The court concluded, from the lack of evidence in the historical record to the contrary, that the drafters intended to follow the historical purpose underlying remedies clauses. *Smothers,* 332 Or at 123–124.

Similarly, in *Lahmann v. Grand Aerie of Fraternal Order of Eagles,* 202 Or App 123, 136–143, 121 P3d 671 (2005), the court noted the lack of any evidence in the historical record supporting protected forms of assembly for purposes other than political assembly (such as assembly for social purposes) under article I, §26. Nor did the record disclose if the framers considered nonpolitical assembly, and if they did consider it, what they would have concluded about it. *Lahmann,* 202 Or App at 136–143.

The court interpreted the silence in the record to mean that the drafters intended to adopt the historical approach to assembly that was limited to political assembly. *Lahmann,* 202 Or App at 142–143.

Alternatively, the court may view silence in the historical record as evidence of an intentional omission. In *State v. Conger,* 319 Or 484, 496, 878 P2d 1089 (1994), a criminal defendant indicted by a grand jury of six jurors argued that

article VII, §18, of the Oregon Constitution required a quorum of seven jurors, thereby invalidating his indictment.

The court rejected the defendant's argument noting that a grand jury must consist of seven jurors but the constitution did not expressly mandate a quorum of seven jurors. The court further noted that the drafters were well aware of laws concerning grand juries, yet there was apparently no debate as to whether to create a quorum requirement. In addition, the majority of other jurisdictions addressing the issue refused to find a quorum requirement in the absence of an express statutory provision to the contrary. Finally, when the drafters clearly did intend a quorum requirement, they expressly incorporated a quorum requirement into the constitution. *Conger*, 319 Or at 502.

In contrast to *Smothers*, *Lahmann*, and *Conger*, courts will sometimes attempt to fill the gaps in the historical record and in doing so, may make unwarranted assumptions about the framers' access to, or reliance on, various resources. *See* Jack L. Landau, *A Judge's Perspective on the Use and Misuse of History in State Constitutional Interpretation*, 38 Val U L Rev 451, 479–480 (2004).

For example, in *DeMendoza v. Huffman*, 334 Or 425, 428–429, 433–446, 51 P3d 1232 (2002), the court sought to determine if the "split-recovery" punitive damages statute (mandating that a portion of any punitive damages award be paid into a state fund for crime victims) violated the remedies clause (article I, §10). The court and the parties were unable to find any record of debate on this topic from the Constitutional Convention. However, the court noted that other jurisdictions frequently cited two early-nineteenth-century legal treatises discussing the issue. *DeMendoza*, 334 Or at 437. The court then assumed that the Oregon framers would have been familiar either with the treatises themselves or with the cases citing them, despite the lack of any evidence that the drafters were actually aware of what these treatises said about punitive damages. *DeMendoza*, 334 Or at 437.

Similarly, in *Armatta v. Kitzhaber*, 327 Or 250, 266, 959 P2d 49 (1998), the court assumed that because Oregon closely modeled its constitution after the 1851 Indiana Constitution, that the debates from the Indiana convention illustrated the intent of the Oregon framers.

Thus, in the absence of any direct evidence of the framers' intent, courts may sometimes rely on historical legal resources theoretically available to the framers as evidence of their intent. Landau, *Use and Misuse of History, supra,* at 481.

D. (§7.17) History as Question of Law or Fact

The Oregon Supreme Court has never addressed whether the "historical circumstances" surrounding the drafting of the constitution present a question of fact or a question of law. If they present a question of fact, then the factfinder should be permitted to consider new historical evidence on appeal or review. If they present a question of law, then the principle of stare decisis is implicated. The issue of stare decisis in state constitutional law is addressed in more depth in §§7.33– 7.35, in the discussion of *State v. Ciancanelli,* 339 Or 282, 121 P3d 613 (2005).

For example, in *State v. Henry* 302 Or 510, 732 P2d 9 (1987), the Oregon Supreme Court reached a conclusion subsequently called into doubt based on new historical evidence suggesting that the court was wrong on the facts. Specifically, the court held that article I, §8, protected obscene expression. *Henry,* 302 Or at 525. Thirteen years later, the Oregon Court of Appeals felt bound to follow this holding, despite new evidence suggesting that the pioneers were in fact quite comfortable with regulating the free expression of others, including obscene expression, and did so extensively. *State v. Maynard,* 168 Or App 118, 133, 5 P3d 1142 (2000). The Oregon Supreme Court has not addressed the issue of whether the court of appeals and trial courts are bound by factually incorrect historical conclusions from earlier cases.

E. (§7.18) "Wrinkles": History Is Not Always Dispositive and Is Sometimes Irrelevant

The courts do not always consider the historical circumstances surrounding the enactment of a particular constitutional provision in a uniform fashion. History is not always dispositive, and in some cases it seems almost irrelevant.

For example, in search and seizure cases, the court of appeals has expressly declined to consider the historical circumstances leading to the adoption of article I, §9. *See Weber v. Oakridge Sch. Dist. 76,* 184 Or App 415, 430, 56 P3d 504 (2002) (declining to take historical approach to interpreting article I, §9, when supreme court has not taken that approach and historical approach could lead to

conflict with well-established principles of law). Another clear example of Oregon courts failing, or perhaps refusing, to consider history is found in cases interpreting the state's equal privileges and immunities clause, article I, §20. *See, e.g., Cox v. State*, 191 Or App 1, 6–8, 80 P3d 514 (2003) (ignoring historical context of provision and applying existing Oregon Supreme Court precedent due to drastic changes in concepts of equality since 1857 and because Oregon law should reflect current, rather than original, values).

VIII. *ECUMENICAL MINISTRIES* ANALYTICAL FRAMEWORK

A. (§7.19) Introduction to *Ecumenical Ministries*

In all cases of constitutional interpretation, the Oregon courts focus on the intent of the enactors. As discussed in §7.9, Oregon courts interpret original constitutional provisions dating back to the 1857 Constitutional Convention using the analysis set forth in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992). However, the courts interpret later provisions enacted or amended by the voters through ballot initiative or legislative referral using the three-step analysis applicable to statutory interpretation under *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993). *See* chapter 8. "[T]he first [step] of analysis is to examine text and context. That [step] includes subsidiary principles of statutory construction that are relevant . . . . Only if the legislative intent remains unclear after an examination of text and context does the court consider legislative history." *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 560, 871 P2d 106 (1994).

This distinction in how the courts construe original constitutional provisions versus later constitutional amendments results from the "inherently different" nature of the newer provisions because they were adopted "against the backdrop of an existing constitutional framework." *Stranahan v. Fred Meyer, Inc.*, 331 Or 38, 57, 11 P3d 228 (2000).

B. (§7.20) How *Ecumenical Ministries* Changed the Interpretive Framework

Before *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994), a lawyer preparing to argue the interpretation of a provision enacted by initiative or referral was faced with a daunting task. Far from the step-by-step process of *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or

606, 610–612, 859 P2d 1143 (1993) (hereinafter *PGE*), the courts employed an ad hoc method of analysis that could be shaped as they saw fit. For example, some cases placed primary importance on the historical evidence surrounding a provision (*see Lipscomb v. State*, 305 Or 472, 479, 753 P2d 939 (1988)), while other cases did not follow any established rules, and the importance and order of factors the courts considered varied from case to case. *Ecumenical Ministries* replaced this ad hoc approach to constitutional interpretation with the three-step *PGE* analytical framework.

In applying the *Ecumenical Ministries* analysis, the lawyer should note that the court has demonstrated a preference for reaching the second step of the analysis to consider any historical evidence. In *Lipscomb*, 305 Or at 484–485, the court cautioned against prematurely ending the analysis before consulting the historical evidence. *See Ecumenical Ministries*, 318 Or at 559 n 7. In *Ecumenical Ministries*, the court reiterated the importance of considering the historical evidence when "the provision deals with the essential aspects of governmental authority." *Ecumenical Ministries*, 318 Or at 559 n 7 (citing *Lipscomb*, 305 Or at 484–485).

IX. (§7.21) HOW TO APPLY *ECUMENICAL MINISTRIES*: ANALYSIS AND ELEMENTS

As with the model set forth in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), the purpose of the analysis identified in *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994), is to determine the intent behind a particular constitutional provision. Because *Ecumenical Ministries* applies only to provisions enacted after the original constitution in 1857, the lawyer must first determine when the relevant provision became law, and who enacted it. *See* W.C. Palmer, *The Sources of the Oregon Constitution*, 5 Or L Rev 200 (1925–1926).

Under *Ecumenical Ministries*, the first step of analysis generally calls for an evaluation of both the text and context of the provision. If the text and context does not definitively settle the issue the court will proceed to step two and examine the historical evidence. If the matter remains unresolved after examining the historical evidence, the third step of analysis applies the general maxims of statutory construction. Although the Oregon Supreme Court has not yet reached the third step of analysis under *Ecumenical Ministries*, the court of appeals has done so on

several occasions. *See Kerr v. Bradbury*, 193 Or App 304, 89 P3d 1227 (2004); *State v. Lanig*, 154 Or App 665, 963 P2d 58 (1998).

X. STEP ONE: ANALYZING TEXT AND CONTEXT OF A PROVISION

A. (§7.22) How to Examine Text of a Provision

The "text" consists of the words of the provision as enacted by the voters. Any interpretive argument regarding a constitutional provision adopted by voter initiative or referendum begins with the relevant text as the "'best evidence of the voters' intent.'" *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 559, 871 P2d 106 (1994) (quoting *Roseburg Sch. Dist. v. Roseburg*, 316 Or 374, 378, 851 P2d 595 (1993)).

In rare cases, the text of the constitutional provision is clear and unambiguous, eliminating the need to analyze the context of the provision. In such a case, the lawyer must show that the voters' intent is clearly and unambiguously expressed through the text, and that the proffered interpretation is the only one consistent with that intent. *Li v. State*, 338 Or 376, 388, 110 P3d 91 (2005) (text of "Defense of Marriage" amendment clearly demonstrated voters' intent for it to be enforceable statement of law rather than mere aspirational principle). *See also Wolf v. Or. Lottery Comm'n,* 344 Or 345, 182 P3d 180 (2008); *George v. Courtney*, 344 Or 76, 176 P3d 1265 (2008); *Or. Telcoms. Ass'n v. Or. DOT,* 341 Or 418, 144 P3d 935 (2006); *Hartung v. Bradbury*, 332 Or 570, 33 P3d 972 (2001); *State v. Root*, 202 Or App 491, 123 P3d 281 (2005); *Or. State Denturist Ass'n v. Bd. of Dentistry*, 172 Or App 693, 19 P3d 986 (2001).

More commonly, the text of the provision is ambiguous and subject to alternative interpretations. In these cases, the lawyer must show that his or her interpretation is "a plausible alternative reading" of the ambiguous text. *Coultas v. City of Sutherlin*, 318 Or 584, 590, 871 P2d 465 (1994) (court will examine historical circumstances as long as there is plausible alternative reading); *Shilo Inn Portland/205, LLC v. Multnomah County*, 333 Or 101, 124, 36 P3d 954 (2001), *modified on recons.*, 334 Or 11 (2002) (overruling lower court decision that lacked "a textual predicate" for its constitutional analysis). A reasonable textual foundation is, therefore, the first building block of a successful argument under *Ecumenical Ministries*.

Although resort to the general maxims of statutory construction is reserved to the third step of the *Ecumenical Ministries* analysis, the courts have employed the statutory canons of construction to make a textual argument at the first step of analysis. One of the most common maxims used in this manner is the proposition that "words of common usage that are not defined in the statute typically are to be given their plain, natural, and ordinary meaning." *Ecumenical Ministries,* 318 Or at 560 (citing *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611, 859 P2d 1143 (1993)). Dictionary definitions are a familiar starting place. For example, to discern the meaning of "each unit of property," the court referenced the definitions of *unit* and *property*. *Flavorland Foods v. Wash. County Assessor*, 334 Or 562, 568, 54 P3d 582 (2002) (relying on *Webster's Third New International Dictionary*). For additional discussion concerning the step-one textual analysis, see chapter 2 on statutory interpretation under *Portland Gen. Elec. Co*.

The text of the constitutional provision is the foundation of any interpretive analysis because it is these words that the voters chose to make into law. Any other evidence that a lawyer relies on must reinforce a position founded on the words enacted by the voters.

B. (§7.23) How to Examine Context of a Provision

Provisions adopted through the initiative or referral process are presented to the voters against the backdrop of the existing constitutional context. This context may be dispositive in determining the meaning of words that otherwise appear ambiguous. In practice, the distinction between text and context is not always clear. *See Stranahan v. Fred Meyer Inc.*, 331 Or 38, 60–61, 11 P3d 228 (2000) (discussing prior versions of provision during first step of analysis); *Coultas v. City of Sutherlin*, 318 Or 584, 589, 871 P2d 465 (1994) (referencing earlier interpretation of provision to show that text of provision did not address plaintiff's concerns). Sections 7.24–7.26 provide examples of the various ways that courts use contextual evidence, including other constitutional provisions and relevant case law, in the first step of the analysis set forth in *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994).

From the outset, the lawyer should be aware of a key distinction in the use of contextual evidence. The court will not accept arguments that "*assume*, rather than *demonstrate*, the voters' intent in adopting" a provision. *Flavorland Foods v.*

Wash. County Assessor, 334 Or 562, 571, 54 P3d 582 (2002) (petitioners failed to show any contextual evidence supporting their interpretation of voters' intent). The power of contextual evidence lies in its ability to affirmatively lead the court to the voters' intent; it is useless to a lawyer seeking merely to buttress a proffered interpretation.

Contextual evidence can be broken down into two categories: other constitutional provisions, and case law. The first category includes sister provisions enacted on the same ballot, other provisions in the same article of the constitution, and related provisions that use the same term or phrase. The second category, relevant case law, includes cases decided both before and after the provision's enactment.

1. (§7.24) Types of Contextual Evidence: How to Consider Other Relevant Provisions

The relevant context of a provision includes other constitutional provisions adopted at the same time. *Coultas v. City of Sutherlin*, 318 Or 584, 590, 871 P2d 465 (1994) (upholding constitutionality of municipal ordinance limiting amount of permissible tax increase based on related measure enacted on same ballot); *State v. Myers*, 218 Or App 635, 638, 180 P3d 759, *rev. denied*, 344 Or 671 (2008) (context of constitutional provision includes relevant ballot measures submitted to voters at same election).

However, contextual evidence is not limited to sections enacted simultaneously; other sections of the same article may provide relevant context. When voters amend only one section, it must function within the entire article. *See State ex rel. Kaino v. Or. Comm'n on Judicial Fitness & Disability,* 335 Or 633, 637, 74 P3d 1080 (2003) (examining context of constitutional amendment to article VII referring to judges "of any court" and concluding that amendment applied only to judges of those courts created under article VII).

2. (§7.25) Types of Contextual Evidence: How to Consider Case Law Surrounding a Particular Provision

Relevant case law is the second category of contextual evidence. Case law provides contextual evidence in two ways. First, cases decided before the provision was enacted are part of the constitutional backdrop that existed when the voters cast their votes and the voters are presumed to have knowledge of those decisions. *Or. Telcoms. Ass'n v. Or. DOT,* 341 Or 418, 144 P3d 935 (2006) (relying heavily

on reasoning from prior cases establishing narrow interpretation of highway spending under article IX, §3(a)).

Second, cases interpreting the provision after it was enacted help "to define the parameters of the nature of the rights conferred" by the voters. *Stranahan v. Fred Meyer, Inc.*, 331 Or 38, 62, 11 P3d 228 (2000). The principle of stare decisis makes this precedent binding on lower courts, even if they were not decided using the methodology set forth in *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994). For a discussion of how to challenge prior decisions, see §§7.6–7.8.

Stranahan illustrates how case law can be persuasive both as a backdrop for the voters, and as stare decisis for the court. In *Stranahan*, the plaintiff argued that article IV, §1, of the Oregon Constitution, as amended in 1968, stating that "the people reserve to themselves the initiative power" gave her the right to solicit signatures for an initiative petition at Fred Meyer stores. The court disagreed, noting that the original constitutional provision was enacted in 1902 and that "the 1968 amendment did not purport to alter the nature of the people's power of initiative and referendum." *Stranahan*, 331 Or at 61. Thus, decisions between 1902 and 1968 interpreting §1 were part of the constitutional backdrop that the voters had reaffirmed when they passed the amendment. None of these cases conferred the right to solicit signatures on private property. *Stranahan*, 331 Or at 64.

Additionally, the court relied on a postamendment decision holding that the right to initiate laws did not include a right to payment for signature gatherers because §1 was silent on that issue. *Stranahan*, 331 Or at 63 (citing *State v. Campbell*, 265 Or 82, 506 P2d 163 (1973)). Similarly, §1 did not address the right to solicit initiative petition signatures on private property, and using the principle of stare decisis, the court held that such a right did not exist. *Stranahan*, 331 Or at 63–65.

In addition to cases interpreting the same constitutional provision, persuasive contextual evidence may be found in cases interpreting the same term in a related provision. *Flavorland Foods v. Wash. County Assessor*, 334 Or 562, 573, 54 P3d 582 (2002) (relying on prior interpretation of *unit of property*, noting that "'*related constitutional provisions that were in place when the provision in question was adopted*'" constitute part of relevant context (quoting *Stranahan*, 331 Or at 62 n 15) (emphasis in original)).

3. (§7.26) Types of Contextual Evidence: Relevant Statutes

The lawyer may offer relevant statutes in effect at the time the voters adopted a constitutional provision as part of the context for the provision. *Martin v. City of Tigard*, 335 Or 444, 451, 72 P3d 619 (2003) (context of provision includes "any relevant statutory framework in effect at the time when the voters adopted the provision"); *State v. Myers*, 218 Or App 635, 638, 180 P3d 759, *rev. denied*, 344 Or 671 (2008) (context of "initiated constitutional amendment includes other relevant constitutional provisions, Supreme Court case law, related ballot measures submitted to the voters at the same election, and any relevant statutory framework in effect at the time that the voters adopted the provision").

XI. (§7.27) STEP TWO: ANALYZING HISTORY OF A PROVISION

"If the intent of the voters is not clear from the text and context of the initiated constitutional provision, the court turns to the history of the provision." *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 559, 871 P2d 106 (1994). The courts have also used historical evidence as additional support for their conclusions, even when the text and context reveal a clear meaning.

The lawyer must have a firm grasp of two principles in a step-two analysis. The first is recognizing when to consult the historical evidence. This inquiry is perhaps more accurately described as recognizing those instances when the history may be properly ignored. *See, e.g., Wolf v. Or. Lottery Comm'n,* 344 Or 345, 356, 182 P3d 180 (2008) (limiting analysis to text and context of article XV, §4.3, when text was ambiguous). The second is recognizing what types of information constitute valid historical evidence of the voters' intent. The courts generally begin their historical analysis with the voters' pamphlet. However, when available, the courts have also considered such sources as the *Oregon Voter* magazine and newspaper editorials.

A. (§7.28) When to Consult Historical Evidence

"This court has noted that caution is required in ending the analysis before considering the history of an initiated constitutional provision. 'In practice . . . courts rarely see disputes over interpretation when the opposing party cannot show a possible alternative reading of the words, which it claims to be correct in context.'" *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 559 n 7, 871 P2d 106 (1994) (quoting *Lipscomb v. State,* 305 Or 472, 485, 753 P2d

939 (1988)). Consequently, unless the text and context "reflect the intent of the voters so clearly than no alternative reading of the provision is possible," the careful lawyer should be prepared to proceed to a step-two historical analysis. *Coultas v. City of Sutherlin*, 318 Or 584, 590, 871 P2d 465 (1994).

NOTE: Although the supreme court says it rarely decides cases on text and context alone, both it and the court of appeals will do so. *See* §7.27.

Furthermore, a step-two historical analysis may be appropriate, even when seemingly unnecessary and unimportant. In *Shilo Inn Portland/205, LLC v. Multnomah County*, 333 Or 101, 36 P3d 954 (2001), *modified on recons.*, 334 Or 11 (2002), the Portland Development Commission (PDC) received tax revenue money earmarked for schools but used only a portion of the funds on schools. Article XI, §11(b), also known as Measure 5, required that taxes be labeled either for educational services or for other government services. *Shilo Inn Portland/205, LLC*, 333 Or at 104.

After examining the text and context of article XI, §11(b), the court concluded that spending the funds for noneductional purposes violated the voters' intent. *Shilo Inn Portland/205, LLC*, 333 Or at 129. Nevertheless, citing *Ecumenical Ministries* for its warning cautioning against ending the analysis without consulting the historical evidence, the court moved on to the second step of the analysis and concluded that the history of article XI, §11(b), supported its initial conclusion that the PDC's use of the funds violated the voters' intent. *Shilo Inn Portland/205, LLC*, 333 Or at 129.

Similarly, in *Urhausen v. City of Eugene*, 341 Or 246, 142 P3d 1023 (2006), the court relied on a step-two historical analysis to support its step-one text-and-context conclusion that ORS 310.155(3), a property tax statute, violated Measure 5 (2006).

In *Urhausen*, the city of Eugene used a single tax levy to raise revenue for both schools and other functions. Under ORS 310.155(3), only taxes levied *exclusively* for educational services could be identified as taxes for educational services. Consequently, the city labeled the levy as taxes for "other services." However, Measure 5 required that revenue from mixed-use levies be separately identified and could not be identified as dedicated to a single use. *Urhausen*, 341 Or at 254.

After examining the text and context of Measure 5, the court rejected the city's argument that it properly characterized its levy as raising revenue for government purposes other than educational services. Although the court found that the city's interpretation of the constitutional provision was not a reasonable alternative interpretation of the text and context, the court bolstered its conclusion with a cursory examination of the relevant historical materials. *Urhausen*, 341 Or at 257–258.

In *State ex rel. Kaino v. Or. Comm'n on Judicial Fitness & Disability,* 335 Or 633, 74 P3d 1080 (2003), the court used historical evidence to support its step-one analysis of an unambiguous voter initiated provision. The court concluded that the text of article VII, §8, which granted the Commission on Judicial Fitness the power to remove "a judge of any court," was "unambiguous" and could not logically extend to municipal court judges that were not governed by article VII. *Kaino,* 335 Or at 638. However, the court continued to a step-two analysis, concluding that the history leading to the adoption of the provision supported its initial conclusion. *Kaino,* 335 Or at 637–638.

As these cases demonstrate, the lawyer should be prepared to show how the history of a voter-initiated provision supports his or her position. That said, the courts have yet to find that the history of a voter- initiated amendment will overcome the textual and contextual evidence of the voters' intent.

B. (§7.29) What Information Makes Up Historical Evidence

The courts' goal in interpreting constitutional provisions enacted by the voters through initiative or referendum is to discern "the people's understanding and intended meaning of the provision in question." *Stranahan v. Fred Meyer, Inc.*, 331 Or 38, 57, 11 P3d 228 (2000). When the courts reach the second step of the analysis outlined in *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994), they will turn to a variety of historical sources in their examination of the provision's history:

> In considering the history of a constitutional provision adopted through the initiative process, this court examines, as legislative facts, other sources of information that were available to the voters at the time the measure was adopted and that disclose the public's understanding of the measure. Such information includes the ballot title and arguments for and against the measure included in the voters' pamphlet, and contemporaneous news reports and editorial comment on the measure.

Ecumenical Ministries, 318 Or at 559 n 8.

The decisions after *Ecumenical Ministries* seem to rely most heavily on the voters' pamphlet, though no court has expressly refused to consider contemporaneous media reports. *See, e.g., Shilo Inn Portland/205, LLC v. Multnomah County*, 333 Or 101, 130, 36 P3d 954 (2001), *modified on recons.*, 334 Or 11 (2002) (proper historical sources "include, *inter alia*, materials that are included in the Voters' Pamphlet, such as the ballot title, the explanatory statement, and the legislative argument in support"). *See also State v. Allison*, 143 Or App 241, 251–252, 923 P2d 1224 (1996) (examining ballot titles and statements of supporters in voters' pamphlet).

Examples of other types of historical evidence the courts consider in determining the voters' intent include newspaper or magazine editorials, newspaper articles, and ballot titles. *LaGrande v. Public Employees Retirement Bd.*, 284 Or 173, 182 n 7, 586 P2d 765 (1978) (newspaper editorial); *Lipscomb v. State*, 305 Or 472, 482–483, 753 P2d 939 (1988) (*Oregon Voter* magazine editorial); *Pendleton Sch. Dist. 16R v. State*, 220 Or App 56, 74–75, 185 P3d 471 (2008), *aff'd in part, rev'd in part on other grounds,* 345 Or 596 (2009) (newspaper editorials); *Allison*, 143 Or App at 252–253 (newspaper articles).

In considering the history surrounding a referendum provision, the lawyer should be careful in relying on legislative history that involved the legislature but not the voters. Provisions enacted through the referral process will necessarily have some history in the legislature before the final version was referred to the voters. Although this seems like an obvious example of relevant legislative history, it illustrates only the legislature's intent in crafting the measure, not the voters' intent in enacting it. "[T]he history that we consider does not include early drafts of the legislative bill that later was referred to the people, nor does it include statements made by legislators in hearings on the matter." *Shilo Inn Portland/205, LLC*, 333 Or at 129.

XII. (§7.30) POTENTIAL THIRD STEP: HOW TO APPLY GENERAL MAXIMS OF CONSTRUCTION

The third step of constitutional analysis for voter-enacted provisions specifically allows for the use of general maxims of construction when the text, context, and history of the provision do not resolve the ambiguity. Although the

Oregon Court of Appeals has applied the canons of construction to constitutional provisions, the Oregon Supreme Court has not yet done so. *See Kerr v. Bradbury*, 193 Or App 304, 324, 89 P3d 1227 (2004) (applying various maxims of construction to determine if any of the maxims precluded meaning most faithful to text under court's first step text-and-context analysis).

XIII. (§7.31) REEXAMINING CONSTITUTIONAL INTERPRETATIONS THAT PREDATE *PRIEST* AND *ECUMENICAL MINISTRIES*

The Oregon Supreme Court developed the current methodology for constitutional interpretation in the early 1990s with the decision in *Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992), followed by *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994). However, as discussed in earlier sections, case law may be used as contextual evidence in determining the drafters' or voters' intent. This raises the question of the precedential value of decisions predating *Priest* and *Ecumenical Ministries.*

Challenging the constitutional analysis in pre-*Priest* or pre– *Ecumenical Ministries* cases requires two steps. First, the lawyer must show that a reexamination under the *Priest* or *Ecumenical Ministries* analysis may dictate a different result. Second, the lawyer must show that his or her interpretation is the only correct one and, stare decisis notwithstanding, correctly reflects the drafters' intent. Although the trial court and appellate court may be unlikely to rule against precedent that has not been overruled or otherwise overturned, the lawyer should make the argument to preserve it for supreme court review. *Powell v. Bunn*, 185 Or App 334, 357, 59 P3d 559 (2002).

XIV. (§7.32) HOW TO BEGIN REEXAMINATION: BURDEN TO BRIEF PRINCIPLED ARGUMENTS

When asked to reevaluate a prior constitutional interpretation, the Oregon Supreme Court faces the question of stare decisis and must balance "the undeniable importance of stability in legal rules and decisions" against the "similarly important need to be able to correct past errors." *Stranahan v. Fred Meyer, Inc.*, 331 Or 38, 53, 11 P3d 228 (2000). These stare decisis principles of stability and reliability deter the courts from actively undermining the consistency of their earlier rulings. *Stranahan*, 331 Or at 53.

Stranahan was the court's first undertaking to correct a past error of constitutional interpretation, and the court laid out the foundation required to challenge precedent:

> [W]e remain willing to reconsider a previous ruling under the Oregon Constitution whenever a party presents to us a principled argument suggesting that, in an earlier decision, this court wrongly considered or wrongly decided the issue in question. We will give particular attention to arguments that either present new information as to the meaning of the constitutional provision at issue or that demonstrate some failure on the part of this court at the time of the earlier decision to follow its usual paradigm for considering and construing the meaning of the provision in question.

Stranahan, 331 Or at 54.

In other words, the lawyer must demonstrate a "principled argument" by either presenting new evidence for the court's consideration, or by demonstrating error in the prior interpretive analysis. *Stranahan,* 331 Or at 54. In the decisions to date, the challenges have focused on deficiencies in the previous constitutional analysis. There have been no reported decisions involving new evidence as grounds for overturning prior constitutional interpretation case law.

The court in *Stranahan* held that its earlier constitutional interpretation had "departed from its well-established methodology" by failing to focus on the intent of the enactors and, second, by failing to use "its usual methodology of examining the text, history, and case law surrounding" a provision. *Strahanan,* 331 Or at 54, 56. Instead, the court reached its conclusion "in summary fashion" after referencing the existing case law. *Stranahan,* 331 Or at 55.

When challenging precedent based on alleged error in the constitutional analysis, the challenger must do more than make a bald assertion that the prior interpretation misconstrued the provision. *State v. Cook,* 340 Or 530, 536 n 3, 135 P3d 260 (2006) (declining to reexamine precedent due to parties' failure to adequately brief issue with "principled in-depth review of Oregon precedents with the purpose of persuading this court to reexamine its . . . jurisprudence in this area").

Similarly, simply noting a differing interpretation of an analogous provision in the United States Constitution fails to satisfy the standard of a "principled argument." *State v. Moore,* 334 Or 328, 331, 49 P3d 785 (2002) (new

interpretation of analogous federal provision does not invalidate prior analysis of Oregon Constitution).

In addition, the Oregon Supreme Court will not overturn existing precedent that follows a "suitable substitute" for the *Priest* or *Ecumenical Ministries* methodology. "[T]o prevail in this case, [the state] must persuade us, first, that the constitutional rule that it attacks was not formulated either by means of the appropriate paradigm or by some suitable substitute." *State v. Ciancanelli*, 339 Or 282, 291, 121 P3d 613 (2005); *see Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992); *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994). The court in *Ciancanelli* ultimately concluded that the earlier methodology failed to apply two of the *Priest* factors (history and case law) and, therefore, was not a "suitable substitute" for the *Priest* analysis.

Consequently, to convince the court to revisit an earlier decision based on an inadequate or erroneous analysis, the lawyer must show either that the court failed to seek the intent of the enactors or failed to use an appropriate substitute for the *Priest* or *Ecumenical Ministries* analysis. This is often difficult because Oregon courts have long used the text, context, and history of a provision when searching for the intent of the enactors. As discussed in §7.33, the lawyer's burden becomes even more difficult when challenging well-established precedent.

XV. (§7.33) *CIANCANELLI* BURDENS AND OVERRULING WELL-ESTABLISHED PRECEDENT

Convincing the courts to undertake a reevaluation of established constitutional precedent is only half the battle; the challenger must then overcome a substantial burden of persuading the court to abandon that precedent. *State v. Ciancanelli*, 339 Or 282, 290–291, 121 P3d 613 (2005). This presents two hurdles: (1) demonstrating that the current interpretation is clearly outside the enactors' intent as established by the reexamination, and (2) a change in constitutional interpretation "will not unduly cloud or complicate the law." *Ciancanelli*, 339 Or at 291. In the case of long-standing precedent, this second hurdle may lead the court to retain precedent that is at odds with the *Priest* or *Ecumenical Ministries* methodology. *Ciancanelli*, 339 Or at 290; *see Priest v. Pearce*, 314 Or 411, 840 P2d 65 (1992); *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 871 P2d 106 (1994).

A. (§7.34) First Burden: Precluding Continued Use of Current Interpretation

The party seeking to overturn a previous interpretation of a constitutional provision must prove that, under the current methodology, the prior interpretation is clearly outside the enactors' intent. Assuming a party could meet the burden to initiate the challenge, "then it still has before it the more difficult task of persuading this court that application of the appropriate paradigm establishes that the challenged constitutional rule is incorrect." *State v. Ciancanelli*, 339 Or 282, 291, 121 P3d 613 (2005). In effect, the party must prove that the old interpretation is "incompatible" with all possible meanings that the court identifies in its reexamination of the provision. *Ciancanelli*, 339 Or at 313.

B. (§7.35) Second Burden: Overcoming Value of Long-Standing Precedent

A party seeking to overturn existing precedent must also show that doing so will not "unduly cloud or complicate the law." *State v. Ciancanelli*, 339 Or 282, 291, 121 P3d 613 (2005). Compare *Stranahan v. Fred Meyer, Inc.*, 331 Or 38, 11 P3d 228 (2000), in which the court overturned precedent that was only 10 years old and few of the intervening cases had relied on it, with *Ciancanelli*, 339 Or at 290, in which the court refused to overrule precedent decided over 20 years earlier with a significant number of subsequent cases relying on it. *Ciancanelli*, 339 Or at 290–291.

However, in one instance, the Oregon Supreme Court overturned an extensive line of cases dating back over 70 years interpreting the remedies clause (article I, §10). *Smothers v. Gresham Transfer, Inc.*, 332 Or 83, 23 P3d 333 (2001). Before 1935, Oregon case law interpreted the remedies clause in a manner consistent with the *Priest* analysis in determining the voters' intent. However, in 1935, the Oregon courts changed their methodology in interpreting the remedies clause to follow the United States Supreme Court's approach in interpreting the federal equal protection clause. *Perozzi v. Ganiere*, 149 Or 330, 40 P2d 1009 (1935), *overruled in part*, 332 Or 83 (2001). The court in *Smothers* expressly disavowed this approach, and all subsequent decisions applying that analysis, holding that it was inconsistent with the intended meaning of the remedies clause. *Smothers*, 339 Or at 117–119.

Chapter 8: INTERPRETING INITIATIVES AND REFERENDUMS

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I. (§8.1) INTRODUCTION

Initiative and referendum are two separate but related tools that allow voters to exercise power as a second law-making branch, independent of the legislative assembly. *See State ex rel. Carson v. Kozer*, 126 Or 641, 644, 270 P 513 (1928) (under initiative and referendum system, Oregon has "two law-making bodies, the legislative assembly, on the one hand, and the people on the other, which in the exercise of the legislative powers are coequal and co-ordinate"). The state constitution provides ground rules for implementation of initiatives and referenda, which are supplemented by statutory provisions when appropriate.

The right of Oregon voters to initiate or refer measures onto the ballot was first established in 1902, by an amendment to article IV, §1, of the state constitution. 1901 Or Laws, HJR No. 1. The original Oregon Constitution of 1859 contained several provisions of a "populist bent," including several mechanisms meant to curtail the power of the legislature. Claudia Burton, *A Legislative History of the Oregon Constitution of 1857—Part II (Frame of Government: Articles III–VII)*, 39 Willamette L Rev 2, 245, 261 (2003). Despite the progressive nature of the 1859 constitution, it contained no initiative and referendum provision. Nor was the concept of vesting the voters with direct legislative power even discussed in the committee of the whole during the convention's debate of the legislative provisions of the new constitution. The Oregon Constitution and Proceedings and Debates of the Constitutional Convention of 1857, 278–296 (Charles Henry Carey ed., Oregon Historical Society 1926). The constitutional provisions concerning initiative and referendum were rewritten in a constitutional amendment adopted by voters in 1968. 1967 Or Laws 1630–1631 HJR No. 16; *see Kerr v. Bradbury*, 193 Or App 304, 89 P3d 1227 (2004) (outlining history of 1968 amendment).

The interpretation of laws enacted by voters as initiative or referendum measures is guided by the same philosophy as that of statutory interpretation. Oregon's touchstone case on statutory interpretation emphasizes the primary

importance of "discern[ing] the intent of the legislature." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610, 859 P2d 1143 (1993). But because the electorate itself acts as a legislative body when passing or rejecting ballot measures, several unique tools have been developed to aid courts in identifying "legislative intent" in the context of voter-enacted laws. This chapter briefly addresses these interpretative tools.

II. (§8.2) JUDGING A MEASURE'S LEGAL SUFFICIENCY

The law is well settled that challenges to the substantive constitutional validity of a ballot measure can only be brought after the measure's enactment. *See, e.g., Maginnis v. Childs*, 284 Or 337, 339, 587 P2d 460 (1978) ("Initiative measures must be placed on the ballot for vote. That they may be invalid or ineffective is not grounds for a court or other official to keep them off the ballot. . . . The one exception is if the proposed measure is legally insufficient to be placed on the ballot."). Preelection challenges can be grouped into two general categories:

(1) Direct challenges to the measure itself (either the text of the proposed law or the petition). To succeed, a direct challenge brought before the election must prove the subject measure is legally insufficient in some way. *Maginnis*, 284 Or at 339. Legal insufficiency often results from procedural inadequacies (e.g., failing to gather enough signatures or omitting a required element from a petition), but in some cases a ballot issue will be found insufficient "[d]espite compliance with proper procedures." *Foster v. Clark*, 309 Or 464, 469, 790 P2d 1 (1990) (examples of measures that are legally insufficient despite procedural compliance include advisory questions, administrative matters, and revision to the constitution presented by initiative petition). Although direct challenges may be brought before a measure is submitted to voters, they may also be brought after a measure has been approved by voters (a challenge to a defeated measure would obviously be nonjusticiable as a moot issue).

(2) Ancillary challenges, unlike direct challenges, do not allege problems with the measure itself, but instead focus on related components of a measure, such as its title. Three types of ancillary challenges are authorized by statute: challenges to ballot titles (ORS 250.085, discussed in §8.16); challenges to a measure's fiscal-impact statement (ORS 250.131, discussed in §8.17); and challenges to a measure's explanatory statement (ORS 251.235, discussed in §8.18).

A proposed measure can be insufficient because it fails to comply with statutory or constitutional requirements for ballot measures. Sections 8.3–8.9 discuss general issues related to legal sufficiency, including the timing of challenges. Four types of direct challenges are then considered in §§8.10–8.14. Finally, the three types of statutorily authorized ancillary challenges are discussed in §§8.15–8.18.

A. (§8.3) General Considerations

Discussions of legal insufficiency are difficult because the concept has no concise definition. Generally, *sufficiency* refers to compliance with all applicable constitutional and statutory procedures prescribed for placing a measure on the ballot. *State ex rel. Carson v. Kozer*, 126 Or 641, 646, 270 P 513 (1928) (defining *legally sufficient*). Although many allegations of legal insufficiency concern violations of the single-subject or separate-vote rules, the supreme court has acknowledged other types of sufficiency challenges. *See Foster v. Clark*, 309 Or 464, 469–470, 790 P2d 1 (1990) (listing inadequate number of signatures, attempted referral of advisory measure, new constitution proposed through initiative, and attempted referral of administrative measure as examples of legally insufficient measures). A finding of legal insufficiency need not result from litigation. The secretary of state may prevent a legally insufficient measure from being placed on the ballot. *Holmes v. Appling*, 237 Or 546, 554–555, 392 P2d 636 (1964) (secretary properly prevented measure from being placed on ballot when measure constituted a constitutional revision, and hence was legally insufficient initiative); *but see State ex rel. Fidanque v. Paulus*, 297 Or 711, 719, 688 P2d 1303 (1984) (allegation of legal insufficiency is not sufficient to justify mandamus preventing secretary from certifying measure for ballot when insufficiency claim was brought late and postelection relief was available). Under ORS 250.045, proponents of a ballot measure must submit draft (or "prospective") petitions to the secretary of state for approval or disapproval. Using her statutory power to evaluate petitions for formal compliance, the secretary of state promulgated regulations in 1986 specifying that the approval process required by ORS 250.045 includes a review of all "procedural requirements established in the Oregon Constitution," including but not limited to a review of single-subject and separate-vote compliance. OAR 165-014-0028(1). When a prospective petition is filed, the secretary solicits public comments and reviews any comments received. OAR 165-014-0028.

Even before the formal review process of OAR 165-014-0028 was implemented, Oregon courts had allowed the secretary of state to evaluate the legal sufficiency of a measure before placing it on the ballot. *Holmes*, 237 Or at 554–555. When Secretary Howell Appling refused to place an initiative measure on the 1964 ballot because it constituted a new constitution (which may not be initiated), the initiative proponents claimed he was impermissibly evaluating the substantive constitutional validity of the measure. The supreme court disagreed, finding that the secretary's refusal to certify the measure was not a judgment of the measure's validity, but rather a necessary determination of "whether our laws granted him authority to pursue the course which the [petitioners] requested." *Holmes*, 237 Or at 554.

Important issues for legal sufficiency challenges concern the timing of such challenges. As discussed in §§8.4–8.7, these issues differ for preelection challenges and postelection challenges. There are also particular considerations for constitutionally based challenges. Even when initiatives or referendum may be subject to legal sufficiency challenges, later curative amendments may address the alleged insufficiencies. *See* §8.8. Finally, challenges based on the guaranty clause have not succeeded. *See* §8.9.

1. (§8.4) Timing of a Legal Challenge

Allegations of legal insufficiency are generally justiciable before or after an election at which the measure is voted on. *See, e.g.*, *Miles v. Veatch*, 189 Or 506, 532, 220 P2d 511 (1950) (although allegation of insufficiency due to violation of statutorily prescribed procedure is judged by more lenient standard in postelection suit, claim was still justiciable). Ancillary challenges must be brought before the election— the statutes that authorize the challenges contain preelection deadlines for filing petitions for judicial review. *See* ORS 250.085(3), 250.131(2), 251.235(1). In contrast, direct challenges are not governed by statutory timelines— as a result, the courts have created guidelines governing when preelection challenges can be brought in the absence of an authorizing statute. Judicial review of a complaint of legal insufficiency may be influenced by whether a challenge comes pre- or postelection and whether the alleged insufficiency is based on a violation of a statutory or constitutional requirement.

a. (§8.5) Preelection Challenges

Even challenges filed before the election may be brought too late for relief to be granted. *See Ellis v. Roberts*, 302 Or 6, 725 P2d 886 (1986). The plaintiffs in *Ellis* brought a preelection suit, alleging that the ballot measure in question violated the constitution's single-subject rule. In responding, the measure's proponents argued the plaintiffs' challenge was brought too late (the suit was filed more than one year and two months after the prospective petition was filed) and that the doctrine of laches should bar the suit. Although the supreme court refused to apply laches, it ultimately held that the suit had not been brought within a "reasonable time" and was therefore properly dismissed. *Ellis*, 302 Or at 1, 11–12, 19.

> NOTE: For a detailed discussion of the laches issue, including how the court distinguished *Ellis* from the similar case of *State ex rel. Fidanque v. Paulus*, 297 Or 711, 688 P2d 1303 (1984), see *Ellis*, 302 Or at 11–12.

Although acknowledging that the legislature was free to enact its own timelines instead, the court developed a system of deadlines, noting that if preelection challenges "are not brought within a reasonable time after they first could have been brought, meaningful judicial review will be difficult, if not impossible." *Ellis*, 302 Or at 17. In holding that preelection challenges must be brought within a "reasonable time," the court addressed two corollary questions:

(1) *When does the reasonable time period begin to run?* Declaring that "[t]here is a season for each kind of challenge," the court stressed the importance of determining reasonable time based on the facts and circumstances of the challenge. *Ellis*, 302 Or at 17. For single-subject challenges, the time period begins with the secretary's certification of the prospective petition. Other challenges involve other triggering events. For example, in an action challenging petition signatures, the time period cannot begin to run until signed petitions have been submitted. *Ellis*, 302 Or at 17.

(2) *How long does the period of reasonable time extend?* Again, the court stressed the importance of facts and circumstances in answering this question. In *Ellis*, the court reasoned that a 60-day period was appropriate. *Ellis*, 302 Or at 18. In other situations, different durations have been used. *See, e.g., State ex rel. Keisling v. Norblad*, 317 Or 615, 632, 860 P2d 241 (1993) (due to compressed timeline in legislative referendum submitted for special election, reasonable time

expired three days after deadline for certification of ballot measure to county clerks).

Finally, it is worth noting that in *Ellis* and *State ex rel. Keisling*, the court specified that the dismissal of a preelection challenge for nontimely filing does not necessarily preclude a postelection challenge based on the same allegations of legal insufficiency. *Ellis*, 302 Or at 19 n 5; *State ex rel. Keisling* 317 Or at 626–629 (in both cases, voters rejected measures so court did not have opportunity to rehear challenges in postelection litigation).

Preelection challenges based on statutory insufficiency are more likely to be successful than the same claim brought after voters approve a measure. *State ex rel. McHenry v. Mack*, 134 Or 67, 73, 292 P 306 (1930). The *State ex rel. McHenry* case involved a preelection complaint that proponents of a referendum petition failed to place the title of the measure on the petitions, as the statute required. Ultimately, the court found that the petitioners failed to comply with the statutory requirement and the measure could not be placed on the ballot. In so holding, however, the court noted that although the statute was mandatory in the context of a preelection lawsuit brought to enforce its provisions, the statute would be "directory" in postelection lawsuits, unless the alleged violation was "of a character to effect an obstruction to the free and intelligent casting of the vote." *State ex rel. McHenry*, 134 Or at 73; *see also Miles v. Veatch*, 189 Or 506, 530, 220 P2d 511 (1950) (petitioner's failure to comply with financial disclosure statute would not justify postelection invalidation of measure when suit did not "claim[] that such failure had any effect upon the result of the election").

b. (§8.6) Postelection Challenges

ORS 250.044 governs a subcategory of postelection challenges. This statute applies to suits alleging unconstitutionality of a ballot measure when such suits are filed after the secretary of state's certification of a measure's adoption and within 180 days after the measure's effective date. Such suits must be filed in Marion County Circuit Court. ORS 250.044(1). However, the statute does not preclude actions from being filed in any court before or after the 180-day window. *Swett v. Bradbury*, 333 Or 597, 604–605, 43 P3d 1094 (2002). In *Swett*, the plaintiffs brought suit after voters approved the subject measure but before the secretary of state had certified the results. The state argued that the trial court lacked jurisdiction because ORS 250.044 provided the exclusive method of postelection

judicial review, and the plaintiffs had filed their suit too early. After a textual analysis, the supreme court concluded that ORS 250.044 does not apply to any suit (1) based on grounds other than constitutionality of a measure, or (2) filed outside the time window described in the statute. *Swett,* 333 Or at 604–605.

Parties bringing a postelection challenge that alleges a statutory violation on the part of a measure's proponents have a heavier burden of proof and will likely be required to show that such violations materially affected the voters' ability to make a meaningful decision. *See State ex rel. McHenry v. Mack,* 134 Or 67, 73, 292 P 306 (1930); *Miles v. Veatch,* 189 Or 506, 530, 220 P2d 511 (1950). Courts may apply a more stringent standard to postelection challenges due to judicial hesitancy to overturn election results. As noted in *Lindstrom v. Myers,* 273 Or 46, 56, 539 P2d 1049 (1975), "[b]efore the electorate will be disfranchised by anyone's failure to comply with the statute, the failure must be one of considerable magnitude which threatens the purity of the ballot."

The more relaxed enforcement of statutory regulations in postelection challenges is illustrated by *Lindstrom,* in which the plaintiff sought to invalidate a statutory initiative due to numerous alleged procedural defects. Although the plaintiff filed his original complaint before the election, the trial court dismissed the case and it did not reach the supreme court until after the voters had approved the measure. After a discussion of the alleged violations, the supreme court determined that at least one material violation had occurred and the secretary of state would have been justified in refusing to place the measure on the ballot. *Lindstrom,* 273 Or at 56. The court refused to consider the violations in a vacuum, however, instead emphasizing the need to examine "the extent to which the defect might influence the voters' consideration of the [initiative's] merits." *Lindstrom,* 273 Or at 51. Ultimately, the court concluded the violations did not affect the merits of the initiative. Although preelection refusal to place the measure on the ballot might have been proper, invalidation of the election results was a severe sanction that the court was unwilling to invoke. *Lindstrom,* 273 Or at 56.

c. (§8.7) Constitutional vs. Statutory Violations

Both *State ex rel. McHenry v. Mack,* 134 Or 67, 73, 292 P 306 (1930), and *Lindstrom v. Myers,* 273 Or 46, 56, 539 P2d 1049 (1975) (discussed in §§8.5–8.6), involved violations of statutory requirements. Allegations of legal insufficiency due to a measure's noncompliance with constitutional requirements are governed

by less lenient standards, with a finding of constitutional insufficiency likely to result in the invalidation of a measure despite voter approval. As noted in §8.5, preelection challenges to the constitutionality of a measure are proper only insofar as the complaint alleges legal insufficiency. Even so, if a preelection dispute over the sufficiency of a measure comes before the court so close to the election that the court could not act "without interfering with the fairness of the election," then the court will not intervene. *Maginnis v. Childs*, 284 Or 337, 339–340, 587 P2d 460 (1978); *see also State ex rel. Keisling v. Norblad*, 317 Or 615, 625–626, 860 P2d 241 (1993).

Constitutional procedural requirements are most stringently applied to constitutional amendments because the procedure for amending the constitution is mandatory and must be applied strictly. *Kadderly v. Portland*, 44 Or 118, 135, 74 P 710 (1903) ("The provisions of the constitution for its own amendment are mandatory, and must be strictly observed. A failure in this respect will be fatal to a proposed amendment, notwithstanding it may have been submitted to and ratified and approved by the people."); *see also Armatta v. Kitzhaber*, 327 Or 250, 284–285, 959 P2d 49 (1998) (applying principle). In *Armatta*, the court's finding that the subject amendment violated the separate-vote requirement led the court to invalidate the entire measure, notwithstanding the proponents' argument that the offending section should be severed. In so ruling, the court determined that severability is applicable in cases of substantive unconstitutionality, but not legal insufficiency. *Armatta*, 327 Or at 285 n 19.

2. (§8.8) Curative Amendments

Despite the willingness of courts to invalidate voter-approved measures that were not adopted in compliance with constitutional provisions, one broad exception lies in the curative amendment. Subsequent amendments to an improperly adopted constitutional amendment may cure the earlier defects unless the later validation "would have the effect of impairing a vested right." *Carey v. Lincoln Loan Co.*, 342 Or 530, 541 n 8, 157 P3d 775 (2007). In *Carey*, the plaintiffs challenged the legal sufficiency of the amended version of article VII of the Oregon Constitution because of three alleged violations of constitutionally prescribed procedures (violation of the separate-vote requirement, improper canvassing and proclamation, and formal inadequacies of the petition). *Carey*, 342 Or at 535. The challenge in *Carey* was brought more than 90 years after the amendment was adopted, yet the court did not find the timing of the challenge to

be improper per se. Ultimately, the court held it was unnecessary to determine whether the original 1910 amendment was constitutionally insufficient because subsequent voter-approved amendments to article VII "necessarily, if implicitly, validated the 1910 adoption of Article VII . . . and cured any irregularities that might have accompanied its adoption." *Carey*, 342 Or at 542.

3. (§8.9) Guaranty Clause Considerations

One type of challenge to a measure's legal sufficiency that state and federal courts have consistently rejected is guaranty clause challenges. *See* US Const Art IV, §4 ("The United States shall guarantee to every State in this Union a Republican Form of Government.").

Soon after the 1902 enactment of the initiative and referendum provision (*see* §8.1), the validity of the law was challenged under the theory that the initiative and referendum process violated the guaranty clause of the U.S. Constitution. *Kadderly v. Portland*, 44 Or 118, 130, 74 P 710 (1903). The court in *Kadderly* quickly dispensed with the guaranty clause argument, holding that the purpose of the clause was to protect "against aristocratic and monarchical invasions" and prevent states from abolishing a republican form of government, "but [the guaranty clause] does not forbid [the states] from amending or changing their constitution in any way they may see fit, so long as none of these results is accomplished." *Kadderly*, 44 Or at 144. Noting that the essential characteristic of a republican form of government is administration by elected representatives, the court found no problem with the initiative and referendum amendment, explaining that the new constitutional provision

> does not abolish or destroy the republican form of government, or substitute another in its place. The representative character of the government still remains. The people have simply reserved to themselves a larger share of legislative power, but they have not overthrown the republican form of the government, or substituted another in its place.

Kadderly, 44 Or at 145. The reasoning employed in *Kadderly* was reaffirmed in *State v. Pacific States Tel. & Tel. Co.*, 53 Or 162, 166, 99 P 427 (1909), and the guaranty clause issue has not been actively litigated since.

More recent discussion of the connection between initiative lawmaking and the guaranty clause surfaced in the 1990s when popular yet controversial proposals were placed on the Oregon ballot through the initiative process. *See* Hans A.

Linde, *When Initiative Lawmaking Is Not "Republican Government": The Campaign Against Homosexuality*, 72 Or L Rev 19 (1993). Due to the general hesitancy of courts to adjudicate guaranty clause questions, it is unlikely that a serious challenge to the initiative and referendum could be brought on these grounds. *See, e.g., Pacific States Tel. & Tel. Co. v. Oregon*, 223 US 118, 32 S Ct 224, 56 L Ed 377 (1912) (dismissing guaranty clause challenge for lack of jurisdiction).

B. (§8.10) Direct Challenges to Initiatives and Referendums

Sections 8.11–8.14 discuss the four most common types of direct challenges. First, the single-subject rule (patterned after the similar requirement applicable to legislative bills) is considered in §8.11. Second is the separate-vote requirement, which has generated a considerable number of lawsuits since the supreme court promulgated the *Armatta* test in 1998. *See* §8.12; *Armatta v. Kitzhaber*, 327 Or 250, 959 P2d 49 (1998). Third is a discussion of the constitution's full-text requirement that covers the format of initiative petitions. *See* §8.13. Finally, issues relating to signature verification are reviewed in §8.14.

1. (§8.11) Single-Subject Requirement

Initiative measures are constitutionally required to contain only one subject. Or Const art IV, §1(2)(d). This single-subject requirement is based on the single-subject rule for legislative bills, found at article IV, §20. Although the initiative single-subject rule of §1(2)(d) does not apply to referendum measures, any state bill subject to referendum must originate in the legislature, thus subjecting it to the requirements of article IV, §20. As a result, the only ballot measures not limited to a single subject are referred constitutional amendments (which are, however, subject to the separate-vote requirement discussed in §8.12). Although the initiative single-subject rule is substantially identical to its legislative counterpart, courts have promulgated a unique test to evaluate initiative measures' compliance with §1(2)(d).

Article IV, §1(2)(d), requires initiatives to "embrace one subject only and matters properly connected therewith." The single-subject clause in §1(2)(d) was added when the initiative and referendum provision was revised in 1968. In 1986, when first asked to interpret the provision, the supreme court concluded that it is substantively the same as the legislative single-subject rule found in article IV, §20. *Oregon Education Asso. v. Phillips*, 302 Or 87, 99–100, 727 P2d 602 (1986).

Part of the original constitution, the legislative single-subject rule requires all acts to "embrace but one subject, and matters properly connected therewith, which subject shall be expressed in the title." Or Const art IV, §20. The legislative single-subject rule applies two different but related requirements to legislation: one regarding the body of a bill (which may contain but one subject) and another regarding the bill's title (which must reflect the subject). *See McIntire v. Forbes,* 322 Or 426, 438–439, 909 P2d 846 (1996).

The first component of the legislative single-subject rule (pertaining to the body of a bill) is designed to protect against logrolling. *McIntire,* 322 Or at 439 ("[O]ne of the principal objects [is] to 'prevent the combining of incongruous matters and objects totally distinct and having no connection nor relation with each other in one and the same bill.'" (quoting *Nielson v. Bryson,* 257 Or 179, 187, 477 P2d 714 (1970))). The single-subject rule ensures that a measure must pass on its own merits, not on the merits of an attached but unrelated measure. *McIntire,* 322 Or at 436 n 10 (citing Millard H. Ruud, *No Law Shall Embrace More than One Subject,* 42 Minn L Rev 389, 391 (1958)). Oregon courts have long construed the rule "'reasonably and liberally . . . to sustain legislation not within the mischief aimed against.'" *Oregon Education Asso.,* 302 Or at 95 (quoting *Lovejoy v. Portland,* 95 Or 459, 466, 188 P 207 (1920)). In summarizing its jurisprudence on the single-subject rule, the supreme court noted "certain shared ingredients" of the definition of a single subject:

> The legislature may choose a *comprehensive* subject for legislation. But, for the contents of a bill to embrace one subject, there must be a unifying principle, referred to variously as 'one general subject,' 'one general object,' 'one general idea,' or 'the object in view.' Relatedly, for a bill to embrace one subject, there must exist among its parts some logical connection relating each to the others.

McIntire, 322 Or at 443. *Phillips* held that the initiative single-subject rule of §1(2)(d) is substantially identical to the legislative single-subject rule, noting the absence of any legislative history to suggest the proponents of the 1968 revision to the initiative and referendum provision intended a different standard. *Phillips,* 302 Or at 100.

In addition to ruling that the initiative single-subject rule has the same meaning as its legislative counterpart, the court in *Phillips* provided a three-step test to determine whether an initiative measure complies with the single-subject requirement. First, the measure must be "scrutinized to determine whether it

embraces more than one subject. If it does, it offends the constitutional limitation even if the subjects are 'properly connected,' and that is the end of the inquiry." *Phillips*, 302 Or at 100. Second, if the measure does not contain more than one subject, its single subject must be identified. Finally, if the measure embraces one subject only, and also other "matters," those matters must be properly connected to the subject. *Phillips*, 302 Or at 100. In enunciating this test, the court noted that measures that satisfy the single-subject requirement (such as the initiative at issue in *Phillips*) may still combine several different components. As a result, voters may be conflicted about a given measure, agreeing with some parts but disagreeing with others. *Phillips*, 302 Or at 100–102 ("Most measures dealing with a complex and emotional subject will present those kinds of choices, but that does not mean that the measure embraces matters not connected with its subject.").

In *Phillips*, the petitioners challenged an initiative that limited property tax assessments to 1.5% of a property's assessed value. The court first held that the single-subject matter of the initiative was ad valorem tax limitation. It then examined several of the components of the measure: the dollar-based limitation on property tax, the limitation on annual increases in assessed valuation, the distribution of revenue in the first year, an "override" provision that allowed voters to increase taxes above the limitation, and a limitation on elections to dates fixed for primary and general elections. The court held all of these matters "properly connected" to the subject matter of ad valorem tax limitation. *Philips*, 302 Or at 101–102. *See also Lowe v. Keisling*, 130 Or App 1, 9–10, 882 P2d 91 (1994) (applying single-subject analysis).

As noted above, the legislative single-subject rule of article IV, §20, has two components. The second part, requiring bill titles to reflect the subject of the measure, is primarily designed "to provide fair notice to legislators (and to others) of the contents of a bill." *McIntire*, 322 Or at 438. Although this requirement is not contained in §1(2)(d), the same objective is accomplished through the detailed statutes related to ballot measure title setting, discussed in §8.16.

2. (§8.12) Separate-Vote Requirement

Constitutional amendments, whether initiated or referred to the voters by the legislature, are governed by the separate-vote requirement of article XVII, §1, of the Oregon constitution (meaning, by implication, that the only way to avoid the requirement is through a revision to the constitution). *Armatta v. Kitzhaber*, 327 Or

250, 256–262, 959 P2d 49 (1998). Article XVII governs amendments to the constitution, and requires that "[w]hen two or more amendments shall be submitted . . . to the voters of this state at the same election, they shall be so submitted that each amendment shall be voted on separately." Or Const art XVII, §1.

The specific elements of the separate-vote requirement were not comprehensively articulated until the *Armatta* decision in 1998. In deciding the case, the supreme court held that the separate-vote requirement of article XVII is not equivalent to the single-subject rule of article IV, §1(2)(d), noting that "because we are concerned here with two requirements that are worded differently and are located in different parts of the Oregon Constitution, we must assume that they have different meanings and that neither requirement is superfluous." *Armatta,* 327 Or at 262. In distinguishing the two requirements, the court noted the rules' foci on content versus form: whereas the single-subject rule "concerns only the *text* of the proposed amendment viewed in isolation," the separate-vote rule examines "how a proposed amendment might *change* the existing constitution." *Armatta,* 327 Or at 270. After noting the reasons behind the separate vote requirement, the court formulated the following test:

> [T]he proper inquiry is to determine whether, if adopted, the proposal would make two or more changes to the constitution that are substantive and that are not closely related. If the proposal would effect two or more changes that are substantive and not closely related, the proposal violates the separate-vote requirement of Article XVII, section 1, because it would prevent the voters from expressing their opinions as to each proposed change separately.

Armatta, 327 Or at 277.

The supreme court has subsequently refined the *Armatta* test, emphasizing two distinct steps, either of which may be undertaken first. *Lehman v. Bradbury,* 333 Or 231, 246, 37 P3d 989 (2002); *Swett v. Bradbury,* 333 Or 597, 607, 43 P3d 1094 (2002) (test as articulated in *Lehman* is "descriptive, not prescriptive"). The first step entails "examin[ing] the relationship among the constitutional provisions that the measure affects, both explicitly and implicitly." *Lehman,* 333 Or at 246. The purpose of this analysis is to determine whether the affected provisions are themselves related. Although changes to multiple unrelated provisions "likely" mean that a measure offends the separate-vote requirement, the court refused to make an absolute rule because to do so "might underestimate the ability of initiative petitioners to design careful, constitutionally sound amendments."

Lehman, 333 Or at 246. Although *Armatta* framed the separate-vote test as a two-step process, subsequent decisions have further separated the first step into two subtests: (1) whether changes are made to multiple sections of the constitution, and (2) whether such changes are substantive. *See, e.g.*, *Sager v. Keisling*, 167 Or App 405, 410, 999 P2d 1235 (2000).

> NOTE: When an initiative does not affect existing constitutional provisions, the court will skip this initial inquiry and consider only the relationship between the changes themselves. *Lincoln Interagency Narcotics Team v. Kitzhaber*, 188 Or App 526, 547, 72 P3d 967 (2003), *rev'd,* 341 Or 496 (2006).

The second part of the *Armatta* test, as enunciated in *Lehman*, is to "consider the constitutional changes themselves. That is, assuming that the constitutional provisions affected by the measure are related, we must determine whether the changes made to those related constitutional provisions are closely related." *Lehman*, 333 Or at 246. Closely related changes will satisfy the separate-vote requirement, but changes that are not closely related will fail. *Lehman*, 333 Or at 246.

The manner in which courts apply the separate-vote test is illustrated through the facts of *Armatta*, which involved a postelection challenge to an initiated constitutional amendment that added several crime victims' rights to the Oregon Constitution's bill of rights. Because the crime victims' rights amendment added new provisions to the constitution and modified at least five existing provisions, the first part of the test was relatively straightforward: the measure sought to make more than one change to the constitution. *Armatta*, 327 Or at 277–283. In undertaking the second part of the test, the court concluded that most of the provisions in the measure were related "in the sense that they pertain to constitutional rights that might be implicated during a criminal investigation or prosecution." *Armatta*, 327 Or at 283. However this was not enough to satisfy the separate-vote requirement. *Armatta*, 327 Or at 283. As an example, the court cited the changes the amendment sought to make to the Oregon constitutional right against unreasonable searches and seizures (art I, §9) and the provision regarding criminal jury verdicts (art I, §11), characterizing them as "two provisions involv[ing] separate constitutional rights, granted to different groups of persons." *Armatta*, 327 Or at 283–284. Additionally, the court held that the measure's proposed change to a criminal defendant's right to bail (art I, §14) "[bore] no

relation to" the proposed changes to juror qualifications (art VII (amended)). *Armatta*, 327 Or at 283–284. Based on these examples alone, the crime victims' rights amendment contained two or more changes to the constitution that were not closely related, and thus failed the separate vote requirement. *Armatta*, 327 Or at 284.

> NOTE: In defining the concept of *closely related*, the court in *Lehman* rejected the court of appeals' previously articulated necessary implication test. *See Dale v. Keisling*, 167 Or App 394, 400–401, 999 P2d 1229 (2000) (applying necessary implication test). The necessary implication test held that a measure violated the separate-vote requirement if it contained two or more substantive changes and a vote in favor of one change did not necessarily imply a vote in favor of another. The court in *Lehman* rejected this test as merely being a stronger iteration of the single-subject requirement. *Lehman*, 333 Or at 241–242.

3. (§8.13) Form of Petition

Most requirements as to the form of an initiative or referendum petition are established by statute or administrative rule and are quite technical in nature. *See* ORS 250.045; OREGON SECRETARY OF STATE, STATE INITIATIVE AND REFERENDUM MANUAL 33–38 (2008) (available at http://oregonvotes.org/publications/state_ir.html). The one constitutional provision governing the petition form is the requirement that initiative petitions "shall include the full text of the proposed law or amendment to the Constitution." Or Const art IV, §1(2)(d).

Section 1(2)(d)'s application to initiatives proposing entirely new laws is relatively straightforward; however, its application to amendatory initiatives was the subject of *Kerr v. Bradbury*, 193 Or App 304, 89 P3d 1227 (2004). The initiative at issue in *Kerr* sought to add new subsections to ORS 336.067 and 659.155, but the petition contained only the text of the proposed amendments, not the text of the statutory sections as they currently read. *Kerr*, 193 Or App at 306–310. The court of appeals noted that §1(2)(d) must be construed in tandem with the legislative full-text requirement of article IV, §22. *Kerr*, 193 Or App at 314. The legislative full-text requirement, which applies to bills in the legislative assembly, states "[n]o act shall ever be revised, or amended by mere reference to its title, but the act revised, or section amended shall be set forth, and published at full length."

Or Const art IV, §22. Much like the initiative single-subject requirement has been construed to have the same meaning as the legislative single-subject requirement (*see* §8.11), the court reasoned that parallel interpretation of the two full-text requirements was supported by the context and enactment history of §1(2)(d). *Kerr*, 193 Or App at 324–325. Oregon's legislative full-text provision is similar to many comparable provisions in other state constitutions, and requires bills to show the complete text of any act that is to be amended. *Kerr*, 193 Or App at 318–320. Although the court of appeals discovered little evidence directly on point, it ultimately concluded "[i]t is, frankly, difficult for us to imagine that the voters [who enacted §1(2)(d)] intended that they be provided with less information about the effect of proposed statutory amendments than what the constitution mandates legislators must be provided when voting." *Kerr*, 193 Or App at 325. Thus, petitions must contain the full text of any statutory provision that is amended by the proposed initiative. Notably, the full-text requirement applies only to initiatives. This difference stems from the fact that referendum petitions need only identify the legislative measure at issue, whereas "the initiative is a legislative act by the voters themselves that requires inclusion of 'the full text of the measure.'" *Kerr*, 193 Or App at 313 (quoting §1(2)(d)).

4. (§8.14) Signature Requirement and Verification

The most frequently cited example of a facially valid measure that is nonetheless legally insufficient is the case of a measure that does not collect enough valid signatures. *See, e.g.*, *Maginnis v. Childs*, 284 Or 337, 339, 587 P2d 460 (1978) (citing *Kays v. McCall*, 244 Or 361, 418 P2d 511 (1966)). Calculating the required number of signatures used to present its own set of challenges, due to "ambiguous and uncertain" drafting of article IV, §1, of the Oregon Constitution. *See Othus v. Kozer*, 119 Or 101, 106, 248 P 146 (1926). Later amendments to article IV have clarified the signature requirement, so that modern litigation on the topic tends to focus on what constitutes proper grounds to invalidate a petition signature.

Many potential types of challenges to signature validity were considered in *State ex rel. Sajo v. Paulus*, 297 Or 646, 688 P2d 367 (1984) (hereinafter *Sajo*). The court in *Sajo* noted that although the constitution specifies required numbers of signatures, the process of verifying petition signatures is governed by statute and implementing regulations. *Sajo*, 297 Or at 653; for current law see ORS 250.105; OAR 165-014-0030. *Sajo* affirmed the legality of the secretary of state's use of

statistical sampling to determine the adequacy of petition signatures, but also stated that petition proponents have a right to secure actual verification of signatures that are submitted "sufficiently in advance of the deadline to make individual verification possible." *Sajo*, 297 Or at 653.

In addition to discussing statistical sampling, *Sajo* established rules for six types of potential challenges to a signature's validity:

(1) *Residency*. At the time *Sajo* was decided, administrative rules promulgated by the secretary of state required all signers on a given petition sheet to be residents of the same county. Due to the permissive language used in the rule, the court held that signatures on one sheet from residents of different counties did not invalidate any signatures. *Sajo*, 297 Or at 656–657. The rule was later amended to require all signatures on a sheet to be from residents of the same county. *Oregon Secretary of State, State Initiative and Referendum Manual* 37 (2006). However, this rule was effective only until December 31, 2007.

(2) *Change of address*. If a petition signer lists an address that differs from the address on his or her voter registration, this by itself is not reason to invalidate the signature. *Sajo*, 297 Or at 657–658.

(3) *Purged registrations*. If a petition signer is a qualified voter at the time of signing the petition, his signature cannot be invalidated for subsequent removal from the voter file, even if the removal occurs before verification. *Sajo*, 297 Or at 659.

(4) *Registration after signing*. The signature of an otherwise eligible voter who is not registered to vote at the time of signing is properly invalidated, unless the county clerk received the voter's registration on the same day as the signing. *Sajo*, 297 Or at 659–660.

(5) *Name changes*. A signature may not be invalidated because the signer changes his or her name before verification. *Sajo*, 297 Or at 660–661.

(6) *Crossed off signatures and blank lines*. For purposes of the statistical sampling procedure, crossed off signatures and blank signature lines may not be counted as unverified signatures. *Sajo*, 297 Or at 661.

C. (§8.15) Ancillary Challenges

Ancillary challenges concern the procedural validity of items related to a measure but do not attack the substance of the measure itself. Sections 8.16–8.18

discuss the three types of proceedings authorized by statute: challenges to a measure's title, financial-impact statement, or explanatory statement.

1. (§8.16) Title Setting

The majority of litigation concerning initiative and referendum measures consists of challenges to ballot titles. Although a thorough discussion of ballot title litigation is beyond the scope of this work, the basic principles are reviewed in this section.

> NOTE: For a more comprehensive discussion of ballot title jurisprudence, see William A. Lund, *What's in a Name? The Battle over Ballot Titles in Oregon*, 34 Willamette L Rev 143 (1998).

The requirements for ballot titles are contained in statute and the court's role is simply to ensure that the attorney general and secretary of state have properly carried out the statutory requirements. *See generally Hand v. Roberts*, 309 Or 430, 788 P2d 446 (1990). As with most initiative and referendum procedures, the title-setting process can be viewed as a way of providing voters with impartial and accurate information concerning a measure so that legislative intent can be more readily determined in subsequent proceedings that require interpretation of an enacted measure.

A measure's title is actually a brief description of the measure's components. Titles contain three parts:

(1) A caption that "reasonably identifies" the measure's subject. The caption is limited to 15 words for statewide measures, and 10 words for other measures. ORS 250.035(1)(a), (2)(a).

(2) A pair of statements (statewide measures) or a question (other measures). The statement pair consists of two statements, limited to 25 words each, describing the effect of a yes or no vote. ORS 250.035(2)(b)–(c). To the extent practical, the language of the two statements should be parallel. ORS 250.035(3). For nonstatewide measures, a question is used (limited to 20 words) that plainly phrases the "chief purpose of the measure." ORS 250.035(1)(b).

(3) A "concise and impartial statement" summarizing the measure and its major effect. This statement is limited to 125 words for statewide measures (ORS 250.035(2)(d)), and 175 words for other measures (ORS 250.035(1)(c)).

The title-setting process for initiative measures begins with the proponents' submission of a prospective petition. Upon receiving the prospective petition, the secretary of state notifies the attorney general, who must provide a draft ballot title within five business days. ORS 250.065(2)–(3). In the case of legislative referendum, the legislative assembly may prepare the title itself, in which case the title-setting procedure is not invoked. ORS 250.075; *see Hamilton v. Myers*, 326 Or 44, 49, 943 P2d 214 (1997). For popular referendum, or legislative referendum when the legislature does not write its own title, the title-setting process does not begin until the secretary of state receives the completed petition (with signatures) at which time the attorney general has 10 business days to submit a draft title. ORS 250.065(1), (4).

After receiving a draft title from the attorney general, the secretary of state must publish statewide notice and invite written comments from interested parties. Written comments must be received within 10 business days of the secretary's receipt of the draft title. ORS 250.067(1); *see also* OAR 165-014-0027 (establishing notification procedures). If the secretary receives no comments, the attorney general must certify the draft title. If comments are received, the attorney general must consider them and certify either the draft title or a revised version, within 10 business days after the deadline for comments. ORS 250.067(2).

Electors who are dissatisfied with a final ballot title may petition the supreme court for a different title. In the case of a referendum title written by the legislature, any elector may petition for review. ORS 250.085(1). In the case of a title written by the attorney general, a petition must be filed by an elector who timely submitted written comments on the draft ballot title. ORS 250.085(2). A petition for review of a ballot title must be filed within 10 business days of the secretary of state's receipt of the final title. ORS 250.085(3)(a). Parties seeking judicial review must file the petition in their individual capacity as an elector. *Donnell v. Keisling*, 313 Or 66, 68, 828 P2d 456 (1992) (per curiam) (petition filed by elector in his capacity as president of public interest organization dismissed for lack of standing).

As noted above, an elector challenging a ballot title written by the attorney general must have submitted written comments to have standing to petition for review. The statute further dictates that when petitioning for review, an elector may only argue points that he or she raised in written comments. However, if a petition for review is based on changes the attorney general made after the

comment period expired, the court may waive this restriction. ORS 250.085(6). Outside of this exception, however, if an elector argues points not contained in his or her written comments, the court may not consider those arguments. If the only arguments raised in a petition for review are ones that were not made in written comments, the court will dismiss the suit for lack of standing. *McCoid v. Kulongoski*, 321 Or 452, 900 P2d 1028 (1995) (so stating, and overruling *Farago v. Kulongoski (S41198)*, 319 Or 20, 872 P2d 961 (1994)).

Judicial review of a ballot title, as authorized by ORS 250.085, is limited to a determination of whether the title is in substantial compliance with the requirements of ORS 250.035—specifically:

(1) Whether the caption "'reasonably identifies'" the subject;

(2) Whether the required question or statements "'plainly phrases the chief purpose of the measure'"; and

(3) Whether the summary statement is "'concise and impartial.'"

See Hand, 309 Or at 433 (quoting ORS 250.035(1)). The supreme court has articulated its role as policing titles for accuracy and impartiality "to prevent argument, misleading descriptions, or emotionally laden words within the ballot title. A summary should provide accurate and neutral information to the voters, not an additional opportunity for proponents or opponents to persuade." *Hand*, 309 Or at 433.

Although the current statutory framework for ballot title review is well settled, controversies occasionally arise over the court's role in title-setting. Generally, the supreme court has acknowledged that title drafting is a legislative or political function that has been delegated to an executive branch officer (i.e., the attorney general). *Richardson v. Neuner*, 183 Or 558, 562, 194 P2d 989 (1948); *Rooney v. Kulongoski*, 322 Or 15, 29, 902 P2d 1143 (1995). Thus, the court's role is to review the actions of the attorney general, much in the same manner that the court reviews agency actions under the Oregon Administrative Procedures Act. *Rooney*, 322 Or at 26–27. As a corollary, the most often-cited guideline for judicial review of ballot titles is the adage that "[t]he mere fact that . . . [the court] may be able to write a better ballot title than the one prepared by the Attorney General constitutes no reason for discarding his title." *Wieder v. Hoss*, 143 Or 122, 125, 21 P2d 780 (1933). As a result, parties seeking judicial modification of a ballot title bear the burden of proving the attorney general specifically violated one or more

statutory requirements. Such burden is even more pronounced in cases when a complex measure is difficult to summarize within the statutory word limits. *See Pacific Power & Light Co. v. Paulus*, 292 Or 826, 830, 643 P2d 871 (1982) ("it is not the province of the Attorney General in discharging his duty to provide a title to make clear that which is not clear in the measure itself"). For examples of recent ballot title challenges, see *Terhune v. Myers*, 338 Or 554, 112 P3d 1188 (2005), *modified*, 2005 Or LEXIS 346 (Or June 21, 2005) (proposed attorney general summary invalid as underinclusive); *Towers v. Myers*, 338 Or 542, 112 P3d 1184 (2005) (proposed attorney general summary invalid because it misstated current law); *Nesbitt v. Myers*, 336 Or 526, 86 P3d 675 (2004) (invalidating title that referenced amendments only regarding taxes when measure would affect amendments regarding taxes and fees); *McCormick v. Myers*, 337 Or 49, 91 P3d 704 (2004) (summary of proposal to abolish State Accident Insurance Fund Corporation not misleading); *Harder v. Myers*, 329 Or 549, 992 P2d 450 (1999) (ballot title of proposal to ban certain types of animal traps not misleading).

2. (§8.17) Financial-Impact Statements

Pursuant to statute, all ballot measures must be evaluated to determine whether they will result in changes to state expenditures, tax revenues, or state debt and debt service. ORS 250.125(1). This review is conducted by the secretary of state, state treasurer, director of the department of administrative services, the director of the department of revenue, and a member with expertise in local government finance. ORS 250.125(8). When the aforementioned officials approve a draft financial-impact statement, the secretary of state must hold a hearing to receive suggested changes or other information from the public. ORS 250.127(2). The five officials must then consider the information received at the hearing and may make revisions to the impact statement. ORS 250.127(3). The draft and final statement must be approved by a majority of the five officials; however, if less than three assent, the secretary of state shall act alone in certifying the statement. Failure of the committee to approve a statement does not preclude the measure from being placed on the ballot. ORS 250.127(5); *Bassien v. Buchanan*, 310 Or 402, 408, 798 P2d 667 (1990) (prohibiting vote on measure due to officials' failure to prepare fiscal-impact statement would "entirely thwart the goal that the constitution seeks to attain—the right of citizens 'to propose laws . . . . and enact or reject them independently of the Legislative Assembly.'" (quoting Or Const art IV, §1(2)(a))). The final financial-impact statement is printed in the voters' pamphlet,

unless the only impact is anticipated expenditures of less than $100,000 per year. ORS 250.125(4)–(5).

Parties may petition the supreme court to review financial-impact statements only if the committee of officials fails to follow the procedures codified in ORS 250.125 and 250.127. The only available remedy for such a petition is to require the responsible officials to follow the statutorily prescribed procedure for preparing the impact statement. ORS 250.131(1). Judicial review is not appropriate to challenge the estimated amount of fiscal impact. ORS 250.131(1); *see Marbet v. Keisling*, 314 Or 223, 232, 838 P2d 580 (1992) (Van Hoomissen, J., concurring) ("As we have construed the relevant statutes, the role of this court in the statutory scheme [concerning financial-impact statements] is so limited as to be virtually meaningless. As a practical matter, we review solely to determine whether respondents have jumped through the prescribed procedural hoops.").

3. (§8.18) Explanatory Statement and Voters' Pamphlet

Oregon's system of direct democracy includes a voter education component in the form of a voters' guide (officially referred to as a pamphlet) that provides information about measures submitted to voters at upcoming elections. Statutes governing the preparation of the voters' pamphlet are codified at ORS 251.185, et seq. The pamphlet contains five pieces of information for each initiative or referendum measure:

(1) The measure's number and official title;

(2) The measure's text;

(3) The financial estimate described in ORS 250.125 (if required);

(4) The explanatory statement required by ORS 251.205; and

(5) Any arguments for or against the measure, submitted by interested parties pursuant to the provisions of ORS 251.255. ORS 251.185(1).

A measure's explanatory statement is drafted by a committee of five Oregon citizens: two proponents, two opponents, and a fifth member selected by the other four members. ORS 251.205. *Proponents* are defined as chief petitioners (in the case of initiatives) or designees of the president of the senate and the speaker of the house (in the case of referenda). ORS 251.205(1). The secretary of state selects the opponents. ORS 251.205(4). The committee's duty is to draft, in 500 words or less, an "impartial, simple and understandable statement explaining the measure." ORS

251.215(1). After the committee prepares the draft statement, the secretary of state must distribute the statement to the public and hold a hearing to "receive suggested changes or other information relating to any explanatory statement." ORS 251.215(2). The committee must consider any suggestions submitted at the hearing and must file a final statement with the secretary of state no later than 90 days before the election. ORS 251.215(3).

Once the final explanatory statement is filed with the secretary of state, the parties may seek supreme court review of the statement, but only if suggestions were submitted at the secretary's hearing. A petition for judicial review must be filed within five days of the filing of the final statement. ORS 251.235. If suggestions were filed at the hearing, "[a]ny person" may petition for judicial review, even if the party seeking review did not personally submit comments at the hearing. ORS 251.235(1); *MacAfee v. Paulus*, 289 Or 651, 654–655, 616 P2d 493 (1980). The supreme court reviews explanatory statements with great deference to the drafting committee. *Teledyne Wah Chang Albany v. Powell*, 301 Or 590, 593, 724 P2d 319 (1986). Noting that the legislature has purposefully designed the committee to bring together opposing viewpoints, the supreme court has concluded "the process is both legislative and political" and "the court should not invalidate or modify [the explanatory statement] unless its insufficiency is beyond reasonable argument." *Teledyne*, 301 Or at 593. This deferential approach to reviewing explanatory statements entails the belief that the court's "task is not to write a better statement, but only to determine whether the explanatory statement is a sufficient and clear statement of the measure and its effect." *Teledyne*, 301 Or at 593. Thus, a petitioner seeking review of an explanatory statement carries the burden of proving that the final explanatory statement is legally insufficient. *Sizemore v. Myers*, 327 Or 456, 468, 964 P2d 255 (1998).

Legal sufficiency of an explanatory statement is determined by evaluating the likelihood that the statement will adequately inform voters of the measure's content. Although at least one case has suggested that legal sufficiency is separate from the committee's statutory directive to draft an "impartial, simple and understandable statement" (*MacAffee*, 289 Or at 655), most cases use these three statutory elements to judge a statement's sufficiency. Prior versions of ORS 251.215(1) also required the committee to explain the effect of a measure's passage. This requirement was removed in 1993 and the supreme court has since

held that description of a measure's effect is allowable at the option of the committee. *Sizemore,* 327 Or at 461–467.

Although the court often defers to the drafting committee, it occasionally modifies explanatory statements. Judicially modified statements are final. ORS 251.235(1). In *Teledyne,* the court reviewed an explanatory statement for a measure that sought to regulate radioactive waste facilities. As drafted, the measure affected only one facility in Oregon, although this fact was not disclosed in the explanatory statement. Finding that the "committee's failure to state this effect of the measure renders it insufficient," the court modified the statement. *Teledyne,* 301 Or at 595.

A party seeking modification may advance multiple arguments and the court may accept some while rejecting others. In *Sizemore,* the court confronted a measure that would prohibit state and local governments from using public resources for the collection of "political funds." *Sizemore,* 327 Or at 459. The petitioner objected to four parts of the explanatory statement, two of which the court upheld after finding they were essentially restatements of the measure's text. The court modified the statement to eliminate the use of boldface text in the middle of the statement, finding it could potentially mislead voters by emphasizing one portion of the statement over another. *Sizemore,* 327 Or at 469. Additionally, the petitioner objected to the statement's characterization of the measure's effect as making political fund collection "illegal" because that term is "unnecessarily 'charged.'" *Sizemore,* 327 Or at 469. Because the opposing party conceded the point, the court did not directly rule on the petitioner's objection, but seemed to agree that an unnecessarily charged term can result in a finding of insufficiency. *Sizemore,* 327 Or at 469.

III. (§8.19) INTERPRETATION AND CONSTRUCTION OF INITIATED AND REFERRED MEASURES

The Oregon constitution's reservation of initiative and referendum powers creates a "dual system" of legislative power, with two legislative bodies: the legislative assembly, and the people. *State ex rel. Carson v. Kozer,* 126 Or 641, 644, 270 P 513 (1928). As a result, courts are precluded from interfering with the passage of a legally sufficient initiative or referendum measure in the same way that they are prohibited from interfering with pending legislative bills. *State ex rel. Carson,* 126 Or at 646–647. However, once a ballot measure has passed, courts

may be called on to evaluate the measure for purposes of resolving an ambiguity or adjudicating a challenge to the measure's constitutionality. The methodology used to interpret and construe measures enacted by initiative or referendum depends on whether the measure is statutory or constitutional.

A. (§8.20) Statutory Initiatives and Referenda

The methodology outlined in Oregon's touchstone statutory interpretation case, *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 610–612, 859 P2d 1143 (1993) (hereinafter *PGE*), applies to statutes regardless of whether they are passed by the legislative assembly or by initiative or referendum. *PGE*, 317 Or at 612 n 4. When confronted with an ambiguous term, courts will apply a three-tiered analysis (text and context, legislative history, and general maxims of statutory construction). The court's task is to determine legislative intent. *PGE*, 317 Or at 610. In the case of statutes passed by initiative and referendum, this objective is framed in terms of "discern[ing] the intent of the voters who passed the initiative." *State v. Guzek*, 322 Or 245, 265, 906 P2d 272 (1995).

1. (§8.21) Step One: Text and Context

The first step of the analysis outlined in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 859 P2d 1143 (1993) (hereinafter *PGE*), examines a statute's text and context. *PGE*, 317 Or at 610. In the case of initiative and referendum measures, this encompasses the text of the measure itself, as well as related statutes that drafters and voters were likely aware of. *State v. Guzek*, 322 Or 245, 265–268, 906 P2d 272 (1995). If the text and context of a measure lead to one, and only one, plausible construction, then the analysis usually ends. *State v. Allison*, 143 Or App 241, 247, 923 P2d 1224 (1996); *but see State v. Gaines*, 346 Or 160, 206 P3d 1042 (2009) (holding that ORS 174.020 permits courts to consider legislative history even when text and context is unambiguous). *Allison* concerned an initiative measure that prescribed enhanced sentencing requirements for "'a convicted defendant who has previously been convicted'" of certain enumerated felonies. *Allison*, 143 Or App at 245 (quoting ORS 137.635 (1991)). In determining whether the enhanced sentence applied to the defendant, the court of appeals found the term could plausibly apply to defendants who were convicted of crimes before their current sentencing, before their current conviction, or before the commission of the crime for which they are being sentenced. Because the

phrase had more than one plausible meaning, the meaning of the term could not be resolved at the first level of the *PGE* analysis. *Allison*, 143 Or App at 247–251.

Many of the statutory interpretation cases that have applied *PGE* have delved into detailed discussions of what type of meaning to give to a statute's text in the first-step analysis. *See* §§2.25–2.28. When interpreting statutes passed by initiative or referendum, the step-one analysis does not differ from the analysis used to interpret legislatively enacted statutes: courts look to the text and context of the statute as the best indicator of the voters' intent. *See, e.g.*, *State v. Root*, 202 Or App 491, 123 P3d 281 (2005). For example, in *Root*, a criminal defendant attempted to raise an affirmative defense under the Oregon Medical Marijuana law, ORS 475.319. The statute provided a defense to a charge of possession of marijuana when the defendant "'[h]as been diagnosed with a debilitating medical condition within 12 months prior to arrest and *been advised by his or her attending physician* the medical use of marijuana may mitigate the symptoms or effects of that debilitating medical condition.'" *Root*, 202 Or App at 494 (quoting ORS 475.319 (2005)). The issue on appeal was whether the defense was available to a person whose physician had advised him of the benefits of medical marijuana only *after* the defendant's arrest. In rejecting the defendant's interpretation of the statute, the court first relied on textual analysis. Specifically, the court applied basic grammar rules to hold that the verb tense (present perfect) implied that the voters intended the defense to apply only to persons whose doctors had advised them sometime in the past. In this case, that past had to be before the defendant's arrest. *Root*, 202 Or App at 495–496.

The court also examined the context of ORS 475.319, specifically, related statutes. It determined that ORS 475.300 stated specific findings that led to the medical marijuana legislation, including ORS 475.319. Those findings suggested the voters intended the defense to apply only to people who had been advised by their physicians before they began to use marijuana without fear of civil or criminal penalties. *Root*, 202 Or App at 496–497.

2. (§8.22) Step Two: Legislative History

The second step of analysis examines legislative history. *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 611–612, 859 P2d 1143 (1993). For purposes of initiatives and referenda, legislative history includes statements contained in the voters' pamphlet, and other sources such as

"newspaper stories, magazine articles and other reports from which it is likely that the voters would have derived information about the initiative." *State v. Allison*, 143 Or App 241, 251, 923 P2d 1224 (1996). When taking notice of such sources, courts act cautiously, particularly with regard to sources created merely by paying a fee to have a point of view published in print. *Allison*, 143 Or App at 253. Nonetheless, when such sources "reflect[] a fairly consistent point of view on an issue . . . [courts] have greater reason to assume that such views were relied upon by the voting public and are obliged to give that history careful consideration." *Allison*, 143 Or App at 253. In *Allison*, the court concluded that despite the heated and partisan nature of arguments in the voters' pamphlet and newspaper editorials, the consistent use of the term *repeat offender* (and similar characterizations) was helpful in resolving the ambiguous statutory provision because terms like *repeat offender* "have a generally-understood meaning" that made only one of the three possible interpretations tenable. *Allison*, 143 Or App at 252–254.

Although Oregon courts often review the legislative history of constitutional amendments adopted by initiative, examination of the legislative history of statutes adopted by initiative has been less frequent. When the courts have examined initiative-created statutes, they have approached legislative history in the same manner as constitutional amendments. *See English v. Multnomah County*, 229 Or App 15, 27, 209 P3d 831 (2009). In *English*, the court examined the legislative history of ORS 197.352, the attorney-fees provision of a property rights initiative (Measure 37). The court in this case examined the voters' pamphlet. For authority for taking this approach, the court cited a case that applied the same approach to interpreting an initiative-passed constitutional amendment, *Shilo Inn Portland/205, LLC v. Multnomah County*, 333 Or 101, 129–130, 36 P3d 954 (2001), *modified on recons.*, 334 Or 11 (2002) (examining voters' pamphlet to aid interpretation of amendment to Oregon Constitution art XI, §11(b)). *English*, 229 Or at 27. For a more detailed explanation of the courts' approach to legislative history of initiatives and referendums, see §7.29.

3. (§8.23) Step Three: General Maxims of Construction

The third step of analysis resorts to "general maxims of statutory construction to aid in resolving the remaining uncertainty." *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.*, 317 Or 606, 612, 859 P2d 1143 (1993). Although no cases concerning statutory ballot measures have reached the third step, a few

cases have employed a similar analysis in construing constitutional amendments. *See* §8.7.

B. (§8.24) Constitutional Provisions and Amendments

Once a measure is held legally sufficient, questions may still remain about the exact meaning of the new constitutional provision. Such suits are the subject of this section. Interpretation of initiated or referred constitutional provisions or amendments consists of a three-step analysis. The first two steps are outlined in *Ecumenical Ministries v. Oregon State Lottery Comm'n,* 318 Or 551, 559–560, 871 P2d 106 (1994). The ultimate purpose of the test is to discern the intent of the voters. *Roseburg Sch. Dist. v. Roseburg,* 316 Or 374, 378, 851 P2d 595 (1993). The first step is to determine voter intent through examination of the text and context of the provision itself. *Ecumenical Ministries,* 318 Or at 559. The second step, necessary only if voter intent cannot be resolved based on text and context, entails examination of the history of the provision in question. *Ecumenical Ministries,* 318 Or at 559. A third step, not enunciated in *Ecumenical Ministries,* resorts to general canons of interpretation and construction. *See State v. Lanig,* 154 Or App 665, 673–674, 963 P2d 58 (1998) (en banc). This analytical framework is discussed in detail in chapter 7.

The first step of analysis (text and context) closely mirrors the methodology established in *Portland Gen. Elec. Co. v. Bureau of Labor & Indus.,* 317 Or 606, 610–612, 859 P2d 1143 (1993) (hereinafter *PGE*). Examination of a measure's text uses the "plain, natural, and ordinary meaning" of common words. *Coultas v. City of Sutherlin,* 318 Or 584, 588–589, 871 P2d 465 (1994). Dictionary definitions of ambiguous terms will not prevail, however, if an overly literal interpretation was unlikely to be intended by voters. *Ecumenical Ministries,* 318 Or at 561 (dictionary definition of *casino* as "a physical structure 'for gambling'" is more broad than what voters likely intended when enacting measure regulating gaming). A measure's context includes related ballot measures from the same election and relevant constitutional provisions that were in place at the time of the election. *Ecumenical Ministries,* 318 Or at 559; *Stranahan v. Fred Meyer, Inc.,* 331 Or 38, 62 n 15, 11 P3d 228 (2000). Contextual analysis also includes a review of all relevant sections of the measure that contain an ambiguous term. *Ecumenical Ministries,* 318 Or at 561. Finally, the contextual review may encompass relevant case law interpreting the constitutional provision at issue. *Stranahan,* 331 Or at 61.

Like *PGE*, the second step of the *Ecumenical Ministries* methodology is engaged only if voter intent is not clear from the text and context. *Ecumenical Ministries*, 318 Or at 559. The supreme court, however, has noted that courts should be "cautious" in resolving the analysis based on text and context alone, since "'courts rarely see disputes over interpretation when the opposing party cannot show a possible alternative reading of the words, which it claims to be correct in context.'" *Ecumenical Ministries*, 318 Or at 559 n 7 (quoting *Lipscomb v. State*, 305 Or 472, 485, 753 P2d 939 (1988)). As with the second level of the *PGE* analysis, history for the purposes of the *Ecumenical Ministries* test includes "sources of information that were available to the voters at the time the measure was adopted and that disclose the public's understanding of the measure," including the ballot title, arguments in the voters pamphlet, and contemporaneous news reporting and editorials. *Ecumenical Ministries*, 318 Or at 559 n 8.

Although not set forth in *Ecumenical Ministries*, courts have resorted to a third step of analysis in cases when the first two steps do not resolve the ambiguities. *Lanig*, 154 Or App at 673–674 (using "the interpretive template of *PGE*," court resorted to relevant canons of construction when interpreting initiated constitutional amendment); *see also State ex rel. Adams v. Powell*, 171 Or App 81, 102 n 11, 15 P3d 54 (2000) (Edmonds, J., dissenting) (criticizing majority for resorting to canon of constitutional construction without first analyzing the enactment history). The court in *Lanig* was asked to decide whether a constitutional amendment was intended to be applied retroactively. After finding no conclusive answer from the text, context, and enactment history, the court of appeals relied on two canons of construction (preference of interpretation that will avoid constitutional difficulty and the presumption of prospective application) to find that the provision should not be applied retroactively. *Lanig*, 154 Or App at 674–675. In *Kerr v. Bradbury*, 193 Or App 304, 325, 89 P3d 1227 (2004), the court of appeals arrived at the third step of analysis to find only one "arguably relevant" canon. Although the court found no relevant evidence in the enactment history, at the third step of analysis it relied on the canonic instruction to "attempt to determine what the voters would have intended had they thought about the specific issue." *Kerr*, 193 Or App at 325 (citing *State v. Brooks*, 187 Or App 388, 398, 67 P3d 426 (2003)).